# Elgi Equipments Ltd. (ELGIEQUIP)

*Conference call transcripts, oldest-first. 11 call(s). Generated 2026-06-08.*

# Call: May 2023

May 22, 202 3
National Stock Exchange of India Ltd.
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Through: NEAPS Through: BSE Listing Centre

Dear Sir /Madam ,

Subject: Transcript of the analyst conference call - financial results for the quarter and year ended March 31, 202 3
Scrip Codes: NSE - ELGIEQUIP / BSE - 522074

In continuation to our letter dated May 10, 202 3, regarding quarter and year ended March 31, 2023 Earnings conference call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed t he transcript of the analyst conference call held on Friday , May 19, 202 3 at 5. 30 P.M . for your information and records .

The aforesaid information is also being made available on the Company's website viz., www.elgi.com

Thanking you,

Yours faithfully ,
For Elgi Equipments Limited

S Prakash
Company Secretary
Encl.: a/a



"ELGi Equipments Limited Q4 FY-23 Earnings Conference Call"

May 19, 2023

MANAGEMENT : MR. JAIRAM VARADARAJ – MANAGING DIRECTOR .
MODERATOR : MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED .

Moderator: Ladies and gentlemen, good day and welcome to ELGi Equipments Limited 4Q FY 23 Earnings Conference Call hosted by Asian Market Securities Limited.
This Conference Call may contain forward -looking statements about the Company which are based on the beliefs, opinions, and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties th at are difficult to predict. Actual results may differ from such expectations, projections, et cetera whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.
As a reminder, all participan t lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kamlesh Kotak from Asian Markets Securities Limited. Thank you and over to you sir.
Kamlesh Kotak: Thanks Aman. Good evening everyone . On behalf of Asian Markets we welcome you all to the 4Q FY2023 Earnings Conference Call of ELGi Equipments Limited. We have with us today Mr. Jairam Varadaraj – Managing Director representing the Company .
I request Mr. Jairam to take us through an overview of the quarterly and the yearly results and then we shall begin the Q&A session. Over to you sir. Thank you.
Jairam Varadaraj: Thank you very much Kamlesh . I appreciate as always; you are hosting our call with the Analysts and Investors . And ladies and gentlemen, it 's a pleasure for me to be with you and thank you for taking the time to be with us. I 'm going to give you , I apologize that we are having this call as, in a very short time after the results we re uploaded, I hope you had a chance to look at them at least briefly.
I'm going to talk about the Annual Results in the context of the Annual Results of last year. We've had a good set of numbers, revenue sales has grown by about 20% and we 've had a pretty significant growth in our EBITDA , though we 've had the leverage benefits, I would still like to talk about certain nuances that are unique to this performance. On the positive side, our profitability at a contribution margin in terms of our variable costs, control and price realization has been good. And that besides the 20%, top line growth, that has been a very key contributor to the improved profitability that we 've been able to present to you for the whole year. In fact, for the quarter, we've had even better percentages. So, which I 'm sure you 've been able to , you will if you have not already seen it you will be able to see it as you step back and kind of soak into the numbers after this call. So, the contribution at material cost level has been a very positive development. And it 's not something that is accidental, it 's been very deliberate. And therefore it's given us good results.

On the cost side :
On the fixed cost side, we 've had some increases on employee costs, which is kind of normal and nothing that is extraordinary. A big part of it is our continued investment into Europe. And adding to the team there , I will talk a little bit more about Europe in detail. The other fixe d cost besides people cost, we 've had some a few extraordinary costs which have actually reduced the profitability . Costs that are relating to our implementation of our ERP system , standardization of ERP across the world as part of that we 've had a huge pr oject that is still ongoing in North America , that's been a significant expense for us. We also participated in our once in two years we have this big Hannover

show we participated in that this year. And that has been a cost. And also there has been some of the expenses that were there , that were treated differently in the past where the accounting standards they 've said we need to treat it differently. That was relating to our ERP implementation cost in Europe which we did last year which we had capitalized and now the prudent accounting norm is to write it off in our revenue. So, that's also part of it. So, close to about 20 to 25 crores is a one time expense that is sitting in fixed cost, which I don 't expect will be there in the future.
Now, having said that, we also had a bonus kind of a bumper gain in the sale of our property in in Charlotte, that post tax has given us close to about 75, 78 crore , it's in the publish ed numbers it is shown as a pre -tax value of about 105 crores . So, this is a gain. So, net net, if I take the gain after tax, and these expenses that are one time, the real benefit is about 50 crore . So, that's something that we need to keep in mind. So, if I bake all of that in the performance in terms of profitability has been very good. So, there is nothing really in terms of a reconciliation normally I do the reconciliation based on increased sal es and improved contribution. Our EBITDA for the

full year is close to about 300 crores and it should have been about 500 crores if I take last year 's levels of all costs . now that 500 crores the reconciliation, like I told you, is a question of certain normal increase in people cost, normal increase in some of the variable cost. And these onetime cost, so there is nothing alarming about the gap. So, it looks pretty good to me and it looks pretty okay.

Now winding down to sales :

Let me start, like I norm ally do with starting from Australia :

I just want to step back and before I give all of our regions have grown compared to the previous year. So, some have grown more and some have grown less. Now, by looking at Australia, Australia has grown but it could have done a lot better there were opportunities that we missed because of certain timing issue. And there was also some slowing down in certain segments in the market. So, that definitely it could have done a lot better than what it did. Southeast Asia for sure, was a problem they grew Yes, but nowhere near what the opportunity it represents.

Moving forward to India :





India was to be honest; we could have done a heck of a lot better. The problem there were specific verticals in which we had growth issues. I believe we could have done better and we are working on some plans to get ourselves reoriented and realigned to realize certain pockets of opportunities that we believe is this, going forward .

Moving forward into Middle East and Africa :

Again, growth was there, but not nearly where it 's supposed to be. So, there are things that we are working on there as well.

Europe was a very good show, we had some significant growth in Europe, definitely we are tracking from a top line point of view better than planned. So, this is a good thing , North America was an outstanding performance for us very, very strong numbers and again is a reflection of our growing strength in that market.

ATS also grew with a strong growth for ATS given the context of the presence in the Indian market and the instability in the automotive industry in terms of supplies because of electronics supply chain challenges considering that they 've done very well.

So, net-net, the performance has been quite good as far as our net debt position is co ncerned as , as of now our net debt is about , net positive of about 60 crores, we have cash including debt that we have taken in Europe, US and Australia . US not so much because bulk of the cash that came from the proceeds went towards settling the debt. There 's still some debt, but we cannot retire even if we want to in Austr

alia for instance, we are in a contractual thing there and of course the debt in E urope.

As I said we will talk a little bit more about Europe, Europe is done in terms of top line and the planned losses they are at a better than what we had planned, this is a critical year for us in Europe and we are all prepared , we are fully support ive we are looking as a team we are watching closely in terms of how we are performing there. So, as of now everything looks quite okay and positive.

So, that's the net -debt position the overall split of our business between international rest of the world a nd India is roughly 40 :60, India being 40 and the rest of the world being 60 that continues even this year.

So, that is a summary of the whole thing . In terms of our CAPEX spend, we plan the significant amount, we have planned close to about (+100) crores , but we have actually spent only about 55 crores, which is part of the budget for this year plus the carryover from last year. And even this year, we will probably continue down a similar kind of thing even though the aspiration is to spend a lot more I be lieve that w e would be roughly in that area. The project for a new campus is something that I would like to talk about later on in one of our future calls and things have been crystallized. So, there is no specific number yet we will talk about it when tha t is done.





As far as 1st Quarter of this year in terms of our expectation, we need to be prepared for some disappointment, not because of a business problem, it 's more of an execution issue, because the implementation of ERP in the US is a big challenge b ecause it 's a complex set of businesses that we are implementing in and things are improving, but I want to be very cautious on rather than project a very optimistic number. So, we will definitely be better than last year, but that could be some slippage s that could be in the neighborhood of 5% to 8% compared to Q 4 of this last year, compared to Q4 , the 1st Quarter May have it , we would have ideally liked it to be about 2%, 3% lower but probably it will be about 7%, 8% lower. So, this is what I think will be the 1st

Quarter of this year. But overall we are tracking to high double digit growth in our business at the top line across the world. And we hope to continue to at the worst case we will continue to hold the profitabilit y that we have been able to achieve in Q4 so which means combined with a mid-double digit growth with the Q4 level of profitability, we will be able to return some good number . So, this is our expectation , as far as India is concerned.

Like I said the oppo rtunities are big we need to regroup, reorient and realign ourselves to the market, which is what we are going to do , we are going to be looking at bringing in outside assistance to help us with some reorientation. So, that is something that will happen th is year. So, that could be some one-time expenses that could come into the Company . We are also looking at building certain strategic roles, filling up certain strategic roles that could be some cost. But these are all nothing to be concerned about. Something that we are going to do is good for the long-term talent succession planning all that is going to be som ething that we ’ll be doing. So, I will stop here and I will wait to respond to your questions as a better form of clarity. So, thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the lin e of Ravi Swaminathan from Spark Capital Advisors. Please go ahead.

Ravi Swaminathan: Sir, my first question is with respect to the standalone business where the revenue has been largely flattish year-on-year during the quarter. Any reason why it has been kind of on the flattish side, why we have delivered good growth at the Company level, the standalone has bee

n flattish ,

if India seeing some kind of plateauing out in terms of growth ?

Jairam Varadaraj: No, wha t happened was when you look at last year standalone, there was quite a bit of stock building that happened and as a consequence there was quite a bit of sales made to subsidiaries that boosted up last year sales and this year we have really manage the bus iness for cash especially in the last couple of quarters. So, we significantly throttle back on supplies to subsidiaries and that ’s why you see a flattish standalone.

Ravi Swaminathan: Okay. And last year this quarter was there any oxygen concentrated say for….

Jairam Varadaraj: Almost nothing .



Ravi Swaminathan: Okay. And if you could give a sense on how the India market is, how it is panning out in terms of demand across key categories, industries, infra, water well, that will be really great sir.

Jairam Varadaraj: Well, overall the economy is on a positive note, inquiries are still strong, we need to there are segments that, for instance textiles is quite weak by virtue of the cotton to yarn parity, but things are improving there as well. So, there are, e xcept for a few sectors like this, that are challenged by virtue of very external factors, all the other segments are quite buoyant. The large projects, stuff is still kind of not moving ahead in any significant way. But it ’s going to come , as far as water well is concerned, it is still kind of very docile. We don ’t see any uptake. We are not planning for any uptake, b ut we are prepared . Our product has been a great success in the market. And once the market picks up, we ’re quite con fident that we will get though. So, the infrastructure segments are also investing whether it ’s construction and mining, there is investment going on , industrial is also . So, it’s a question of reorienting ourselves getting a lot more present in certain segments that we are not in, geographical segments that we are not in , customer segments that we are not in , so there ’s nothing like earth shattering but just doing the basics in a very good way.

Ravi Swaminathan: Got it. So, is it safe to assume that the compressor industry in In dia over the next 12 months can grow at a double digit pace, and we can also grow on par with the industry or probably even higher than that due to certain one, two, three reasons?

Jairam Varadaraj: Well, if I had a crystal ball that I could look into and read Ravi then I’ll tell you what India is going to look like, but, my traditional view of India is, sometimes it ’s like a mirage, you don ’t know it seems to be there, but then suddenly disappears. So, I don ’t like to make any comments about India, in term s of what it can, but what I can say is, what we are doing is building our capability internally that in the market we will get strong.

Moderator: Thank you. The next question is from the line of Shriram , as an Investor . Please go ahead.

Shriram: So, the compressor segment for FY 23 what would be your non -auto revenue sir?

Jairam Varadaraj: Sorry?

Shriram: For the compressor segment, what would be our non -auto contribution , non-auto sector?

Jairam Varadaraj: I don ’t like to talk about specific segment why sales of compressors , that’s too competitive information.

Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani: So, Jai, really positively surprised by the margins that you have delivered , 21% on a standalone EBITDA level . Would you believe that , we are now in a position to sustain such level of margins because the other two competitors are also from the top level, rather being MNC, margins is the first thing that comes into disc ussion in their boardroom . So, will you believe now that there is a trajectory shift o

n the margins for yourself as well as the industry ?

Jairam Varadaraj: I don 't know about the industry Bhavin, for us the last one and a half to two years was the cost , the commodity price challenge that was placed on the table got converted into a price discovery process right. Now we had to discover a price which is sustainable for us , from the cost that we were facing. So, we took a certain risk and we said we have to do it because the commodity price had gon e up, freight cost had gone up so we had to discover these prices. And fortunately, I wouldn 't say this is accidental there were latent opportunities of prices for ELGi that we were not extracting is point number o ne. Point number two, price levels in the market went up because commodity prices went up across the board. So, if you look at our competitors, global performance numbers and margins have also increased quite handsomely. Especially Ingersoll rand, if you l ook at their margins, they have done exceedingly well. Now, that doesn 't come purely just by the operational leverage. Sure, they have also grown quite significantly there's no doubt of us, managing margins at the unit level.

Bhavin Vithlani: Sure. The second question , if you could talk about the capacity utilization in general and what 's the kind of expansion that we are planning and at the end also if you could just stretch up on what's the kind of aftermarket as a percentage of the standalone and the growth that we would have seen in the last year ?

Jairam Varadaraj: So, as far as capacity utilization in our business is very hard to tell because the same capacity is used for multiple products, the manufacturing, but from a planning point of view , this is not like a process industry where you have linear expansion, there 's a step wise expansion in capacity. So, we've been making the step wise investments in our manufacturing capacity. So, we are still ahead of the curve as far as not only ours, but a lso a suppliers ability to deliver whatever growth that we have planned. So , I don 't see that as a challenge at all. As far as aftermarket is concerned, yes, India continues to do well, as far as percentage is concerned, I don 't have the number in front of me, it 's probably around 26 %, 27% of our revenue and aftermarket is also will grow in the other markets, because that 's the whole underlying logic of this business, you get your machine installed and then you derive your profit from supporting the customer and aftermarket is the opportunity. We are on track for that, margin improvement is a combination of one pricing which we have done to reflect the cost , two our own internal cost reduction proje ct that we had initiated a year and a half, two years ago. And in the year '22 -23, I would say about 40% of it kicked in that year. So, this coming year, we will have 100% of it kicking in because the projects are all done. So , this is not an accident , this is not some kind of a fluke, or a specific product mix or something like that. So, this is a sustained thing.

Moderator: Thank you . The next question is on the line of Manish Goyal from Thinkw ise Wealth Managers . Please go ahead.


Manish Goyal: Sir, I am just like a bit surprised with your commentary on Indian market that probably you could have done better. And you mentioned that you need to realign with the market . So, is it to do with the product offering or your inability to meet the growing demand or if you can a bit elaborate and probably what actions are you looking to take off?

Jairam Varadaraj: So, when Europe and America g rowing at 30 %, 40%, you get a little, angry that India is not growing at 30 %, 40%, when the whole world is talking about I ndia is the next big thing . So, you look at your own internal thing, and you need to be rightfully unhappy with what you 're performing through . Now, it 's

not because of product offerings, the product offering was a constraint, then we would have bigger problems in Europe and the US. So, product is not the issue. The point here is, there is an opportunity, we need to go after the opportunity a little bit more deeper and a little bit more intensely. So, this is really what I 'm talking about , so when you go to a large market like Europe or America when you throw the net into the water and as long as you have a good product you get a lot of fish but in a marke t like India, you need to go once you are already got a certain large share of the market. You in order for you to aspire to grow the same percentage as you are growing in Europe, which is possible then you need to be at a different level of your strategy, not your current strategy that's what I meant.

Bhavin Vithlani: Okay. Also on say CAPEX plan like if we look to grow strongly and particularly with our overseas market also growing very strongly. So, to meet the demand do you think you will probably need to kind of have a significant increase in capacity number one and number two, apart from having sales through subsidiaries are you also probably seeing a traction on direct exports from India with China Plus One or Europe Plus One strategy , how is it like and, how are we playing this?

Jairam Varadaraj: Like I said our capacity today if I have to grow 30%, I don 't need anything significant . Our entire investment, if we are talking about investing 50 , 60 crores a year in machinery that will more th an adequately take care of the growth in that percentage, but if you want to double and triple our revenue then we are talking about creating fundamental infrastructure like space, which is what we will do as part of our larger project plan, which I will t alk about sometime in the future when it is ready. So , I don 't see any huge cash demand to sustain the kind of trajectory that we want to do at the current trajectory that we are talking about . As far as we are not a China Plus One participant, because we are not supplying to anyone . We don 't want to supply compressors to some other brands. So, the China Plus One strategy is more about sourcing , we are not a source for anyone, we are the final product. So, the opportunity of a China Plus One thinking for our product in Europe or America or for that matter anywhere does not exist, because the Chinese players are not significant players in these markets. The large players in all these markets are well established strong multinational companie s or local European American Company . So, our distributor is not looking for a China Plus One option. And therefore picking our product , we are looking to say can we be an option for the established players not for some low cost player from another country .

Moderator: Thank you. The next question is from the line of Raju from Baxi & Company . Please go ahead.



Raju: Sir my question is that we have a strong engineering pedigree and do intend to leverage in the field of defense manufacturing ?

Jairam Varadaraj : No, we live , breathe and eat compressors.

Raju: Thank you. The next question is from the line of Gov ind Raj as an Individual I nvestor . Please go ahead.

Govind Raj: Sir, the Company what we are supplying where we are fitting our own motors to the compressors or it is outsource sir?

Jairam Varadaraj: Sorry, you have to speak a little slowly because I couldn't understand what your question was.

Govind Raj: Sir do we motor for this compressor, all the compressors supplied by us are fitted with our own manufactured motors or it is outsourced one?

Jairam Varadaraj: The motors that we fit like , if you would remember in my earlier calls our range of products at the moment only up to 45 kilowatts. So, all compressors up to 45 kilowatts go predominantly with motors, because some of the moto

rs required for 60 cycles are in the process of being implemented. So, India up to 45 kilowatt is with our motors , Europe most of it is beginning to become our motors. America will maybe this year will become a motor but that's only up to 45 kilowatt. And I don 't want to give you the share of how much is 45 kilowatt and below because that will be too competitive information so up to 45 kilowatt large percentage is our motors.

Govind Raj: And when we can expect that all the compressors are fitted by our own motor sir, any timeline sir what we are expecting ?

Jairam Varadaraj: Like I said this year most of compressors up to 45 kilowatt will be with our motors, our compressors 45 kilowatt. Now, we don 't have specific plans beyond 45 kilowatt yet and I don 't want to share the numbers of what we do beyond 45. So , I can 't really answer the question when we will have 100% up because we don 't have specific pla ns yet.

Govind Raj: And one more thing sir, you have informed in the opening speech that 25 crores was the onetime expenses incurred for the ERP , whether all those 25 crores has been incurred during the Q4 or it was done in the earlier three quarters als o sir?

Jairam Varadaraj: A large part of it came in Q4 but it was not exclusively .

Govind Raj: Okay. If we had excluded that our bottom line would be a bit closer ?

Jairam Varadaraj: Annual bottom line ?

Govind Raj: Yes sir.



Jairam Varadaraj: Annual profit would have been higher by the demand.

Govind Raj: Around 25 crore?

Jairam Varadaraj: 23.

Moderator: Thank you. The next question is from Vinodh Sastri from Instanomic Ventures. Please go ahead.

Vinodh Sastri: Actually, most of the questions are answered I have two , three small questions. There is a news on this European expansion for €20 million going forward , is that already done or it is going to take place by in the coming years ?

Jairam Varadaraj: The €20 million was an investment thing that we said f our years ago. And we said that will be the loss that we will incur as part of our European strategy. And because of COVID we got shifted by a year. So, this is the year when which we will start showing some positive, strong results from Europe but still i t will be a loss and we will break even next year.
Vinodh Sastri: But during Hannover the news was that ELGi is planning to invest €20 million that 's why this question has come. So, the next question would be on the railway order book are we seeing any significant improvement in the railway order book sir ?
Jairam Varadaraj: No railway continues to be as it is there 's nothing significant.
Vinodh Sastri: Okay. And the third question would be, is there further or even for this year we have some asset monet ization going in the pace what it was during the last financial year?
Jairam Varadaraj: Sorry, what was it asset?
Vinodh Sastri: Asset monetization, the selling of non -core assets ?
Jairam Varadaraj: Yes, m ost of it has been done, so maybe some residual stuff but nothing significant.
Vinodh Sastri: Okay. T hen the last part would be last time during the concall we asked for a P PT and you told you will be providing it. Will we be getting that sir, PowerPoint presentation ?
Jairam Varadaraj: So, we will work on it , we haven 't done it for this year. This thing we will definitely do it for the next one , I apologize.
Moderator: Thank you. The next question is from the line of Manish Goyal from Thinkw ise Wealth Managers . Please go ahead.
Manish Goyal: Sir when you mentioned about the coming quarter of some weaknesses , were you primarily referring to the only North European American market or it was overall India and overseas ?

Jairam Varadaraj: No, only America bec ause, I'm only giving you a cautious thing because the ERP is going on , bu

siness in flow continues to be as strong, it is only our ability to execute because the system is kind of clawing its way to the surface . So, it could happen , nothing may happen, or something may happen, I 'm just giving you that caution.
Manish Goyal: And as far as overseas sales are concerned, so most of the compressors which are sold would be sourced from India and assembled over there and sold or how is it sir?
Jairam Varadaraj: No, all the compressors are made here at the moment , 100%.
Manish Goyal: Okay, except maybe some bit of it in Rotair facility ?
Jairam Varadaraj: Those are one segment of portable machines that go into a different segment is made there where it is, the emission norms are higher, and engines made in India don 't comply with those emissions. So, it's better to buy it there in Europe where they make those engines.
Manish Goyal: And sir so when we see 20% growth on a consol idated basis in top line for FY 23, how much would it be price realization increase driven and how much would be say volume drive broadly ?
Jairam Varadaraj: Our volumes are about 5%, 6%. Exchange rate was about 4%, 5%, the price is another, I guess 7%, 8%.
Manish Goyal: Okay. And we are able to basically retain our prices, and probably not looking to kind of reduce in terms of it falling commodity prices?
Jairam Varadaraj: Commodity, we just look around you there is a data, and then there is reality . The data, everyone says, commodity prices have come down, but the reality is the other prices are going up. You look at travel , it's crazy 30% , 40% increase in travel cost , you look at hotel prices, ridiculously high. So, when all that is there the cost of doing business may, yes your steel prices may have come back to what they were before that huge escalation that happened just after COVID. But that's only half the story , the rest of the cost are high and they all get baked in somehow into your entire value, into your supply chain, not only your supply chain, but also going forward in the conduct of your business. So, there is really no opportunity for you to go and look at reducing your prices because that would be suicidal to do that.
Moderator: Thank you. The next ques tion is a follow up question from the line of Vinodh Sastri from Instanomic Ventures. Please go ahead.
Vinodh Sastri: During the last quarter, the outlook what it was given us, even if there is a strong headwinds during the FY 24 the Company will be able to manage its top line and bottom line that is what was the mar ket outlook during the Q3 of FY 23, but this time it is being little bit cautious it is just because of the America or it is a very broad -based approach ?

Jairam Varadaraj: Vinodh I am giving you a caution only for Q1 and that too because of an ERP implementation. I told you that business fundamentals continue to remain strong even in America right. The order inflow, the order book everything remains strong with what I will be presen ting to you end of Q1 is not the order book but invoicing right, so the invoic ing could be a challenge because of

ERP that's the caution I am putting on the table .
Vinodh Sastri: Because the last time it was more optimistic, but this time it is less optimistic when it comes to the market outlook that is where we just thought we will get some more clarity from you.
Jairam Varadaraj: It's how you read what I 'm saying. I 'm saying we are going to grow high double digits, we 're going to have good strong margin. Now, I don 't know what 's pessimistic about what I 'm saying .
Vinodh Sastri: No, sir I did not tell pessimistic but less optimistic sir.
Jairam Varadaraj: Okay, less optimistic means more pessimistic than before. It's all semantics , the question really is, I'm saying we 're going to have a great year, the 1st Quarter is going to be , could potentially be a challenge

of booking revenues and not business. You 've got to interpret that the right way.
I'm not saying that it is less or more pessimism.
Moderator: Thank you. The next question is from the line of Govind Raj as an Individual Investor. Please go ahead.
Govind Raj: With regard to the automotive segment, w e are growing about 5% to 6%, so sir that will be the normal growth or can wish you any improvement and business there sir?
Jairam Varadaraj: Where did you get that , we are growing 5% to 6%?
Govind Raj: I mean year -on-year on sales front.
Jairam Varadaraj: Where did you get that data?
Govind Raj: In the s egment wise results sir.
Jairam Varadaraj: Segment wise results we have not , for the quarter you are talking about, right ?
Govind Raj: Yes sir.
Jairam Varadaraj: For the quarter we have grown but the question is, it 's only one quarter now. You have to look at the annual growth.
Moderator: Thank you. Ladies and gentlemen as there are no further questions from the participants, I would now like to hand the conference back to the management for any closi ng remarks. Thank you and over to you sir .

Jairam Varadaraj: Thank you so much . Thank you everyone for taking the time off. I really appreciate your involvement , engagement, as always. So , just to if there is any lingering doubts about pessimism and optimi sm, I want to make sure that I stated very clearly, business looks good. But there could be some transactional challenges of a short term nature in Q1. And that 's the only thing that I wanted to say , I don 't want to say anything , I don 't want anybody to extend it beyond that. So, that's really what I wanted to convey. So, again, thank you and I look forward to our call after we complete our 1st Quarter . Thank you.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of Asian Markets Securities Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

# Call: Aug 2023

August 22, 202 3
National Stock Exchange of lndia Ltd.
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Through: NEAPS Through: BSE Listing Centre

Dear Sir /Madam ,

Subject: Transcript of the analyst conference call - financial results for the quarter ended June 30, 202 3
Scrip Codes: NSE - ELGIEQUIP / BSE - 522074

In continuation to our letter dated August 4, 202 3, regarding quarter ended June 30, 2023 earnings conference call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the trans cript of the analyst conference call held on Wednesday , August 16, 202 3 at 5. 00 P.M . for your information and records .

The aforesaid information is also being made available on the Company's website viz., www.elgi.com

Thanking you,

Yours faithfully ,
For Elgi Equipments Limited

S Prakash
Company Secretary
Encl.: a/a
Page 1 of 11

"ELGi Equipments Limited
Q1 FY2024 Earnings Conference Call "

August 16 , 2023

ANALYST : MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED

MANAGEMENT : DR. JAIRAM VARADARAJ – MANAGING DIRECTOR – ELG I EQUIPMENTS

ELGi Equipments Limited
August 16 , 2023

Page 2 of 11 Moderator : Ladies and gentl emen, good day and welcome to ELGi Equipments Q1 FY20 24 Results Conference Call hosted by Asian Markets Securities Private Limited . This conference may contain forward -looking statements about the company , which are based on the beliefs, opinions and expec tations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etc., whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks. As a reminder, all participant lines will be in the listen -only mode and there wi ll be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that thi s conference is being recorded. I now hand the conference over to Mr. Kamlesh Kot ak from Asian Markets Securities. Thank you and over to you , Sir.

Kamlesh Kotak : Thanks, Nirav . Good evening, everyone. We welcome you all to the 1Q FY20 24 Earnings Conference Call of ELGi Equipments Limited hosted by Asian Markets Securities. We have with us today Dr. Jairam Varadaraj - Managing Director representing the company . I now request, Mr. Jairam to take us through an overview of the quarterly results and then we shall begin the Q&A session. Over to you, Sir. Thank you.

Jairam Varadaraj : Thank you , Kamlesh . Good evening, ladies and gentlemen. I appreciate the time that you have taken to be with us on this call. I will take you through the quarter 's performance in comparison to the previous year's same quarter, Q1 of last year.

So I will first do a reconciliation at an EBITDA level and explain to you where it went right and wrong. Considering the increase in sales and a marginal increase in contribution, we should have had an EBITDA of close to 1100 million , against that we have had about 860 millio n. Primary increase has been a split actually between increase in employee cost and increase in fixed overheads. Nothing to be alarmed about. The increases have been in line with the inflation based increases around the world as well as in India as far as employee costs are concerned . As far as fixed costs are c oncerned, there are certain one time consultancy fees that we are incurring

as part of some of the projects that we are running for improving productivity as well as reducing costs. So nothing to be a larmed about. Overall , I think we have been able to maintain our margin profitability levels. I will come back and talk a little bit more on profits.

Let me first look at sales. At a consolidated level our sales has increased by 5% compared to the prior y ear. This has been a bit of a disappointment, but this is something as a

 guidance we gave during the annual investor call where we said we are going through some painful ERP implementation and integration in North America. So we lost a good part of April a nd some part of May, but we have c ome back. We came back in June. So as a consequence, we have had a setback in North America, which actually was lower by almost 25% compared to the previous year.

Other than that, let me go back as I normally do starting from Australia. Australia grew , not as much as we expected internally, but there was definite growth over the prior year. Southeast Asia was a little disappointing, but nevertheless it grew compared to previous year. India had a growth of about 12 % to 15% again could have done better, but we are working on some of the programs. Europe had a signif icant growth of almost 50 %, and our automotive equipment business grew by about 25%. So overall the growth in revenue was good in Q1 except for a few opportunities for better growth in certain r egions and except North America.

From a growth split point of view, if I exclude North America, the good thing is our volume grew by 9% and our price rea lization was about 3.5% - 4%. So t he good thing is that, if you look at the prior year, there was a big correction in pricing in the market and as a consequence , a big part of last year's growth came from price increase rather than volume, this quarter the volume has picked up, so which is a good sign overall that we are gain ing sales in real terms.

Moving on to the mix of compressors, we have by and large the same at around 45 % - 55% between India and the rest of the world , and we expect that perce ntage will pretty much continue in the near future. With this as a background, with North America coming back on stream, I would say that they are at around probably 90 % - 95% of normalcy. Considering all that, we expect that we will grow our actual performance by about another 10 % to 11% for the second quarter, we will grow compare d to the second quarter of previous year. So that is reasonable, we are reasonably confident that we will do that. On the other hand, I think our EB ITDA growth would be significantly better considering that the sales coming in from North America, North Ame rica actually posted a loss because of the significant drop in revenue, so that i s going to come back. So we are quite confident that our E BITDA for Q2 will be better than the previous year by a healthy margin and definitely better than Q1 of this year. From a profitability point of view overall I think we have done a good job at a contribution lev el. We have trimmed, we leveled out of price increases that we did last year, which was commensurate with the cost increases that were there in all the metal comm odities and freight and all that. All that has been leveled out and right now we are

confident that we can continue this level of contribution margin at a gross profit l evel to
sustain into the future, and for us as a company the last one and a half, two years was a
 challenging but also a good experience because we were able to do a discovery of pr icing in
the market for a brand called ELGI in India as well as outside . We realized that there was
stable and that we were able to get some of it back. So we exp ect this positive trend to
continue on.

As far as the c ash flow is concerned. Quarter one, we did have a positive cash flow. We
started with about 600 million as the net debt as of March and we closed with 800 million.
So we have been able to generate clo se to about 200 million of cash , which is positive. This
is not something that we are happy about, I mean, there is still room for us to be able to
reduce inventory and receivables . We should be able to continue to improve our working
capit al situation wit h better control over receivables and inventory especially.

So that i s basically the summary of our performance. As far as Cap ex is concerned, as
always our desire to spend is far greater than our capacity and capability to spend. We have
hardly spent too much. We have probably spent about 1 16 million - 115 million in the first
quarter. So we do not expect anything significant to happen.

From a business point of view, there are indications of some slowing down in Europe, some
slowing down in Australia, and India seems to be indicating of some lethargy in
finalization, hesitancy in investments. So we will have to wait and see whether it i s an ELGi
specific response or it i s a general market response, we will wait and see. We are also
archite cting, finalizin g some programs to put some special initiatives in the market in India.
We will talk more about it in the upcoming quarters whe n we have finalized it. So that i s
basically a summa ry of our performance in Q1. We a re happy to take your questi ons. Thank
you.

Moderator : Thank you very much. We will now begin the question and answer session. The first
question is from the line of Harshit Patel from Equirus Securities . Please go ahead.

Harshit Patel : Thank you very much for the opportunity. Sir, my first question is a bit of a clarification.
When you mentioned a volume growth of 9% Y -o-Y and a pricing growth of 3.5% to 4%, is
this at India level, right?

Jairam Varadaraj : No, this is at a consolidated level without North America. North America like I said was
lower than last year. So that kind of distorts the performance in Q1. So to give a clearer
picture of steady state performance I removed North America.

Harshit Patel : So Sir, what would be the breakup of this 12 % to 15% of India growth similar ly in volume
and p ricing terms?

 Jairam Varadaraj : It is very similar.

Harshit Patel : My second question is on the pr icing of our compressors in North America and Europe. Let
us say hypothetically we sell an oil lubricated or an oil free screw compressor here in India
at X r upees. What would be the similar pricing in the USA or the European market . I
understand that it would vary on the market dynamics, our positioning in that particular
market and so on and so forth, but just as a broad indicator, any ba llpark range if you c ould
give?

Jairam Varadaraj : I canno t give a specific number because the scope of the product itself is different. What we
sell in India is different in scope compared to what we sell in Europe and compared to what
we sell in the US because of local requir ement, statutory things, the product itself is not
strictly compatible. It is only the overall architecture of the product and the manufacturing
philosophy. They a re all constant , but the design is different, the cost structures are
differe nt. So it i s ver y difficult to answer that question.

Harshit Patel : Just lastly on the European expansion plan, are we on track to post a little bit of profit or
breakeven or is there any chan ge in that particular scenario?

Jairam Varadaraj : Our plan is not to break even this year. Our plan is to break even in 2024-2025 and we ar e
on track to make that happen.

Harshit Patel : Understood. Perfect, Sir. Thank you very much for answering my questions and all the best.

Moderator : Thank you. Next question is from the line of Suraj from Asian Mark et Securities. Please
go
ahead.

Suraj : Thank you for the opportunity. Sir, just want to understand how the Indian market is
panning out in terms of demand across the key categories like industrial, infra, water, etc .?

Jaira m Varadaraj : On the industrial side, there are specific verticals that are continuing to have a good enquiry

pipeline , but the conversion velocities seemed to have slowed down a bit . So that is why I said whether it i s a problem for ELGi or whether it is p eculiar to our c ustomers or is it a general market thing we will know in a month or two. As far as portable compressors are concerned, which is really going into a lot of infrastructural work like roads and dams and airports a nd general construction that h as a very strong opportunit y for us. Water well seems to be making some very preliminary indi cations of requirements, but it i s very early days. It could just flatten out. We do not know whether it is a sustainable thing.
 Suraj : On demand outlook on inter national market l ike Middle East , Europe, North America and Austr alia. Can you brief me on this?
Jairam Varadaraj : Like I explained when I was talking about sales, Australia there is a defin ite slowing down. We have grown, but we have not grown to what we thought we are go ing to grow and that is not because we have lost share , it is because overall the market is a little sluggish. The same thing seems to be in Europe as well. North America is not showing any sign of any slowing down. The drop in our North Am erica business h ad nothing to do with the market. It was more our internal ability to execute, which we are picking up and we are bringing it back to normal. So overall I would say market is there, it is growing, but nowhere near what we thought it is goin g to grow.
Suraj : Thank you.
Moderator : Thank you. Next question is from the line of Manish Goyal from Thinqwise Wealth Managers . Please go ahead.
Manish Goyal : Thank you so much, Sir. I was just trying to clarify, you mentioned that India has grown 12% to 15%. So when I look at the standalone numbers, Y-o-Y it is decline of 4%? So, I believe this includes exports from India. So when you mentioned that India is 12 % to 15% growth that is you are referring to excluding exports.
Jairam Varadaraj : Yes, it is on ly India sales. This does not include sales to subsidiaries and direct exports that are done in the standalone books.
Manish Goyal : Sir, if I even probably dwell further then on sequential basis it has declined 12%. So is it that our direct exports are als o probably slowe d down and maybe because US is undergoing ERP implementation then exports to US subsidi aries would also have gone down ? So how should we read into it?
Jairam Varadaraj : No, like I said in the first in the annual thing. We said, we are going to rain in our working capital and this is part of the program. So a big chunk of our earlier standalone sales was going to the subsidiaries and that was going at a pace which was dictated earlier when the lead times for shipment were very high and uncert ainties were the re. So we had kind of bulked up on inventory and we were continuing to bulk up based on longer lead time. But once the lead time stabilized, we really have throttled it. We a re continuing to throttle the sales to bring it back to normal lev els or the inven tory. So you will continue to see that in the second quarter as well.
 Manish Goyal : One more clarification as you were giving your opening remarks on Europe market, did you mention Europe saw a 50% growth, just maybe if you can give?
Jairam Varadaraj : Yes, almost 50 %.
Manish Goyal : Now we expect that probably some signs of slowdown in Europe and Australia .
Jairam Varadaraj : Yes.
Manish Goyal : Also you did mention that you plan to break even in FY 2024-20

25 despite the strong sales growth. So is it that we pr obably have taken a call to invest more than what earlier we would have anticip ated.
Jairam Varadaraj : No, our growth was like a hockey stick the plan . So initial periods of our entire strategic plan for Europe had lower percentages of grow th in the earlie r years and a steep increase in the growth in the subsequent years, a nd what we are seeing n ow is part of that hockey stick and we are carefully watching it and seeing how do we ensure that things stay on the rails .
Manish Goyal : You also m entioned that in Q1 North American sales were down 25% that is you are referring to Y-o-Y or the sequential numbers .
Jairam Varadaraj : Yes, year -on-year.
Manish Goyal : Thank you so much, Sir. Thanks a lot for all the clarifications .
Moderator : Thank you. N ext question is from the line of R Govindraj , an indivi dual investor. Please go ahead.
R Govindraj : My question is regarding this one time consultancy, how much was that paid out Sir?
Jairam Varadaraj : Sorry, you have to repeat your question a little slowl y.
R Govindraj : Regarding this one time consultation fee. What was the quantum pa id out, Sir?

Jairam Varadaraj : What is it? Consultation.
R Govindraj : Consultation fees?
Jairam Varadaraj : Consultation ? See, I do not have the number in front of me. I cannot give you the ex act figure.
 R Govindraj : Second is regarding that Siemens order. In the exchange trading, it was mentioned that 1200 sets of main compressors. So does it mean that once it consists of two or three compressors.
Jairam Varadaraj : Mr. Go vindraj, you have to s peak a little slowly as well as your voice is very garbled. I am not able to make out what you are saying.
R Govindraj : Sir, regarding the Siemens order wherein 1200 sets of main co mpressors are being given. That i s one set contributes two main compres sors or three main compressors.
Jairam Varadaraj : Two.
R Govindraj : And are we supplying to this Vande Bharat trains also?
Jairam Varadaraj : Yes.
R Govindraj : And how many compressors are going for each set of Vande Bharat train?
Jairam Varadar aj: That depends on the number of train sets in a train. So Vande Bharat is more like a n EMU, it is not like Siemens locomotive s, it is electrical multiple units. So it depends.
R Govindraj : And it is a set of four carts contributing in multiples of four. So each fo ur cart will have a compressor.
Jairam Varadaraj : There will be one per multiple units .
R Govindraj : About the employee cost , how much was the increase ?
Jairam Varadaraj : It wa s between 8 % to 10%.
R Govindraj : And how much in terms of revenue or still it is in d owntrend?
Jairam Varadaraj : Sorry.
R Govindraj : Raw material cost .
Jairam Varadaraj : Yes.
R Govindraj : Whether it is coming down or it is staying at that.
Jairam Varadaraj : It is pretty stable.
 R Govindraj : Thank you for your answers.
Moder ator: Thank you. Next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.
Harshit Patel : Thank you very much for the opportunity again. Just a follow up from the previous participant 's question . Could you indicate what is t he quantum of th at order from Siemens and what w ould be the execution timeline? I think it would be the same as the Siemens execution for those 12 000 HP Locos.
Jairam Varadaraj : The quantum of the value of the business is about 1900 Crores . Split between e quipmen t and a l ong-term service agreement. The service agreement is over a 35 year period, the supply of compressors is over a 12 year period.
Harshit Patel : What would be the split of this 1900 Crore s between these two elements equipment and service.
Jairam Varadaraj : We will announce that once we get the final order from Sieme

ns at that point we will disclose that.
Harshit Patel : Thank you very much.
Moderator : Thank you. Next question is from the line of Navin Vijay from NS Capital. Please go ahead .
Navin Vijay : Good e vening , Sir. In your opening remarks, you mentioned some slack in the order conversions domestically. Could you give some more color on that , I mean, in which sectors particularly or something of that sort .
Jairam Varadaraj : I do not think there i s anythin g specific to any sector. Like I said, it is across all sectors we are seeing enquiry levels are still quite strong. It is just a speed of conversion seem s to be a little slow. So I canno t blame it on or pinpoint it to any specific sector. Of course there are some sectors like textiles, which are weak and have b een weak for almost a year now.
Navin Vijay : Given that few economies are entering into a recession technically and then we are also seeing some slowdown here does that alter your gro wth projections or do you want to stay intact at least for this quarter .
Jairam Varadaraj : Definitely it wi ll affect our internal budgets that we have, which I really do not want to talk about, but we will have a challenge getting our budgets done, but we are working on

 multiple options. We still have close to 7 to 8 months to work on alternate options. As far as percentage growth is concerned, I think we were expecting to grow double digits, but probably it wi ll come down to a high single digit.
Navin Vija y: That is for t his fiscal.
Jairam Varadaraj : Sorry.
Navin Vijay : That i s for this year you are saying .
Jairam Varadaraj : Yes, for the year .
Navin Vijay : My last question is, over the long -term, where do you see the new thrust areas co ming? Where are you w orking on? Apart from the steady state business that we are carrying on now.
Jairam Varadaraj : There is no steady state for us because we have been on a strategy to grow the business globally. We have identified key markets that we want to focus on , which is Australia, Indonesia, Thailand, India, Europe and America , and we have identified the products that we want to work on. So those are the strategic t hrust area s, the market size is huge. Our presence in these markets is small , and that is r eally what we want to focus on .
Navin Vijay : Thank you, Sir. I appreciate your time and answering all these questions, Sir. Thank you very much.
Moderator : Thank you. Next question is from the line of Kamlesh Kot ak from Asian Mark et Securities. Please go ahead.
Kamlesh Kotak: Sir, just wanted to understand some more of the railway opportunity for us. Do we also have some more opportunities across, so, just if you can enlighten us about the metro and freight part of it, because there seems to be a lot of investments now.
Jairam Varadaraj : Our presence in the metro segment in our country is very small , and the reason is not because we do not have a product or our product is not c apable of functioning in it. It i s primarily because metro tenders are global tenders and almost all of them are won by global electrical multiple unit , railway unit manufacturers, and they have their suppliers in whether it is in Europe or the US or Japan or Korea . They have their own suppliers which are homologated for their supply. Now we have r eally not gone out to these OEM 's to get our compressors homologated into their units. But with the entry of the private locomotive manufacturers in India, we see an opportunity to get compressors homologated even for the


 electrical multiple units. But it i s very early days to talk anything specific about it, but the opportunity could be quite significant .
Kamlesh Ko tak: And on the freight side, Sir?
Jairam Varadaraj : On the freight side, we are quite strong. We are freight and pa

ssenger intercity, freight
intercity pa ssenge r trains we are very strong. At the moment bulk of almost 90% of the production of locomotives are by government owned locomotive manufacturers but with the entry of companies like Siemens and Alstom with whom we have good relationship with, even when the switch happens from government manufactured loc os to privately made loco s, we will continue to have our presence there.
Kamlesh Ko tak: Sure. Thanks.
Moderator : Thank you. Next question is from the line of Navin Vijay fr om N S Capital. Please go ahead.
Navin Vijay : Just a small query on the replacement cycle for the railway. How does it differ from the previous locos to the EMU s? Is it the same like every four to five y ears or is it varying now, Sir?
Jairam Varadaraj : None of the railways is four to five year s, I mean, typically compress ors last about 15 years, but there is a lot of maintenance and service and overhaul that hap pens during that 15 year cycle.
Navin Vijay : Got it. Thank you, Sir.
Moderator : Thank you. As there are no further questions, I will no w hand the conference over to the management for closing comments. Sir would you like to make any closing comments.
Jairam Varadaraj : No, thank you. I appreciate as always the patience and time that all of you have taken. S o, I look forward to a better sec ond quarter and I look forward to speaking with you at the end of that. Thank you.
Moderator : Thank you very much. On behalf of Asian Market Securities Private Limited, that concludes this conference. Thank you for joining us. You may now di sconnect your l ines. Thank you.

# Call: Nov 2024

November 12, 2024
National Stock Exchange of India Ltd.
Exchange Plaza
C-1, Block G Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Through: NEAPS Through: BSE Listing Centre

Dear Sir/Madam,

Subject: Transcript of the analyst conference meet - financial results for the quarter ended September 30, 2024

NSE Scrip Code : ELGIEQUIP / BSE Scrip Code : 522074

In continuation to our letter dated October 22, 2024, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analyst Conference Meet held on Tuesday, November 12, 2024, at 10.30 AM (IST).

The aforesaid information is also being made available on the Company's website viz., www.elgi.com .

Thanking you

Yours faithfully,
For Elgi Equipments Limited

Devika Sathyanarayana
Company Secretary and Compliance Officer

Encl.: a/a

# Call: Feb 2025

February 14, 2025
National Stock Exchange of India Ltd.
Exchange Plaza
C-1, Block G Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Through: NEAPS Through: BSE Listing Centre

Dear Sir /Madam ,

Subject: Transcript of the analyst conference meet - financial results for the quarter ended December 31, 202 4

NSE Scrip Code : ELGIEQUIP / BSE Scrip Code : 522074

In continuation to our letter s dated January 21, 2025 and February 11, 2025 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analyst Conference Meet held on Tuesday, February 11, 202 5, at 10.00 AM (IST) .

The aforesaid information is also being made available on the Company’s website viz., www.elgi.com .

Thanking you

Yours faithfully,
For Elgi Equipments Limited

Devika Sathyanarayana
Company Secretary and Compliance Officer

Encl.: a/a

Q3 2024-25 – EARNINGS CALL

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR.
MODERATOR: MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED

MODERATOR: Welcome to ELGI Equipments 3Q&FY25, 9 months earnings call hosted by Asian Market Securi ■es. We have pleasure invi ■ng Mr. Jairam Varadaraj, Managing Director represen■ng the company. I request Mr. Jairam to take us to the presenta ■on giving an overview of the ■nancial performance and then we shall begin the Q and A session. Over to you, sir. Thank you.
MANAGEMENT: Thank you, Kamlesh. Good morning everyone. Pleasure to be with you. I will spend the ■rst few moments reconciling our performance rela ■ve to the past year and then give you a general overview of the business and then open it up for ques ■ons. So, let me go straight into the EBITDA reconcilia ■on for the third quarter of the current year. So , it looks like it's a disappoin ■ng quarter, but I would like to explain this to you. There's been a large increase in ■xed cost to the extent of 15% and that's primarily one- ■me expenses. There was an increase in transport costs because of the Red Sea problems and all that, but they are beginning to taper o■. So, I don't expect that to be a con ■nuing issue. We had some issues with warranty provisioning. It is also one ■me. So, most of the increases that we are talking about are one ■me. So that's one part of it. So, I'm quite con■dent that going forward we will be reasonably good as far as the sales growth is concerned, we lost a bit of revenue because the GST portal went down in the last 4, 5 days of December. So, we lost a bit of revenue and the cuto■, we couldn't. We had the invoices ready but we couldn't ship. And as a consequence the revenue fell over to January. In addi ■on to that, we had some sluggish performance in portables across the world. Waterville in India as well as the portable business in Europe, Australia and the US Par ■cularly in the US we had a steep fall in the portable business in the third quarter compared to the third quarter of last year. So we are.

The growth in our fundamental businesses have been quite posi ■ve. So, this is not any concern for me at this point in ■me. Moving forward, just as a sales highlight, we have grown in every region, I would say even North America, because North America had the portable losses because of. And the portable business. It's an infrastructure issue and over-all the markets are down by almost 40, 45%. So, the industrial business in North America has done well. It's grown. And our distribu■on business, which had i ssues because of our ERP, it's, we are well past that. It's behind us and it's beginning to grow. So, all the regions have grown except Australia where the markets are quite sluggish at the moment. Moving on. So, this is

a snapshot. Revenue has grown by 3%
whereas our PBT is lower for the reasons that I explained to you.
Compressors con ■nue to remain the largest. The ra ■o between automo ■ve and compressors remains the almost the same. Similarly, India versus the rest of the world, the split in our compressor business remains almost the same. So, if you look at the consolidated ■nancials, the PAT is be■er than last year. I mean, sorry, slightly lower than last year, but year to date we are s ■ll be■er than last year. And we hope and we are very con■dent that we will have a very strong fourth quarter. Moving on. Our cas h posi■on has been extremely strong this quarter and it will con■nue to grow. We have got put, we have put some very strong controls over our working capital, primarily our inventory which went a li ■le out of control post the COVID Post the Red Sea issues. There was a lot of chaos.
We couldn't get the right ra ■os of inventory planning. All that is now beginning to get reined in. So, we expect in the third quarter, I mean the fourth quarter, the cash posi ■on would be even be■er. I would like to talk about two developments in the company which are pre ■y signi■cant and then we'll open up for ques ■ons. One is a revolu ■onary new tec hnology that we have launched. We hope the products will start coming out to the market within the month India and within the next six months globally. So, this is a revolu ■onary technology, and I will try my best to explain it in as simple terms as possible. So, if you look at a typical compressed air system, on the le■-hand side you see the compressor and the pressure vessel that acts as a bu■er.
And on the right-hand side you see various user equipments that have di■erent levels of demand. You know, just visualize, it's like a air condi ■oner. When more people are in the room, the air condi■oner comes on and when the temperature starts dropping, that air condi ■oner cuts o■. So, it's very similar to compressed air. Various equipments will come on and o■ in terms of the demand for air compressor. So, this is how it typically works. So, what happens when you have a ■xed speed compressor? The demand will ■uctuate like this. So, the machine will cut in, cut out, cut in and cut out. So, this causes a lot of instability that has an impact on the energy e■ciency of the compressor as well as the quality of the machine.
So today we supply a compressor with a variable frequency drive which is like an inverter the inverter, AC's. But that also is not without its own instability. It does have instability because it speeds up and speeds down, but more importantly, it's 30% more expensive. And there are reliability issues on the electrical. So, what have we done? Our technology is pre ■y simple, but very deep at a science level. We recirculate the air and recover. So, what happens is the compressor works constantly at the same speed, but the demand, the ■ow to the customer or the end applica ■on varies depending upon what the actual demand is. So , this is the real innova■ve part of it.
And, and this is accomplished by having a system which has two valves and our own controller that controls these valves where we recover excess air which is not required and recirculate it into the system. Thereby we save a lot of energy, and the machine is stable. So, the net result of that. Right. So, if you look at a ■xed speed compressor, a compressor with VFD and what we call as our stabilizer, if you see it, there is absolutely ■at opera ■on. The reliability and the energy e■ciency goes up pre ■y signi■cantly. So , this is an actual ■eld condi ■on where we had installed the machine. These were the kinds of hourly ■uctua ■ons that were happening before we installed our system. And this is the ■at thing that happened a ■er we installed with this par ■cular customer. So, this is the tes■monial from the customer which is pre ■y drama■c.
So, the customer is saving close to 4 lakh

s and this compressor itself is going, it'll cost maybe
about 7 and a half lakhs. So, in two years with just this device, the customer will get the money back on the en ■re compressor in two years' ■me. And so, this is quite a powerful technology that we have launched. The second one is we've been talking about the lower ■er, low-cost compressors coming from China and our plan to develop it. We have developed a range of machines and in the next ■nancial year we will be launching them. They are far more reliable than the Chinese machines and extremely compe ■■ve from a cost point of view and far be ■er in performance in terms of e■ciency. So, these two changes and shi ■s in product and technology is going to be a pre ■y signi■cant game changer for us.
So I wanted to share these two before we open up for ques ■ons. So thank you again for your pa■ence. Thank you very much for being present. Now we can talk about any ques ■ons that you may have.

MODERATOR: Sure. Thank you. Jayaram Sir. Par ■cipants, please use the raise hand op ■on or you may drop your ques ■on in the Q and A box. We'll wait for the queue to assemble for a couple of minutes and then we'll probably take the ■rst ques ■on.

MODERATOR: So, ■rst ques ■on we have is from the line of Mr. Harshit Patel. Harshit, you may unmute yourself and go ahead with your ques ■on.

HARSHIT PATEL: Hi, thank you very much for the opportunity, sir. So, my ■rst ques ■on is on our US and Europe markets. I think despite the macroeconomic challenges in Europe, we have s ■ll posted a very decent top line growth over there. So what is enabling this? And second, are we on track to break even in both these geographies in FY26? I think Europe we will break even for the ■rst ■me in this new expansion plan and were supposed to again turn pro■table in the North American market. So, if you could update us on this please.

MANAGEMENT: So Harshit, thank you so much for the ques ■on. Yes, the economy in Europe has been challenging for a long ■me but things are slowly, I think it hit the bo ■om and it's slowly coming back. That's one reason why we are growing. The second reason is we have created a lot more focus in our go to market. There is very deliberate ac ■ons being taken to iden ■fy very strong distributors. We have brought poten ■al channel partners to our plant, showed them what we are capable of doing. So, there has been overall deliberate steps that we have been, we are doing and we will con ■nue to do to grow the business, grow our share in the business. So that's one part of what, that's the reason why we are growing. Yes, we are on our on track to break even this year. So, I'm not very concerned about it. It was a concern last year, but this year I'm not concerned about it. As far as North America is concerned, like I explained to you, all our businesses are doing well in terms of growth and pro■tability except our portable business. Now the portable business is a very infrastructure related. It's extremely cyclical. If you look at it two years ago, last year and the year before, we had some record revenues in our portable business. And as a consequence, both Rotair, which is a supplier for our portable business in the US and the US portable business did exceedingly well. Now the market is down about 30, 40%. So correspondingly our revenues have come down too. So that barring that, I think all our businesses are doing well.

HARSHIT PATEL: So, sir this portables business in the North America, what percentage of our North American revenues it would be.

MANAGEMENT: Portable business would be in a peak ■me was close to, let me guess, trying to think close to about 20%, 15 to 20% of our revenue and today it is probably less than 10.

HARSHIT PATEL: Understood. But then combining all three businesses, portables, distribu ■on as well as industrials in US we will s ■ll make some pro■ts this year. Would that be right? Understanding?

MANAGEMENT: No, we wi

ll probably just break even.

HARSHIT PATEL: Okay, so my second ques■on is, could you highlight how our market share has progressed in various categories in the domes ■c market in the last three to four years? So how in reciproca ■ng screw, both oil free as well as oil lubricated and centrifugal. So , which are the categories where we have gained over the compe ■■on, where we are stable and if at all we have seeded some ground in some of the categories. So, if you could highlight all these aspects, that will be very helpful.

MANAGEMENT: So, I don't want to give very speci■c numbers, but I can give you direc ■onally something. As far as Recipe is concerned, it is a very commodi ■zed business. So , we have not increased any share, nor have we lost anything. So, we are just kind of holding our share in that business. But there is a huge number of unorganized players. When we are really evalua ■ng what our strategy should be to be able to get and be a signi■cant player, then we are not ready yet. As far as the screw compressor mar ket is concerned, if you take the bo ■om ■er, which is really the very low-cost imports from Chinese, if you exclude that our market share has grown here this year, if you include that in the total market, our market share actually has dropped.

MANAGEMENT: Right now with the new product that we are bringing in, we will be able to enter the bo■om of the pyramid and we will be able to grow our share of the overall business. Oil free. We con■nue to hold our share india Centrifugal, we are hardly a signi■cant player.

HARSHIT PATEL: I believe we had a ■e up with the Korean company and our machines were in the ■eld tes ■ng. So, any progress on that by when we can expect launching our own machines in this area

MANAGEMENT: Strategically launching our own machine is not a priority. We have other products like vacuum that we are focusing on. Once we are able to, once we get to the ■nish up the other priori ■es, we'll get there. In the mean ■me, we will con ■nue to partner with Hanwha.

HARSHIT PATEL: Understood, perfect. Thank you very much sir for answering all my ques ■ons and I'll get back in there.

MODERATOR: Thank you Harshit. S ir, next ques ■on. Next ques ■on is from the line of Mr. Chaitanya. Chaitanya, you may unmute yourself and go ahead with your ques ■on.

CHAITANYA: Hello. Thank you, sir. Good morning. My ques■on is on the. Am I audible?

MODERATOR: Yeah, you are audible?

CHAITANYA: Yeah. Okay, so my ques ■on is on the a ■er-sales market share, I think 15%, if my

numbers are correct, 15% to 20% of our business is from the a ■er sales business that we provide. So, any indica ■on on when are we expec ■ng to increase that, if at all? And I think margin also in that front will be helpful.
MANAGEMENT: So, our a■er-share a■ermarket share India is quite healthy. There is opportunity for maybe a couple of more percentage growth so that we con ■nue to do our a ■ermarket percentage outside of India is as a percentage is very low. And that's normal because a ■ermarket as a percentage of revenue grows only when your installed base becomes a certain size. And we are beginning to build that size, and we are growing the a ■ermarket year on year. But you will not see that 30%, 35% ■ll such ■me the install base has become qui te large.
CHAITANYA: So, any indica ■on on when that can happen for like three to ■ve years down the road.
MANAGEMENT: So, you can't predict it because you have to look at growth of market share of the product. Right, okay. And it will con ■nue to grow along with that.
CHAITANYA: Okay, got it. Also, in the recent one of the ar ■cle, I read that you guys are targe ■ng to be one of the top three players in the world by the next 10 years. So, what our strategy in that terms that any par ■cular product focus as we all know that on the R &D friend, ELGi is very high and very focused. But on that front also if any roadmap, sort of what are the though

ts in terms
of the increasing that market share?
MANAGEMENT: So, you know our strategy is on products and markets. We are focusing on lubricated pistons, lubricated screw and oil free screw as strategic focus for growing the business. And we are focusing on key geographies which is Australia, Indonesia, Thailand, India, Europe and the US or North America. So, these are the markets where we are strategically focusing. What we mean by that is dispropor ■onately alloca ■ng our ■me and resources in these markets for these three product categories. So that's really our strategy. So, if you look at our investment in technology, what I just explained to you, both the products, both the technologies and both the technology as well as the product, it is pertaining to rotary screw compressors.
MANAGEMENT: So, if you look at the markets that we are talking about and the products that we are talking about, they will cons ■tute close to 60% of the overall opportunity worldwide. Right. So that's a pre ■y-signi■cant opportunity and we are focused on that.
CHAITANYA: Got it, Got it. Thanks. Also, is there any impact of the new tari■ region that's going on in the US if at all, are we in any kind exposed. Exposed to that par ■cular event that's going on?
MANAGEMENT: Sorry, I didn't get your ques ■on.
CHAITANYA: The Current U. S. Administra ■on. A■er coming up to Trump, there has been an increase in a tari■ across the, you know, mul ■ple industries on. So , are we as an industry or company, do we fall in that par ■cular category in any way as of now.
MANAGEMENT: Even during the earlier regime, Trump regime, when there were du ■es imposed, compressors were not in that category. So, we don't expect it. So even if it comes, those are business challenges. Those are not going to be game changers, yeah.
CHAITANYA: Got it. Understood.
MANAGEMENT: So, we got to understand something. Even if 10% there is a tari■ increase, our rupee has depreciated by 10% as well. Right. It's not a one-sided kind of a thing. It's a larger, you know, mul ■ple factors involved. Yeah.
CHAITANYA: Okay, got it. Thank you. Thank you so much for taking my ques ■on.
MANAGEMENT: Thank you.
MODERATOR: Thank you. Chaitanya, Next ques ■on we have is from the line of Ritvik. Hi Ritvik, you may go ahead with your ques ■on.
RITVIK: Yeah. Hi, Good morning sir. Yeah, so a few ques ■ons. So ■rstly , you men■oned one o■ expenses in Q3. Rs. 4 crores and 18 crores. So safe to say that majority of this is non-recurring.
MANAGEMENT: Yes. So, I said transport is one area where there was a signi■cant increase primarily because were catching up on some inventory shor ■alls and as a concept and combined with that Red Sea related increase in transport costs. But they are coming down and with our cu■ng back on our inventory down to normal levels, our shipments also are going to be less. So , I don't expect that to con ■nue. Rick, I told you warranty provisioning was done. That is a accoun■ng provisioning that had to be done. So that is there and a few other things that are all one ■me nothing that is of signi■cance.
RITVIK: All right, got it, thank you. And the second ques ■on is on the stabilizer opportunity that you men■oned. You know, is there any product like this in the market or this is an innova ■on by.
MANAGEMENT: It's nothing. This is the ■rst ■me we've got a patent which is global.
RITVIK: Wow. Okay. So globally there is no products like this.
MANAGEMENT: No.
RITVIK: Okay. And you men ■oned that there will be savings of 4 lakhs per annum. So that would be on the power cost, or the complete savings would be on the power cost.
MANAGEMENT: This is purely power cost. But there are a whole host of other savings that are there. We have not really listed that out, but this is something that the customers actually experienced.

RITVIK: Okay. And how many pilot tes ■ng you would have done for this?
MANAGEMENT: So, far we've done a few hun

dred machines and plus few thousands of hours in
our own factory.
RITVIK: Got it. And what would be the cost of this stabilizer.
MANAGEMENT: I don't want to talk speci■cs but let's say if the variable frequency drive is 100,
this will be ■ve.
RITVIK: Okay. And sorry, just few ques ■ons on this. So , can we sell the stabilizer to our exis ■ng
installed base?
MANAGEMENT: Yes, there are two versions of the stabilizer. There is a light version and a heavy
version. The heavy version has to be ■ ■ed from the factory , but we can give a kit for retro■tment.
Whereas a light version can be ■ ■ed on the ■eld as well. And the light version can be ■ ■ed even
in compe ■tors.
RITVIK: Okay. Oh wow. Okay. So, sir, what kind of opportunity opens up and you know what is.
MANAGEMENT: Hello?
RITVIK: Yes, Am I audible?
MANAGEMENT: Hello?
RITVIK: Yeah, am I audible?
MANAGEMENT: Sir? Ritvik?
RITVIK: Yeah sir, am I audible?
RITVIK: Kamlesh, can you hear me?
MODERATOR: Jairam. Sir, we can hear you. We can hear Ritwik as well.
MODERATOR: Hello? Go ahead sir, we can hear you.
RITVIK: Yeah, Sir, I can hear you. Can you. Are you able to hear me?
MANAGEMENT: Hello? Hello?
RITVIK: Sir, you can hear me?
MODERATOR: Yeah, yeah, he can hear you.
MODERATOR: Yeah, yeah, go ahead. Yeah, yeah. So.
RITVIK: So, when we are taking this product.
MANAGEMENT: Can you hear me?
MODERATOR: I think there is some problem with your audio.
MODERATOR: I think. Hello? Hello? Hello, can you hear me? Yes sir, we can hear.
MODERATOR: Yes sir. Yes sir. Yeah.
MANAGEMENT: Sorry. Yeah,
RITVIK: Yeah. So on this stabilizer, when we are taking it to the customer, what kind of feedback
are we ge ■ng in terms of installa ■on and what kind of conversions are we seeing?
MANAGEMENT: No, not we like we just launched a technology Ritvik. We haven't got the product
out on a regular basis. Like I said, within the next one month is when we'll be pu ■ng it into the
■eld.
RITVIK: Okay, so what kind of market opportunity size this opens up? Because you men ■oned 6,
7 Lakhs.
MANAGEMENT: So right now if you look at it, 25 to 30%. In India, I'm speaking 25 to 30% of the
compressors are VFT. 65 to 70% of the customers want the advantages or the energy saving of a
VFT. But they don't want to make that investment because they have to spend 30% more. Now
that en■re 75% is a huge opportunity for us to present signi■cant savings in energy cost. Right ?
Where you recover the cost of the compressor itself. Not just the investment in the device, the
cost of the compressor itself. You get back in a couple of years. So that's huge. Yeah, right.
RITVIK: Right. This. This is interes ■ng. Okay sir, I have few more ques ■ons. I'll get back in the
queue. Yeah, thank you sir.
MODERATOR: Yeah. So next ques ■on we have is from the line of Manish, you can unmute yourself
and go ahead with your ques ■on. Manish.
MANISH: Yeah. Yes, very good morning, sir. Hope you're doing well.
MANAGEMENT: I'm well, thank you.
MANISH: Yes, a couple of ques ■ons ■rst on the low -end compressor, which you were referring to,
which probably is seeing a lot of compe ■■on or a lot of inputs from China. If you can just provide
perspec■ve as to what could be the size in terms of volume and the value which probably is
ge■ng disrupted in terms of market opportuni ■es.
MANAGEMENT: So, we believe that the total market size at the low end from the Chinese is about
6 to 7,000 machines a year India. Yeah. And the market, the volume, the value wise, it's very
di■cult to make an es ■mate. But roughly I would say it's about, each machine is probably around
2 and a half, 3 less. So about 200 crores is the size of that market. Right. We're not playing in that
market. Yeah. So, for us to aspire to get 50, 60 crores is not unrealis ■c. Yeah. So that's only one
part of the story. T he other part of the story is there is a general shi ■ globally for low kilowa ■s
machines. This, you kn

ow what I'm talking about, this, 6,000 machines that are coming into India
are all low kilowa■s. They are not the high kilowa ■ machines. They're all lower than 30, 37 kilowa■ in that, it's in that range. But we are also seeing a global pa ■ern of customers wan ■ng to shi■ to lower kilowa ■ on lower kilowa ■ machines to cheaper machines. Not really worried about energy e■ciency. Now these are all low duty cycle applica ■ons where customers don't want to pay a premium. Now this product that we have made is a global product. It is not just an India product. The cer ■■ca■ons, the standards, this can be sold anywhere in the world. So we are building a much larger opportunity for the future.
MANISH: So how cheap would it be? Like say today if you would have a product and if China, if there are inputs from China, how cheaper would it be? And in terms of performance wise also that also ma ■ers.
MANAGEMENT: From a cost point of view, it's about 40, 45% lower cost. And from a performance point of view, it's about 15 lower in speci■c e■ciency.
MANISH: Right. And, and in I ndia, like typically where would this applica ■on, you did men ■on that low duty cycle applica ■on, but in typically like which industries or which market it cuts across.
MANAGEMENT: It cuts across all. It is not speci■c to certain industry. Let's say there is a, you typically, if you look at it, a spinning mill, which is large, 25,000, 30,000, 50,000 spindles will look for e■cient machine. But let's say there is a spinning unit which has got 4,000 or 5,000 spindles. Right. They are, they are more capital start. And they are not worried about this addi ■onal cost of energy because their overall cost is low, because it's only 5,000. So, it's not just one industry, but it cuts across certain. A characteris ■c segment across all industries. Yeah.
MANISH: Okay. Okay. And sir, on our new product, on the stabilizer, like what. What could be say, like if exis ■ng machine, exis ■ng compressors need to get retro■ ■ed. And so, what could be like ■me involved and poten ■al cost incurred for. And what would be the down ■me? So, is it worth for that someone who's opera ■ng on a daily basis to properly take this retro■ ■ment and do it? That was the ■rst ques ■on. And like, what would be the poten ■ally market opportunity you see for you in next three to four years?
MANAGEMENT: So, in terms of retro■ ■ng in the ■eld, it's only a few hours. It won't take more than that. Yeah, I'm talking about retro■ ■ng the heavy version, which means there is a big signi■cant removal of our errand and ■tment of a new errand. Right. So that's a few hours of work. So, it's not a big down ■me. The retro■ ■ng of the light version will be probably less than an hour. Right. So that's from a down ■me point of view. From a cost point of view, it depends on the size of the machine. Right. Smaller the machine, lesser the cost, larger the machine, more the cost. So, I don't have one number to give you. It says this will be the cost. So if it's a 22 kilowa ■ will be di■erent, 45 kilowa ■ will be di■erent. But the point here that you need to understand is for a new machine, the, compared to a VFT, if VFT costs 100 more, this will cost 5 for a new applica■on across this. This logic applies for all kilowa ■s. But for retro■t, you can't apply the same logic because we are removing a big par t of one part of the compressor and ■ ■ng another one. Yeah. And as far as the opportunity is concerned, like I said, if you take a total market size of 30,000 or 35,000 compressors, india, only 7, only 25% are VFT. Right. So so close to 22, 23,000 machines are running without VFT because the customer doesn't want to pay that money for the addi■onal money, which is 30% of the cost of the compressor. Now what we are going to give is a frac■on of the cost. But the same func ■onality. Not only the same fun c■onality but a reliability factor which is night and day di■erence di■erent. Y

eah.
MANISH: Okay.
MANAGEMENT: So, this is a huge value proposi ■on for the customer.
MANISH: And sir, on other expenses. Sorry, I probably missed that earlier. This Rs. 4 crores was pertaining to freight one ■me and 18 crores was for warranty. Am I right?
MANAGEMENT: It is what Transport is about 5 crores and warranty is about 2 crores. Yeah.
MANISH: Oh okay.
MANAGEMENT: Then there is a whole host of small things like building repair and maintenance which are all. You know, it is a ■ming issue. Right. It's not something that is going to get repeated. You know.
MANISH: And you did men ■on in your ini ■al remarks just last month this would be the. Yeah.
MODERATOR: Manish. This would be your l ast ques■on.
MANISH: Sure, I'll come back. Yeah. How much sales we would have missed because of down ■me of the GST portal?
MANAGEMENT: It has lost about, I think about 150 million. 15 crores.
MANISH: Okay. Okay. Thank you sir. I'll come back.
MODERATOR: Thank you. Manish, next ques ■on we have is from the line of Mr. Bhavin Vetlani Bhavin. You may unmute yourself and go ahead with your ques ■on.
BHAVIN: Good morning, Jay.
MANAGEMENT: Hi Bhavin, how are you?
BHAVIN: Very well, thank you. Hope all well at your end?
MANAGEMENT: All good, thank you.
BHAVIN: So this ques ■on is more on the India market and were just adding the revenues of all

the India players and ELGi India revenue and we saw from 2019 to now it's gone up from about 6 or thousand crores to 11,000 crores. This includes services. What I want to understand is some of the market internals. How are you seeing the share of oil free move up within that, how has ELGi moved up in terms of market share for the oil free? How has the centrifugal move up and within that, how has ELGi moved up in centrifugal? Because I think the Chinese is something whereas you come as your company graduates, I think that's something you'll have to leave it and the focus has to be in the higher margin products like oil free centrifugal, etc. So just want to get the perspec■ve a li■le bit on the higher level on the market size and how is ELGi been able to capture incremental market on a slightly longer last ■ve-year basis.
MANAGEMENT: So let me take it category wise. So, if you look at oil lubricated screw, let me start there. Oil lubricated screw compressors, there are two segments, the premium segment and then there is the discount segment where the Chinese are playing now. If you take the combined market share, we have lost market but primarily because of the low end in the premium segment we have held our market share. But in this year, we have grown it. Right. And we hope that we are con■dent that we will con ■nue to grow it in the coming years. Not only because of our new technologies that I talked about a stabilizer but also because our enhanced go to market presence and strategy. So that's on the lubricated stu■. Now in the lubricated stu■ we believe we have a lot of depth in exper ■se of compressors. So, we can't just say oh, the Chinese are coming in with cheap machines and therefore we should vacate that space. We need to use our technology and our capability to come up with a product which at a quality level is at an ELGi standard. But from a price point of view to a customer's expecta ■on, from a Chinese machine performance also to ELGi standard. Now it took us about a year and a half to engineer that solu ■on. Now when we engineer it, we have the ability and the right to win in the segment. So, we're not going to vacate that and run away. Yeah. So that's on the lubricated screw on the oil free. In the last ■ve years the market has grown. Our share of the market is growing. Absolutely, it is growing.
MANAGEMENT: So, I'm very con■dent that our presence compared to ■ve years ago, we have a much more stronger presence and a growing presence in that sector. Centrifugal, like I explained it is not. We are represen ■ng Hanwha and you know,

there are challenges on deliver y, there are
challenges on pricing. To the extent that we are able to meet the customer's requirement on pricing and delivery, we are able to play in some way. So strategically we are not there in that market. Besides that, compared to the rest, the oil free and the oil lubricated screw, that's a rela■vely small market. So , we'll get that but one step at a ■me.
BHAVIN: I just a follow up. I think we had the product related challenges earlier on the water well which we have now been able to mi ■gate. So, I mean if you along with that. So, we just want to Understand how has ELGi's market share moved up? Because in our view it has moved up. We want to understand whether we are correct or not because the gaps in the water well and in the oil free segments that you have bridged the market share, let's say ■ve years ago versus today and how do you see it going forward.
MANAGEMENT: In water well? See, water well is a cyclical business, like right now last year was a phenomenal year. This year is a down year right now. Our share of the market con ■nues to grow but the size of the business goes up and down depending on the cyclicality of that segment. Net net. If I have to average out what is our share of the market it's somewhere around 40%. Right. We think that's where our share of the market is. Is there an opportunity to grow that? Yes. But you know it's going to the in terms of the impact on our business it's going to be incremental because of overall marketers has shrunk at the moment. Oil fee, like I explained to you Bhavin. It's. It's. We are growing market a s long as it con ■nues to grow we will grow and we have some exci■ng products there as well. We. It's too early to talk about it. Once we have that then our ability to win more also goes up.
BHAVIN: Yeah, sure. Just last ques ■on on. Given the way we have seen the budget and the overall when you talk to your customer side on a three-year basis, if you were to hazard a guess on the growth in the domes ■c market, what would that be?
MANAGEMENT: I will talk about steady state as well as the non-steady state. On a steady state basis we should be able to in the current circumstances, current market condi ■ons, anywhere between 9 to 10% growth is possible with the introduc ■on of our stabilizer technology and the low end market product. I think adding another 3, 4 percentage points to that growth is not unrealis■c.
BHAVIN: Yeah. Yeah. Thank you so much, Jay . Thank you so much for taking my ques ■ons.
MANAGEMENT: Okay
MODERATOR: Next ques ■on we have is from the line of Mr. Vipul Kumar Shah. Vipul, You may unmute yourself and go ahead with your ques ■on. Vipul, I think there's some technical error at Vipul?
MANAGEMENT: Hello.
MODERATOR: Next ques ■on we have is from the line of Mr. Amit Anwani. Amit, you may please go ahead with your ques■on.
AMIT: Hi sir, I'm audible.

MANAGEMENT: Yes.

AMIT: Thanks for taking my ques ■on. My ■rst ques ■on is on the low -end product which you highlighted and you said both the products incrementally can bring 3,4% extra growth. Wanted to understand this low-end Chinese product, are we going to cater to the US market? Is there any Chinese impor ■ng low end there and are we not going to face any compe ■■on because I understand, I think Kirloskar also talked about kind of low-end product. Correct me if I'm wrong. Is there a comparison between these two products and which speci■c markets we are ■rst going to target?

MANAGEMENT: So, our ■rst target is the Indian market because that's really where we are seeing a signi■cant presence or in■ux of the Chinese machines. So that will be our focus. But we also, but the product is ready to be sold in most of the 50 cycles market. As far as the 60 cycles which the US right now we don't see as much of that behavior in the US market as we are seeing let's say in Australia, in Southeast Asia and probably in some markets in

Europe. So, we will, we'll take a measured progression but India will be our ■rst focus.

AMIT: Sure. Second on Europe you highlighted we're expec ■ng a turnaround. Any further investment required there. If you could highlight us with respect to kind of manpower distribu ■on or any other aspect where we'll be doing more capex in Europe and what could be the peak revenue we are targe ■ng from Europe in next two, three years.

MANAGEMENT: Yeah, so we're not see this Europe was an incuba ■on that started six years ago. We invested up front and we declared that we are going to, we have completed all that so we have gained trac ■on in the market. Now it's a ■me to produce pro■ts. Right. And we will begin to see that from the next ■nancial year onwards. In terms of growth, I would say low double digit is what is possible. But with these new products that we have we could realis ■cally expect a lot more.

AMIT: Sure Sir, thanks for taking my ques ■ons. Thanks.

MODERATOR: Next ques ■on, we'll have it from the line of. Manish. Manish, you may unmute yourself and go ahead with your ques ■on.

MANISH: Yeah, thank you so much sir. On, on con ■nuing on the Europe opera ■ons and probably when I'm looking at last year's annual report so the subsidy level at Belgium was probably a loss of nearly 50 crores. So, when we are talking of breakeven sir, are we probably looking at EBITDA level breakeven or PAT level breakeven and do you expect that pat level losses to come down? And similar observa ■ons were for even our US opera ■ons where if you probably look at all the two, three en ■■es we had reported pat loss. So just if you can clarify on both aspects.

MANAGEMENT: So, our breakeven is at an EBITDA level Manish. Now the only reason why we have a part level loss in Europe is because of the interest cost that was there. And today with ■ghter controls over our working capital we expect progressive reduc ■on one hand cash genera■on and on the other hand progressive reduc ■on in our working capital. Net, net the capital employed will start coming down and therefore the interest is going to come down as well. The same thing with the US Right. If you look at it, we have a huge portable inventory because we expected the market to con ■nue but it just kind of nosedive d, all of a sudden. So, we have that inventory that was shipped from rotor. So, all that is ge ■ng ■ghtened now and we have capital employed because of that for which we're paying interest. And the US interest rates are pre■y high compared to Europe. So all this will come down.

MANISH: Okay, so. So okay. This only factor which is probably. But sir, that amount doesn't seem to be quite large in terms of the interest outgo. If you probably look at. If I probably look at your consolidated interest ou ■low which probably 9 months is just 22 crores and where is the bad loss?

MANAGEMENT: Manish, consolidated you are. We are earning interest India. Please remember that we have surplus cash I ndia and we are earning interest in the treasury opera ■on.

MANISH: But that is anyways re■ected in other income sir, which is 41 crores in nine months and interest expense is 22 crores. So, I am just. Maybe if you can clarify that interest expense is net of the income or.

MANAGEMENT: I. I need to get back to you. I. I don't have those numbers in front of me. You can take it o■ine.

MANISH: Because even in the ■rst nine months of the current year probably we see that at EBITDA level there is probably a slight decline in the margins for our interna ■onal opera ■ons on a roughcut calcula ■ons. But probably at pat level it is a very marginal pro■t. So just wanted to get your perspec ■ve as to how should we get.

MANAGEMENT: Maybe we'll take that o■ine and we can give you the details for this.

MANISH: Thank you. Thank you so much. Thank you so much.

MODERATOR: Par■cipants, if there are any other ques ■ons you may please use your raise and op■on.

MANAGEMENT: The

re was one person, Salil, who had raised his hand, but I don't know whether
he has disappeared.
MODERATOR: Yes Sir. So, I couldn't see his hand up again and that's the reason I had to.
MANAGEMENT: Okay. And Vipul of course con ■nues to have his hands up.
MANISH: Can I ask one or two more ques ■ons?
MANAGEMENT: Oh sure.
MODERATOR: One second Manish. We'll just check with the Vipul in case if his line is audible. Otherwise, we'll allow you to ask. Do you have a ques ■on to ask to Mr. Ja iram? You may unmute yourself and go ahead with the ques ■on. I don't think so. Vipul is around sir, but Salil happens to have come in. Hi Salil. You may unmute yourself and go ahead with the ques ■on.
SALIL: Thanks.
MANAGEMENT: Can't hear you Salil. Is this any be ■er?
SALIL: No, I'll come back in. Q.
MODERATOR: We have a ques ■on From U ■am Kumar. U ■am, you may please unmute yourself and go ahead with the ques ■on.
UTTAM: Yeah, am I audible?
MODERATOR: Yes. Yeah, yeah.
UTTAM: Good morning sir. Thank you for taking my ques ■on. So ■rstly , on the domes ■c market just want to get further understanding with regards to are we seeing any challenges from any par■cular sectors? Is there any kind of slowdown infra side or all these sectors doing well could just be more color on that.
MANAGEMENT: So, the Indian market de■nitely is exhibi ■ng signs of slowing down. There is no doubt about that. But it's not something that I would get worried about. It's not like a signi■cant. But there are signs of customers delaying decisions. The number of enquiries coming in are, the rate of it has come down. So, these are signs that things are slowing down a bit. And you can see it, you know the automo ■ve sector in most parts is beginning to slow down. Some of the infrastructure like cement and all that are slowing down. So, it's part of the game. I mean it'll come and go.
UTTAM: Right sir. Second thing with con ■nua■on to that is are we seeing a more aggressive kind of move by the compe ■tors in the domes ■c market? And also could you just throw some understanding on pricing? Have you taken any price increases or have we lowered down lately?
MANAGEMENT: Yeah, we have not increased our prices, we have kept our prices constant. Compe■■on con■nues to be as intensive, intense as before. There is no, I wouldn't say there is any sick, any speci■c resurgence or surge in compe ■■ve intensity. We are all aggr essive and ■gh■ng which makes it interes ■ng in the market. But I would not call out anything that is concerning.
UTTAM: Right sir. And ■nal ques ■on is with regards to I think in one queue of the ■nancial, I think were talking about the go to strategy in the domes ■c market and we had also brought in some consultants to do it. So, any update on that, how things are progressing? So, has that enabled to gain some market share?
MANAGEMENT: Yes. So, like I said in one of my commentaries that we are looking at growing our share of the market. We've already grown a li ■le bit this year and we'll con ■nue to see that process giving us that growth in the next year as well. And that's the result of our go to market ini■a■ves that we have do ne.
UTTAM: Right. So, there's a bookkeeping ques ■on on the capex trend. So , how much have we spent for the nine months and what is the capex currents for the next ■nancial year?
MANAGEMENT: And let me see if I have those numbers in front of me. I don't think I have the numbers but we have probably spent around from a cash point of view, maybe about 60 odd Crore.
UTTAM: For the nine months, sir.
MANAGEMENT: Our new projects. Yeah, nine months, new projects. We have budgeted about 250. So, the new buildings that will happen, part of it in the fourth quarter and then into the next year.
UTTAM: Thank you so much.
MODERATOR: Next ques ■on we'll take from the line of. Mr. Prathamesh. Prathamesh, you may please go ahead with the ques ■on. Unmute yourself and go ahead with the ques ■on.

I think
there's some. Yeah, Salil, you may unmute yourself and go ahead with the ques ■on.
SALIL: Thanks. I hope this is be ■er now, sir.
MANAGEMENT: It's be■er now.
SALIL: Okay. So, on this new product, right. The patent that we ■led. So, if you can give us a sense of how ■ght it is and you know, in terms of protec ■on against compe ■■on coming in and trying to o■er something similar in some pockets, in some markets.
MANAGEMENT: Well, that's a tough ques■on to answer, Salil. When we make a patent, we make it as water ■ght as possible, as wide as possible and as deep as possible. But there is always an opportunity for somebody to challenge it. And then we need to ■gure out, go to a court of law and try and ■nd out. But the most important thing is the one is the patent. The other is how

e■ec■vely you are able to make it understand the why of the technology. You know, it is not about just having some valves and some so ■ware algorithm, but the. It is more at the level of science that you have to understand to get the result right. So that science part is not necessarily revealed in the patent. Right. So those are some. And you know, the, the scien ■■c pieces that we retain to ourselves. So, I'm reasonably con■dent that we have a pre ■y strong posi ■on.

SALIL: So, if I understand this as a layman, what you're saying is that although concept might seem simple, let me just add a stabilizer to compressor, but the engineering behind it and price at which you deliver is something which not everybody could replicate irre spec■ve of the.

MANAGEMENT: Absolutely, absolutely.

SALIL: Great. This is very heartening to see these products, they're all the very best.

MANAGEMENT: Thank you.

MODERATOR: Sir. In the interest of ■me, we'll take one last ques ■on from Prathamesh. Yeah, Pramesh, you may just unmute yourself and go ahead with the ques ■on. You have the permission to unmute yourself and go ahead please.

MANAGEMENT: I think he's posted the ques ■on on the chat. So, it says need to understand about exports. As we understand except for Rotaire, all other subsidiaries manufactured in India and distributed rest of the world. However, the standalone exports and related party sales do not match. So, want to understand the accoun ■ng procedure followed for the same. So , Prathmesh, the. Yes. The. The industrial machines are all made India. So, when we do sales from the standalone exports has two components. Sales to independent distributors. Like for instance some distributors in Southeast Asia, some distributors in La ■n America. Some distributors in Africa. Some distributors even in Middle east. They buy directly from us. So that is also booked as exports from in the standalone. And the standalone books also has exports to our subsidiaries which are related par ■es. So, they will never match. Right. And it will ■uctuate because when it is a ma■er of inventory management between in the subsidiary. So , when the inventory starts going down, the revenues are coming down. The standalone revenues to subsidiaries. And we are in the middle of controlling that inventory. Therefore, there will be a reduc ■on.

MODERATOR: I think that is what we have right now. Sir. Kamleshi, would you want to give a vote of thanks before we end this call?

KAMLESH: Just. Yeah. Before that just one ques ■on. If you can provide some more insight about our ■e up with that itera ■on for vacuum products. How has been the progress and when we see that commercializa ■on. So, thanks for bringing that up, Kamlesh. So, we have completed the technology transfer. Our team has visited, brought it in. The indigeniza ■on has started. So , from April, May, onwards we will have completely Indian made products into the market. So that's on the product side. On the organiza ■on side we have assembled the sales and service team. They are already in contact with customers. We have already started gaining one o■ orders in the market. So,

we expect to see next year as a full year. By which we'll be able to come back and report our performance on vacuum.

KAMLESH: Any revenue targets, sir?

MANAGEMENT: Not yet, Kamlesh. Not yet. It's not our metrics right now are to look at the distributor appointment and OEM connects. Yeah.

KAMLESH: And this will be more India speci■c, right Sir, Sorry. More India speci■c markets. We are trying.

MANAGEMENT: Yes, it will be India. India like markets neighboring. That's it.

KAMLESH: Right. Great. Okay, that's it. From our side. Sir, any closing comment you want to make.

MANAGEMENT: Thank you very much. I think Manish has got a ques ■on again.

MANISH: Hello.

MANAGEMENT: Okay, so we can. So thank you very much, Kamish and. Sorry.

MANISH: Yeah, yeah, probably. I'll take two. Two ques ■ons, sir. One is on the .

MODERATOR: Manish, we might have to end this call because we have already crossed our ■me limit. You can take it online o■ine with the team and Mr. Jairam.

MANISH: Yeah, sure, I'll do that.

MANAGEMENT: Thank you. So, thank you very much Kamlesh and Asian Market securi ■es for organizing it. Thank you for your con ■nued support on that and thank everyone for your ■me and your insigh ■ul ques■ons. And I look forward to speaking with you during the Investor Analyst meet in February this month and also our call some ■me in May for our fourth quarter and annual results. Thank you very much. And I look forward to thank you.

MODERATOR: Thank you. Thank you so much. Thank you. All the par ■cipants.

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## Call: Mar 2025

03rd March, 2025
Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza, C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051

NSE Symbol: ELGIEQUIP BSE Limited (BSE)
Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001

BSE Scrip Code: 522074

Dear Madam/ Sir,
Subject: Transcript of Annual Analyst/ Investor Mee ■ng 2025 held on February 27, 2025

In furtherance to our earlier in ■ma■on dated February 27, 2025 regarding the presenta ■on of Annual Analyst/ Investor Mee ■ng 2025 and pursuant to Regula ■on 30 read with Para A of Part A of Schedule III of the SEBI (Lis ■ng Obliga ■ons and Disclosure Requirements) Regula■ons, 2015 (“Lis ■ng Regula ■ons”), please ■nd enclosed herewith the transcript of the Annual Analysts/ Investor Meet held on Thursd ay, February 27, 2025, at 04:00 PM (IST).
The aforesaid informa ■on is also being made available on the Company’s website at h■ps://www.elgi.com/in/analyst-conferences/ .

The above is for your informa ■on and record.
Thanking you, Yours faithfully FOR ELGI EQUIPMENTS LIMITED

DEVIKA SATHYANARAYANA
COMPANY SECRETARY AND COMPLIANCE OFFICER

Encl.: as above
ANNUAL INVESTORS MEETING -2025

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR.

MANAGEMENT: Loud the bike and I think it's a going a li ttle bit. You could ju st tone it down a bit. Thank you. Still there. And you don't? It don't a bit

MANAGEMENT: Thank you very much for being here . I know you've had a long day.
I hope it was worth the effort that you put in. We appreciate the time that you've spent looking at what we have. We can talk about it as we go along, so I'll quickly go through an overview of the company. The standard disclaimer so that we ar e not put to task by SEBI so we are trying to build a global company. We are getting there we have 600 distributors out of that, only about 60 roughly are in India so the balance are all outside the country 230 employees out of which, close to 400 are outside the country. Then the rest of th e statistics are pretty straightforward Nothing.
It’s great. So, can you just still shut it down wi th some echo happening? So , I want to talk a little bit about why we exist as a compan y. I mean, this is something that 's very close to our heart and we seriously believe that this is good for business as well. Profit is importan t. It’s a very important driver, but I think we exist beyond profit fo r a purpose, right? And our purpose is called conscience in action. And what does it mean? It basically means that when you touch when you touch our stakeholders our customers? Our employees, our distributors, suppliers, investors and society put yourself on the other side and behave that way and be that way. Right. So that's the fundamental tenet of conscience in action. We find increasingly that when
we are customers, we have very high expectat ions and when we are suppliers, we lower our standards and that is the hypocrisy, right. The sa me thing when you are when you're dealing with suppliers, you have a hypocrisy. You deal with dist ributors. There is a hypocrisy. So we want to get rid of that hypocrisy and become a good company. And the minute we become a good company, I think there is profit at the end of th e tunnel yeah. So that's important to us and our brand promise that you've seen and most of our th ing is always better. These are our values that we believe the practice of which is going to make us fulfil conscience in action when we connect with each of our stakeholders. So, as we move forward from, we started it this year, we will see the intensity of it picking up. This will get embedded very strongly in our po licies, in our procedure
and the behaviour of people, right? So far you can say it so that does it mean? That you are not living your values so far, I think honestly speaking not fully right. It was there, you know, but now we want to bring it to the centre of the

existenc e, and that's going to be a big game changer. A
lot of learning for us, a lot of change that we n eed to individually go through. But I think at the end of the day, that's good for everyone, yeah. We are present globally and whatever I said, we are going to do it globally and that's going to be the challenge. But I think it'll be an interesting challenge to do so. This is something that you already know. Our various subsidiaries in joint venture. The last one is the latest that we have a license agreement for vacuum. We'll talk a little bit about vacuum later on. Our leadership team, we are going through a lot of changes. You will be meeting some of our new leaders. We are inve sting quite heavily in building competencies to take the company to the next level, right. So, what we are talking about is in the last 20 years, I think we built, we were overly focused on the ma rket, the front end, the sales and a little bit on the back end, right. But I think what we need is fundamental capabilities and platforms on which we'll be able to grow and grow very efficiently and effectively. So, to be honest, when we did a review of what we have done over the last 15-20 years. We did, I think six or seven acquisitions. We entered multiple markets. I think we could have been a lot more efficient and effective with all this if he had had solid platforms that we ha d built right. For instance, our financial control systems, right. They all exist as country specific systems. Now, we got to integrate it so when we go there, when we go to a new country, a new acqu isition, a new. We are able to put our systems that are on fundamental that are fundamentally sound and standardized, right? The same thing with it. Same thing with our digital platforms. So, all this is a new pivot for us, right? This is not something that happens that by just saying OK, we just do it, state it. But this is going to be a transformation that will take us a couple of ye ars. And we are going to make investment. We'll come and talk about that. So, a little bit on th e history of 1960 is when we were incorporated. We went public in 75. Various license agreemen ts and developments on the product really a transformation started in 2010-12 .That's when we started shifting the focus of the company. Towards markets outside the country and of course a lot of when you look back, you know, you forget the rearview mirror, you know, because yo u're looking at the front and driving it every once in a while, you pause, and you look back a nd say it's not bad. I mean, so we've done some reasonably good things. So, and this of course is very exciting for us, and we'll talk about that as well today. You've seen the facili ty. We'll continue to invest. You may have been told that we are in the process of shifting our city campus progressively over the last next probably six years. We will move them into one integrat ed campus two factories are bein g set up there. So that will make us even more efficient than what we are today. We have done selective integration backwards 2-3 things that we have done is our foundry and you know I've always said foundry is not a financial play. We didn't do it for cost reduction. We, did it for quality. And that was a very critical investment. Looking back, we did that ab out 10 years ago. I can't tell you the value that we have derived in our competitiveness. In going global by virtue of having our own castings, the same thing we did with motors ab out 3-4 years ago, that was not just a quality play, it was also a risk sourcing risk as well as a cost. The sourcing risk came from the fact that we are buying Chinese motors just like our competitors. The last 15 ye ars we've been buying them; quality is better than the Siemens motor that we buy in India in terms of defect rates. Landed cost is 30 to 50% low right now. The where is the risk. The risk was when we opened the motor, and we did a ground u

p costing based on basic raw materials cost it did not add up. There was something missing and that mystery was the risk, right? When will that mystery go away? And therefore, will leave us vulnerable. So, we said if we can use technology. To build motors that are far superior than the Chinese machines, both in efficiency as well as qua lity, but at a lower cost than the Chinese then we will see whether we can do it. So, we put a team together. We didn't make any investments other than some testing equipment. One, and we bu ilt the first set of motors, and they were very good. That gave us the confidence that we ca n go ahead today that's become another huge strategic pillar for us, a competitive advantage. A nd we'll present a little bit about the motto plan and what it's going to look like. Pressure vessels we make because of a safety issue, right? We can't afford to have any failures , especially an Indian company in world markets, so. We got our Deming this for us Deming is not the end. It's a journey, right? It's a milestone that we have crossed. We have a long way to go. This is anothe r thing that we are investing in into the future. We want to make that philosophy of Deming rath er than the letter of Deming. Yeah. Get deeply embedded in the company that will not only improve our purpose live our purpose but also enhance our profit. There is huge opportunity for us to improve on all dimensions and this is going to help us. Produc t offerings we that's this is the ad vantage of the compressor business. We every industry needs compressed air and therefore compressors. So, we don't have any one industry giving contributing to more than 2- 3% of our revenue. So th at risk is very, very low. We are agnostic of anyone specific industry, so th at's the advantage. The behaviour of 80% of the customers. The other 20, which is beginning to become a little bigger in India, is on price, but 80% of the customers buy on efficiency and we ar e right up there in the world as one of the most efficient compressors, right? So th at gives us that. So for us now, that's table stakes now we are looking at what's next, what's be yond that, right? And we'll talk a little bit about that as well. So full range of machines for various segments of customers, both on the industrial side and on the portable side reciprocating and the high-volum e machines accessories this is another area strategic that is important? We have intro duced dryers .In our own brand we manufacture earlier, we hand dryers that were sourced. No w we build our own dryers, and that range has been expanded. Now on refrigeration dryers, we will get into also desiccant dr y. So that's an area that we will focus on. In the future. Railways is a business India centric. It's not something that is you want to jump up and talk about every day in th e morning, but it is a reasonable business that happens. It’s government centric, s o t o t h a t e x t e n t i t ' s a r i s k , b u t s l o w l y i t i s c h a n g i n g w i t h government looking to offload th e manufacturing of locomotives to o. Private enterprise and we won the 1st order. First locomotive tender th at went to Siemens. We won the tender from Siemens, so that's a good thing that is happening and that project is doing exceedingly well, and this could be a segue for us to get into. Locomo tive OES worldwide. Go. These are some of our accessories that we do. Our ESG is part of our pur poses to society. We do a lot of it, and I think this is something that I should be very careful no w to talk about. Now in America, this is not a good thing anymore, right? So we have to sort of when we go and do this in America, we have to close this you know, this is unfo rtunate, but we'll definitely not let it go. Yeah, we may not be very visible and vocal about it, but we'll definitely not let it go. Well. So, this is. We messed up. You know, we got your feedback last time. We do n

't have to wait until the next meeting. We could have given you the feedback. All the respon ses are there. We could have gotten a week's time, so we will do that in from this meeting onwards. We'll get your feedback within a week's time, right? So, this was the first question from 11 new slide that highlights manufacturing advantages. I think I talked a little bit about it. About why castings? Why we build our own mother machines? You see it when you visited a factory? It ’s fundamentally the idea is use technology to reduce cost, not use cheap Indians to reduce co st, right? In fact, we are going exactly the opposite. As part of living up purpose. Nobody wants to be cheap, so if I'm the CEO of the company and if I don't want to be cheap. Then I should make sure my employees are not cheap, right? It's fundamental, right? So how do you bu ild an architect company that is expensive with people but competitive in the front end? Yeah. And I think that's the answer is technology. How can we deploy and that's what we do in various parts of our backward integration. Tough call on competitive in spite versus transp arency. So good site insight. So , thank you for that. Breakup of Global Indian screw and product. It’s a little comp etitively sensitive, so you'll excuse us. We will not be providing that, yeah again, we are pr esenting some sub sectors of the different compressors. We give it to you. We could not se e the compressor plant. I think this time around it was organized, right? The assembly lines, no t the greatest compared to the other one, but we're getting them yeah. The next plant will be very different. Plan, to meet in Mumbai. We actually wanted to do it this ti me, but we had some logistics issue, but I guarantee you next time we'll be in Mumbai. I’ll definitely will make sure it happens, yeah. Make it a single day event. I think we have done it now. Hopefully the flights will be like Karma for everyone is good and you catch your flights back home. Again segment. Splits vacuum splits. Product splits are all competitive. On regions, this is going to be presented here and thank you for your wishes. So that's really the feedback from last time. We will make sure that this feed back gets to you this this time around within a week, so this is a rough split up in India, yeah. Globally, we don't capture it because a lot of it is in, in, in globally its di stribution led and distributors don't share customer information and segment right, so. If you look at it, you don't see anyone large industry. Even if you take this this pie chart and yo u take it across years, it'll not be consistent, right? So, year on year, for instance, iron and steel and, for instance , cement in one year could be as high as 10% and another year it will just collapse, right? So, it 's all about. Timing, yeah. Oil-free. This is a little bit more stable because the applications are all ve ry specific. So far, pharma, food and beverage power and chemicals. These are the main segments that that are that are big consumers of oil free machines portable If you look at it, whatever is this again, it can become very large or it can shrink down to very small. Earlier, we lost ou r competitiveness. We have gained it fully back, right? So today we are a dominant player and if the market comes up, we are the preferred choice. This is this is which 24 right so.
SLIDE SHOW: At ELGI, innovation is more than just co mpressed air technology. It’s about shaping experiences, building strong relationships, empo wering industries worldwide. With a presence in over 120 countries, we're redefining reliability, efficiency and energy savings for businesses everywhere. Here's a quick recap of our commitment. Making an im pact on the global stage from industry leading events to trade shows, we exch ange ideas, drive Innovation and stay at the forefront of industrial advancements, reliab ility and every operation across the world ELGI

compressors drive Industries with unmatched pe rformance and energy efficiency. Empowering success through knowledge and connections. Ou r customer meets strength and partnerships while our training programs empo wer channel partners with know ledge and hands on experience to deliver excellence. Every day at ELGI, we are scaling new heights by driving innovation, strengthening partnerships and delivering soluti ons that power industries. With innovation at our core and collaboration fuelling our success, ELGI remains committed to delivering excellence.

Today and always, ELGI always better. MANAGEMENT: OK. So, I'll hand it over to Anvar.

ANVAR: Hello everyone. Alright, Just, want ed to take you through the region. So our largest region ISAAME, which includes Indi a, South Asia, Middle East did very well. So, over the past five years, a 17% CAGR in the first bullet, especially in India, we we've increased or improved our market share across all of our different product segments. And part of what enabled this is that we've been very good, with many of our product la unches getting them on time with some very powerful value propositio ns, that always helps gets us new customers a c o u p l e o f t h e s p e c i f i c t h i n g s t h a t w e l a u n c hed was a super-premium series is a two stage machine, especially in higher kilowatts, particul arly relevant for energy intensive industries such as textiles. This has helped us produce some news in that segment, some good conversions and the PG850 portable machine. We're a strong leader in the construction and mining segment with our diesel portable machines and operationally, over the last couple of years, we've become much tighter with bringing, with being a leader in bringing in new pro ducts for that for that segment. We've had some slowdown in industries such as textiles, which were large customers of ours, but we've been able to mitigate that by gaining growth in other in other segments and other industries. We've launched a particular a specif ic go to market project with a large firm to help us improve share the goal of that project is to basically go out and identify new customers. Customers that are not really considering us. What we found is that when we are at the table for a particular opportunity, the rate at which we win is very high. The challenge is to go out and find new customers, so we're really going through multiple avenues to be able to build that awareness, starting with increased feet on stre et, significant increase in marketing horsepower, customer engagement and so forth. So I feel very confident about the results that we've had to date and I think we'll continue the momentum quite well into next year. A couple of things that we need to be wary of. You know, we see a signif icant influx of lower priced Chinese products in in the lower kilowatt price driven sector. Now we ha ve some plans internally to be able to address this with our own product portfolio . We'll probably talk about this a little bit later and there was some there was some segments from last year that had some seasonal impact that didn't necessarily replicate this year. So, for example, the cashew segment. But this is something that we're trying to address in our budgeting. We're tryi ng to be thoughtfully much more conservative about such segments going forward, so that we 're putting increased emphasis on the businesses where we can control outcomes. North America region , very close to my hear t. I spent nearly five years there and often get this question. You know what? What really happened in FY23 versus FY24, FY25? I think there's a couple of things. If you recall FY 23, we were still sort of enjoying the post COVID hangover, record prices record volu me increases if you had Capital equipment in stock you had multiple buyers for one piece of eq uipment, so it was really unprecedented. Buying condition. That's likely not to be

replicated anyt ime soon and one of the things that you'll see in FY23 in North America is that if you go and look at the compressed air and Gas Institute volume numbers that are published on quarter quarterly basis, those numbers were by far the highest during that year. So, sort of linked to that link to that when you' ve seen that level of consumption in that year you're likely to see a dip in the over all demand in the market and that's kind of what's happened, but what's a little bit more nuanced for ou r business is that in North America, we have 5 businesses. We have the industrial business, the portables business, 2 distribution businesses and the medical and gas business. FY 23 was also the best ever year for the portables business. Which the best analogy I can offer for you is very similar in its cyclicality to the construction and mining of the water well segment in India. Very tough to predict but very intensive on cash because you need to have the products on site, righ t. So, it's tough to fore cast and what not. So that business is nearly is less than 50% of what it used to be in FY23. Our leader who runs that business believes we're at the bottom of a three-year cycle and this this is likely going to continue. So, when I actually put when I actually put those results in context, you can kind of see that the businesses where we can actually control outcomes, the industrial business, the distribution business and the medical and gas business. They 've actually performed quite well. Now the distribution business, we're still in a recovery phase where especially on the service side, the medical air and gas business is doing very well for us. And the industrial business is back to those pre COVID levels. I'm going into the New Year I feel very confident that the industrial business will continue to grow. We're investing a lot in ex panding our sales capacity across the US as you can imagine, the US is a very la rge market .But it's also very homogeneous market, which basically means that the same strategy that works in Texa s will also work in California, which means that you get a lot of scale for the type of investme nts that you make. So, we can very confidently increase our sales capacity, our reach in the ma rket for growth. So, feeling quite good about North America going into the next year. Europe, I mean everyone is aware of the concerning macro conditions in Europe, high energy costs, general political uncertainty and many of our focus markets have been in chronic decline for a co uple of years now. So, Italy, France and so on so forth. But the fact that we've enjoyed nearly 22% CAGR of the last five years is a testament to the quality of our execution. The way in which we are pivoting amidst these conditions is that we are trying to focus resources far more in thos e countries where we believe there is larger opportunity, so going a little bit deeper in Italy thinking about the Nordic s, the Nordics is doing quite well and we're also being much more thoughtf ul about very specifically targeting certain distributors that we want to have conversations with for conversion and. Very similar to India, our new products have new product launches have been received very well Europe is a very energy sensitive market, so products like super pr emium and what we expect with stabilizer as well will do well and we've also launched the EQ se ries, which brings in a lot of the benefits of the EG machines at a much lower price point so in a in a cost conscious market like Europe is right now. We believe we can grow share there as well. I just want to make one mention of Rotair. A lot of Rotair fortunes are tied to the health of the North America portables market accounts for nearly 25% of their business so this year was quite soft for Rotair because of some of the softness in North American demand but the team has do ne a very commendable job of going out and replacing that

demand in in Europ e. Coming to coming to Australia, Australia, very challenging market right now it's probably it is our smallest strategic market, and they also have a lot of challenges with overall decline in manufacturing GDP, which means that most of your growth is going to come from market share capture, right? So what we're really going to focus on going into the new year is to really co nsolidate the business that we have right now and be very specific about investing in those areas where we believe we can gain some share quickly. So, Victoria, for example, and the Melbourne area is 1 area where we have a fairly low share position. So just doing the basics well. Will get us some traction. So me of the some of the areas that we need to work on is we have the same sort of pricing challenges in the market because there's a lot of Chinese imports service technicians are challeng ing to find there's a lot of general labour shortage in the technical space. We've actually been able to move a few technicians from India who've who do, who do great work for us and as when the market conditions are high, all the OEMs are competing for the same large value projec ts. So, one of the areas that our leader Mark is working on is to improve the quality of ou r s a l e s t e a m s o t h a t w e c a n b e t t e r c o m p e t e . For those large OEM type orders. So, I'll hand it ov er to Indranil, our CFO, to talk more about the numbers.

INDRANIL SEN(CFO) : Hello. Good evening, everyone. It's my first best presentation day with a warm welcome to all of you. I know everybody wa nts to hear the CFO speaking numbers and I'll finish my slides in the at the fastest possible ma nner. Having said that, we 'll talk a little bit of context. I think keeping pace fr om what Anvar said YTD, December, we grew at about 8% and we are likely to carry on that trajectory for rest of th e year. Little bit of colour into this, I think Anvar mentioned about the cyclical nature of our port ables business. This year and that is also impacted if I were to exclude the impact of this on our operations or other business has actually grown double digit. So that's a colour that they won't leave with you guys is a thought process 80% of our revenue growth continues to come fr om ISAAME this year Europe has obviously come back to growth, and ATS also has been delivering ye ar on year strong double digit growth. If I look at the five-year trajectory, I think while there have been spikes in between, but pretty much we've managed to generate a CAGR of 16%. And this if I breakdown across business segments, it is pretty much consistent across all the busine ss segments, most of them have delivered strong double-digit growth which gives a strong pillar of confidence in terms of the foundation of our business. Now if you look at the EBITDA, we are pretty confident to end the year at 15%.I must highlight that this 15% and in spite of us invest ing in our go to market strategies in process transformation initiatives like in finance, HR and IT, which is about 1%, we've also seen the impact of cyclical nature of our business on portables an d there was also impact of Australia so in spite of that, we managed to kind of hold onto a 15% trajectory. Which is pretty decent, and we feel pretty confident of this number or a similar kind of trajectory continuing in subsequent years, just to mention that our investments in in some of these process transformation initiatives we've done go to market, there is still more go to market to do. There will be more digital transformation initiatives, more process initiatives so that's something which will continue now as a trajectory like sales, 80% of the profits in the last cou ple of years have come from India interestingly, Europe, if you see there has been a strong recovery from loss to reduce loss to break even in the current year and if I see the other subsidiaries, I think if I wer

e to exclude the impact of the overall portables business and Austra lia, we are largely on track coming to cash, I think one of the key focus areas for me personally in my first year at LG has been to see how we can kind of get back on track in terms of working capital. I'm pretty happy to say that pretty much most of our cash profits have been converte d to cash and if you see the working capital investment is only 5%, we have 25% tax and if yo u exclude that, there is a Capex of 78 crores in dividend of 63 crores in the Capex cycle, if you all remember, we've announced overall Capex cycle of 250 crores. You've started the spend, bu t you'll start seeing more of the cash flows coming in in the next couple of years. So I want to just make sure that that's something which is baked in. And over the last couple of years, you'll see that there's a continuous focus in terms of

EBITA getting generated and working capital gett ing reduced and hence resulting in cash. Most of this again around 70% of the cash is generated in India and balance 20 to 30% outside of India. I'll hand it over to my colleague Prem Thank you.

PREMENDRA(CSO) : Good evening, Everyone, can you hear me? All, of you at the back. So what? I will do is I will quickly. We'll step back little bit to see how the overall global compressor industry has been doing where we are in this industry and where we are actually heading towards so what you see on this slide on the left-hand side is over a long term of around 11 years, how the overall global air compressor industry has been doing. It has been growing at a CA GR of 3.5% and we are around 21 billion dollars in the size so overall indu stry size during the same period, ELGI actually grew around 5.8% CAGR and we are today at around $390 million so we have been growing at 1.7 extra market and how the indust ry configuration actually looks like? So, what you see on this slide is the overall top ten players and the rest have been combined bottom one at in others. So you see consolidation sti ll happening at the top, the top tw o players constitute around 52% of the market. Then you have the next three players Kaiser, Hitachi Sullair and Fu Singh, which are close to around 1 billion revenue each of them then comes ELGI at number six in FY24, the same was as well last year. Then you have the players like Kaiser and Dusan and Estevan so overall, industry around $21.3 billion dollars , the top players have more or less remained constant Hitachi Sullair has jumped poster You know merger and of course we have also jump given our faster than market growth too By three positions to number six over the time period of last 11 years. If you see how our trajectory has b een, we are currently this year we are expected around 412 we won 390 last year. This is including automoti ve component business ATS as well as ELGI compressor business. We are on track for ou r 450 million which we have committed for FY-26 which means 8% cap over the period of 24 to 26 Most of it is actually being contributed by India.

Rest of the world doing it 7% and these are the ke y figures which also Indranil talked about. We'll move to some of the new products that we have come up over the last year and some of which Jay and Anvar were also talked about. So first one being the vacuum business, we had this technology partnership with DVP last year and then we went into the execution mode today where we are, you will see on the left-hand si de we have actually onboarded a team. Three people are already on board for the sales to more expected to be higher this year. Product we are focusing on Rotary vane type vacuum pumps which represent around 70% of the market by volume when I say 70%, these are the most dominant vacuum pumps in the market. Go to market. We are actually targeting the OEMs both through direct sales as well as through channel partners and we are in the process of on boarding channel partners as

well uh, we have already received order so far of around 55 to 60 pumps since we started, you know, commercial business in October and at the same time, while we are doing this, we are also investing in localization, so. We are We have already started work on this. By April, we expect to localize around 60 to 80% of the portfolio by market cove rage and by August this year, we are expected to localize most of it I think you all have seen this vacuum pump we talked about last in the last meeting as well we have actually we are working on two types of vacuum pumps with DVP, Rotary vane dry as well as lubricated, and in future we may go on to other technologies as well .Anvar talked about ISSAME facing our India business fa cing some challenge from a low cost product imports, what we call here is Tier 4.So this is our terminology when we say Tier 4, we actually refer to Tier 1 and Tier 2 as the, you know pe rformance driven products for those customers who actually value performance, the most Tier 3 is an optimum of performance and price and Tier 4 is what we say customers who are really determin ed by the driven by the price of the product. Now this is 1 segment. We have seen growing sign ificantly over the last 3-4 years mostly driven by low-cost imports into the count ry and today they actually. Consis t, a significant volume of the overall industry size. And so far we were not play ing in this segment. But given that the volume has been increasing, it's inevitable that we also have a presence here. And therefore, with this regard, we have actually conceptualized th e product in this segment. We are not yet commercializing it, but it is already conceptu alized and you can see how the transition has happened from EG which is our Tier 1 to EQ Ti er 3 and Tier 4. And while maintaining global standards having options for variable flow, drye r and tank bound design options. This, product has significantly lower footprint. Its weight is sign ificantly lower and as well as material cost is at 60% of what a tier one would look like. Coming onto the other products that we came up with, so the overall focus this year was really in drivin g energy efficiency. It was also in expanding our product portfolio as well as integrating backward. The first ones which I want to talk about is about oil, lubricated screw co mpressors. Here we came up with Super Premium 90-160. If you remember, last time we talked about 90-110, we have extended the range now to 160 kilowatts. These are two stage i-4 motor driven premium products. They offer class leading energy efficiency actually the specific power consumption is the best that you can find in industry. These products are enabled with very advanced controll ers. Air alert as an IOT industrial IOT suite as well as possibility of having integrated a heat recovery system. We'll talk about heat recovery system again later in the next few slides. Anoth er product that really is quite popular now, especially in markets where energy efficiency is very important, is EG-11 to 45 permanent magnets in synchronous motors these are in ho use design, developed and manufactured motors and the motor plant PG actually refer to in his ta lk. Moving on to the tier 2 in EQ series, we launched high pressure 11-to-45-k ilowatt product. This product is actually targeted towards very specific laser cutting application and can operate at 15.5 bars. In the encapsulated series, we try to develop and integrate the product here in Indi a and export from here. So instead of assembling tanks, the compressor and the dryer in the region, we decided to actually assemble it here in India as a result of which we are able to compac t the footprint standardiz ed offering as well as have better quality control in the process. And this also gives a significant cost benefit. We also added new features in terms of features. I'll focus here on the oil free side of the portfolio. In oil free, we ad

ded auto protection kit to 90–160-ki lowatt product now this outdoor protection kit helps you, you know, protect against rains, no wi nd, dust and so on. It's a bolt on design, quite modular and extremely easy to use we also offe red integrated air heat recovery system in 92 kilowatt air cooled now heat recovery system actu ally helps you retain 95% of the heat which is generated in the process of compression and which is quite useful if you are using this heat for heating any say process water, preheating water fo r boilers If you have one in your facility, and so on. Therefore, in markets where energy cost is very significant. Heat recovery system becomes quite critical. In, reducing the overall energy cost as well as optimizing the carbon footprint. This year we also came up with our own integrat e with our own refrigerated dryers, both as standalone option as well as integrated option. These dryers are made in house from 20 to 500 CFM We already have the portfolio, and we'll fu rther expand into higher CFM's. They have stainless steel heat exchangers and a very compact footprint for India. It's already being sold. In the portables, we came up with PG 250-850-290. Now this is an offering which is available both for construction and mining as well as water well. This is this pro duct has dual pressure offerings. It it's also comes with an electronic engine an d what is more important is especially in the construction and mining in coal mines, it can be actually you know accommodated on an extra excavator.
So, it can be excavator mounted and that's quite convenient for the. Customers over there this product also offers extremely effi cient drill penetration. Now this is a product we talked about Jay talked about during his talk on rail. So, this is what we have actually developed for the railway project which we won last year. This is under some project under slang screw compressor for real application and it while we have developed in, we are already shipping this unit to the customer 5 loco sets have already been supplied whic h means around 10 AGT - US now AGT-US are air generation and treatment unit. It consists of compressor as well as desiccant dryer. All of which have been made in House. That's it from my side. I will invite Venu now. Thank you.
VENU MADHAV (DIRECTOR -PRODUCT EXCELLENCE & INNOVATION) : Thank you, Prem. Good evening, everyone. My name is Venu Madhav and I represent product excellence and innovation team at LG. My team continuously works on m eeting the customers' needs stated needs and all through regular product development and unsta ted ones through innovation. So, I'll be showcasing one of such innovation, what we beli eve the result will revolutionize the way in which the compressor is operating in today and by the way, it is going to meet the unstated want of the customers. I'll send the context with a simple ex ample what we are very familiar. Let's say we are in a room and there is an A/C standard A/C. The A/C will be cuts in and cuts out depending upon the number of people present in the room and also the ambient change s outside the room. So, for the solution. So, the A/C will be continuously cuts and cuts off. So it is a reliability issue because of it is fluctuating on this one solution. Wh at we can think of is an inverter A/C. But still, it will be changing its capacity, continuously incr easing and decreasing to maintain the variations with respect to number of people or that room temperatur e to ensure the comfort. So the operation is efficient from a variable speed perspectiv e. However, still it is less reliable, so it leads to some efficiency challenges because it is unst able. Whomever we buy this AC's, whether it is a Daikon or Voltas or whatever it is. This is what it is going to happen and as a customer, we all believe this is what it is going to be happen. So, we accept it, though we don't want it. So, in the back of our

mind, we don't want this unstable operation, but we accepted it. that's called unstated want and how do we over come the unstated want? Is the one what we are talking. We can relate this similar principle similar to the compressor, how it operates in an industry. A compressor is connected to the plant and the plan t has various utilities. And each utility will deed air at different points in time that that requirement may be cont inuously varying. Some utility may be at a breakdown. So, wh at's happen is there is always a gap between what is the compressor is producing the capacity of the customer compressor and the demand from the plant. So, this gap in the dema nd will always create supply the gap in between the supply and demand creates a fluctuation and makes the comp ressor to operate in, cut in and cut out. Kind of operation similar to the A/C. What it is so there are VFD driven compressors now. They tend

to meet the capacity balance. Th ey try to balance the capacity wi th respect to demand. However, they are still the operation is unstable. Let me expl ain in the next slide why I am take just telling it as an unstable. Let's see how a compressor works with and without VFD in an unstable operation. When the variation is demand is happe ning, this is the chart without the compressor. Without VFD you can see how the pressure fluctu ations will be happenin g. So, the compressor will be cut in, cut out, cut in, cut out. So, there is a lot of variation in the pressure is going to happen on this now once things that VFD can ba lance the capacity, it will be very stable. But practically it is not because VFD it is changing the motor RPM; it is going to change the current. In the system, so some current is changing, fluctu ation is there. It impacts the overall the current power quality in the plant also and sometimes th ese VFD's will create harmonics which are very, very trivial, be dangerous for the overall powe r quality of the system. They need filters to attenuate these harmonics, which are heavily expensive. By the way, the VFD itself is 30% excessive money to handle it, so while by putting 30% excessive money. We appeared. There is
a balance between demand and capacity, but sti ll the operation is unstable. So, any unstable operation is inefficient and ineffective. So we're talking about this unstable. So, what it means to a compressor. Let's look here. In a compressor, there are two types of parts. Compressor deals with flow. There is a flow related parts and comp ressor. There are kinematic parts. The parts are moving, so when the cuts in and cut in is happ ening when there is a huge amount of fluctuation is happening. You can see there is a zero-flow in consistent. Then there is a maximum flow, so it is highly unstable with respect to flow that system doesn't un derstand what to perform, where to perform optimally, so this is always an unstabl e operation and look at kinematic part It is an intake. Well, what I am showing in the compressor you can see when the machine is going to cut in and cut out. This is becoming on and off, so in this itself there are 6 mechanisms. Every mechanism is going to undergo stress and fluctu ations that leads to reliability. And unstable issues. And as I repeatedly said, an unstable oper ation will never be efficient and effective. We need there are such 30+20 =50 parts of such part s so combining they will impact the efficiency and reliability of the machine. I just want to show you in practical situation how exactly it means this is a video. What it is showing, how a compre ssor. Still, I am focusing on the intake wall, you
can see this here. So, see the actu ator how it is moving. It will go such number of fluctuations. Just to sum up any, there will always be a demand for capacity variations. Compressor will try to operate in majority of the cases in an unstable mode leads to efficiency and reliability issues a VFD appears to balance the gap

between the capacity and demand. But it is expensive. But it will
bring additional failure modes what it is. So, this is and whomever we buy the compressor, whether it is from ELGI or any competitor also. Th is is what it is in the customer mind. This is accepted, but he wants it better solution for this. So, we engineered a solution which the innovative stabilizer with the way in which the system eliminates the instability while maintaining cost and without incorporating any new failure modes. So let me explain. How does it work? So,
the principle of stabilizer the principle is very simple. First thing is recirculate and recover. Recirculate the excess capacity within the system and recover the energy all possible in losses and recover energy recover this energy so this is the principle what we are doing. So, the principle appears very simple recirculate and recover the technique and control are novel. Here, that's what the value, what it can come to this. Maybe I'll take you through. Little bit mechanism how this actually works be technical. In any compre ssion process, primarily a rotation will happen. Prime Mover is going to rotate, so it is going to rotate 360° per revolution first thing what happens is the volume will increase. Even the volume will increase, suction will happen. Compressor starts sucking air into the system and when the suction is happening, the zone is not stable pressure. There will be a lot of fluctuations before starti ng compression there is a stabilization zone is required. So we have a zone called stabilization. Once there is a stabilization, volume starts decreasing, pressure starts increases. So, pressure will increase. Then af ter reaching the desired pressure, delivery will happen at constant pre ssure. So, this is how the actual compression process will happens. There are four zones, suct ion stabilization, compression and delivery. Now our principle is recirculate and recover OK. What are the opportunities for us to recirculate in this? Principle is so the first thing is that suctio n and stabilization there is a for us to recirculate take the air back we need a pressure difference, so this is the first zone. We have a pressure difference exist very minor increase in pressure will happen from atmosphere to here. Here. So very less amount of work will be done on the air but identifying the zone and we can able to connect it back to section, we can circulate re- ci rculate around 30% of the air, without losing any energy into this. So, this is th e first principle What we are doing and the next which zone we can do there is this is high pressure zone but unfo rtunately this is a unstable pressure. Pressure is keep raising we cannot maintain the capacity by any means, so this is not the zone for us to take there so what is next? Next thing, what is availa ble to us is the separate d tank where. We have a constant pressure we can take the air back into the section, but by the time air reached here, we can also think that almost work is done on ther e. So there, there could be a possible loss. So, what when we are taking the air back on which wo rk is done? There is a loss. How do we recover it? Again, identifying a position there. What we ha ve done is we'll take the air back to suction.

We'll raise the suction pressure. So what happens ? The net pressure ratio compressor previously working from one to seven bar. Now it will work from two to seven bar so the net pressure ratio comes down, so the power required to compress there the 100% of the air will come down. But we are recovering, let's say 30% of the air we lose the. Air only on that 30% . So, the gain is more. The loss is reasonably less still. There could be so me inefficiency, but it will get balanced, so this is the two zones what we have identified. This ensures the complete balance. From the plant, even from 0-100% variation, we could able to Wellness the capacity of there so. Anik layou

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perspective This is how it looks. These are not the exact positions. One progressive wall. A continuous wall will be there in the air end side and one another wall will be there from air end to sorry suction to the tank side they together will operate and ba lance they together will operate and balance and ensure the capacity. And the dema nd balance between them? So and if we look into the compressor, the first one you can see there is a motor, compressor and controller this machine will be going into on off control and with the stabilizer system there is a new logic built
into it this is very intelligent logic to ensure tr igger these two walls in line with the overall capacity balance. So this is all happens in within the in ternal circulation and ensures the balance of the customer. Come compressive plan demand .Now this is what we expect. So this is the system with compressor pressure lot of fluctuations. Are there VFD still it brings electrical fluctuations whereas stabilizer system will ensure the stable
operation in terms of pressure and in terms of mo tion of the motor and other systems OK. so this is what we anticipated and we did all the internal tests. We ensure these results are there now. Is this really true in an actual environment? We have put so many missions in the field and I'd like to share you. This is one site and you can see without stabilizer the these are the number of fluctuations per hour this machine used to fluc tuate even 62- 62 times in an hour. Every minute
it is going cut in and cut out. This is the site and in that site, when we put, when we just added stabilizer system the fluctuations came down to 0. So this ensures the machine is stable. So we talked about efficiency also correct what it is. So it is not from our side our calculation. This is what customer said. So he is very happy with the way in which this machine is operated from stable and other things and he is telling he could able to save 3,86,000. It is almost equal to the material cost of the compressor and this savi ng will replace are practically we can get the complete machine will be paid back in two years and the stabilizer system if somebody adopts it, will be paid in a couple of months time.It won't take more time for that. So we are confident the way in which this is working and that the stablene ss what it can bring without adding additional failures and cost so let's see practically. We sa w how the unstable operation. Now we can see how the stable will operate. We do not yet. So now we are seeing the unstable operation. Now we will activate our system. You can't see this es cape. So in the save notification package. Just for us to see where we'll just go back and then swit ch off that this will go to Unstable mode again, so it clearly indicates this syst em will ensure the stability under various operating conditions and then It's big reservoir to be a 3D, take a couple of seconds to do that .But now it becomes .So that's what it is and we can see the stabilizer system enhances efficiency and reliability and it revolutionized the compressor. The way in which it operates, what customer is thinking, it makes him satisfied. Delighted with th is. This innovation delivers significant value and it positively contributes to environment also. So this is patented because we did a patent search across the globe and it is patented. To be test and we are working on to commercialize it progressively soon. Thank you. Now I request Gaurav too present on this.

GAURAV GUPTA(CHIEF INFORMATION & DIGITAL OFFICER) : Hi everyone. Good evening. I've joined the company 6 months back, delighted to talk to all of you. After a super simple presentation from Venu, I'm not going to be talkin g about the neural network, so I'm going to be talking about something very simple. In terms of how we are going to be looking at the digital road map for this organization. We've sort of invested and loo

ked at. The future road map for
investment into our digital capabilities. But having said that, we've done two things. We've broadly looked at aligning it very tightly with our overall business preference and priorities. And secondly, we've been very mindful in terms of how we are going to go about it. While the investments will be made and there are clear pr ioritizations that are be ing made in terms of where we invest. When we invest and then what do we expect out of those investments? Clearly what we are looking at is some of the achievem ents that have already been made in past, how
can we expand build on it? Secondly, we are also looking at stabilizing some of the instabilities that we had in our core application structures and you can see that some of them are actually driving our growth and helping us support our fu ture growth ambitions some of them will be
more focused around the productivity. We're looking at a fundamental change in our operating model. We are looking at creating our global technology platforms. We're creating our global
digital channels and hence through that we will be able to increase the overall speed of deployment, scale our applications as well as their digital capabiliti es across the globe, not only

just here in HO and in India, but also across all the subsidiaries and that that would give us that level of confidence to meet the business prioriti es and the agenda's that Indranil and Dr. Jay talked about along with Anwar. Yup, we also been focused on how we improve our risk and compliance and there's some capabilities that we are also building for future, we've been investing in past and we will continue to invest some of the exciting capabilities for future. Everybody's talking about AI. Everybody's talkin g about data. The investments will start towards that as well. But as I said. Our priorities are th reefold. Stabilize the core, digitize our functions, and then build the capabilities for future. In term s of the digital business models, that's how we're intending to progress more to come in this spac e. First few steps, but very excited to be here. Thank you. Connect ask Mitesh to come up.

NITESH JAIN (CHRO): I thought am I audible? HI so my name is Nitesh and I lead the HR for the firm. Very warm. Welcome to all of you and happy to present before you. So I think you know I'll be presenting just one slide and basically it's all about how we are thinking and really making how we manage talent as a way of life for us ri ght now you all have seen there are various new leaders presenting here, right an d that's the intention that next time the new set of leaders should be nurtured and come from within the orga nization. Rather than for us to go out and hire from, right? So with that intent it's, you know, we started this journey roughly around two and a half , three years back, right? And intensive work was done in terms of really reaching out to employees leadership to understand, you know, what are the competencies which are required for us as a leaders and employees to be succe ssful in this organization and hence complete competency framework, leadership competency framework were designed. Each and every employee in India was trained around that and also you know a development centre .We did a development centre, you know, so competency model states that, OK, this is what is expected right now to really understand each one of us, where are we, you know from that ideal state, right? So that exercise was done. We hired a, you know, an external partner who helped us in this, you know, gap analysis and we almost covered around roughly around 250 odd employees. In this right, starting from a mi d to sort of a senior management right now this entire work was done which led to basically, a few things right? Th is analysis gave us the potential basically right, because leadership behaviour is all about potentia l, right? How anyone can behave and wo

rk in a uncharted territory? And you know, can adapt and deliver results, right? So this gave us the potential assessment score. We already have the performance score of an individual working with us and using that data we really worked on the NINEBOX classification for the employees, right? Simple tool, but just a talent segmentation exercise for us to re ally understand. How does a talent landscape for the firm lo oks like? Right out of this entire development centre, there were lot of learnings for us, right? We realized that there are couple of capability issues which we can really go blanket out in the or ganization as a capability and impart trainings through some workshop and some design methodology for all our employees, right. So couple of things which we entertained was you know, how do we really emphasize on managerial capability, right fundamental of real ly looking at the, you know, talent landscape, how do we make our managers more effective, right? Right. Second thing was how really we imbibe that each one of us working in the firm irrespective of the department function, we are really thinking business. Do we have that bent of mind? Right. So these couple of things were identified where we went all out in terms of how do we ensure all the employees are covered through these sort of programs and capabili ty development. Since we have done the development centre for each and every employees almost 250 all employees, there's a individual development plan for each one of us who went through the development centres right now many often we have seen that you know, IDP's are cr eated and you know during the time you know, you never know what happens to that Is there any rigor or needle movi ng, not moving? Right. So what we said that we have set up a proces s which we have termed as development Sprint. Now this process enable us that every year, tw ice a year, at a certain, you know time, each employee come and present to a development Counc il about their progress made on their IDP's. Is there any challenges concerned along with thei r managers this this di alogue happens right? The idea is really to enable, right? How can we enable any support from leadership? Everything can be, you know, given and the dialogue really is to see that whether the needle is shifting or not. Now this is from the employee lens. Now from a roll lens, right We also really looked at which are my key roles, which I cannot afford to be vacant, right? Are really important of strategic important for the firm right. We looked at also that who are my people in ternally who can be on the succession chart for these key roles Yeah. Now this is one thing that I, you know, as an organization we said OK individual A can be ta rgeted for this role. Now the next question is individual A really wanting to get in that role righ t? So there is a aspirati on, career aspiration, link of that individual. So with the dialogue, with di alogue, with almost all th e people who have been identified as successors and are on our succession chart to really unders tand and close the loop with them, are they really aspiring? How we are th inking, right and basis that right we there is a. Succession development plan. Now this is where th e rubber hits the road, right? Which we say as part of lot of talent management exercise that certain individual will be ready for a certain role. In X number of years. Right now we went back and said, OK, if we require four years, what exactly this four years will look like for that indi vidual, for the targeted role, right? Because until unless we have that clear signed off process, you know we can meet 2 years down the line the status remains the same, right? So we did this ex ercise. We are in a process of, you know, making this also a review mechanism to really enabling that things really move as per the plan. Right. And at the end of the day, all these things will cu lminate in a in a

talent review discussions where
as a leadership for the firm, we sit and take stoc k of the talent agenda, various initiatives, what results they are you know whether we are reaping the results. Or not any supports are required. Any course correction. See the idea is to really make talent as a way of life. The way we discuss numbers, we need to discuss and dialogue and have a conversation around talent Right. So that's the intent. And this, you know, this year we have largely covered all employees in India and you know ATS as a unit and ELGI sort of unit I think we are in a process of rolling this out to our across the locations globally, righ t? And you know, next financial year, I think that's the target of really covering all our employees within this framework. Thank you.

BHEEM SINGH MELCHISEDEC (DIRECTOR – OPERATION) : Good evening to all. I'm Bheem Singh, director of operations. I think you are all excite d with today's presentations, particularly the innovative presentation like our stabilizer a nd Tier 4 compressors. And I' m also equally excited to present to pivotal initiatives. We have launc hed this year. When is ask Dr. JV mentioned the ELGI motor expansion. This is actually a mult i-faceted development. It 's not just, you know, capacity expansion it is It includes the cutting- edge technology and number of variants, products and also the, you know, the capacity expansion. There are three dimensions to that this PMSM motor we added to ours. Product profile and in addition to already proven induction motor technology and we are expanding to now 160 kilo watts. At present, we are 2.2 kilowatt to 45 kilowatt. Now we are expanding to full range and as I mentioned, th is number of variants increase will help the customers for the evolving need of the customers. And as Dr. Jairam mentioned in his speech. This development will insulate our comp any from all the supply chain risk due to any geopolitical issues as we are witnessing now and apart from that, there will be a steep reduction of inventory and steep producti on of lead time and makeover operations, more agile and
responsive. Right. And second is this MK2-MK2 is Mi ssion -K2. And our aspiration is CK2, one of the top three players in the world in the compressor field. And this mission is to help to reach the K2 CK2 and again doctor JV mentioned about it. This is not just investment in creating a world class manufacturing facilities this is also our commitment to sustai nability, so as you can see, 38% space is alerted for green build development. It is a very green plant and overall the as Doctor JV mentioned, the entire phase we are going to inve st around 590 crores 696 crores for five years. Next five years and we are going to build 743,000 square feet. Right. And the phase one we are going to build 280 thousand square feet with the investment of 2547 million INR. This is a first phase .This is the layout GSC layout. This is a gl obal support centre layout. And this is a building
and this is a layout this a U shaped layout fo r better efficiency and effectiveness. And this completely automated plant with the case certai n robot conveyor and AGV's with a less number of people inside and this is a portable business, portable pl ant ADP SAG plant. And this again closed loop. You know plant with for maximum ef ficiency and effectiveness. Overall, GSC 147,000 square feet. We are going to build in the investment of 1440 million INR and portable building with 131,000 square feet with the investment of 1107 billion INR. And here again the focus is on
the automation and productivity improvement cl ose to 50% productivity improvement we are expecting in this plant also. It's all from, I said. I invite Ramesh.

RAMESH PONNUSWAMI (EXECUTIVE DIRECTOR ):Thank you Prem .Good afternoon, ladies and gentlemen. I'm Ramesh. I look after our companies purpose. I champion the purpose, business systems, ESG and a significant part of

the ESG is CS R. So I'll take you through. I know you've held
together very well for the last 90 slides. I have a few more to go and hopefully I'll be quick. So to start with, let me talk about CSR bu lk of our profits, or rather the share of the profits that go into
our CSR activity is invested in education. The EL GI school is about 35 years old. Now it's in a brand new campus. It's about four years old. Next time, if you are in Co imbatore, we have some time about an hour to spare. Pl ease let me know. I'd be more than happy to take you to our school and show you around and see what we are up. There's some exciting stuff that we are doing. As part of our school, there's about 1332 st udents studying right now it's CBSE school from pre- kg to 12th Standard English medium. And we have a fantastic track record in terms of academic performance for the last few years, we'v e had 100% pass rate in both board exams, the 10th and the 12th with an average score of about 85% .We want to take it to the next level. That i s s o m e t h i n g t h a t I w i l l t a l k t o y o u a b o u t . G i v i n g b a c k t o s o c i e t y b y d e v e l o p i n g g o o d c i t i z en s through holistic education at low cost. We're ru nning the school not with a profit motive, but

doing good and doing, you know, very good in terms of what academic output. So we already have about 100 students whom we are supporting th rough scholarships. It's fee free and I'm also pleased to share that there's about 14 children who are from an orphanage nearby. Whom we support one of the girls who has passed out of 12th standard last year came from the orphanage. Her journey was from LKG to 12th Standard. She was the Topper in the district, and she is. You know that's part of the trigger for us to go to Segway for us and for me to talk about the project that we are off to. This is project seller very exci ting project for us. This is a future journey for our s c h o o l . W e w a n t t o f o c u s o n b r i n g i n g . T o o u r school identifying natively. Brilliant but underprivileged children financiall y not able to afford quality educ ation. They are in government school's corporation, schools right now, probably in Tamil medium We wa nt to identify them, bring them to our school. Put them through a ho listic program focused on academic excellence, but also creating good citizens out of them allr ounders in whether it's music, sports, whatever we want to give them those kind of pathway and We will screen them from at six, 5th pass. That's the only time that the earliest that we can catc h them and screen them and test for intelligence.
So we are starting this year in June with our first batch. We've already identified 1000 potential students and we have applications from at least ha lf of them. We have ou r entrance test in the 16th of March. The process is we ll underway. We're confident we'll get at least 25 students in the first batch and the only measure of success for us that we've set ourselves is every student who's passing out through this program will get admitted or offers of admission from the top schools in India. Whichever program they choose. It need not be engineering or medicine the typical programs that you hear, but it can be arts, it can be finance, it can be IPS, IAS you know, a law, whichever. Right. So we will support them through Career guidance, counselling and various, you know, competitive exam preparatio n facility also. So it's 100% free education. We are going to build a residential facility. We'v e already started the pla nning process in two to three years time. It will be 100% residential, completely free. This is the easy part. Finding the students and bringing them. How do you deliver th e excellence you know in terms of the delivery of the curriculum, the quality of the teachers is absolutely critical. So investing a lot in the back end of the school as well. S

o 15 to one student and teacher ratio right now, we have about 30 kids in a class. We will drop it down to about 25 to maximize impact on contact .So it's a very exciting journey.10 years from now, steady state. Our school will only be from 6th standard to 12 standard. We are progressively shutting down after 5th standard. The entire school will only be these stellar students, so we expect abou t 900 students all studying free, all academically excellent. So our aspiration is to be the best sch ool, full stop. So the next CSR activity that involved in, not just in school VR, supporting healthcare, various cancer organizations, Cancer Research, and foundations that we support for paediatric an d adult cancers as well. But the other exciting thing I want to share with you is our support for th e Olympic gold quest. Now this is a organization that was started by Geet Sethi and Prakash Pa dukone in 2001.The main aim is to increase the number of medals and hopefully most of them gold medals at the Olympics from India. So in the recently concluded, just to give you a flavour in the recently concluded Paris Summer Olympics, there were six medals that India won, one of th em. Was for hockey, as most of us know, five were individual medals. Four of them were s upported by OGQ, the Paralympics did much better India got 27 medals. If I'm right and 25 of them we re supported by OGQ. Ou t of that, there were 6 gold medals and 5 of them were from OGQ. So th at's the sort of credibility fantastic world class training infrastructure support for promising athletes. So, they catch them young and support through the journey, they harness their potential. So we're very excited and now we made a multiyear commitment up to the next Olympic Ga mes going out to LA in three, 3- 3 1/2 years
time. So, this about OGQ. The other exciting thin g is You know, our aspiration is CK2.That is, conquer K2, the second tallest mountain and the most toughest 1 to climb Kamya is a young Mountaineer She's 16 years old. When she came on our radar, she is the youngest
Indian to climb Mount Everest, the second youngest girl in the world to Mount Everest to climb Mount Everest and the youngest in the world in any gender to climb seven peaks and seven continents. So, she completed that feat. Earlier in in the year, so absolute ly fantastic talent we are very proud of supporting her. So these are th e kind of causes that we, you know, try and do our best to support causes that are aligned wi th our purpose and have very high impact. So moving on to what we are doing internally, you kn ow we ran the 6th edition of what's Your Finish Line challenge? So there's about 1000 plus people participating our employees and our distributor partners, all of them. It's a one-week intensive fitness challenge that ran in December, so we had a very good response and participatio n for that ELGI's been supporting the Coimbatore
marathon since the last 12 years. All editions th e 1st edition was in 2013 ELGI this the entire proceeds go to the Cancer Foundation in Co imbatore and we've had about over the years a record part of the participation we are in the top three in terms of attendance. Usually we are number 1 or number 2, so this year we had about 1700 plus employees and their families participating in the marathon. So there's a seco nd largest event in Tamil Nadu outside of Chennai is the largest. So a roundup of key events during the year, a few of them. You've heard from other speakers, one of the key things I want to shar e with you is for the very first time, we're increasingly global, as Jay said, we have abou t 400 employees outside, so we, had our global

leadership meet this year in last year, rather in October in Coimbatore. So, where we it's over a 2 day period we discussed deliberated Strategic plans. The how part of you know, making it happen. Various other discussions. There's about seventy of us across different hierarchies from va

rious geographies, and we intend to kind make this an annual affair. We will continue to organize this and as Prem was ta lking about and this product is a very exciting product that we launched in the BAUMA Con Expo, BAUMA is an inte rnational. Exhibition originating in Germany. They had a presence in India as well. State of the future art is a showcase event where 15th December every year we will have a technology d a y . I t ' s a v e r y m u l t i p r o n g e d i n t e r m s o f participation. We have academia, industry specialists, experts fr om various fields coming and talking to a team, presentations on technolo gy and other innovations that that we do Within ELGI So this is something that we have had for about seven years in a row now a part from this, our employees are involved in various Community activities, va rious activities that drive overall engagement within the business, so. With that, I'd like to wr ap up the flow of the pr esentations now. I think it's the next part which is a open for Q&A. Project is on the way.
MANAGEMENT: So are you. Are you going to tell me? OK. So there's already a question. Can you hear me at the back? Yeah. Don't think that Mike is working. OK. By whatever. So just second we bought 20 minutes behind, right. So we had to wrap up at 6:10 because a lot of people are taking their flights. So we keep it to about 40 minutes of questions. Yeah, there are people online who are who may want questions if they if they need to ask, let them raise their hands and then you will. And they will ask the question. So Ravi? RAVI (ANALYST): Very good growth over the past few years that you had done in spite of the
challenging times that have been there. And not only that, the kind of innovation and engineering work that you have done is very credible. My first question is with respect to some of the new products that you have launch ed. Like back to pumps and stabilizers. Need more detail about them. For inst ance, vacuum pumps, if you can give more details about the application market size. Who are the players who are already there? How fast we can cover this market within the country? What is the ki nd of profitability or what are the theoretical
number of units that can be sold? And practically, how? What percentage of it can be covered and some things still similar? If you can extrapol ate it for the stabilizers also so. How big is that market and? What is the market potential market size or say medium term? That's three to five years or something of that sort.

MANAGEMENT :So, Vacuum is going to be India centric plate for the next few years. Right globally, the vacuum market is about 3 billion, roughly 5 billion, right? Globally. But in India it's about 400 crores, 400 150 to 200 million dollar . OK, 120. But the it's the full vacuum, right? Right. So if you look at our presence, we are starting in terms of compensation. You have all the compressor player s pretty much all, at least the major ones playing in the backgrounds with right? So it's pr etty competitive you also have a long tail, just like the compressor business, with a lot of unorg anized players playing in it but there is some opportunity for a well established I mean well , good quality products with good strong customer engagement. To start with right, yo u feel remain with only the technology and products that we have with DVP. Then there is no future. Right. So what we are doing is that's the Arrow head with which we will enter the ma rket. But we are already looking at investing or investing into technologies that are going to be disruptive, just like the stabilizer is for the compressor business. So how long is this play globally? I would say by the time we reach something which is a reasonable share of the gl obal market, it's about 15 years. I would not take anything less than that in terms of being a reasonable player In India, I think in another five to six

years we should be able to get at least 10% of the Indian market. Right. So it's a, it's a long play. We're not looking at a short term pl ay. Because that's a significant, significantly far away adjacent adjacency to compressors, unlike dryers or filters which are very close adjacencies to the compressor wher e the velocity of our presence or market share will be far, far higher, right. So that's on the vacuum. On th e stabilizer. This is not a product. This is a technology that goes into all compressors ri ght now. Approximately on average, 30% of the compressors in the world. By with variable fr equency drives, right?70% would like to have variable frequency drive, but they can't afford it . They don't want to spend that money, right? That's really our target. Yeah, to start with eventu ally even that 30% will be ours, right? If you look at that 70% if a variable frequency drive cost s 100. This system will cost 1/6 of that right? That's really the comparison, ri ght? Literally nothing, yeah. What does the customer get? The customer gets a return of this additional investment in a matter of couple of months, yeah. So that's the value proposition that we pres ent to the customer, right? And this can be retrofitted in the market as we ll. For our machines, there are two versions. You saw two valves in that in the presentation. Bo th the valves together is the heavy or the premium version of the stabilizer. If you have only one valve, then it's a light version. The light version can be retrofitted in all compressors, even

competitors machines. The heavy version can be retrofitted only in options, right? And that too you need to change the error so the
opportunity is huge, right? The technology is st able. There is no risk if a variable frequency
drive. Malfunctions the compressors down. If there is a problem with this system, compressor
still works right? So there's absolutely no risk, right? Not that we think it's going to go down,
but there's no risk. The biggest challenge for us is customers asking does Atlas Copco have it?
No, that's the problem, right? Because we are an unknown brand with an Indian label, right?
There is always that prejudice that We are incapable of building the best for the first time. Yeah, we need to get over that hump. Right. That's really our marketing challenge that we're
going to be working on as far as the stabilization concern, yeah.
RAVI ( ANALYST ): A continuing question to that stabilizer we might be having the number of
Compressors, which are installed at least from a India perspective. I'm just talking. We might
be having the number of stabilizers. Sorry, the compressors which are installed base of
compressors which are there in the country. Any ta rget as to this percentage of the? Install
base. We would like to convert in th ese many years something like that.
MANAGEMENT: We don't. We haven't worked out the ta rget yet, right? OK. But like I said,
the whole the whole thinking is. How do we take this to the market? This cannot be taken to
the market like a compressor, right? We, the appr oach to it will be ve ry, very different and
that's what is getting architected even as we speak,
RAVI (ANALYST): yeah Correct. And from a international perspective, I mean we have
substantial presence across va rious geographies including US and in Australia. Recently you
had mentioned that there is a lot of Chinese du mping which is going on there. Given the fact
that us itself is lot of this Trump related tari ffs etc are going on where increasingly there is a
fear that Chinese. Products might find their route to other geographies in a form of dumping or something of that sort does that does that concern you?

MANAGEMENT : Absolutely. And there is a concern, but. The strategy to go to government
to ask for protection is an important strategy. Ri ght. It's not sustainable for the simple reason
geopolitical bilateral relationships can comple tely over sh

adow any change that you get
tomorrow. There is a big hug and kissing by the two prime ministers of China and India. Your
protection is gone, right? So th e real challenge is for our comp anies to Say, how can you take
this use technology and come up with a produc t, a business that can respond to challenge
rather than protection as a means as a response to the challenge. So we know the market is building. That's why we frame presented the TFO product. The Tier 4 product does exist
today. It's exists in our R&D ce ntre. We have already made it. We put it out there in the field
and it is running and it's running very well. Yeah . We're just a little bit off from the cost like I
like, he said. The cost is 40% lower, right? So we are in the right track. Next year we will start
seeing that product getting introduced, but it's not a product challeng e alone, right? These
six or 7000 machines that are being brought in from China. Maybe 10%. We know where they
are. The balance we don't even know, right? So the challenge is not just the product, but also
discover where the product where the customers are, right? Just like Anvar said, they are go to market is discovering customers the minute we are in front of the customer, we win. Our
win rates are very high, but how to get in front of the customer, right, that's the challenge.
RAVI (ANALYST): Last question is there has been a fair bit of consolidation in the industry at
a global level over the past 5-6 years? So Gh ana, Denver and Ingersoll Rand and Hitachi, how
do you read this? Is it a positive, negative, neutral? Event for from ELGI prospective?
MANAGEMENT : When two compressor companies come together, it's always good for the
rest. Because they will try to ra tionalize their entire network an d all that. So there will be
networks that open up, right? OK. But if co nsolidation happens with forward integration
where they start buying distributors, then ther e is a shrinkage because globally. This is a
distribution led business, at least for companies like us. Yeah. So that could put a challenge in
terms of when they start going forward, right? So, but it's part of the game, it's still. Enough room to play.
RAVI (ANALYST): Yeah, understood .OK. Thank you.

ANALYST : Hi, Sir. First, an extension to the vacuum pumps question given our gear
capabilities, why not say a screw pump or even a progressive cavity pump? Because Ingersoll
Rand acquired a clamped through company Hydr o probe. What was the thinking behind
entering?
MANAGEMENT: The Ingersoll rand acquisition of the Coimbatore company was not a
vacuum, but PC pump. Yeah, it's a pump. Ye ah, because Ingersoll rand also has a pump
business. We're not. We're not in that pump list. We're not going to ge t into the pump list,
right? We've already developed a screw market , so that's what I said. You know, we are
already investing in products that will be disruptive. In the vacuum space. Yeah. So yeah ANALYST : got it and second again on Inge rsoll Rand. Just a basic question.
Their margins are like 2X of where we are. I understand they're heavy on centrifugal.
We are heavy on screw, but if you could explain to us why there's such a huge margin

differential between us and Yeah, EBITDA level. MANAGEMENT: So there is a big margin difference EBITDA level difference between us and
all the big companies, right and EBITDA in th is compressor business? Comes from making the installed base for the aftermarket. That's the bi ggest source of your pr ofit. It's not from the sale of equipment, right? Right. Yeah. So when yo u look at an Atlas, Copco and Ingersoll rand their install base is huge. Yeah. So if you really lo ok at ELGI's profitability over the last 10 years, we have made that shift, right. And that shif t has come from the increased install base. Yeah. So our challenge is to keep increasing our insta ll base gain, keep gaining market share, right, the minute you gain ma

rket share, then the afte rmarket feeds you with profit, right? Because selling an equipment at a thankless business, right? And the only reason we are in this business because of the after mark , right? How do you get more and more of your equipment? Coming to you right for parts, right? That's the challenge. Yeah. Getting more machines in and making sure as much as 100% comes back to. So if you look at dissect the profitability just to give you an example, the profit margin on e quipment by and large, whether it's us or Atlas Copco at a gross margin level will probably be 20-25% right. The gross margin and parts will be anywhere between 60 to 80%. Right. So you go and take Atlas Copco's numbers and do the math and you'll roughly know where it's coming from. ANALYST : Yeah. So just down to the spares mix and not with the product differential like they
are heavy on centrifugal, we are heavy on screw,

MANAGEMENT : the product mix doesn't significantly alter profitability, right.
ANALYST :Got it, got it.

MANAGEMENT :And does a little bit but not significant.

ANALYST : Got it. And on gaining market share, this C 2k CK 2 is a huge jump. We are at 1.8%
It looks like you're targeting IRS at 18% that's a 10X.
MANAGEMENT : We we'll get to a number if you get 10% of the market,
ANALYST :10% of the market share.
MANAGEMENT : So our growth really is five times. We need to grow

ANALYST : 5X in the next 10 years. Yeah, got it. OK. Thank you. Yeah.
VIPIN GOEL (ANALYST): Hello yeah. Yeah. Hi, Sir. Vipin Goel from Mirabilis Investments. First of all, thanks for putting up such an elaborate presentation. So I have a question on I mean just going back to three years sp ecifically to US market. So th ere was a period where inflation happened and then supplier customers sort of ki nd of started looking for alternatives wherein we stepped in and gained some market share. So I understand that a lot large part of this was again the cyclical portable business. Which to my understanding is about 15% of the US business, if I'm not wrong. So how has expo rtable? How has that business moved and how much of those market share gain that happened during that time? How much of that has been sustained? So has it moved back? And if it has, then would have been the reasons,

MANAGEMENT : OK. So I'll try to answer the question to the best that I've understood right. So if you if you keep the portable business out. And you look at FY23.Yeah, sorry FY -24 right. We lost share In all the businesses, because of ou r ERP, right? Inability to deliver rather than losing customer, right. In FY24, sorry in FY 25 this year. We've on the on the industrial side, we have more than made-up. Yeah, we have recovered all that and we are growing, you know,
and our growth rate in that business is back to what we were at the CO VID, yeah. I can't give you specific numbers because too sensitive. Medical again had a problem in FY24 In 25 they've come back and their order backlogs have been at record levels Right. We have never seen this kind of order backlogs , right? Our biggest challenge is our distribution business and that too on the service side, right It is the whole process, the software parts, going service technician being allocated. You know that wh ole algorithm is where our challenges we are progressively getting over it right. So the coming year will be positive.

ANALYST : Plus there is one. Yep. So to summarize, basically there was some distributorship gains, there was some market share gain, but th at kind of couldn't be sustained because of ERP implementations.

MANAGEMENT : 23 was an all-time record, right, FY 23. Then we lost. OK in 24, OK.
We gained it back in 25 .

ANALYST : got it and a follow up on this is given this backdrop. Is somewhere in the slide. I saw 7% growth for the ROW. MANAGEMENT : Hold up.

ANALYST : I don't have the rest of the world. That's what we are projec

ting, at least for 26.So
what's the long term sustainabl e growth that you see for U.S. markets specifically given it's
the largest? Piece within our order. MANAGEMENT : The way we are looking at the US market, we should be.
Middle double digit growth is po ssible, right? Because our share of the market is so small and
the market is so big. It's not just grunt work in the market, but it's these kinds of technology plays that we are going to do .
Stabilizer is only one righ t? There are some extremely
interesting. Other stuff that's in the pipeline. Right. So we pr ogressively keep bringing these
into the market, right? that's wh at is going to give us that. It 's not just going there dumping
your price and going. And finding distributors just to, you know, like a Willy nilly Amazon
model, you know, you just put it out there and see what sticks. Yeah, no. It's about being very
deliberate and saying these this is the value proposition we're going to bring to customers and through that game share right cause. That's the only way you're going to grind sales and
profits Otherwise it just going to be sales. ANALYST : Post FY26, I mean even again if you're do ing double digit, yeah, growth in US and
including other markets, you're a possibility.
MANAGEMENT : That's our expectation.
ANALYST : Sure. Thank you, Sir. That's.
MANAGEMENT : Yeah, sorry.

ANALYST (AMIT ADWANI ): Hi. So, thanks, Amit Adwani from PL Capital. First question again
on stabilizers as you said. The product I think is already ready. Any market sizing we have done
with respect to how finally we should be reaching to the customer, you talked about two
versions, the light version and the heavy versio n and light version can be fitted on all the
brands. So are we going to reach through the di stributors, any market sizing, any costing like
will it cost 1lakh like 2,00,000 for retrofit? And what kind of number of machines we're
targeting or let's say next 1-2 year s to? To fit the stabilizers. Yeah.
MANAGEMENT : OK. So again, this stabilizer is no t a product, it's a technology, right?
Ultimately, what we'll sell is a compressor. Righ t, which has the technology built into it right
now? How does stable? How will stabilizer help us ? Is it's going to help us by improving our 2
levels. Help us with our win ratios when we are in front of the customer because we are presenting a unique value proposition that the th at the competitors cannot give right, that's
one. How is that going to get played out? Tough to say? Yeah, it's like saying I've come up with
a compressor, which is 10% more efficient, righ t? Can I put a number in terms of how much
shared I'm going to gain? Difficult to say, but I know that I will gain more. Right. That's one
part of it. The other part of The thing is retrof itting. That's more our we're not competing with
anyone in that thing. We're competing wi th the customer's wallet, yeah. Now, how
compelling can we make that right? There the question is not is a question between cost and
pricing, right? So cost is literally very lo w, right? Then it's a question of pricing.
Yeah. Now, how do we price to get? The system . Do you want to price it in such a way you
want to be greedy and make money in day one? Or do we want to price it in such a way that you want to gain some share in the market an d then price yourself better later tomorrow?
This is a strategy that we are working on, right? But the benefit we have is cost is not a factor.
Right, the cost is not a factor in this pricing. It is a strategy that's going to be the fact you
know. Yeah, sorry.

ANALYST : It's so second question on during the fa ctory visits we. Definitely saw moving to
aluminium motors for cost efficiency in house grinding machines. For better lead time, yeah.
Any target in mind with respect to the cost savings because of all these initiatives and
investments which you have been talking about? Let's your next 2-3 years. Is ther

e a scope
that we can improve only because of these th ings? Maybe 2-300 bibs or something like that.

MANAGEMENT: Can't give you a consolidated number, righ t? But just to give you an example,
30% of a compressor is the air end .Roughly. Yeah , out of that 30%, let's say 90% is the router.
Yeah, in that 90%, another 90% is the cost of the machine too. Right. So if you look at it, the cost of the machine tool comes to around 18-16 to 18% of the cost of the compressor. Now
if I'm able to reduce that by 1/ 5th right, then I have 3% gain. I mean, this is nominal math,
right? But how is it going to get tied in when you do 450 million and that too you remove the
aftermarket, it's very difficult to put a numb er but you know strategically or in the right
direction, because when you do it at an indivi dual asset level, it makes a lot of sense, yeah.

ANALYST : So last, if I can, what is constraining us to getting into gas compression or
refrigeration compression despite we got into pumps, which you said is far adjacency,

MANAGEMENT : no, no, no to vacuum. We are not sorry.

ANALYST : Vacuum. So is there a constraint? What is strategy? What is our strategy of not getting into gas compression, refrigeration, compression, commercial compression? Any thoughts on that? Yeah. Thanks.
MANAGEMENT : Just a distraction. That’s all we know We know. We know how to build those products, right? Can we buil d a gas compressor? Yes. Can we build a refrigeration compressor? Yes, but it's a completely different customer, different set of sales, different value proposition, different set of competitors. It’s all a distraction when you have 20 odd billion here. Why waste your time? So I'll give it to him, yeah. ANALYST :So 2 questions. One again on this technology of the this thing stabilizer, is there any way we can assess that? With a newer technology, does the repair and you know maintenance of the compressor go down because th at is going to be a significant share in the future. And 2nd we had couple of innovations. If yo u look in the last five to seven years, one was where we were trying to disrupt the oil fl ooded compressor market with the oil free? By bringing the cost down and offer it at almo st similar cost and now with you know, the stabilizer technology. Is there some thought wh ere we need to be a ggressive? You know, in doing this and gaining more installed market share base or some thought process on that because even that oil free was a significant step. MANAGEMENT : So the yes, the idea of the stabilizer is like, you know, if the inverters, I mean 10 years ago you didn't have inverter in your A/Correct. Now nobody buys an A/C without an inverter. A big share of the A/C, whether it's a split A/C or package ACS, they come with an you choose an inverter so We believe that now today the inverters too expensive in a compressor right. 30% of the value of the of a fixed speed Mach. Right now that means 70% of the customers don't buy it. Yeah. Now we can go to that 70% and say. Here is something right which is 1/6th, let's say 5% right of the value fixed machine, right? There is a huge value proposition right now. How do we get there? Is the is the challenge right? That’s an good problem to have, yeah. So we need to figure that out now. Why are we? Your other question was the. Yes, the that's going to be huge . But the point is we can't prove it now.
We can give when a machine goes up and down, up and down, up and down, up and down. All the systems are shaking, yeah. It's like when you're driving a car. You drive.
Let's assume you're driving on a highway. Consta nt speed with absolutely no disruptions. The life of your car goes up hundred X as opposed to in the city. You're constantly shifting gears, shifting gears, right. Just imagine. The car runs at constant speed. The highway and in the city. But it gives you different speeds. That’s the stab ilizer, right? The machine will c

ontinue to run
at the same speed now. The advantage of that is there are no pulses, there are no shocks to the system. Our theoretical calculation shows that could be a 10X improvement in the life of the pods. Yeah, but we don't want to wait 10 years to test and prove that.
Yeah. So we'll get in. We'll use theory to explai n to the customer over a period of time they will experience it. Yeah. ANALYST : Will it be like a killing a golden ghost with your spare parts?

MANAGEMENT : Spare parts will be the same. Yeah. In fact, we can come up with spare parts that are lower cost. Right, but better profit. Th at's possible, yeah. Sorry. Yeah, sorry I don't know your . Yeah. ANALYST: Does that mean it's an errand replacement?

MANAGEMENT: Actually, for the light for the competit ion, there's no we won't touch their error and we won't do anything, yeah. Sorry, he's got a question too. Yeah, yeah.

MANAGEMENT :First of all, it's not true that we sell below 55.No, no. A share in the higher kilowatt. We are No 2 ,In the market, right? So we're not, we're not a small compressor company as opposed to most people believe, right. Our distribution across kilowatt is comparable to the industry standard, right? So that's not an issue at all, yeah. In our distribution operations in the US and Australia, we do, but we don't do it strategically as a business in the company, right? Yeah, please. Yeah. ANALYST : sCouple of question. Firstly, on the Siemens order, you mentioned that we've supplied 10 units in FY25.So is it a fixed or der or it is a variable demand led order?
MANAGEMENT : So they have got a tender from the government for X number of locomotives that is scheduled to be supplied, right as lo ng as the government sticks to that buying schedule, we will then have that same sche dule, right. So the supply is for how many compressors? Thousands. Yeah. So about 2400 units over a 12 year period, but the maintenance and service and all that goes to 35 years yeah , So we are on track for 200 units this year. Provided the government buys 200 in FY 26 from Siemens and then yes, OK.
ANALYST :And the second question is on the cost. The last five years when we entered Europe, we are 17% employee cost to our revenu e in FY18.Now it is close to 20-21%.So do you think that this? Percentage to sales has picked up because you mentioned that we are significantly in the market today. So how how do you see the cost in Europe and us banning

out over the next years?
MANAGEMENT : The call people cost as a percentage of sales has to keep coming down, right? But you know, when you go in to the market, there is a certain common minimum that you need to invest in, right? So the percentage starts off being very high and over a period of time it starts going down right partly by our own less ons that we learn in the market Of what roles have to be taken out and what roles we need to fill? We learn in the market partly also because of the top line going up. Yeah.

ANALYST : So so it has peaked in terms of percentage in terms of yes, in FY2525 and one last question service. You mentioned that we are at pa r with any other players in India. Like this service and spares revenue.
MANAGEMENT : In India, we are probably little lower than the than maybe Atlas, but I think we will be better than in
ANALYST : And that figure would be ho w much in FY25 percentage
MANAGEMENT :of the market would be about 28% roughly

ANALYST : OK and globally what would that level? be Would it be in single digit today?
MANAGEMENT : It’s not single digit, it's a small double digit, right? OK.
And that's really where the potential is for us to improve our profitability.
OK.

ANALYST: Thank you.
MANAGEMENT: Yeah. Yeah, please. Somebody’s so sorr y. Can we take one? Sorry, go ahead.
Go. Can you unmute yourself and ask the question your I'm not.
I don't know your name, but your initials are YV.

YASH VERMA (ANA

LYST): Yes, Sir. Can you hear me now, Sir?

MANAGEMENT :Yep I can.
YASH VERMA (ANALYST ) :Yes, Sir. So my name is Yash Verma. So Sir, I have couple of questions. My first question is on the aftermarket opportunity.
MANAGEMENT: Yeah.

YASH VERMA (ALALYST): When you talked about that, it is a very milking opportunity.
I just want to understand if a product worth X rupees is supplied, how much value comes back in form of an after market of customers st icks with you over the life of the product.
MANAGEMENT: OK, I'll give you a rough thumb rule. I th ink we have spoken about this in the past. So if everyone dollar of equipment sales gives you $2 of profit over 10 years, Yeah. So you can do the math .Yeah. So if you look at Arida being 16%, if it is $2.00, then your revenue is 2 / .16.Right. You bring it to yours Phenomenal level. You will know what the revenue is.
Yeah, roughly.
YASH VERMA (ANALYST) : Understood. So very well understood. And the second question is around the factory shift. What we are trying to do, where we are moving our facilities from cities to the one concentrated location, will it add any incremental capacity or the benefit of that factory shift will only be av ailable or express in the margins?
MANAGEMENT: It will increase our capacity, but you know, unfortunately buildings are not. They don't produce money immediately. Machines do right, but buildings are liabilities that we need to invest in, because once you reach a certain size and the building is not big enough, you need another building, right? So part of the investment is a little non productive in a sense. But part of it is going to give you increased capacity. YASH VERMA (ANALYST): And will it be possible to quantify how much capacity expansion we can happen from this 700 CR of cap ex?
MANAGEMENT : The the GSC is going to what is up, how much? How many X are we going to do more in GS? No. If it is 100 now, there was a number in our presentation, some X multiple. I think it was 2X.x yeah. Is it 3?X on one on our global support centre and I think in our portables thing 1.5 times, yeah.

YASH VERMA (ANALYST): Understood. And so my final question was on the pricing of the products.

MANAGEMENT : OK. Yeah.

YASH VERMA (ANALYST): How has a pricing moved in respect to premium and discount versus? Our competition in key geographies like India, US, Europe for like to like products.

MANAGEMENT: We have an increased our prices in the last three years.
We did a big increased just the year after COVI D because there were a lot of distortions in commodity pricing .Since then, we have held it firm right. So that's an opportunity we will look at in the future, right? So I need to now go here because we're running out of time.
ANALYST : Also, I'll just keep it quick. In your intern al meetings or town hall discussion. So at this stage of ELGI's evolution. So what do you tell your team that we are punching below our potential at across functions? MANAGEMENT : What do I tell them?

ANALYST :What do I what do you tell your team th at we are not? We are punching below our will. True potential of ELGI.
MANAGEMENT : Our ability to get in front of the custom er, that is our biggest weakness, right.
We need to be in front of the customer more. Yeah. And how do we figure that out? Right. That's really the problem. Can we make great machines? Yes. Can we produce in volumes?
Yes. Can we ship them to where it is required? Yes. So that means we is our pricing good. Yes, the quality, good, outstanding. You just need to get in front of the custom, right? So how do you do that right? That's a challenge, and th at's a challenge we working on across the the world. Yeah. ANALYST :The second question, last question. So last 4-5 years, we invested in all the senior management talent. I think five years back, I know you to took all the pa i

n of walking through
the entire presentation. That has changed. You must have seen the reflection in the background. Yeah. So, in which case I'm as king, you know, like how they saved your
bandwidth today on a day-to-day basis? Wh at excites you the most right now?

MANAGEMENT: So yeah, when you fill, when you open capacity, gets filled out.
So there's nothing like, oh, now we've got a team .So now do you have time? No, it just seems to get filled.

ANALYST :I'm asking five years back, this could have been one of the bottleneck for you, right? Identifying the next set of people would have been a bigger bottleneck. OK, I remember we discussing the same thing.
MANAGEMENT : Yeah, yeah, yeah.

ANALYST : So with that problem at least is put to re st. I know it's evolving. It's a data job.
MANAGEMENT : Your ambition becomes more ambition. And therefore it fills up more, right, so. Yeah. Last question on this. Yeah.
ANALYST : Yeah. My name is Rahul Ghazre from Haitong. My question is in two parts, one in your motor development, you know you talked about moving from IE3 IE4 for your open market and I saw IE 7 also I want to know whet her you have already developed that capability
MANAGEMENT: of IE seven. Yeah, yeah, all are. Permanent migrant motors that are now running in the field. See first of all. The standards organization is defined only up to IE5.Nothing exists beyond IE five. We call it IE 7 when we draw the line of where we are on our efficiency, we think it'll be roughly IE 7.

ANALYST : OK.

MANAGEMENT : So IE 7 is our internal thing. We are far ahead of IE 5, which is the maximum today. Yeah. And we have developed our permanen t magnet motors are at that standard of efficiency. ANALYST : Now taking this to the next level, you've done foundry. That was for captive you've got into motors, that is for captive. You've taken one step and you've done CNC machines. You know, some good machines. All of this is for captive. Now this business has been growing at, you know, low single low double digits fo r a very long time now. Obviously you have ambitions to become the number three player. Do you see ELGI? You know, with capability proven in some of these areas? You know, to become your other growth vehicles. Obviously that's going to take bandwidth, but envisage that

MANAGEMENT : at the moment though, to be very honest with you. No. Yeah, it is.
We believe that the minute we build the motor business as a standalone business. It'll be a huge distraction, right? We need to crea te its looks. Product is not the only thing that
does business right. The minute you go into it . Is customer engagement customer service? All the accounting administration, the warranty comple tely different, right? So this is not a distraction that we need, right? OK. And the mo tor business, if you go and start selling. Not very profitable compared to the compressible,
ANALYST : OK. Thank you very much. Yeah, so. Yeah.

MANAGEMENT :You know, if you pay a let's say a 6X mult iple to a distributor right on a bidder
Without that, you're not going to buy them. It's not the most cost efficient capital efficient

investment to get in front of the customer. We have done it three times in the past because we couldn't find organic, independent distributors , right? We will continue to look at it, but our first preference is to go with. Established independent distributors and the more and more we bring technology like this, the more the doors will open for us and we'll get sucked into their business, Yeah. No. When they acquire, they kind of dilute it. So the owners retired in Florida, right? He’s having a good time, ri ght? So They're not there, yeah. Thank you very much again. Thank you all for coming and for your insightful questions. It’s always a pleasure. Like we said, we'll send the feedback. Please fi ll out the feedback form that helps us. We’ll make sure that the response to the

feedback comes within a week's time from now, and we
promise you in the next one, we'll be in Mum bai. Yeah. Thank you. Thank you very much.

SHRUTHI SIVAKUMAR : The the feedback form is on the table. Thank you.

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# Call: May 2025

Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Symbol: ELGIEQUIP May 30, 2025
BSE Limited (BSE)
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001
BSE Scrip Code: 522074
Dear Madam/ Sir,
Subject: Transcript of Q4 2024-25 Analyst/ Investor Concall held on May 29, 2025
In furtherance to our earlier in ■ma■on dated May 29, 2025 regarding the presenta ■on of Q4 2024-25 Analyst/ Investor Concall and pursuant to Regula ■on 30 read with Para A of Part A of Schedule III of the SEBI (Lis ■ng Obliga ■ons and Disclosure Requirements) Regula■ ons, 2015 ("Lis■ng Regula ■ons"), please ■nd enclosed herewith the transcript of the Q4 2024-25 earnings conference meet for the analysts/ investors held on Thursday, May 29, 2025, at10:00 AM (IST) through Microso ■ Teams Mee ■ng.
The aforesaid informa ■on is also being made available on the Company's website at h■ps://www.elgi.com/in/analyst-conferences/ .
The above is for your informa ■on and record.
Thanking you,
Yours faithfully
FOR ELGI EQUIPMENTS LIMITED
DEVIKA SATHYANARAYANA
COMPANY SECRETARY AND COMPLIANCE OFFICER
Encl.: as above
Q4 2024-25 – INVESTOR MEET CALL

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR.
MODERATOR: MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED

MODERATOR:
Good morning, everyone on behalf of Asian Markets, we welcome you all to the Q4 and FY25 earnings Conference Call of Elgi Equipments Limited. We have with us today, Mr. Jairam Varadaraj, director representing the company. I request Mr. Jairam to first take us through the. Overall financials for the quarter and for the year and the business updates to be followed by Q&A session. Over to you sir, Thank you.

MANAGEMENT:

Thank you very much, Kamlesh. Thank you. Asian Market Securities for hosting our Q4 call. It's always a pleasure for me to be with all of you and thank you very much for taking the time. To go through this presentation with me. As always, I will focus on the Q4 results and then give you a sense for how the business is and what the challenges are. Some sort of view of how we look at the next year and then we will have QA and session. Now. If I let me go through the next. So this is starting with the reconciliation of EBITDA. Considering the current operating ratios and cost structures. Considering that sales grew by almost 15%, our EBITDA should have been about 1724 million, against that we did about 1500 million.

And the primary reason is increase in employee cost. And there was a significant increase in other expenses, some of it I will explain to you. Most of the increase in other expenses is one time in nature. So, we took one is the, you know the increase in variable cost which is not captured in our contribution where contribution is only. At a material cost level so close to about 25% is the increase in the variable cost associated with the increase in volume. We cleaned up some of our books in India in other parts of the world. We cleaned up some inventory and we cleaned up some receivables, not so much as a loss, but as a prudent accounting thing. So that is to the extent of about 8 crores, we did that, but this is not just for the quarters, for the whole year. Going forward, we'll try and first of all, I don't expect it to continue this way. Secondly of all we will do this on a quarterly basis so that there are no yearend shocks that we can see.

So these are one time in nature that I don't see anything happening significantly. We have a CSR which we do depending on a given year normal as per loss, 2% of PAT. But actually we do

4% of PBT in a given year depending on our project. A Project for educating very poor children has moved forward and it is progressing well. So as a consequence we are increasing our contribution this year towards that. So this is really the reason why the fourth quarter is no

t
as it should have been, but as far as the fundamental ratios of the business are concerned, they're pretty sound.

Moving forward, if you look at the revenue profile except Southeast Asia, all the other regions have grown for us at very, very levels. India has done very well. For us, North America is coming back. Our industrials is very strong. Our medical business is very strong. Distribution operations, which was most hit by the issue with our ERP as stabilized. And we look forward to a positive number there. Portables is a more a market structural thing. You know for three years there is a big growth and since the last couple of years there has been a significant almost a 30-40% drop in the market and we are feeling the effect of it and we expect this this portable to remain subdued in the current year as well.

Europe is finished quite strongly in Q4, but I'll come back and talk about Europe. Australia is also coming back from you know, significant challenges post COVID. A few years after that, Middle-East has done well for us and Brazil has done well for us.

Moving forward, if you look at our revenue highlight, we have grown 15% over the previous year in, Q4 of last year compared to Q4 of this year. So overall, I think it's been good and PBT growth has been also pretty strong considering the revenue growth. So our profitability ratios remain quite strong.

The split between automotive and compressors remains pretty much the same. Automotive had a very strong year, but the compressor business also had a strong year. So the balance between the two remains. There's been a slight shift between India versus the rest of the world as far as compressors are concerned for the quarter, because India had a very strong fourth quarter and the corresponding increase was not there in the other parts of the world. So, there is a 2-3% shift, but I don't see this as a permanent thing. It'll come back.

So this is our consolidated uh financials for Q4 as well As for the financial for the full year comparing it with the prior year. So overall we have done well, profitability could have been significantly higher, but for the one-time expenses that we have, we have voluntarily claimed certain expenses just as a prudent accounting the reported. Numbers are little lower than what we would have otherwise liked it to be. So overall, a good story.

Our net cash position also has been quite strong. We've generating close to 97 to 98% of our Profit we are generating every quarter. We have put in very strong. Processes for receivables control that is beginning to show its impact. We have been working on a very large project to bring in better controls over the inventory worldwide and I expect to see good results coming out of it in the second and third quarter of this year so the cash position will continue to improve in the company.

So, this is really what I wanted to say as far as the performance is concerned. Going forward, I think as a business, you know obviously the tariff is something that everyone keeps talking about. You know, we started off with 26%. Which is a pretty challenging number to manage it from a cost point of view. It's been reduced down temporarily to 10%. We don't know where it will finally land, but we have done some scenario at 10%. We have done some cost calculations.
Some of the cost reduction initiatives that we started almost 2-3 years ago are bearing fruit now and that's going to help us, one of the biggest aspects of that cost reduction initiative is our motor plant. This financial year close to 85 to 90% of our motors globally will be manufactured by us and that's going to give us a significant advantage to be able to absorb the impact of the tariff without any compromise on profitability in the US market. Obviously, it's going to help us with profitability in the other markets, but I'm not talking about that so. You know, when we analyse what could all be the p

ossibilities? Is where tariff could land.

I think the best-case scenario would be 10%. The way we are reading it is the US government is not going to remove 10%, although for some countries they seem to have done. But assuming that's a best case 10%. And if we look at import of compressors from the US into India and that is. At currently about 16 and 1/2 percent. And assuming they are going to make it in the worst-case reciprocal to that same percentage in this range, we are pretty much ok with all the cost reduction initiatives we can sustain our current pricing and our profitability.

So that's the good news. So, we are not too worried about the challenge on because of tariffs from our pricing point of view now. The rolling global impact economic impact of tariffs and the impact on other economies are going to be significant depending upon where it finally settles down. So Europe was already fragile. And it was recovering after the Ukraine war and all those issues, and we were beginning to grow slowly. We've all broke broken even last year. Now there is going to be a challenge in Europe and we don't know how it is going to be. So far, the indications continue to be positive, but we need to anticipate if US takes a very strong position on tariffs against EU that could be a big impact. So we'll have to wait and see. We've got some thoughts and initiatives that we have kicked off. We're not going to be able to see the results of those initiatives this year, but in the medium term, in the next couple of years, we should be able to Moderate for that impact if that we anticipate as a consequence of that.

So overall, I think we are in good shape and we are hoping that India continues to maintain its story and the results. So we've got some exciting new products. The stabilizer has gone into the field. In terms of Pilot test machines, Multiple machines have been put very good results.

Our machines for competing with the Chinese Imports are already working in the field and we are confident that by the third quarter both these products will be out in the market full-fledged and our earlier initiative called Project Everest for increasing our share of the market is going very well. And we are beginning to see the result every quarter and we'll continue to expect that performance to continue. So, India will be assuming the economic Structure remains solid. We will have good growth in India and we are confident of that. US is going to come back because it really hit the bottom. So we're confident that it'll come back from the past. Europe is a question mark at the moment, it is still showing signs of positivity. Australia's coming back.

So overall, I think we should have a good 25-26. So I will stop here and then I will wait for your questions to further clarify our performance and our future. Thank you very much.

MODERATOR: Sure. Thank you, Sir. Just as a mandatory announcement of participants, you may use your raise and option to be part of the Q&A Que. Also, participants who are on unclear line may use the Q&A or the chat option for to put your questions forward. I'll wait for a minute, Sir, before I, you know, take in the first couple of participants who have come in so that the queue can assemble. So the first question I have is from the line of Harshit. Harshit you may unmute yourself and go ahead with your question.

HARSHIT PATEL: Hi Sir. Thank you very much for the opportunity. The first question is on the US market. So could you explain how was FY25 for us in terms of profitability? Were, we able to break even in this market and given your 10% tariff as a base case, how will our profitability look like for FY26?

MANAGEMENT: So barring the one time clean-up cost that we had did on inventory and receivables, even in the US besides other parts of the world Harshit, the operations was actually profitable, right? So US has from a loss in the prior year has actua

lly become
profitable on a steady state basis now. For 26 the assuming, 10% tariff we have like I explained to you, we will be able to absorb that 10% without any impact on our profitability, because the savings that we have from our motor plant and a few other initiatives that we kicked off almost couple of years ago for cost reduction is more than enough to absorb it.

And like I explained to you up to about 16%, which is the reciprocal tariff
and assuming that us imposes the same reciprocal tariff and we're not able to arrive at any understanding, we should still be able to do it. But if they move to 26% like they originally did, then that could be we need to make a decision in terms of either increasing prices or finding other ways as we speak all our competitors. In US have already brought in the condition that there is going to be a surcharge for tariff not only the foreign companies, but also the local companies. So everyone is going to be impacted in some way or the other by the tariff.

HARSHIT PATEL: Understood. And yes out of US, overall industrial compressor consumption, what is the share that they manufacture in US itself and what they procure from countries like China, India, maybe some amount from Europe, So could you give some flavour on that. So I'm just trying to assess how much is that import dependence and whether they will be able to manufacture more compressors in house or not.

MANAGEMENT: So it's not should be looked at a compressor level harshit it should be looked at a component level, right. So even if you take a company like which has a factory in America, quite a few of their components are imported from all over the world, right. Whether it is India, whether it is China, whether it is the EU right. So in Ingersoll Rand in one of the in one of their calls has said that the estimated annual impact on because of tariffs is $150 million. So it's very difficult to make an estimate exactly how much of it by is going to impact which company, right. Almost every company has a significant import content in their manufacturing activity in the US.

HARSHIT PATEL: Understood so that's what so just lastly only vacuum products front. So could you share the update for the last quarter? I think you had elaborated previously on our localization plan. Our sales team was in a build-up stage. We had already started receiving the orders. So where are we right now and how do you foresee FY26 to plan out in this business?

MANAGEMENT: So the plan is progressing as per our schedule. We have the full sales team and service team is in place. A localization as is progressing well. We have almost all the products that we wanted to the parts have been developed that we wanted to localize. The parts have been developed. So we are progressing as per schedule there. Sales is, you know, we can't report, give you specific number for sales, but the growth has been good and really speaking you know in compared to the overall numbers of and the standalone basis, they're very, very significant. Insignificant so but. Moving well.

HARSHIT PATEL: Perfect. Thank you very much for answering my questions and all the very best.

MANAGEMENT: Yeah, yeah. Thank you.

MODERATOR: Thank you, Harshit. Moving on, Sir, we have the next question coming from the line of Ravi. Ravi, you may unmute yourself and go ahead.

RAVI SWAMINATHAN: Hi Sir. Very good morning. Congrats on a good set of numbers.

MANAGEMENT: Thank you, Ravi.

RAVI SWAMINATHAN: My first question is with respect to the standalone or the India business. In terms of outlook and demand across various sub segments, how does panning out last couple of calls, you had mentioned that there seems to have been some bit of dip in inquiry levels. Has there been a recovery in terms of inquiry. So your thoughts on how India business is likely to pan out.

MANAGEMENT: So, Yes, I think I mentioned that inquiries are con

tinuing, but the finalizations
are getting delayed, yeah. That is, continuing inquiries are still healthy. There is no problem, but people are. There is a wait and watch approach. There are certain industries that are progressing well, like textiles for instance. They're coming out of a very, very bad couple of years. So there is overall positive impact. With or without tariffs, because there is an issue in Bangladesh, there is an issue in China. So there is a certain positivity there. So sectorally there is good stuff happening. But overall, I think there is no concern in India yet, but it’s early days to figure out what the tariff impact is going to be.

RAVI SWAMINATHAN: Yeah. So is there a possibility or is there a very high likelihood that the revenues can grow in double digit or it's like you would expect the entire India business to grow by like a high single digit kind of growth.

MANAGEMENT: So assuming India remains whole economically and there is no impact of tariffs globally. I expect India to grow double digit, but I would probably say low to mid double digit.

RAVI SWAMINATHAN: Understood, Sir. And in terms of mix and profitability, how to think about it. So at a standalone level, we are at a end of a lifetime high of around 21% in terms of margins and the mix, if you see if you could do a broad contour, what is the mix in terms of Let's say the piston, compressors and the screw compressors and how is it likely to change after sales service.

MANAGEMENT: Yeah. So I don't want to get into the specific breakup of products Ravi, that would be too competitively sensitive.

RAVI SWAMINATHAN: OK.

MANAGEMENT: But you know right now if you look at the profile of our India business, the shift in profitability is going to come from the mix between products and aftermarket. Right. The profitability shifts within products. Is not going to materially alter it. Maybe quarter on quarter kind of shift in variation, but if you shift in product mix stuff, but if you annualize it by and large, it is at a stable structure. So that real shift in the profit structure will come when the aftermarket starts moving up and that's one of our initiatives to really. Improve it, right and we will continue to work on it. And that's really the logic of this business. You know, the logic of this business is to sell machines so that you're able to get a steady stream of after market which is more profitable than selling just equipment. We are on track there, right. So you've seen that shift happening in India over the last probably 10 years.

RAVI SWAMINATHAN: Understood, Sir. Yeah. Thanks a lot. I'll come back.

MODERATOR: Thank you, Ravi. Sir, the next question is from the line of Mr. Khush. You may unmute and go ahead with your question.

MR. KHUSH: Yeah, I'm audible, Sir. Thank you for the opportunity.

MANAGEMENT: Yes, sure.

MR. KHUSH: Yeah. So just couple of questions. So one, it was more of the industry side. So I know that you know we're more on the air compressor side. So if you can elaborate something on the industry, for example, you know what kind of imports we are facing today in terms of percentage or quantities. And how are we placed for our India business. And who are competitors are, and do we see the shift of, you know, India sourcing more locally rather than imports, NEBIS regulations etc. So first question was on that. My second question was on a consolidated basis, what kind of revenue targets we are coming up with. What kind of revenue growth and sustainability margins on a consolidated. Say in the next three years.

MANAGEMENT: Yeah. So Let me try and answer your first question in terms of import content. That is, you know where the, we are probably the only significant player that has the highest local content, right. So what we import to make our compressors is less than 8% of our total manufacturing, I mean our buying content right. So it's a very, ve

ry small part as far
as our competitors are concerned, they also manufacture the significant ones. They also manufacture in or at least assemble in India. Their percentages are significantly higher than ours. Then there are the third category, which are fully finished machines. That are coming in primarily from China. We think that the size of that market is anywhere between 25 to 30% of in volume terms. If they sell primarily on the low end of a low kilowatt machines, not in the high kilowatt, now what we have done is basically you know our standard machines, the performance and cost points are significantly higher and we can't compete with these the cheap Machines coming in from China. So what we have done is developed a range of machines. Which are compatible in terms of performance with the Chinese machines, but quality is to our standard, right. So we have not compromised on our quality, but just looked at lower performance. So that's a segment that seems to be evolving all over the world and we want to be, we want to use India as a opportunity for us to respond to it. I think we have done a great job because initially, when we looked at the prices it looked almost impossible, but as we went deeper and more granular into understanding what exactly those machines were delivering, we were able to almost meet those price points.

So we're quite optimistic about taking on a big share of that 30% where none of the players are really playing because it's the prices are ridiculous. So that's where we are. So in terms of giving you a guidance, I would not do that. I would wait for the next investor conference right now. Five years ago, we gave a guidance about our top line 450 million. And the EBITDA of 16% and the return on cash capital employed of 30%. We will be able to achieve these numbers in 25-26, so that is really what I can give as a guidance now. Next investor call. I mean investor meet in February, we will renew our forecast for the next either three or five years.

MR.KHUSH: Fine, thank you for the detail answer. Just one last question on the competitive landscape, moving wish to enter other segments apart from air compressor with one of our comps is into other segments too like refrigeration, gas etc.

MANAGEMENT: Yeah. So, we have consciously stayed away from refrigeration and gas. We explored that opportunity many years ago, and it's not that there is no opportunity there. But we found that the opportunity in air is significant enough for us to focus on that and that's what we're doing. In terms of adjacencies, we've already launched our dryers, which is a pretty significant market. It's a great product that we have developed that's into the market. Already it's not only in India, but it's global. And we are expanding the range of our adjacencies by either looking at acquisition opportunities for specific adjacencies or in House development of these adjacencies, which is really what our growth path is going to be.

MR.KHUSH: Right. Thank you.

MODERATOR: So the next question we have is from the line of Manish. Manish, you may please go ahead with your question and unmute the MIC

MANISH: Yeah. Thank you so much. I hope you're doing well.

MANAGEMENT: Hi, Manish. I'm well, thank you.

MANISH: Few questions. First on the guidance. So what probably we're looking at 10% growth on a consolidated basis.

MANAGEMENT: Yeah.

MANISH:
So does it imply that international would probably grow single digits in the FY26. And also related question are on the margins front. That if India continues to do well and then we have guided for almost a percentage improvement in margins. We still don't see a significant improvement in international margins. This was the first set of questions.

MANAGEMENT: Hmmm ok so, Yes. If you look at our numbers in 24-25 and the projected number that we had given five years ago, 450 million, that roughly converts to about 10%
g

rowth, you're right now. So, that is general direction Manish. In terms of the split between the two. I expect India to contribute a little bit more than the rest, but that's on a very conservative basis considering the current situation with the tariffs and especially Europe. So, as per our expectation, without all these concerns about tariffs, assuming the whole world comes back to a normalcy, we expect all the regions to grow. As much as India, you know in terms of double-digit growth. But this is a conservative view. As far as profitability is concerned, we will hit. We were already hitting close to 16% even this year manish. It is just that one-time expenses and clean up that we did that dropped out EBITDA. So what is going to happen is that is not going to get repeated. In next year. And therefore, we're quite confident that we'll be able to hit those numbers.

MANISH: Sure. OK. No, Sir. I was probably looking more on the international side of the margin profitability improvement. So like we already achieving that even in Europe and in US as well and hopefully US should do well.

MANAGEMENT: Yeah

MANISH: So probably I'm looking from a point of view that your guiding for a conservative sequential.

MANAGEMENT: Rather that we are conservative under certain conditions of uncertainty, Manish.
MANISH: Yeah. Yeah. OK and so on. How is the progress on the compilation order for Railways for Siemens and how is railway's business picking up and have you made any more breakthroughs in Metro Rail with probably references from supply to Siemens.

MANAGEMENT: So the railway business that Siemens order that we won, we have supplied and you know our Prime Minister inaugurated the first locomotive. And if you actually see the video of that locomotive running on the tracks, you will see in the undercarriage of the locomotive. A device with a red band and that's an ELGI machine. That red band is our better band. That is there on all our machines. That's really our ELGI machine, so we have these have the machines have been validated, tested, gone through all kinds of high temperature, low temperature, vibration and everything. And now they're going into the field. So this is the start of the Siemens business. Overall, railways is a business. It's not a big contributor, but it is. It's something that we have always been strong. We have not had any big breakthroughs yet in the metro, but there are good, strong conversations that are going on with global OE'S because if we don't get homologated globally, it is very difficult to supply in the Indian metro market. So there are some strong conversations that are going on and with our experience developing the machine that we developed for, Siemens is an outstanding experience in terms of customer expectations and our ability to fulfil it. So we've learnt a lot from that and with that capability, we are quite confident that we can. Get into those relationship, but that's more a 5 year. Journey rather than you know, annual journey.

MANISH: And how do we see the temper for the Siemens business execution. I believe recently in their analyst said that probably in couple of months they should be able to start commercial production.

MANAGEMENT: Well.

MANISH: Even they are going through homologation of their locomotive.

MANAGEMENT: Correct. So I think we will see some movement of the business during the third and fourth quarter of this year. But I think next year we will see more of a significant you know improvement in the in that model of compressors and locomotives. But still, you know, we're still going through some, you know, uncertainties as to you know there are budget allocations and that's a function. So all that is there, you know.

MANISH: Sure.

MANAGEMENT: Yeah.

MANISH: And on the motor side, you did mention that this year will be almost meeting internal requirements to the extent of 50 to 90%. So in terms of cap

acities, How are we positioned.

MANAGEMENT: Yeah. Yeah, we started the investment in that a while ago, but unfortunately we were let down by the 1st supplier of the machine and then we switched to another supplier. Unfortunately, the supplier was from China and we got the equipment, but they couldn't come and install it because visas were not given for Chinese. So now that is opened up and the machines are getting installed. So we're quite confident. That we have the capacity. That's not an issue.

MANISH: Thank you very much. And I'll get back.

MANAGEMENT: Thank you.

MODERATOR: Thank you, Manish. Next question I have is from the line of Vipul. Vipul, you may unmute yourself and go ahead. Vipul. I think he has some technical issues, Sir, but probably what I'll do is I'll take a couple of questions from the chat window first. First question was around Siemens, which I think you've already answered.

MANAGEMENT: Yeah.

MODERATOR: The second question is, If you could point out the reason of why the why there was a higher growth in revenue and profitability in this quarter. And the second part of the question is also how the stabilizer product is doing. Have we received any revenues from it in Q4. Or is it still in early stages.

MANAGEMENT: The see typically there is a hockey stick always in ELGI and in India in the last quarter. So that's one of the contributors for the increase in the in the revenue. The second is Europe did very strongly for us in the fourth quarter, so that is was a significant contribution. So and US also, by virtue of both the industrial and the medical business did very well in the fourth quarter. So it's a combination. It's not one particular thing. It's a multiple of things that contributed to the last quarter thing. That's always been a hockey stick there. Stabilizer, like I just explained, multiple machines are out in the field. I expect to see a full launch during the third quarter, and we will start to see some numbers.

MODERATOR: That is what we have in the chat, Sir. The next question I'll take is from the line of Samyak Jain. Samyak, You may unmute yourself and go ahead with your question.

SAMYAK JAIN: Good morning, Sir. Just one question from my side. We see that on a consolidated basis the cross margins are written 11 quarter low. So I understand that some part would be at can be attributed to the one time cost that you had, but if you could throw some light like what was the reason for the lower gross margin, that would be helpful.
MANAGEMENT: So when you meet, when you are referring to gross margin at which profit level are you looking at Samyak.

SAMYAK JAIN: The material margins reduce after reducing the raw material cost.

MANAGEMENT : At material cost or contribution is actually good compared to the previous one, so I'm not able to connect with exactly your question.

SAMYAK JAIN: Sir 49% in quarter four versus. 51% in the previous year.

MANAGEMENT : Yeah.

SAMYAK JAIN: And I'm taking all the raw material cost purchase of finished goods, etcetera to compute this cross margins.

MANAGEMENT : Yeah. So some of the expenses that we have taken hit is inventory. And when you take it on inventory, it affects your material consumption, right. So it's only that otherwise business as usual, margins are quite constant and healthy.

SAMYAK JAIN: Ok, It's just the one-time impact that has.

MANAGEMENT : Yeah, yeah

SAMYAK JAIN: Got it, Sir. Thank you.

MODERATOR: Thank you, Sir. We'll try the line of Vipul again. Vipul can you unmute yourself and go ahead with your question. Hi Vipul

MANAGEMENT : I think it seems to have continuing to have that issue, yeah.

MODERATOR: Yeah. So, we'll move ahead of it. one second. Not being able to see the queue. Yeah. Next question. We'll take it from the line of Prem Doshi. Prem, can you unmute yourself and go ahead with your question. Hi, Prem. Seems to be a

problem again.
So what I do is I'll take Ravi again.

MANAGEMENT : Yes.

MODERATOR: Hi, Ravi. Can you unmute yourself and go ahead with your question?
RAVI SWAMINATHAN: Yeah. Hi, Sir. Thanks for taking of this follow up question. So I am looking at kind of the numbers consol minus standalone and looking at the Subs number and taking it as a proxy for our international business.

MANAGEMENT : Yeah.
RAVI SWAMINATHAN: In terms of profitability?

MANAGEMENT : Ravi.

MODERATOR: Ravi. Ravi, you're you moved on mute again. Could you please unmute yourself?

RAVI SWAMINATHAN: Yeah, yeah, yeah. Now am I audible?

MODERATOR: Yeah, yeah, yeah. You're audible.

MANAGEMENT : Yeah.

RAVI SWAMINATHAN:
Yeah. So with respect to that international profitability, I mean it has been in that range of 6

to 8% high single digit range and we have been, I think employ investing on employees, fixed costs, etcetera, across geographies. In terms of that, those investments which we have been doing across years. Is it likely to taper off in the next few years, which can start contributing to operating leverage for you from an international business angle, both in terms of head count and the associated infrastructure investments.

MANAGEMENT : Yeah. So if you look at the profitability of the international business outside of India, the rest of the world business. You know what you're saying, What the arithmetic you're doing is correct. I mean, I mean, notionally correct, you're taking the console profit and mining the standalone profit and you're saying pretty much there is very little left. But the fact is there is a profit. In India, which isn't reflected in the standalone business on the sale from India to the subsidiaries, right. So that's one level of profit which is not readily visible, and it's not something that we would like to, you know, make a big disclosure on.

RAVI SWAMINATHAN: OK.

MANAGEMENT : OK. That's one part of it. But that's not a significant part. So if you look at, if you go back to the post COVID year and you look at Before our LN implementation, ERP implementation in the US. If you look at that arithmetic, the US contribution was pretty significant, you know.

RAVI SWAMINATHAN: OK.

MANAGEMENT : And there is no reason why you cannot come back to the same levels, right. So we are working on two things. One is to grow the top line. And towards that, we are focusing on only investing in revenue producing roles and we are trying to through shared services and offshoring some of the overhead processes. We are reducing the overheads in all these locations all over the world, so that's an ongoing exercise in the next couple of years, we will see some significant reduction in overheads by virtue of this process. So through a combination of both investing, I mean growing the business, investing in revenue, producing role offshoring some of the overheads that are there, we are structurally correcting some of these businesses so that we are able to, you know, eliminate costs and improve profitability.

RAVI SWAMINATHAN: Understood. Got it, Sir. Yeah, thanks

MODERATOR: I'll take the next question from the chat room. Prem, whose mic wasn't working. So he's put up. So what is the guidance for the consolidated revenue growth. We are for FY26 both conservatively and aggressively. This FY we had a revenue growth of around 9% and Is there a better outlook going forward for the same.

MANAGEMENT : So Prem, to answer your question, I think I answered it in the context of somebody else's question. We have given a guidance for 25-26 as part of our five year guidance that we did five years ago. We are quite confident that we will hit that that you know, I don't want to get into aggressive and conservative, but that's really our projection which is $450 million of top line revenue. 16% EBITDA and 30% return on capital employed. So we're confident that we will

hit these numbers now we, yes, we have grown about 9 odd percent this year. Will next year be better than this. Again, I don't want to put anything on the ground because a lot of uncertainties at the moment with respect to the US tariff and its impact. Rippling impact on the various economies. Of the world, assuming it is, everything comes back to a steady state. Nothing negative, and India continues to be a good story. We should be able to do this. Minimum do this same growth as last year.

MODERATOR: So the next follow up question from the chat is, does ELGI have any role to play in Indian defence manufacturing moving forward moving to India. And other products already there in offering or said to be introduced for the defence manufacturing industry.

MANAGEMENT : No, we don't make anything that is directly related to defence, but we supply a lot of our compressors. In. For defence units in their maintenance. Plus, the joint venture, ELGI Sauer is a big supplier of compressors for submarines, aircraft carriers and destroyers. Frigates. We are one of the largest suppliers in through the joint venture.

MODERATOR: Sir, I'll take it from the line of Mayank now . Mayank, you may unmute yourself and go ahead with your question. Mayank.

MANAGEMENT : People seem to be having difficulty on muting and speaking. I don't know why. Mayank spoke earlier, did he not.

MODERATOR: I think so. Sorry, did it was a follow up question Sir.

MANAGEMENT : OK.

MODERATOR: I'll take the next question again from the chat window

MANAGEMENT : Yeah.

MODERATOR: Sir, How much of the revenue is after sales and will that run rate continue going forward or there is a chance of improvement after sales in maintenance contracts.

MANAGEMENT : So there is a big difference in the after sales as a percentage in India versus the after sales percentage in the rest of the world primarily because. The after sale is a function of the installed base and the install base of machines is more in India and less in the rest of the world. So this is a progressive increase that happens in when you install machines, your aftermarket keeps growing. Now, having said that, in India our aftermarket would be close to, I don't have the numbers readily in front of me, but I'm making an intelligent guess. It's about 27-28% is on our revenue in India in the rest of the world, we are probably around 13 to 14% right now in both these percentages have to keep improving as we progress through the life cycle of life of the of the. Operation, I mean I we get more and more machines installed then there is more and more aftermarket coming in.

MODERATOR: Yes, so I'll try Vipul once one last time in case if he's able to do it. Hi, Vipul can you unmute yourself and go ahead with your question. I don't think so. He's able to do that. So, so that was probably the last question on the line and then the chat window, yeah.

MANAGEMENT : Yeah, yeah, yeah.
KAMLESH: Hi, Jairam this is yeah, just one question from my side Jairam about Europe.

MANAGEMENT : Yes, yes.

KAMLESH: Can you elaborate in terms of the strategy, how it is working. Are we on track to have a break, even achievement in this year FY25-26 and incremental cost that may come towards the ramp up that we had planned as per earlier strategic plan please.

MANAGEMENT : Yeah. Yeah, sure, kamlesh. Now to answer your question. Except for some one-off things like our tax consulting that we had to do, we have broken even in Europe this year as we anticipated the like I said, the last quarter growth was quite strong in Europe

MANAGEMENT : But the only caution here now is the Tariff other than that, we are not pretty strong wicket, right. But we are watching the situation very carefully. We are not going to invest anything more, right. What we are going to do is in response to any, if there is any challenges, we will look at cost structure changes, not in terms of y

ou know this Willy nilly.
reduction in cost, but structurally change the business to see how what is the appropriate structure for the new reality and then bring the cost down to that reality, right.
So this is something that we are going to watch very carefully in the first quarter.

MODERATOR: OK, great. OK. Thank you very much Sir. Any closing remarks you would want to make.

MANAGEMENT : Nothing specific. I think overall we are in. Good, exciting times. Some uncertainties, but the company is on a stable platform and wicket we can continue to grow from here and we expect as the growth happens, we are quite confident that there are, there will be no surprises in terms of achieving the profitability that we that can come from.
That growth, yeah. So again, I want to thank Kamalesh and his team and Asian market security for hosting and all of you. For participating in this call. Thank you very much.

MODERATOR: Thank you, Sir. Thank you.

MANAGEMENT : Thank you.

# Call: Aug 2025

August 19, 2025
Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Symbol: ELGIEQUIP BSE Limited (BSE)
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001
BSE Scrip Code: 522074
Dear Madam/ Sir,
Subject: Transcript of Q1 2024-25 Analyst/ Investor Concall held on August 13, 2025
In furtherance to our earlier in ■ma■on dated August 12, 2025 regarding the presenta ■on of Q1 2025-26 Analyst/ Investor Concall and pursuant to Regula ■on 30 read with Para A of Part A of Schedule III of the SEBI (Lis ■ng Obliga ■ons and Disclosure Requirements) Regula ■ons, 2015 (“Lis ■ng Regula ■ons”), please ■nd enclosed herewith the transcript of the Q1 2025-26 earnings conference meet for the analysts/ investors held on Wednesday, August 13, 2025, at 10:00 AM (IST) through Microso ■ Teams Mee ■ng.
The aforesaid informa ■on is also being made available on the Company’s website at h■ps://www.elgi.com/in/analyst-conferences/ .
The above is for your informa ■on and record.
Thanking you,
Yours faithfully
FOR ELGI EQUIPMENTS LIMITED
ROHIT GUPTE
COMPANY SECRETARY AND COMPLIANCE OFFICER
Encl.: as above
Q1 2025-26 – INVESTOR MEET CALL

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR.
MODERATOR: MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED

MODERATOR:
Good morning, everyone on behalf of Asian Markets, we welcome you all to the Q1 and FY25 earnings Conference Call of Elgi Equipments Limited. We have with us today Mr. Jairam Varadaraj, Managing Director, representing the company. I would request Mr. Jairam to take us through the results presentation followed by Q&A session, over to you, Sir. Thank you.

MANAGEMENT:
Thank you very much, Kamlesh. Thank you very much Asian Market Securities for organizing this. Ladies and gentlemen, I apologize for being a little late. I had some difficulty connecting.

MODERATOR:
Sir, you are not audible.

MANAGEMENT:
Can you hear me now.

MODERATOR:
Sorry Sir, we can't hear you.

MANAGEMENT:
Can you hear me now? No.

MODERATOR:
No, Sir, your voice is sounding too low.

MANAGEMENT:
Is it better?
Is it better now?
Can you hear me?

MODERATOR:
Yeah, can you be a bit louder, Sir? Then it will be OK.
MODERATOR:

Yeah, yeah. Now it's better. Perfect. Go ahead, Sir.

MODERATOR:
Sir, we seem to have lost you again, Sir.

MANAGEMENT:
Need to get disconnected on this? Yeah, I just connected.
Can you hear me now?

MODERATOR:
Yes, Sir.

MODERATOR:
Yes, I think better.

MANAGEMENT:
I don't know what to do here. I just had difficulty right through this morning. Can I go ahead now?

MODERATOR:
Yes, Sir. Yes, Sir. Please go ahead.

MANAGEMENT:
OK, so ladies and gentlemen, I apologize for this. I had some difficulty connecting due to technical issues. I'm really sorry about that. I hope you can you let me project this again.
I hope you can see my screen now.

MODERATOR:
Yes, It is visible.

MANAGEMENT:
OK. Thank you. Again, apologies. I'm going to take you through the earnings call and some highlights about our business. I'll start with as usual, the EBITDA reconciliation compared to the previous year same quarter. Our revenue grew by about 8% and for that 8% our EBITDA should have been 1500 and odd million, whereas we came in at 1200. Our contribution and gross profits have been quite healthy, continue to be strong. There were two expenses that have gone up. One is employee cost and other expenses. I had highlighted earlier that we are going through certain initiatives as part of our various programs including our digital, IT, finance transformation, so the expenses that have come in are relating to that. Our employee cost as you will notice; its a 10% increase but the actual increment is not 10%. The normal increase has been in the range of 5% to 6% in a global context and the balance o

f the increase
has been primarily headcount increase that we have planned and done as part of the initiatives. So, the summary of this is profitability at an operating level continues to remain strong. Our expenses are pertaining to initiatives that we are very sure is going to give us solid results in the future.

Moving on to the sales highlight; all of our regions and countries grew except Europe and Australia. Europe continues to remain challenging economically and there are things that we need to do as well, which we have initiated as part of shifting direction. Australia, the economy has been weak, but it's coming back, and we are quite confident that with some of the things that we are doing, we will get back to a good growth in these two regions.

So, this is a highlight at both at a revenue level which have we've already spoken about. At a PBT level we have grown 18% and you will see it towards the end of this presentation when you look at the consolidated or the overall financials. We have done very well in terms of our cash position, and we have managed that cash very well through our treasury and that has contributed also to a healthy PBT besides the operations. Sales mix both between the businesses, between the two businesses and geographically has roughly been the same. It kind of vacillates 2% or 3% up and down from quarter to quarter. So, it continues to be at the same level, and we expect that this will be the case going forward as well.

This is the consolidated financials that I was referring to. When you look at our PAT growth has been quite significant on the back of our other income, which includes financial income that through our Treasury and our cash. So, our net cash position as of the end of the first quarter has been pretty healthy. In my earlier call we were talking about managing our inventory, managing our receivables, managing overall working capital - all these are beginning to yield results. What you're seeing now a big contribution does not come from all the initiatives that we have kicked off for better working Capital Management. Therefore, I expect to see improving cash positions in the coming quarters. So, this is an overall presentation from my side. Just as a quick thing on revenue, our revenue has in terms of our growth we have had, just give me a minute, quite a bit of it has been our volume growth. There has been a balance between volume growth, exchange rate as well as price increases. So, I wouldn't say that any one has been a huge contributing factor, but a large piece, a big contribution has come from volume. So, this is really what I wanted to say as far as the numbers are concerned.

I will now give you a little bit of background on our various businesses. We will start with Australia. Australia, like I said, has had challenges in the economy. We are working on different initiatives to expand our presence there. So it’s been slower than what we expected, but we think that in the third and fourth quarter we will start seeing some strong comeback in Australia. Southeast Asia continues to be a very small region. Growth has been there compared to the previous year, but its not a large number. We've got some initiatives that we are looking at in specific countries, but its too early to talk about. India has been a strong story for us, continues to remain strong, but we are beginning to see some hesitation in markets, some tentativeness brought about by all these conflicts in the different parts of the world, but more importantly the tariff situation in the US, the inquiry levels continue to be strong, but finalizations are getting deferred because people are wanting to wait and see where this whole tariff situation is going to land. Everyone knows that 50% is not sustainable, not only for India, but for the US and for the rest of the world. But where will it land, will it be at 20-25%, this is something that people would like to unde

rstand and before they go forward
in terms of investments.

We are seeing that, but nevertheless our various initiatives across various product categories are partially compensating for it and that's where we are beginning to, I mean we have seen the growth. We continue to remain optimistic about delivering on this trajectory in the next few quarters in India. So, I don't see any reason for us to be too concerned. Moving further West into Middle East and Africa, both those regions have done well for us in the past and they continue to do well; Strong revenue and strong profitability. From a region point of view, they're still small, but they are quite robust in their operations and profits.
Europe has been a challenge. We are working towards various initiatives that will kick start for us Europe all over again. We are keeping our head above the water as far as not dipping back into a loss situation, the loss that we are seeing is primarily because of the extremely strong euro with respect to the rupee. In rupee terms, there has been an increase in loss primarily because of the depreciation of the rupee. But in euro terms, we are still keeping our head above the water and we are working on various initiatives not only to protect the bottom line, but to grow the top line quite significantly. Our Rotair business is under challenge primarily because there's a large dependence on the US market and with these tariffs and the general dip in the construction and mining segment in the US, which goes through cycles and right now we are at the bottom of the cycle. There has been a challenge, but the business and the company still making profits and we can we hope that the next few quarters there will be growth in that entity. Moving on to the Americas, North America specifically, particularly, it has done well for us in.

MODERATOR:
Sir, we are losing you in between, Sir.

MANAGEMENT:
Can you hear me now?

MODERATOR:
Yes, Sir, you are audible now. Could you please repeat the last statements and the one that you're making? Sir, we are still losing you, Sir the words are dropping in between sir.

MANAGEMENT:
OK. Is it better now?

MODERATOR:
So I mean, the volume of your voice has gone down.

MANAGEMENT:

Can you hear me now?

MODERATOR:
Yes, Sir, it's getting better.

MANAGEMENT:
Is it OK?

MODERATOR:
Yeah.

MANAGEMENT:
OK. So, the thing is, I'll repeat what I just said. As far as the US market is concerned, all our businesses are growing well there. But to sustain our industrial business, which is, I'll talk about the industrial business 1st and then come back and talk about the portables, the industrial business at 25% tariff, we would have managed. We had created already multiple initiatives.

We have inventory that will last us for a few more months, by which time these initiatives would kick in and we were reasonably confident that we will overcome the impact of 25% duty and still be competitive in the US market. Now with this additional 25% duty, the current initiatives that we are running and the current options that are available are not adequate. We need to make some fundamental, structural changes which we are evaluating.
It is too preliminary for me to talk about it for two reasons. One, the plan itself is at a certain altitude which would be not prudent for me to talk. Second is we don't even know whether this 25% is going to be sustained. So, in the next month, month and a half, we will know whether we need to trigger some of these structural initiatives that will enable us to compete in that market with that additional 25% tariff, so that's really where we are. So, for the next few months I think till the middle, middle to end of the third quarter, we should be fine. We hope that we will find a resolution between now and then, either in the form of lower tariffs that get settled, which we don't influence. But if that were not to happen, at

least we will
have a plan in place. Now if we have to make some structural changes in response to this additional 25%, it'll take us at least a year for us to respond to those to get back to that level of competitiveness. So, things are very fluid now. So, I don't want to make any firm statements except that we are really on top of things. We are working on multiple initiatives to resolve.
It is a strategic market. This is not a market that we are going to walk away from. No amount of duty is going to, you know, distract us from our presence there. We will continue to work on solutions. This is on the industrial side.

On the portable side, it is primarily exported out of Europe from Rotair. There is a 15% impact. We are working on various cost reduction initiatives, and we are reasonably confident that we will be able to mitigate this 15%. So, I'm not too concerned about the portable business. As it is, it's at a low point in the cycle. We expect in another 6 to 8 months or a year it'll come back and we'll be in a good position to capitalize on it. So overall, except for the uncertainty in Europe, I mean in the US tariff situation, everything is good. So now I will wait for your questions to clarify further. Thank you very much.

MODERATOR:
Thank you so much, Sir, for your opening remarks. We'll wait for the question queue to assemble. Give me a couple of minutes. Sir, the first question, we'll take it from the line of Harshit Patel. Harshit, you may unmute yourself and go in with the question.

HARSHIT PATEL:
Hi, Sir. Thank you very much for the opportunity. So, my first question is on the composition of our US business. We sell industrial compressors manufactured in India and then we export it to US. We also sell portables from Rotair to US. We also assemble those medical compressors branded in the name of Pattons over there. So, what is the share of all these activities in our overall North American revenues? So, I'm just trying to gauge what portion of these revenues will be impacted by tariff and to what extent.

MANAGEMENT:
So I understand your question Harshit. I don't want to get into that minute details. If you can go to our annual report of March 25, there you will see the sales of the various entities. Yeah, that is declared there. So, you will be able to make out what percentage of the revenues delivered by which entity there. Yeah. So, there is Pattons Inc, there is Pattons Medical, there

is Michigan Air and ELGI Industrial, which is a combination of both industrial and portable. I wouldn't like to give you the split between those two products, but from an entity level, those numbers are there.

HARSHIT PATEL:
Well, so just to clarify, this Michigan Air, all these products are manufactured in India only or do we have some other kind of sourcing arrangement over there?

MANAGEMENT:
Most of our equipment sale and aftermarket sale comes from India. There's very little, very little you can on average take about 15% as bought out there.

HARSHIT PATEL:
Understood. So, my second question is on the profitability in both US and Europe. I think we had achieved the break-even level in the fourth quarter of FY25 in both these geographies and correct me if I got it wrong, you mentioned that at 25% tariff levels, not the additional 25, but the initial 25, we should be able to sustain these break-even levels in the US.

MANAGEMENT:
No, US is actually profitable Harshit, right. It was not profitable in the last quarter of last year, but this quarter it is profitable. We can sustain it and I'm saying US has at a consolidated level of all the businesses, it is profitable and we can sustain it if the tariff is at 25%. That's my point. As far as Europe is concerned, it had broken even last year. It continues to break even at a euro level, but because the euro has depreciated, I mean appreciated significantly, there is a loss when you restate it in rupee terms.

HARSHIT PATEL:
Understood perfectly. Thank you. Thank you very much, Sir, for answering my questions. I'll come back later.

MODERATOR:
Thank you, Harshit. Next question, we'll take it from the line of Mayank. Mayank, you may unmute yourself and go ahead with the question. I think we're facing some technical difficulty from Mayank's end. We'll take the next participant in line Rahul. Rahul, you may unmute yourself and go ahead with your question.

MANAGEMENT:
I'm wondering if everyone's got technical issues today.

MODERATOR:
Rahul? We'll take Rahul a little later.
Next question is from the line of Bhavin Vithlani. Bhavin, you may unmute yourself and go ahead with the question.

BHAVIN VITHLANI-SBIMF:
Good morning, Jay.

MANAGEMENT:
Morning, Bhavin. How are you?

BHAVIN VITHLANI-SBIMF:
Very well. Thank you, Jay. First, my compliments, really impressive performance and we saw your peer reporting yesterday. I mean really appreciated the performance. I have a couple of questions, so you have 18 key end user industries that you outlined in the annual presentation and out of that the critical ones that which are the larger ceilings. If you could give us a colour where you are seeing an uptick in the inquiry level and where is it that you are actually seeing a slowdown or and I mean mid-teens growth for us is really impressive and it looks like you have clearly gained share. So, and what's the kind of share that you have gained?

MANAGEMENT:
So, I don't want to talk too specific, Bhavin. The point is, as far as India is concerned, before all this tariff conversation started, there was high levels of optimism across all segments. There was no, I wouldn't call out any one segment that was especially strong or a segment that was especially weak. Now across the board we are seeing a bit of a pause, but the pause and the reversal are a little bit more pronounced in segments that are more substantially dependent on the US, namely the textile industry, right.

Auto components is the second one, but auto components, I think. I think they are a lot more confident that they can handle the tariffs better, but textiles, considering that Bangladesh and the other countries that could become a competitive option, their degrees of freedom to respond are limited, whereas auto components you don't see the switching costs are very high. I don't think it's going to happen that quickly.

BHAVIN VITHLANI-SBIMF:
Sure. And on the market share, it clearly looks like you've gained considerable share.

MANAGEMENT:
We haven't tallied our share yet. We are growing, no doubt. You know, this is market share is a very elusive number because it's not really published in any meaningful manner. Once in a while, we'll go back and try and assemble together the market data and try and do it. But to your point, yes, have we gained? We probably have.

BHAVIN VITHLANI-SBIMF:
And some of the initiatives that you had in terms of stabilizer, the depth of increase in the depth of products for the oil free screw and also if you could also talk about the water well piece given that monsoons are starting.

MANAGEMENT:
Well, the stabilizer has been put into the market for more extensive customer feedback and not so much customer feedback, but to gain testimonial and every customer that we have installed, their experience has been outstanding.

So, we are very, very excited about it. In the month of September, we will be launching the product or the technology across India and I think by April is the time timeline for launching it globally, right. So that's a very exciting thing for us. Similar such technologies are being worked on at various stages of being ready to bring into the market. As far as the water well is concerned, you know like I said, it is at a not at the peak, not at the bottom. It's kind of somewhere in between. We are continuing to hold and in some locations gain share.

So, it's
not a big market at this point in time. The total market is not so big. We are doing better than what we had planned in water well. I'm sorry, I forgot your third question.

BHAVIN VITHLANI-SBIMF:
Oil-Free screw

MANAGEMENT:
Oil-free screw, yeah, we have the full range. There's nothing specific that we have done, yeah.

BHAVIN VITHLANI-SBIMF:
So last question from my side. So, when I look at last year's performance for the US, revenues were flattish and in the commentary you mentioned there was a significant drop in the portables. So, is the share of portables too tiny that even a sharp drop doesn't impact the overall headline numbers for the US.

MANAGEMENT:
It's not true. I mean, portables is not a small business and at peak levels and when it drops, there is a substantial drop. But overall, will it have a huge double-digit impact? No.

BHAVIN VITHLANI-SBIMF:
OK. Yeah. Thank you so much. Those are my questions.

MODERATOR:
Thank you, Bhavin. Next question, we'll take it from the line of Mayank. Mayank, could you please unmute yourself and go ahead with the question? I think the problem persists sir we'll take the next person in the queue.

MANAGEMENT:
Yeah.

MODERATOR:
Vipul, can you please unmute yourself and go ahead with the question? Vipul.

MANAGEMENT:
There's a message from Mayank saying that he is not able to unmute. Is there an overall control that you have?

MODERATOR:
No, Sir, the lines are pretty much open. Uh, Mayank, can you unmute yourself?

MANAGEMENT:
He sent a message saying that he's unable to.

MODERATOR:
Yes, Sir, I read through it.

MANAGEMENT:
Yeah. Maybe it's the same problem with Vipul as well.

MODERATOR:
Sure. Uh, we'll take the next person in queue, Sir. Salil, can you unmute yourself and go ahead with the question?

MANAGEMENT:
OK.

SALIL DESAI:
Yes, thanks, Kamlesh. Good morning, Doctor Jay. So, my question is you know on these cost saving initiatives that you are going to put in place if you know tariffs remain at 50%. Right now you've already done a 25% kind of, you know, bridging the gap between what you were earlier and the new tariffs. Now another 25% seems like a very, you know, at least to us as outsiders, that seems like a very tough one to achieve. So, would love to understand, you know maybe one or two examples of what you have managed to do to bring it down and related to that is you know how much time you think you need to get from 25 to 50% tariff adjustments.

MANAGEMENT:
So Salil, what I had said is we have a solution in place for the first 25%, right? We don't have a immediate solution in place for the next 25%. The next 25%, the solution is not going to look like the solution that we have had for the first 25%, right? So that's why I said the second 25 will involve certain structural changes in the way we are organized, our geographical presence and all that, yeah it will demand a much more fundamental change. Now those changes, those fundamental changes will be expensive to implement. It will take time to implement and therefore before we trigger them, we need to be 100% sure where this tariff is going to settle down. Yeah, till then we will not trigger those kinds of solutions. The first 25% is in the bank. We don't have an issue. We will deal with it. Part of it will be a price increase because everyone is looking at a price increase. Some of them have already implemented it. We will wait and watch at what levels the market settles down as far as prices are concerned. We think it will be anywhere between 5 to 10%, right? It'll be the price correction that will take place as a consequence of these tariffs. Now, therefore, it leaves us a gap of anywhere between 15 to 20%. We have, well, we have, we have enough done to be able to mitigate that. So, 25, we are very good.

SALIL DESAI:
Right. And if it settles below 25, then obviously you maybe

pass on some of the prices to the
customers.

MANAGEMENT:
No, it's profit for us.

SALIL DESAI:
Profit for you. All right, fantastic, great. So, second question is, you know this domestic market share, you know what looks like could possibly be a market share gain? Would you hazard a guess as to you know, is it your new variable frequency drive products that are driving this or would this be a longer term you know investments in business that you made which has helped you get where you are?

MANAGEMENT:

No, this is not technology. Like I said, the new technology that we have launched is not been launched yet, right. So, the impact that you're seeing is not from that. That is just fundamental shifts in the way we are doing business, engaging with customers, our market strategy, our marketing strategy, all of it. So, I can't put a figure saying that this one thing has given us that right.

SALIL DESAI:
Fair enough, fair enough, great. And Sir, lastly, if you know you were to look at, you mentioned that you know till the tariff increases happened, you know domestic market looked all right in the sense that your customers seemed quite optimistic of the outlook. Textiles and auto comp are now impacted, but broadly you see ex of tariffs, what is the general demand commentary, because you know the macro does not mean the newspaper headlines always seem to be a little pessimistic. But when you are on the ground meeting customers, how do you see broader industry demand in India over the next 12 months or so.

MANAGEMENT:
Ex tariffs, I think everything is positive. But you know, it's very difficult to say, you know, we'll ignore the tariff, right? And it's a large market. It's a large economy. Forget the market in the US, it's a large economy which any dislocations there could have a ripple effect globally, right? So, nobody can really ignore it, right.

SALIL DESAI:
Got it. Got it. Great. That was all from me. Thank you so much.

MODERATOR:
Sure. Thanks, Salil. Next question, we'll take it from the line of Amit. Amit, you may unmute yourself and go ahead with your question.

AMIT ANWANI:
Hi Sir, Am I audible.

MODERATOR:
Yeah.

MANAGEMENT:
Yeah.

AMIT ANWANI:
Yeah, thanks for taking my question. So first question on the delay in finalization of orders which you highlighted, which many companies are highlighting amid tariff uncertainties and geopolitical situation which we saw. So wanted to understand even if with the scenario of 25% tariff or 50% tariff, are we going to see the delays continue for the remaining 9 to 12 months? Are we going to see the projects getting shelved off because of the higher tariff, even if it is 25%? Some understanding there and any particular sectors where we are seeing the finalizations has been particularly delayed because of this scenario. That is my first question.

MANAGEMENT:
So, I can't give you a coherent answer at an economy level, Amit. I can only say that certainly customer sentiment is wait and watch. Right. It is not about closing projects. Nobody's closing projects. Everybody's saying let's wait and see. That's the prevailing sentiment. The optimism with respect to the Indian market continues to remain. But everyone’s saying let's wait and see. Yeah, as far as the segments are concerned, like I said in my in my earlier thing, there are things like textiles who have a significant dependence on the US market and who have a significant impact because of tariffs and where there are alternate countries as solutions for the American customer, they are a lot more concerned and therefore a lot more cautious about investments. Textiles is an example. I mean, when you look at textiles, you have Bangladesh, you have Vietnam, you have Indonesia, you have Thailand, all of them have got much lower tariffs than India, right. So, there is definitely and the switching costs in these are not very high, right? So, when

that happens, there will automatically be an apprehension. The
rest, we'll just have to wait and see where it lands, because it's too much of turbulence and dust for us to see through this cloud, yeah.

AMIT ANWANI:
Sure. The second question is on the Europe and Australia market. So, I recollect for Europe,

we did also highlight that we'll be expanding into Nordic countries where the opportunities exist and also setting up expanding the distribution network there. So, have we done any progress there and despite Europe is slow down, are we thinking of any other strategy apart from what we highlighted in our last call that you'll want to expand to Nordic countries, so any further strategic change we are doing in Europe to become better there.

MANAGEMENT:
So, Nordics was nothing new. We've always been present in the Nordics and it continues to do well for us. The problem is not a specific location in Europe. Generally there is a, you know, post the Ukraine war really dislocated energy prices and there were issues there. Then all the major economies in the Europe took an impact on the cost of many refugees coming into Europe from various countries like Syrians, from many countries, so they had to pay for it. So there was economic constraints because of that and then the general, US tariff thing. So it's a combination of multiple things that that there is a certain economic stagnation. But one vector that everyone is looking at as a bright spot is the huge investment that the whole EU is making on defence.

AMIT ANWANI:
Sir, I can't hear you. Uh, I'm audible.

MODERATOR:
I yeah, yeah. I think Mr. Jayaram has just frozen. Give us a minute. I think he'll reconnect.

AMIT ANWANI:
Yeah.

MODERATOR:
Hello.

AMIT ANWANI:
Yeah, yeah, you're audible Kamlesh.

MANAGEMENT:
Can you hear me now?
I am back.

MODERATOR:
Yes, Sir. So, we can see you. The voice is a little lower again.

AMIT ANWANI:
Yeah, voice is breaking up, yeah.

MANAGEMENT:
Really don't know.
It better now.

AMIT ANWANI:
Yes Sir, good.

MANAGEMENT:
I apologize for all these constraints. I was telling about the investment that's being made by the EU in the defence sector, the significant amount of capital that is being put in. There will be a trickle-down impact on the demand for general industrial growth. So, we expect that's a bit of a rainbow at a distance and we are hoping that the economy, the whole European economy will get a boost by virtue of this, but that's not a short term play, that's more a medium to long term play.

AMIT ANWANI:
Right, Sir. Sir, lastly on our CAPEX plan, we did talk about 250 Crore in first two years. Just wanted to understand amid all the challenges, is this on track and secondly our guidance of $450 million this year. Yeah. Is this on track? That's my last question. Thanks.

MANAGEMENT:
Yes, the investments that we have, we are not here for the short term, Amit. We are here for the long term. There are certain expenses that we may cut back which we can defer, we will defer, but whatever is required for sustaining the business in the longer term as per the

longer-term plan, we will definitely continue to do. So, that investment is continuing. It's on track, a few delays here and there by virtue of rain and stuff like that, but otherwise we are ok. As far as the guidance of 450 million, we are on track towards achieving it. But the question really is if the rupee becomes 90 or 87, now it's already 87. You shouldn't hold us accountable for that division. Right. So, you know, if you divide it by a larger number, obviously our India revenue is going to become smaller. But general direction structurally, yes, we are there.

AMIT ANWANI:
Thank you, Sir.

MANAGEMENT:
So there were some questions in the Q&A. You want me to deal with them?

MODERATOR:
Yes, yes, Sir. Sir, we'll take those questions. These are from participants who c

ouldn't unmute
themselves. So, first question we'll take from Mr. Vipul Kumar. He said, Sir, what is the progress in introducing economical range of consumers which can compete with low price Chinese products?

MANAGEMENT:
So, the products are ready. They are all undergoing field validation. We are very confident that they will work because the fundamental architecture is based on our own products. So, we have not developed any new parts. So, to that extent, the reliability is very, very high. Nevertheless, we wanted to get customer feedback. So that's where we are at. What we are really focused on is our strategy for the low-end market. It's not product is only one part of it. Price is the second part of it, which we are already clear. The product and price is clear, but the whole strategy does not work with just product and price. There is a whole idea of how do you brand it, how do you take the brand to the market, what is the distribution network, how do you get to the customers etc. So, these are all pieces that we are now building up, right. So, we are confident that the whole launch strategy of entry into that market we will do sometimes this Financial year.

MODERATOR:
Sure, Sir. The second question from Vipul is, Sir, what percentage of our motor requirement is manufactured in-house and where do we see ourselves in next three years and what impact will it have on our margins?

MANAGEMENT:
So I don't want to talk specifically about the profit margin that we are going to make. I will give you general direction there later on. Percentage wise, right now we are at around 40 to 45%. By the end of this financial year, we'll be close to about 70-75%. I think in another two years we'll be close to 90%. So, this is really the progression that we will have in terms of our Motors supply in our in-house production, supplying to ourselves. Directionally, you know our motors are at the same cost structure as the Chinese motors that we were Imported. Now having said that, half of our revenue that is primarily India, Southeast Asia, little bit of Australia were using Chinese motors, the rest of the world, whether it was Europe or America, we were using either European or American motors. Now, if the difference in pricing between a Chinese motor and a European American motor is in the order of about 20-25%. So, you need to do the math in terms of interpreting this roughly. That's the general direction.

MODERATOR:
Sure. Thank you, Sir. Next question I'll take again from line of Mayank who couldn't unmute himself. Sir, segmental gross margin in compressor has increased sharply sequentially 53% in 1QFY 26 versus 50% in 4QFY 25. Is this associated with some kind of price hike.

MANAGEMENT:
So, I see this question. I would like to understand what he means by gross margin because in the way we look at it is, we look at contribution margin which after variable cost is pretty much flat, right? So there has been no sharp increase. So, if he's looking at a different definition of margin, I don't know what that is. So that's point No. 1. Now that contribution margin combined with a higher revenue, a flat contribution, sustained contribution on a higher revenue is giving us a flat percentage of EBITDA and the primary reason for that is the investments that we have made on various initiatives in people and certain, you know, software and consultancy that we have done, right? So, what kind of margin we expect? I believe that the contribution margin will be sustained, EBITDA margins at the current level

will also be sustained. So, I don't see that as a concern.

MODERATOR:
Sure, Sir. Next question. I'll take it from line of Naysar. Yeah, I hope I have pronounced the name right. Could you please unmute yourself and go ahead with the question.

NAYSAR:
Yeah, Hi. Thanks for taking the question. What I wanted to understand is Sir, you mentioned about the tariff situation that you k

now after maybe a 5-10% price hike, you have the 15-20%
to adjust which you know, you should be able to do. The quantum 15-20% is not less, I just wanted to understand, you know, what levers are you using to ensure that even after that 15-20%, the impact on profitability is not much.

MANAGEMENT:
So, this is not something that we as an initiative that we developed now. This is an initiative that we developed 2-3 years ago. The biggest one of such initiative was the motor production. Now, that insourcing of the motor is going to help us in the US market because last year, we had supplied sufficient number of test motors into the US. We have validated all the motors. They have run enough hours, and they've stabilized. Now, we have started selling compressors with our motors and that's a significant cost compression for us, right. If the tariffs had not been there, that would have been a significant margin expansion for us. So that's the lost opportunity. Yeah. So, like that, there were initiatives as part of our overall cost compression program that we started 2-3 years ago, those are all coming to roost now and that's why we are confident that we can take this much, this much we can bear.

NAYSAR:
Got it. Fair. But effectively because you would have done, you know, we've done CAPEX for motors and you know, like you said, lost opportunity. Just from a competitive perspective, you know, how do you see it because of the tariffs, will the price rise be limited to 5-10%? Or how will it work, you know, in general? Because eventually, you know, it's a CAPEX. So, you also would at some point want to make money off it and things like that. And I'm sure even competition would think like that, so.

MANAGEMENT:
No, I don't understand your question. I'll try to answer to the extent that I've understood. I don't know 5 to 10% is our estimate of what the competition or the overall market has to increase to sustain their profit at the current level. This is an assumption. Now, it's this dust will settle down in a maybe a month or two where everyone then realizes what is that real cost because of the tariffs and basis that they will set their pricing. Already, we are seeing some of our competitors increasing prices in this range and that's why we are saying it could be anywhere between 5 to 10%. So, that's point No.1.

Point No.2, is when we looked at our motor plant and our motor project five years ago, it was done to mitigate the risk of dependence on China. Risk of dependence on China at a pricing that did not make any commercial sense. Those prices that which we were buying motors, or the rest of the whole world is buying had no relevance to the cost because the cost of a motor is easily ascertainable because it uses commodities like copper and steel and
Casting that there is no magic in terms of estimating those costs. Now, when your supplier is supplying to you at a price which has no relevance to cost, then it's a huge risk in terms of when that rug is going to get pulled from under your legs.

So that's when we started looking at motors and saying we need to hit those cost points, but we do it not by employing cheap Indian, but by using technology and we set aside a certain amount of money to first do a proof of concept to see whether that technology can be developed, which we did very successfully. We built about 50-60 motors. We put it into the field to check their reliability that passed the test. So, when we made the investment into the motor plant and did the costing of the motors, it includes that investment, right? So, it's not just at a material cost.

NAYSAR:
Well, no, that that's very clear. That's very helpful. Just one follow up if I can from a US market perspective, right, which geography would be like the lowest common denominator. So, if you take the cost of production plus the tariff, which according to you would as the thing stand today would be at the lowest

cost.

MANAGEMENT:
I don't. I don't understand your question.

NAYSAR:
What I'm trying to ask is from a competition perspective, from which competitor or which region will have the lowest cost now after we take into consideration the tariffs.

MANAGEMENT:
Obviously, a company that is manufacturing compressors in America will have the lowest impact because there's no tariff directly on that compressor. But, no compressor company in America buys everything in America. They import from all over the world. Now, they will import from China, they will import from Europe, they will be probably importing from India. Now, all of them are going to come in with a certain percentage of additional cost now. What is their raw material component that is subjected to import and what percentage of that import is at 15% tariff? What percentage is at 30%? That's something that we would have to know. But we know by and large, there will be an increase and based on the behavior, it's 5 to 10%. So that's the worst case. I mean, that's the case that we need to match. Everything else will be even higher than that.

NAYSAR:
But the US manufacturer will also have a higher.

MODERATOR:
Naysar, could you please? I mean, could you please wait in the queue? Yeah.

NAYSAR:
I'll come back in.

MODERATOR:
Sir, in the interest of time, we'll take a couple of more questions. One, I'll take it from the chat and one, I'll probably take it on the call. So, the next question is from Bhavin Vithlani. Sir, he says for the stabilizer, would ELGI have in-house manufacturing of PCBA? We have seen multiple electric companies face quality challenges for not having control of the embedded software.

MANAGEMENT:
So, our new technology has no electronics. So, there is no question of, you know, electronics going into our new technology that we have launched. It's a mechanical design and that's really the beauty of the whole technology. So that's not an issue for us.

MODERATOR:
Uh, so I'll just take one last question from Rahul because we had tried to unmute him, but we couldn't unmute. Rahul, you may please unmute yourself and go ahead with the question. Your mic is on.

MANAGEMENT:
No, no.
Because mic is not on.

MODERATOR:
I mean, the line is on. He has to unmute himself.

MANAGEMENT:
I think he's continuing to have challenges.

MODERATOR:
Sure Sir, with that, I think we've already exceeded our dedicated time towards it. I would request everyone; whoever has question to please reach out to the IR team or the management directly.

Thank you once again Sir. I would leave it to Kamlesh to end the session.

MANAGEMENT:
Yeah.

MODERATOR:
Yeah Jai, just one point. If you can just elaborate on the progress of vacuum product business, any update you want to share? Thank you.

MANAGEMENT:
Yeah. Thank you, Kamlesh. Thank you for raising that. Our indigenization of the vacuum products has been completed as per plan. So, we have set up our sales organization month on month we are growing our sales but the numbers are so small, it's not, it's not material for us to report it separately. But, the business is growing as per our plan and we are quite pleased with the performance of the product, the customers response, customers repeat buying. So, these are all positive directions. So, considering that we had so many challenges in this call and I apologize for this, please reach out to us to our investor@elgi.com . Please refer to the call and please send us your questions and we will respond to them, and we will post those questions and the responses on our website.

MODERATOR:
Great, Sir. Thank you. Investors, thanks for joining in. With that, we conclude the call. Thank you, Jay. Any closing remarks you want to make, Sir?

MANAGEMENT:
No, that's it, Kamlesh. And again, I want to apologize for this. We'll make sure that we do a diagnosis of why things went south and we'l

l ensure it doesn't happen again. Thank you very much.

MODERATOR:
Thank you. Thank you so much, Sir.

MANAGEMENT:
Thank you.

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# Call: Nov 2025

November 19, 2025

Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051

NSE Scrip Code: ELGIEQUIP BSE Limited (BSE)
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

BSE Scrip Code: 522074

Dear Madam/ Sir,

Subject: Transcript of Q2 - 2025-26 Analyst/ Investor Con-call held on November 13, 2025

In furtherance to our earlier in ■ma■on dated November 13, 2025 regarding the presenta ■on of Q2 2025-26 Analyst/ Investor Con-call and pursuant to Regula ■on 30 read with Para A of Part A of Schedule III of the SEBI (Lis ■ng Obliga ■ons and Disclosure Requirements) Regula■ons, 2015 (“Lis ■ng Regula ■ons”), please ■nd enclosed herewith the transcript of the Q2 2025-26 earnings conference meet for the analysts/ investors held on Thursday, November 13, 2025, at 10:00 AM (IST) through Microso ■ Teams Mee ■ng.

The aforesaid informa ■on is also being made available on the Company’s website at h■ps://www.elgi.com/in/analyst-conferences/ .

The above is for your informa ■on and record.

Thanking you,

Yours faithfully
FOR ELGI EQUIPMENTS LIMITED

ROHIT GUPTE
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO.: A12422

Encl.: as above
Q2 2025-26 – INVESTOR MEET CALL

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR.
MODERATOR: MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED

MODERATOR:
Good morning everyone, on behalf of Asian markets, we welcome you all to 2Q FY26 Earnings webinar of ELGi Equipments Limited. We have with us today Mr. Jairam Varadaraj, Managing Director representing the company. We'll start with Mr. Jairam giving a presentation on the quarterly and six-monthly performance of the company. Followed by Q&A session. I hand it over to Mr. Jai. Thank you, Sir. Over to you.

MANAGEMENT:
Thank you, Kamlesh. Thank you, Asian Market Securities, for organizing this call, as always, appreciate it. Ladies and gentlemen, thank you for taking time to be with us this morning .

I will follow the same format that I normally do, which is start with an EBITDA reconciliation for the quarter compared to last year's Q2. So, moving to that slide, you will notice that EBITDA is relatively flat and I have given the reason sales grew by 11%, so there's been a good volume contribution, but in spite of it EBITDA is relatively flat. Employee cost seems to have gone up by 15%, but there is some explanation to that; 6% is the normal increase, increase in the euro exchange and the dollar exchange has contributed 4% to the employee cost increase and we have added 3% in headcount. This is something that I had explained even earlier.

Strategically, we are spending close to about 1% to 1.5% of our EBITDA on special initiatives to build the foundational capabilities in finance and in IT and HR and this has been towards that. So, similarly on other expenses, the significant increase has been primarily coming from the initiatives, so overall initiatives have taken away 1.2% of the EBITDA. So, the EBITDA in its current value is 14.9% of revenue compared to 16.3% last year and if I add this 1.2%, which is our initiatives that we're running, our EBITDA percentage is very close to last year. So, the point is, there is no major concern in terms of profitability structure of the business, the focus really is on growing the top line. So, moving on to sales, all the regions have pretty much grown at various levels. Europe has been muted, we have taken some very strong action in Europe in terms of streamlining costs further and I'm reasonably confident that in the balance of the year, our P&L of Europe is going to look better. I'll come back and talk a little bit about both North America and Europe growth in these two regions. So, the financial highlights are; revenue is compared to the various quarters of prior quarters versus the previous year quarter and the PBT. The PBT growth, if you'll notice, has grown by 28% even though EBITDA has been flat and the primary reason for that is we had a one-off income in the sale of property in the US.

So, if I eliminate that, PBT is roughly the same as the previous year. Moving on to the sales mix, pretty stable in terms of split between compressors and automotive and India versus the rest of the world, structurally there is no change in the revenue and the revenue contributions. So overall this is the consolidated P&L right down to PAT levels. So, if I include the one-off gain on sale of property, PAT is about INR 947 million for the quarter, which is roughly similar to what it was the previous year, previous quarter.

Looking at the cash position, we have definitely improved this number. These are all numbers stated in rupees and when I take the net cash position, I have to net off the loans in Europe and the US where with the depreciated rupee, the value of those loans go up. So, the net cash position that we have presented is actually a little skewed. So, you need to look at the cash position in September in the table below. We have really improved our cash position, and we continue to improve it by better management of our receivables as well as inventory. So, I'm very optimistic that going forward we will have continued to improve our cash position. So, this is really the presentation on the numbers.

I would like to talk a little bit about revenue. Australia grew and it's not up to our expectation, but definitely better than last year, last year was a weak year and therefore the growth has been good this year. We continue to remain optimistic about Australia. There are some good improvements in the economy, and we are hopeful, but in any case, it's a very small market in terms of our contribution; I mean contribution to our revenue. Southeast Asia continues to be a challenge; the contribution again is very, very small to our overall level. Coming to India, India has done well in pockets. We had this go to market initiative that we kicked off a year and a half ago. It is gaining traction, but we are yet to see the full-blown results of it. There are some marginal improvements in performance in different segments and we remain hopeful. I believe the third quarter we will see a lot more impact of that initiative than we have seen in the second quarter. Middle East continues to remain strong. We had some pricing challenges, which we have corrected, but otherwise the demand profile looks quite strong, and we are continuing to grow. Europe has been a disappointment and a challenge for us. We expect it to grow despite the Ukraine war and the energy problems there. I think it's time for us to reset our strategy, which is what we are doing. I will combine both that conversation after I discuss what we have done in the US. North America has grown very well for us across all verticals of the business except our distribution operation. But, there also we are beginning to see some green shoots. We think the third quarter will be strong. So by and large, the US market has been very strong for us. But both in Europe and the US, we are going back to the drawing board in terms of rejigging our strategy. The real problem definition earlier was how to gain entry and grow, which we have done successfully. Now the problem statement is how do we increase the rate of our growth in these two markets and therefore the strategy that got us to where we are today is not going to take us to where we want to go. So that's the conversation internally in the company and we are hoping in the next couple of quarters we'll be able to arrive at certain directions that will give us very clear growth path in both these large regions. One point that I would like to spend some time on is this whole tariff impact. In the second quarter, there was no impact. Like I explained in the call for the first quarter, we are bleeding out our inventory and that's what we did in Q2. So, the impact was not much. In Q3, we expect that there will be an impact, but at an overall consolidated P&L level. So that could be an impact at the contribution margin in the US specific to industrial

Product vertical, but at a consolidated level at the P&L, we don't see any impact. We have already done enough of cost mitigation measures across both variable cost as well as our fixed cost and we are confident that we will not have an impact on our P&L and as we continue to grow our sales. So just to summarize, if you look at a steady state one year, so let's take for example next financial year which is 2026-27, assuming a certain growth rate, the impact of tariff both from the exports from India to the US as well as from Italy to the US, the combined impact would be $ 9 million at an EBITDA level if we didn't do anything and what we have done in terms of cost reduction at the material cost level, cost reduction at certain overhead levels, price increases that we've been able to get in the market without affecting our competitiveness, all of it gives us actually a surplus. So, we are quite confident that even at the current tariff rate, we will not have any impact on our profitability. Now the way the tariff conversations are going, there is a realistic possibility that 50% will drop further down and if that were to happen, we will be on a good wicket from a profitability perspective. So, this is really the summary of the performance of the company for the second quarter. Now, I will open the floor for questions. Thank you very much for your patience.

MODERATOR:
Thank you, Mr. Jairam. Participants, if you have any questions, please use the raise hand option or drop your questions in the chat or the Q&A box. We'll take it accordingly. We'll wait for a couple of minutes for the queue to assemble Sir, before we take the first question.

MANAGEMENT:
Sure.

MODERATOR:
First question, we'll take it from the line of Harshit Patel. Harshit, you may unmute yourself and go ahead with your question.

HARSHIT PATEL:
I thank you very much for the opportunity, Sir, firstly you have mentioned that we have had a challenging first half in Europe and you have also talked about certain mitigation strategies. So, are we confident about a recovery in the second-half and also in the case that the end markets don't improve over there, how do we plan to conduct our operations given that we have invested quite a lot towards fixed cost in that region over the last 6-7 years?

MANAGEMENT:
OK, So fair question. So, we are planning on the basis that the second-half will be roughly similar to the first half even though our performance towards the end of the second quarter was actually better than the prior months, so but we're not taking that in, we are assuming it will be at the same levels. So, what we have done is really gone back and cut deeply on some of our costs and resized the organization to the most realistic level of revenue considering our experience in the last 1.5 years. So those costs are going to be taken out during the rest of the quarters of this year, but we will not see an immediate P&L impact because there is a certain, you know, cost of letting people go and you know, the resettlement Costs are going to be involved. So even though there will be a significant reduction in people cost, there will be the exit cost that will be there. So next year we will be starting the organization at a much lower cost structure. So that's on the cost side. We need to grow our top line to be able to recover the investments that we have made in Europe so far. And that is where I said the current strategy that has taken us to a 3% to 4% share of the European market is not going to take us to, let's say, to go to 6%, 7% share of the US market and we are looking at what should be the revised g

o to market strategy for ELGi in Europe, similarly in the US as well. But focusing on Europe, we believe that a hybrid model of going direct in partnership with distributors is going to get us, put us more often in front of the customers and we have found that when we are in front of the customers, we win, right. So that's really the goal that we're working on. We are not going to increase any cost because of doing that within the existing cost structure. We are going to try and leverage a different strategy so that we are able to improve the top line.

HARSHIT PATEL:
Understood. Is this model would be more similar to what we are already doing in the North American market where we take the control of the distributorship?

MANAGEMENT:
No, no, no. That's an acquisition, Harshit. We're not looking at acquisition at all, right. What we are trying to do is we have now split our entire sales organization into a channel and direct

in Europe. So, while the channel organization will continue to manage the relationship of existing channel partners, the direct organization will start to connect with end users directly, but in partnership with distributors in those regions, so that the distributors are able to deliver service, we do the sales.

HARSHIT PATEL:
Understood. Just a bookkeeping follow-up on that one. How much EBITDA and PAT we have generated from European and North American operations in the first half of this year?

MANAGEMENT:
I don't have the number in front of me, Harshit, but Europe was negative, and North America was almost break even, yeah.

HARSHIT PATEL:
So, so you are talking about at the EBITDA level or at the final bottom line level?

MANAGEMENT:
At the EBITDA level, I'm not taking in the property sale and the other income.

HARSHIT PATEL:
Understood. Just lastly from my side, on the stabilizer front, since we have already launched the product commercially in the market, how has been the customer and the competition response to this innovation and how much incremental revenues we can garner
in the second-half and the full year FY27, considering both the opportunities, the new product sales as well as the retrofit that you have mentioned before.

MANAGEMENT:
Yeah. So first is, I'm glad you brought that up. We don't call it stabilizer anymore. It is called Demand = Match. That's the brand name that we have created. Now we've launched it. We launched it in October in different parts of the country in India and the response has been very, very good from the customers now. We have standardized this product across our products, so we are making it as a standard offering, so it's not an option. So, the response from the market has been very positive, but it's still early days. It's just been a month since we put it out into the market. So, we have not really gauged any reactions from competitors. We have not really assessed it yet. I will be able to give you a better sense of it in probably the third quarter call or most likely the year end call, but we will try and see what we can do in the third quarter call. Now as far as a retrofit is concerned, we have not, we have kept it ready. But we have not launched the program yet. So, all our energy is focused on launching this system for the new machines. So maybe in the last quarter we will launch the retrofit program.

HARSHIT PATEL:
Understood. Thank you very much, Sir, for taking my questions and all the very best.

MANAGEMENT:
Yeah. Thank you.
MODERATOR:
The next question, we'll take it from the line of Mr. Ravi Swaminathan. Ravi, you may unmute yourself and go ahead with your question.

RAVI SWAMINATHAN:
Hi, Sir. Very good morning.

MANAGEMENT:
Hi, Ravi. How are you?

RAVI SWAMINATHAN:
Yeah, doing great, Sir. Sir, my first question is with respect to the standalone business, which is largely a representation of India. If you see the past four quarters growth average

, it's
somewhere around 7 – 71/2% vis-a-vis the strong double digit, but that we used to see post just post COVID. My question is at what rate is the industry growing? Which are the sectors which are doing well as of now? How is the inquiry pipeline and is there a reasonable visibility that this high single digit growth can move into the double-digit growth similar to what we had seen just after COVID.

MANAGEMENT:
OK. So, what you're seeing, Ravi, is a growth consolidated across all products. So, if you look at the industrial products, the growth has been higher compared to our construction and mining and whatever, yeah? So that's point No.1. So therefore, the 7% or 7 - 8% growth looks a little muted, but if I de-segregate and look at the industrials, it has not been as bad as the 7 to 8%. But nevertheless, we believe that there is a significant opportunity to grow even higher than that by gaining share, which is really what our initiatives that we've been running and like I explained a little earlier in my call, we hope to see results of that in this quarter and the next, yeah. Now in terms of inquiry, pipeline in India continues to be strong, but the time to convert or to conclude is little extended compared to before, right? So, while the inquiry bank is good, we're not seeing the conversion happening as fast as it used to be, maybe a year, year and a half ago. As far as industry verticals are concerned, the automotive aftermarket like the garages and all, there is a uptick in terms of demand for servicing cars. So definitely there is an increase, but rest of the industry verticals, I don't see any one industry being disproportionately higher than the other. I can only tell you textile continues to remain a little muted. They were getting into the year itself with challenges, now with the tariff, their challenges have been even more. So, they are very muted in terms of investment, but otherwise all the industries, I don't see a difference.

RAVI SWAMINATHAN:
OK. And in India, among products like piston compressors, screw compressors, is there any big difference in terms of growth or all are growing?

MANAGEMENT:
No, all are growing. I think industrial as a category is growing, yeah.

RAVI SWAMINATHAN:
Understood. And after sales service as a proportion this year has it continued to increase because I mean I see the gross profitability has improved for us. So, I would read like after sales would have contributed to that. So, is that understanding right?

MANAGEMENT:
Partly it is aftermarket contribution, partly is also a product mix. You know quarter to quarter, product mix is not exactly identical, right? So, I would not read too much into that. It is just one of those beneficial blips, you know.

RAVI SWAMINATHAN:
Understood. And my last question is with respect to 1 clarification related to that US impact that you had mentioned at an EBITDA level, you had mentioned $9 million impact would have happened, but you're taking adjustive and corrective measures. Is that understanding right?

MANAGEMENT:
So $ 9 million is our expected impact if we hadn't done anything for the full year, I took 2026-27 as an example, right? Not 2025-26.

RAVI SWAMINATHAN:
Understood. Understood.

MANAGEMENT:
And we are fully mitigated and prepared for that.

RAVI SWAMINATHAN:
Understood, Sir. Thanks a lot.

MANAGEMENT:
Yeah, yeah.

MODERATOR:
Thank you, Ravi. The next question we'll take is from the line of Mr. Sushil. Sushil, you may unmute yourself and go ahead with your question.

SUSHIL:
Thank you, Sir, for the opportunity.
MANAGEMENT:
You're welcome, Sushil.

SUSHIL:
Sir, my first question is, I know you already alluded to it to some level, but if the US tariffs were to be reduced from the current level of 50%, does that mean that we might actually see an EBITDA margin improvement in our U.S. business?

MANAGEMENT:
Oh,

absolutely, absolutely.

SUSHIL:
Which is currently flat is what you alluded to.

MANAGEMENT:
So the in again, if you look at the US business, it has got multiple verticals. There is the industrial vertical, there is a portable vertical, there is distribution operations vertical and the Pattons medical, combined, it's flat but if you look at specific verticals inside, I don't want to get into the profitability of each vertical because that will be too sensitive of data. The industrial vertical was always profitable, right? So, the tariff impact was only a question of reducing its profitability. If the tariffs continue now with the mitigation done, our profitability will not get compromised. But if tariffs go down, then obviously the profitability would go up on the industrial side.

SUSHIL:
Sure. And Sir, my second question is 2 little small bookkeeping things. One, you mentioned that some employee cost went up because of the rupee and rupee depreciation vis-a-vis euro and U.S. dollar. So, we would have got similar benefit in our top line as well, right when we report top line in INR.

MANAGEMENT:
Yeah, absolutely. We got a top line benefit, but since Europe is a loss, the bottom-line impact is much more higher.

SUSHIL:
Fair, fair.

MANAGEMENT:
Of the depreciation.

SUSHIL:
Yeah. And second thing is, Sir, this healthy cash generation that we've had in the first half, some amount of it will also be because of the running of our inventory in the US, right?

MANAGEMENT:
The inventory impact has not been very high, Sushil in so far, because one is when tariffs were impacted, we felt it may not be good for us to reduce inventory. It's better to hold on to historical inventory, which is at a lower cost, right? Otherwise, we were planning to bring the inventory back to redeploy it in the rest of the world and that we paused. So, to that extent the inventory based reduction in America has not been a major factor, though it has been less. But the bigger contributing factor in this particular quarter and the first half has been the reduction in our receivables. We managed our receivables well and we’ve brought it under control, and we expect that inventory management in Europe and in India will start gaining momentum by virtue of the project, one initiative that we are running internally. To bring greater control and deliberateness to inventory. So that will yield some very good results in the third and fourth quarter.

SUSHIL:
Many thank you Sir and wish you all the best. Thank you.

MANAGEMENT:
Thank you Sushil.

MODERATOR:
Thank you, Sushil. So, the next, the next question we'll take, it's from the line of Parag Thakkar. Parag, you may unmute yourself and go ahead with your question.

PARAG THAKKAR:

Yes, Sir. Thanks a lot for the opportunity. And I would say that in a very tough macro environment, you have delivered very well. Yeah.

MANAGEMENT:
Yeah.
Thank you.

PARAG THAKKAR:
So just to add that in US when you say that industrial product was profitable, and the profitability will further increase if the tariffs come down. So that itself is a $9 million impact?

MANAGEMENT:
No, no, no. So, like I explained, Parag, $ 9 million is an impact of exports from India and exports from Italy because our portable business in the US is relying on products from Italy where the tariff has been 15% for Europe, right. So, that also had an impact on the US operation and the India tariff, which is 50% combined put together is $ 9 million. Yeah, for the whole company, yeah.

PARAG THAKKAR:
And for the whole US, right? Whole US business.

MANAGEMENT:
Yeah, because there are only two businesses that get impacted primarily by tariffs. One is the industrial business and the other is the portable business. The distribution operations and the medical are not as impacted as the others.

PARAG THAKKAR:
OK So basically

see right now, Sir, what we are reading hearing is that tariff is going to come down. So, when the tariff is actually brought down, say to 25% just for the assumption, then what kind of EBITDA increase we can see from here on at a consolidated level for ELGi Equipment.

MANAGEMENT:
Yeah. So, I don't know how to split that $ 9 million, Parag, but I would think close to, you know, if I look at the split between portable and industrial, I would say about $ 6 million would be the impact i.e. $ 6 million would be come down to let's say $ 3 million, yeah.

PARAG THAKKAR:
OK, OK.

MANAGEMENT:
So $ 3 million would be the benefit. That's my guesstimate. I don't have the numbers in front of me, yeah.

PARAG THAKKAR:
3 million. OK, And Sir, what is your aspiration? For example, right now we are going through a tough environment as you very rightly said for textiles in India, US tariffs, if suppose all this noise settles down over the next two to three months.

MANAGEMENT:
Yeah, yeah.

PARAG THAKKAR:
What kind, what is the aspiration of ELGi Equipment as a company to grow in terms of at the EBITDA level, I would say not in the revenue level because as you said you have done a lot of investments, and you are going to change your strategy also go to market strategy in Europe and US. What is the aspiration with which you are working? And I know you are very conservative, so we'll take it like that. But what is the aspiration you have in for ELGi, how much EBITDA growth we can expect? Very conservative. I'm not asking for guidance.

MANAGEMENT:
Well, right now if I remove the special initiatives that we are running, we know we are doing that deliberately, we are currently at around 16%, which is what we said we will achieve as a guidance that we gave five years ago right. So, we are on track. So why don't you give me a little bit of time till the either the third quarter call or the full year call for me to give you a

much more well thought through guidance on revenue over what period and EBITDA over what period.

PARAG THAKKAR:
Sure sir. We are looking forward for that sir.

MANAGEMENT:
Yeah, we'll do that.

PARAG THAKKAR:
Thanks a lot, Sir. Thanks a lot.

MANAGEMENT:
Thank you.

MODERATOR:
Thank you, Parag. Sir, next question we'll take it is from the line of Bala. Bala, you may unmute yourself and go ahead with your question.

Bala….!!

I think there is some problem. We'll probably take him at a later stage. So, the next question is from the line of Salil Desai. Salil, you may unmute yourself and go ahead with your question.

SALIL DESAI:
Thanks, Kamlesh. Good morning, Dr Jairam.

MANAGEMENT:
Good morning, Salil.

SALIL DESAI:
Sir, my question is on, you know these cost control initiatives, both employee costs and other expenses and they've grown 15 - 16% this quarter. For employee costs, you gave some breakup of what the impact has been from specially initiatives and Forex, but in spite of that you know 6% growth in employee cost after you've done say you know taken a knife to some of these costs. So just trying to understand you know what is say what is the net benefit of some of these cost control initiatives that one could expect because you know the gross margins have declined this quarter year on year, so the material cost is reengineering. So, if you can you know take us through some more details that would be really helpful.

MANAGEMENT:
So one is that 6% increase is without taking into account the employee cost reduction that we have, we have initiated and completed in Europe, Salil. So actually, that will be over and above what we have done. So, this will actually come down in the subsequent quarters. I don't know which data you're referring, where you say gross margin has come down. Our contribution margin continues to remain quite strong, right? So as far as the cost reduction is concerned, we are looking at

the combination of both variable costs. I'll give you an example. We have done an initiative on our power and fuel. We are not a very high-power consuming company, but nevertheless there is a significant chunk that is there and we are already having a significant part of our power as renewable. We're going to over index on that and that's going to give us about INR 5 to 6 crores of savings every year, right. So, we are running multiple such projects that are optimization of our container cost, the transportation, our travel costs, certain travel reduction, power that I talked to you about and there is a huge saving that we are expecting; not expecting, already baked in and with our own motor production. So, all this is what we are talking about in terms of cost.

SALIL DESAI:
Understood. That's helpful. Just on the gross margins, when I was referring to this number, at least my calculation shows we were at about 51.9% in this quarter.

MANAGEMENT:
Yeah, Which data? Which data are you looking at? I I'm not. I don't have it in front of me.

SALIL DESAI:
So, I'm looking at, yeah, total revenue less, cost of goods, so that is raw material purchases

and changes in inventories. My number shows it's 51.9%, which is, you know, about half a percentage point lesser than last year and about 30 odd bps lesser than June quarter. So, I was just wondering if there is some product mix difference here or yeah.

MANAGEMENT:
So, Let me take that offline with you Salil, because like you know a lot of it is also product mix. I'll have to go into the detail, but we don't see any challenges on our pricing or on our material cost.

SALIL DESAI:
Yep, Got it, Sir. Thank you so much.
MANAGEMENT:
Yeah.

MODERATOR:
Thank you, Salil. Before I move on to the next person, I'll take one question from the chat. Sir, there is a question which says that, can our stabilizer product be used with other compressor of other brands or is it just our compressor?

MANAGEMENT:
Technically it can be implemented on any compressor, any screw compressor, but from a viability in terms of payback to the customer, it may not be viable. So, we are really not building that as a sales program, no.

MODERATOR:
So, the next question I'll take it from the line of Mr. Bala. Bala, I've unmuted given you an option to unmute yourself. Please try again but.

MANAGEMENT:
Looks like he's having challenges unmuting himself.

MODERATOR:
Yeah, I think that's a problem. I'll ask him to drop a question in the chat, Sir. The next we take is from the line of Manish. Manish, you may unmute yourself and go ahead with your question.

MANISH:
Thank you, Kamlesh. Very good morning, Sir.

MANAGEMENT:
Hi, Manish. How are you?

MANISH:
Sir, a couple of questions. Very well, Sir. Thank you so much. Sir, first on the Europe cost reduction initiatives like probably over next six months to a year what we are planning, what kind of cost reductions we are aiming for and probably how do you intend to, probably Improve margins, would it be possible to share some broad guidelines on that, Sir?

MANAGEMENT:
So I don't have the specific numbers in front of me, Manish, but approximately a reduction in people cost is going to improve the bottom line by almost 1 Million euro. So that's what we're looking at. In addition to that, we are looking at how to get specific top line growth combined. Both combined together should take us into a profit zone that will help us start recovering the investments that we have made in Europe.

MANISH:
Right,. OK. OK. And, are we looking for initiatives in US. I'm a bit confused. You were referring to both Europe and US.

MANAGEMENT:
No, sorry, Manish, I lost you. Can you please repeat that question? Yeah.

MANISH:
Hello. Yeah. So, are you looking for similar initiatives in US as well on cost?

MANAGEMENT:

So the initiative, yeah. This initiati

ve in Europe is not to reduce cost as much as it's structured
as a program managed manner that we have done it in Europe. The goal in US is to grow the top line to discover new go to market avenues which will give us that kind of a disproportionate growth that we need as part of our long term CK2 aspiration, right. So, it's like if you look at industrial, it is growing well in the US, but it's not growing enough. The point that I explained to you, the problem definition is not growth. The problem definition is the extent of growth and that's what we are trying to do both in Europe.
and in the US.

MANISH:
And that should ideally be driven by what, Sir, like in terms of new products from India or?

MANAGEMENT:
No, no, no, it's not new products, Manish. We need to get in front of the customer more often. And what we have discovered is every time we are in front of the customer, our win ratios are very high. Our ability to get in front of the customer is at the moment by and large dictated by the distributor's desire to carry our product. Now all these years, over the last 10 years, we have worked with various distributors to try and get them to accept our product with various levels of success and that is giving us a certain level of growth. But we are saying that growth is not enough. So, what we are trying to do as an experiment that we are exploring, we've still not implemented, or we have not finalized is, can we go directly with our own people, but in partnership with our distributors for rendering service support for the customer? This will give us the ability to get in front of the customer more often, right? So, this is really one of the strategies that we are explore.

MANISH:
OK. So here probably the partnership model what we had adopted earlier, is it very similar to that where it will be a different like because earlier you had a.

MANAGEMENT:
No, no, that was an equity investment by us. We incubated a new distributor. That's not our intent now. Yeah, our intent is to have our own people going and meeting customers in the distributor area and then partnering with the distributor. For aftermarket, because distributors profit primarily comes from aftermarket, right? And, we don't want to compete with them in the aftermarket.

MANISH:
OK, OK.. So, Sir I had one question on aftermarket as well. Like probably overseas we have been increasing our base and I believe what earlier you have stated is that we probably are at low double digit revenue contribution from aftermarket in overseas operation. You may correct if I'm wrong. So where do we see it going forward Sir, like when do we see that point where Aftermarket starts contributing much more on the profitability or able to probably provide that operating leverage to us.

MANAGEMENT:
Yeah. So, this is an arithmetic exercise, Manish. It's a simple arithmetic exercise which we have done and it's somewhere in our files. But I'll give you, I'll summarize it in a simple manner. So, if your installed base is, let's say 100 in India, yeah.

In another country the aftermarket contribution is about 30% to revenue, yeah.
Now if the installed base is 25 in another country, then the aftermarket contribution is around 12%, So as 25 moves to 100, 12 will start moving towards 30, right? So that's the simple arithmetic. Now the question is. We can put a linear equation and say this is how it will be, but it's really a function of and that is the reason why we are trying to increase the velocity of our growth. So, we get from get to 100 from 25 in these large market sooner than later.

MANISH:
Yeah, OK. And one-bit curious question from data points from the annual report like broadly what we see is that our exports from India is roughly 525 crores and out of that large part is exports to our own entities overseas and that number has been growing steadily. If I just do a rough math of like overseas sales

minus this something about 400 odd crores we supply
from India, that balancing number comes to around 1100 to 1200 crores, 1600 minus certainly 400 odd crores if I do that math. So, and on that balancing number there are two questions; I

would like to get your perspective is that are these entirely compressor products or these are probably solutions around compressors where you probably have outsourced product and probably that kind of revenue is generated No. 1 and No.2 is that that balancing figure is not yet yielding enough profit. So how do we see it going forward?

MANAGEMENT:
So it I think we should take this offline, but I will try because it's a lot of detail. I will try to explain. I will try to explain. I will try to explain to you in a very summarized manner.

MANISH:
No, no problem, Sir. Whatever is convenient to you.

MANAGEMENT:
The balancing number has multiple pieces. One is the profit on the export that we make to the subsidiary, right. So, there is profit for the subsidiary, not the profit we make in the parent company. So that balancing, some percentage of the balancing number is profit on that, right? Then there are accessories that we brand in our name, but it is bought from outside, right? So that is the second piece, and the third piece is especially in the US and Australia. We have our own distribution operation which brings in another layer of profit on the sale of equipment plus the sale of service and spare parts. So, it is a multiplicity of stuff that add to that balancing. Yeah, we can take this offline, and we can explain.

MANISH:
Right. Sure, sir. Thank you so much, sir. Thanks.

MANAGEMENT:
Yeah.
MODERATOR:
Sir, I'll take a couple of questions from the chat first. So, there is a question from Bala. The launch of the low-cost compressor range is a key growth vector. What is the strategy to prevent cannibalization of our core compressor product? Is this range aimed at winning new price sensitive customers or competing more aggressively with specific low-cost competitors?

MANAGEMENT:
So let me answer the first question. Is this going to cannibalize our existing thing? No, it will not. There is a certain segment of customers in the market for whom performance in terms of energy efficiency, energy cost is not a major factor either because their overall power consumption in a year is low or because power cost is such a small part of their overall P&L, they don't care. They want to look at low upfront capital cost. So, these customers are not going to, I mean, existing customers who buy on performance, who are concerned about the energy cost are not going to switch because there is a reduction in upfront capital costs. So, we are not concerned about it. Very clearly defined type of customers in specific locations, specific industry segments, in terms of what, who's going to come to us, it is not about, it is only these customers that I described, we are going after these customers. It's not about replacing and today those customers are getting machines primarily from China and our goal is to compete and take away market from these, these manufacturers. They're really not manufacturers, they're traders, they're buying from China and selling.

MODERATOR:
Uh, sure, Sir. The next question from the chat again for FY26-27, what percentage of motor requirement will be produced in house and what impact it will have on our financials?

MANAGEMENT:
I have a reasonably clear answer for the first, but I don't have a specific answer. It is there in our files. I don't have it readily in front of me as far as the percentage of motors for 2026-27, close to 75 to 80% of the volume of motors, we will be making ourselves globally, right? So that's the answer to the first question. In terms of P&L impact, I'm sorry I don't have the answer in front of me. I'm quite happy to take it offline and give it to you.

MODERATOR

:
Yes. So, the next question is what is the cumulative investment we have made in Europe till date?

MANAGEMENT:
The total investment has been in the form of losses. We have lost close to 25 million euro,

which is roughly about INR 250 crores.
MODERATOR:
So uh, the next question is what is the status of launch of a low-price compressor as an alternative to Chinese compressors?

MANAGEMENT:
So these compressors, even as we speak, are running in the field and getting field validation done. We are parallelly working on our go to market structure, organization and all that. We have an internal target to get it launched by the 1st of April but definitely by the first quarter of next year, we should have the products in the market.

MODERATOR:
Sir, sure, Sir. The next question I'll take it is from the line of Mr. Amit Anwani. Amit, you may unmute yourself and go ahead with your question.

AMIT ANWANI:
Hi, Sir. Thank you. Thanks. Good morning. Thanks for taking my question. So, my question pertains to US. You did explain the tariff side and the cost implications there, but you did also highlight that going in front of customers is something which you would like to do, and the strike rates are high, and I think you have been highlighting this I think from quite some time. So just wanted to understand what is the constraint which is stopping us to do that more often and US as a market, so the tariff we understood, but US as a market in terms of volumes, new products, distributors for you, what is the road map? Are we anytime expecting double digit, high single digit growth in US market? Yeah, that is my first question.

MANAGEMENT:
So Amit, our business is primarily a distributor led business. So, for us to get in front of the customer, distributor first has to accept to carry our product. We are a late entrant, distributors have well entrenched relationship with other brands of compressors, so it takes a long time for us to break into a distributor. That's one level of inertia. The 2nd is even after we break in, invariably distributors carry more than one brand. So, it could be us and another brand. Now we need to fight hard with the distributor to get a higher share of the distributor's wallet so that he's able to represent our brand in front of the customer. So that's another point of inertia. The Third Point of inertia is there is a large pool of distributors who just don't want to break away from the existing relationship with existing OEMs. So that's a Third Point of inertia. Now through all this inertia, if our goal is to be in front of the customer more often, then the existing channel-based approach alone is not going to give us that additional goal. I'm not saying we move away from channel. We need to supplement that channel with another go to market Avenue which puts us more often in front of the customer and that's what we are exploring both in the US and in Europe. Now, this is nothing new. We do this even in India. We have a channel go to market and we have direct go to market. But we have not done it in any of other markets till now so maybe the time has come for us to explore it, but the only difference compared to other OEMs is we are doing it as a hybrid model where we partner with distributors in going to that.

AMIT ANWANI:
Understood, Sir. Second question on the stabilizers, you did highlight it that it can fit other brands, but customers might not have the paybacks. We are assuming that we'll be doing for ELGi products, any ballpark number of units or the cost per unit or the overall addressable market over a period of time for you, if you could highlight and yeah, for stabilizers, for stabilizers, yeah.

MANAGEMENT:
For the aftermarket? Or for the replacement market?
AMIT ANWANI:
Yes, replacement market, yeah.

MANAGEMENT:
See, we are not we like I said, we've not developed a product for replacing competitor’s machine

s or upgrading the competitor’s machine with demand match. We're not doing that.
Our own product, our own machines, if we want to retrofit, we think there is an opportunity for at least 3-4 thousand machines a year. Now, like I said, we have not prioritized that business now, we are now focusing mainly on launching the product built in the factory. Maybe in the third, fourth quarter we will start looking at the retrofit business.

AMIT ANWANI:
Understood, Sir. Ideally, ballpark, what would be the cost to retrofit?

MANAGEMENT:
Uh, I don't have a number because we have not run it, but I'm thinking that it will be about 10 to 15% of the value of the machine.

AMIT ANWANI:
Understood. So finally on the Capex plan, any change amid the current tariff situation? I think last time we highlighted 700 crore for five to six years and 250 crores immediately in the next two years if I'm not wrong, so are we on track.

MANAGEMENT:
Yeah. So, yeah, yeah, we're on track. We're on track. We said INR 600 crores over the next five years. We said INR 250 crores, but INR 250 crorea out of the INR 600 crores is firmed up. The balance INR 350 crores we are thinking through it. We have done the architecture, overall master plan, but we have not done the detailed planning. The INR 250 crores is firmed but it is going slower not because we have pulled back but we encountered some issues like hard rock in the property, which is taking us longer than planned for execution, but otherwise we are on track.

AMIT ANWANI:
So the timeline will increase for this 250, let's say by 6 to 12 months, is it?

MANAGEMENT:
Yeah, yeah, so probably 12 months.

AMIT ANWANI:
Understood. Thank you so much, Sir. Thank you and always.
MANAGEMENT:
OK. Thank you. Thank you.

MODERATOR:
I think that is what we have. Uh, Kamlesh, would you want to go ahead with your questions?

KAMLESH
No, Sir, that's fine. So just wanted to touch up on any specific industries you would want to highlight in terms of the business outlook in India, whether it is oil free or oil lubricated or any specific segments which are outlier or maybe laggard.

MANAGEMENT:
So textiles, like I explained to you, Kamlesh, is quite in bad shape, so we're really not growing in that segment. But other than that, across the board, I don't see anyone behaving in a super high manner or a super low manner, it's roughly the same. But the general thing is there is a caution in terms of finalization. There is optimism both on the tariff side, everyone believes that this tariff is not going to be at this level, but everyone also realizes tariff is not going to be 0, right? So, everyone's calibrating to various percentages and they've come to terms with it. So, the tariff based, depression in the market, I think we've gone past it, right? But there is still a caution and say wait and see what other surprises are from where, let us see if we can milk the existing capacity a little bit more rather than go and invest in, right? So that's the prevailing seems to be the prevailing sentiment in the market.

MODERATOR:
Sir, I know we don't directly supply to the government, but any colour in terms of the private side of demand and government-oriented projects or investment demand, do you see there any material difference between the two in terms of execution?

MANAGEMENT:
So we'd like you said, like you said, we don't do direct business with the government, but you know there are large infrastructure projects which are initiated by the government which trickles through private sector like.

MODERATOR:
Yes. Right.

MANAGEMENT:

So we went through two years of our portable compressor growth in India by virtue of all the construction activity that went on in the country, whether it was road construction, dam construction, there was a lot of tunnelling, all that. That is kind of come down, yeah. So, we are seeing the impact of

that, right. But otherwise, I don't see any big difference.

MODERATOR:
OK. OK, great. OK, Sir. So, thank you very much for all the insights, Sir. With that, we conclude the call. Any closing comments you want to make?

MANAGEMENT:
Yeah, Thank you. No, I'm fine. Thank you very much as always, Kamlesh, for being gracious and hosting us and it's always a pleasure to participate with everyone during these quarterly opportunities. Thank you very much.

MODERATOR:
Thank you, everyone. You may know log off now and have a good day. Thank you.

MANAGEMENT:
Thank you. Yeah, thanks.

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## Call: Feb 2026

February 17, 2026
Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Scrip Code: ELGIEQUIP BSE Limited (BSE)
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001
BSE Scrip Code: 522074
Dear Madam/ Sir,
Subject: Transcript of Q3 - 2025-26 Analyst/ Investor Con-call held on February 12, 2026
In furtherance to our earlier in ■ma■on dated February 12, 2026 regarding the Video recording of the Q3 2025-26 Analyst/ Investor Con-call and pursuant to Regula ■on 30 read with Para A of Part A of Schedule III of the SEBI (Lis ■ng Obliga ■ons and Disclosure Requirements) Regula ■ons, 2015 ("Lis ■ng Regula ■ons"), please ■nd enclosed herewith the transcript of the Q3 2025-26 earnings conference meet for the analysts/ investors held on Thursday, February 12, 2026, at 10:00 AM (IST) through Microso ■ Teams Mee ■ng.
The aforesaid informa ■on is also being made available on the Company's website at h■ps://www.elgi.com/in/analyst-conferences/ .
The above is for your informa ■on and record.
Thanking you,
Yours faithfully
FOR ELGI EQUIPMENTS LIMITED
ROHIT GUPTE
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO.: A12422
Encl.: as above

Q3 2025-26 – INVESTOR MEET

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR.
MODERATOR: MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES LIMITED

MODERATOR:
Welcome you all to the 3Q 2025-26 earnings webinar of Elgi Equipments Limited. We have with us Mr. Jairam Varadaraj, managing director representing the company. I request Mr. Jairam to take us through the opening remarks and the presentation which will be followed by the Q&A session, Sir. Over to you, Jairam. Thank you.

MANAGEMENT:
Thank you, Kamlesh. Thank you, Asian Markets, for organising this as always and good morning, ladies and gentlemen. Thank you for sharing your time with me this morning. As usual, I will take you through a reconciliation of the quarter performance with respect to the earlier quarter.

As you can see, we have improved our profitability; our sales has grown by 18%, but the EBITDA should have been close to 2000 million, but it is actually around 1400 and the primary reason is on 2 counts, the employee cost and the other fixed cost. Our gross profit margin continues to remain as strong as before. So, if you look at employee cost further, the 6% is because of the increase in normal increments across the world. We are continuing to restructure Europe to bring it back to profitability or increase profitability. We have broken even last year. There has been some reorganization cost of letting people go, and that's been a onetime cost that's sitting in employee cost and I have explained to you over the past year that we are investing close to one and a half to two percentage of our top line in initiatives that pertain to go-to-market, in terms of our digital initiatives, as well as cost optimization and finance transformation. So, all these costs have contributed to a 3% increase in the employee cost. We have taken new category of talent and that for these various initiatives as well as consulting and advisory expenses, software expenses, for instance, in PLM and in some of the programs that we have started for reducing our inventory and reducing costs in response to the tariff.

So overall, I would say there is nothing to be concerned about. We should be growing sales even more, and that's another thing that I will come back and talk about. So, moving on from the EBITDA reconciliation, look at sales. We have grown across all the geographies except Southeast Asia. Southeast Asia is a significant market, but our presence there has traditionally been weak. We are reorganising there, we have brought in new leadership there, and we are hoping that over the next 2 to 3 years there will be a change in our presence in Southeast Asia.

So, if you look at the revenue highlights and PBT, we have grown by 18% and PBT has grown by 30%. This is despite the fact that in the last year, I mean last quarter, in fact, if you look at it in relation to the previous trailing quarter, it looks bad. So compared to the trailing quarter, it looks like it has gone down. So with respect to the trailing quarter, it looks like the current third quarter is bad, but in the trailing quarter we had some exceptional other income which pertains to the sale of property as well as we had some impact in this quarter due to tariff, I will come back and talk about it. So overall, I think the performance is good, could have been a lot better in terms of our top line, but we are watching that, and we are working on various programs to make that happen. So, if you look at the sales mix, we continue to have 90 plus percent as compressors and 8% as automotive and the split between India and the rest of the world continues to be roughly 50-50; continues to be at the same levels.

So, if you look at the consolidated P&L for various quarters, our main impact, if you look at the trailing, I mean Q2 against trailing, the Q2 trailing quarter, the impact on tariffs is almost 1%. We have mitigated it subsequently, but in the Q2 quarter,

we had historical inventory on the ground,
which was based on earlier prices, and in Q3 we had the fresh inventory which was which had the full impact of that 50%. Now going forward, we have brought the cost reductions in, but for the existing inventory to bleed out and for the new inventory at a lower cost to come in, we think it will be probably in the second quarter of the next year, I mean early part of the second quarter, so the first quarter we will still have the impact, but we are quite confident that, we have mitigated it now with the reduction in the tariffs from 50%. We don't know whether it is 18% or there is going to be iron and steel surcharge which could increase it beyond 18%. We don't know, we are working through the details, but it is significantly lower than 50%. So, we expect that there will be a very positive impact in the next financial year as a consequence of our various initiatives that we have run.

So, our cash position continues to be strong, our receivables are in good control, our challenges have been inventory all over the world. There have been different challenges, while there has been optimism in the market, but the actual result has been not as optimistic as one will expect. So there is an inventory problem. We are working through a program and a special project to reduce it. We believe that there is an opportunity to that to have a substantial reduction in inventory. You will see it happening as the year progresses and into the next year, and I am hoping that by the third quarter of next year, we will be in a lot better position from an inventory point of view. So, these are roughly the financial metrics.

I want to talk a little bit about the business. Overall, the economies all over the world seem to be coming back, except Europe. Europe continues to be a challenge. India, I think, had a good year. The GDP growth is 6 and a half percent, which is a pretty good growth considering the circumstances in other parts of the world. But I think the growth so far in the Indian economy has been consumption led and relatively less of investment led. So, we expect we are beginning to see some signs of investment to build capacity to catch up for this consumption in the future. We are still cautiously optimistic about India, so we will continue our presence in the market that is strong and that we are confident of. So, whatever the Economic opportunities that show up in India, we are very confident that we will be at the edge of taking a large share of it.

As far as Australia is concerned, it was a better year compared to the previous year. There seems to be some signs of stabilization and recovery in the economy. We have got some projects and programs running to improve our presence there. So, I am quite confident that we will grow in Australia, not only in the balance year but the next year as well. We will talk more about the guidance for the next 5 years during our analyst and investor meet that's scheduled in the month of February. So, we will talk a little bit more and share more details in that.

Moving forward, Middle East and Africa continue to be strong regions. They are not strategic for us, but they continue to grow strongly. Europe has been a disappointment, both Rotair by virtue of the tariffs on the portable compressors that are shipped to the US, as well as the European market itself, has been down. We are going through a significant cost optimization program as a temporary kind of a transition before we take stock of the next round of growth in Europe, We are not assuming a growth-based P&L, we are looking at a cost managed P&L for Europe for not only the balance of the year but for next year as well.

US has done well for us; our industrial business, our pattons, medical business, and the portable, despite all these problems, has been better than last year. Our challenge has been our distribution operations. We are working thr

ough multiple initiatives to bring it back to the levels
we believe that it should be. We are working on multiple strategies, so I am confident that Q4 will be better than Q3. I don't want to make any commitments in terms of specific numbers, but definitely it will be better than Q3 as it always is, but I think you can't expect it to be like that of last year; Q4 was a big hockey stick. I don't think it will be that kind of a hockey stick, but definitely better than Q3. So, we remain optimistic. We are working on multiple strategies, both on technology side, on the market side, internal processes side to get to a far better, far more efficient and effective organization. So, this is what I wanted to share with you today and now we will talk about questions. Thank you.

MODERATOR:
Thank you, sir. We'll probably wait for a couple of minutes for the question queue to assemble and then probably we'll start taking questions. Participants, please use the raise hand option or you may drop your question in your Q&A or the chat box option that is available to you.
In case if there is any audio errors that we might face or due to technical problems, and if we are not able to hear your voice, you may please drop your question again in the Q&A box or the chat option that is available. Sir, we'll take the first question from the line of Mr. Ravi Swaminathan. Ravi, your mic has been allowed. Please unmute yourself and go ahead with the question.

RAVI SWAMINATHAN:
Hi, Sir. Good morning.

MANAGEMENT:
Morning, Ravi. How are you?

RAVI SWAMINATHAN:
I am doing great, Sir. How are you, Sir?

MANAGEMENT:
Good. Thank you.
Thank you.

RAVI SWAMINATHAN:
Sir, congrats on a good sort of numbers at a standalone level if you see after 4 quarters of mid to high single digit growth, we have registered more than 20% kind of growth. Was this growth contributed largely by India? Was it purely volume driven growth? Was there a realization improvement also which was there in this and within India was the growth holistic, which sub segments are driving the growth faster on an above average level, and you had also mentioned that there seems to be some kind of a recovery from the domestic investment or Capex. Which sectors are you seeing those green shoots from?

MANAGEMENT:
So, to answer your first question, the growth has been across multiple things. It is not just only India, but our export has also contributed more in Q3. But I don't think that's a trend. You know, export to our subsidiaries is a function of replenishment. So, one quarter there will be more, one quarter there will be less. The 3rd is also a function of our exchange impact. So, I don't think there is one specific thing. There has been multiple contributions to this percentage of growth Ravi, but I would say the contribution from India has been both on volume, primarily volume has been very positive that it is the largest contributor. So that's the broad diagnosis of the growth. The second question that you talked about in terms of the I think your question was in terms of the green shoots that we are seeing, is there specific segments? No, I think we are beginning to see inquiry levels going up across pretty much all segments. I think we expect, that textiles will come back strongly.as a consequence of the new tariff. So, I think there is optimism as far as India is concerned. I hope I have answered all your questions.

RAVI SWAMINATHAN:
Got it sir, and apart from textiles like say infrastructure, industrial, that is steel, cement, etc, if you can give broad flavour how those sub sectors are growing, that'll be great.

MANAGEMENT:
So cement has been muted, their profits have not been very good, but I think it will come around. But steel is looking optimistic, automotive is looking optimistic. So these I think it is across the board Ravi. I won't pinpoint to any one sector that's standing out today.

RAVI

SWAMINATHAN:
Sure, sir. And with respect to the US business, the tariff being cut from 50 to 18 or somewhere much lower number. So, we don't know the exact number, but few quarters ago you had mentioned that for a 25% tariff, we had to take a high single digit kind of price increase.

To offset that, but with 50% tariff, difficult, it will be difficult to do business there. How is it now? So essentially, have you taken price increases and how is the dynamics working there now, vis-a-vis the local supplier, how competitive we are? Post this cut, will we be much more competitive?

MANAGEMENT:
So if you recollect in the last quarter call I had said that the team had done an outstanding job of actually compensating for the entire impact of the 50% tax right now.

RAVI SWAMINATHAN:
okay.

MANAGEMENT:
That's even as we speak, many of those initiatives have already come into our books and some of them are going to happen in the next probably 6 to 7 months. Yeah, so we will be with that 6 to 7% increase in our prices.

RAVI SWAMINATHAN:
Done.

MANAGEMENT:
We have been able to more than recover the tariff impact now, depending on where the tariff is going to land, that difference is going to be pure margin for us in the future. Now, when do we expect to see the margin coming in? Like I said, it will probably start from the second quarter of next year because we have got inventory that we need to bleed out. Yeah, so we will see that impact. So, we are past that tariff. In terms of local competition, nothing is really fully manufactured.

In the US, even the local assemblers or so-called manufacturers are importing quite a bit from all over the world. So, the impact continues for them because quite a few of them import from China where the tariff is still at a high level, yeah.

RAVI SWAMINATHAN:
Okay, so is that, I mean, in one way is this tariff has actually been a positive for us. I mean, so essentially, we are gaining in terms of realization driven gains which are there and now we are back to the old normal ways of growing in that particular country.

MANAGEMENT:
Okay, yeah there is that old adage, never waste the opportunity of a crisis. Yeah. So that's basically what we have done. And like I said, the team has done a fantastic job of taking us, of navigating us to a position where we have come out very, very strong.

RAVI SWAMINATHAN:
Yeah. Got it Sir. Thanks a lot, Sir. Thanks a lot for it.

MODERATOR:
Thank you, Ravi, Sir. The next question we'll take is it's from the line of Mr. Harshit. Harshit, you may unmute yourself and go ahead with your question.

HARSHIT PATEL:
Hi, thank you very much for the opportunity, Sir.

MANAGEMENT:
Hi Harshit.

HARSHIT PATEL:
Hi Sir.

Sir, Firstly, on the European operations, as you have mentioned, we are resizing, especially in terms of people cost reduction. Does 3rd quarter reflect a full impact of this, also when you would have completed all these measures, maybe probably by the end of FY 26, do you expect FY 27 to be at break-even level or we expect to register a significant positive EBITDA in FY 27?

MANAGEMENT:
So the costs that have incurred and going to incur the balance of the year will not carry over to the next year Harshit. So next year we are not talking about; all this is not being done to break even because break-even is something that we have already managed in the past. So, this move is to get to a level of profitability right. Now what will be the percentage? This is a little too early to tell, but definitely it will not be break even. It will be a profitable set of books in Europe.

HARSHIT PATEL:
Understood Sir. Sir, Also, the on the US front, as we have mentioned in this third quarter, we had impact of almost one percentage point on our EBITDA margins because of the tariffs. Do you expect this 1% impact to continue in 4Q and 1Q FY 27 as well? Or this impact would be ev

en
higher because of the inventories that we are carrying.

MANAGEMENT:
It won't be higher, but it will progressively taper down. I don't expect it to reduce significantly in Q4, but Q1 of next year we see that there will be a reduction because there will be a blended inventory between the pre tariff cost and the post tariff cost.

HARSHIT PATEL:
Yes, Just a small follow up to that. You had last time mentioned that U.S. geography was at break-even level for the first half of FY 26. Will this situation continue in the whole second half as well, or we might see some minor losses for the second half of the year?

MANAGEMENT:
US is profitable, Harshit, so it is not significantly profitable, but definitely profitable we expect to keep pushing that profitability level up going forward.

HARSHIT PATEL:
Understood Sir. Sir, this Lastly, on the low-cost screw compressors, are we on track with our go to market strategy for this range and the launch that you had planned for first quarter of FY 27?

MANAGEMENT:
Yeah. So, we are still trying to push for first quarter, but looks like we will, it may slip to the second quarter, but it is not a significant movement from the thing. The products are ready, they are going through various stages of validation. We have started looking at our distribution structures, the internal team to drive this business, our pricing strategy, all of it is in advanced stage of progress. So, we are well on the way to make this happen.

HARSHIT PATEL:
Understood. Perfect. Thank you very much, sir, for answering my questions.

MANAGEMENT:
Thanks, Harshit.

MODERATOR:
Thank you, Harshit. Before we take more questions on the line sir, I will take couple of questions from the chat which were dropped earlier. Sir, can you comment on the emerging Chinese competition in the domestic market and which segment is it most impacted and which segment is most impacted by this competition?

MANAGEMENT:
Hello so, the Chinese imports, there are, we don't know that we lose count of the number of Indian companies that are importing Chinese compressors and branding it in their names and selling every month. There is a few that enter and a few that exit. So overall, the Chinese imports are close to, in our estimate, 25 to 30% of the market right in volume terms, not in value. Now we know who the major players are, we know the geographies in which they are selling, we know the industrial sectors that they are selling. More than specific sectors it is the behavioural segment of customers. Now there are customers where their business and their factory operations have very low operating cycles. Typically, if you look at full operating cycle of a Compressor is about 8000 hours right. Now many of these customers in this segment may be operating the factory longer, but the air demand is about 1500 to 2000 hours a year. So, these kinds of customers are

not really driven by the energy efficiency of the company, so they are looking for very low upfront capital cost. So those are the segments that are switching to these lower cost machines. Now our products that we have designed are Price Wise as competitive, but we will provide ELGI quality, ELGI reliability, and ELGI level of service. So that will be the differentiating factor. All these customers are known to us, they want to buy ELGI, but the price difference is so huge. You can't blame them. So, we are now giving, we will be giving them a value proposition that's very compelling.

MODERATOR:
Sir, the next question in the chat is can you comment on the raw material pricing because in past 2 months metal prices have rose significantly.

MANAGEMENT:
So yes, this is a matter of concern for us, but it is not uniquely ELGI. We are waiting to see how the market is responding. First of all, we want to know whether this is permanent kind of for the next few years at least or is it just a temporary Kind of

a blip, especially copper. When you look at
it, there are mine strikes in Chile and there are some disruptions in some mines in Indonesia. We are evaluating this carefully, but we are ready to absorb these. To the extent that is required in the market, we are willing to pass it on to the extent that the market is responding to it. So, I don't see it as a uniquely ELGI problem. We will get over it. I am not concerned about it.

MODERATOR:
Thank you, Sir. We will move back to the call questions again. The next question is from the line of Mr. Bala Subramanian. Bala, your mic has been unmuted. You may unmute yourself and go ahead with your question.

BALA SUBRAMANIAN:
Good morning, sir. Thank you so much for the opportunity. Also, our in-house production is expected to cover 75 to 80% percentage of volume by next financial year. And I just want to understand like what is our next plan for in house to reach that level for air ends, drives, and controllers. We could share more details and colour on our in-house initiatives.

MANAGEMENT:
So Bala, I don't know where you got that 70 to 80%. What we do is as a principle, we project our business for 3 to 5 years and basis that projection, we invest one year in advance in our capacity, right? So, this is our policy of capacity management. So, we are well on track for that. So by the end of this financial year, we will have capacity for 27-28 in place, so we are quite comfortable there. Now, as I had explained in the earlier thing, we are in the process of shifting our facility from our city campus to our new campus that we have been building over the last 15 years. Progressively, we are moving each line there now that is a 500 to 600 crore investment that we hope to invest over the next 5 years now. We have started the initial phases. 2 plants are in the middle of construction. One is almost ready. It will go into operations in March, April. The second one will go into operation during the next financial year. Now, these are ongoing things that we do. In addition, our own regular annual capex is roughly in the neighbourhood of about 50 crores that takes care of what I talked about that investment in capacity one year in advance, but large capex will come when we run out of buildings, place, I mean that is something that we can't manage and what we are doing today over the next 5 to 6 years is to build that building capacity and we are well on the way.

BALA SUBRAMANIAN:
Okay Sir. Sir, my next question after markets nearly contributes 30% of revenue in India, but only 12% in US markets. So, like what is the current installed base size and growth rate in the US and Europe? And in Europe, we are implementing hybrid strategy. So how it will benefit, especially in the aftermarket side?

MANAGEMENT:
So, Bala I don't want to give details of our number of machines that we have installed in Europe and America. Aftermarket as a percentage of revenue is a function of building your installed base as every year you will be adding to the installed base. As a consequence, your aftermarket as a percentage of revenue keeps increasing the year after that. So, this is something that will happen. We are very confident we have seen the trend in Europe and America as we have been increasing

our installed base our aftermarket percentages have also gone. So, this is a matter of maturing out in the market. So, we are well on track for that. Now hybrid strategy is more on the sales of the machines rather than aftermarket. We will still get the benefit of aftermarket irrespective of how we get that installed base in place.

BALA SUBRAMANIAN:
Thank you, sir.

MODERATOR:
Thank you, Bala. The next question, we have is from line of Mr. Salil. Salil, you may unmute yourself and go ahead with your question.

SALIL DESAI:
Thanks, Kamlesh. Good morning, Dr. Jairam. So, I have some questions on the US business. First of all, if our current

inventory say is gonna bleeding out by Q2 of next year, so we have 4 to 6
months of inventory, is this a normal level or did you kind of build up something? I mean, how does this work?

MANAGEMENT:
So, like I said while I was talking about the cash position in the company, one of our defects that we have is excess inventory, right? And the root cause of it is, you know, salespeople always have an optimistic view of the future. When the future becomes present, then they become very pessimistic. So, our planning system so far has been believing what the salespeople want, and we replenish basis that. Yeah, now we have started a new program of designing a system for inventory planning for the various subsidiaries, which is in the final stages of validation. We implemented it in August, September last year. It is in the final stages of implementation. So, I am hoping to see better control over finished goods. So, to answer your question, 6 months is excessive inventory, right? When you have a lead time of shipment of about two and a half months, your inventory should be only about three – three and a half months, right? So that's really where we are headed.

SALIL DESAI:
Understood, right. Continuing on the US business now, the distribution part of it is where you mentioned that there are certain challenges, right? So, when you're trying to fix it, what would it be and would you kind of revisit this partnership, you know, the JV kind of structure that you had with some distributors in some areas?

MANAGEMENT:
No, this is nothing to do with our JVs Salil. This is what I mean by distribution operations is Pattons and Michigan Air, which is 2 distributors that we own. Yeah, now this is in effect, this is a direct sale right, because we own the distributor and we are selling directly to the customer. Yeah. So, can you hear me?

SALIL DESAI:
Yes.

MANAGEMENT:
So that is where we are trying to reorganise ourselves to get that kind of a growth for the potential that exists in the markets that we are present. yeah.

SALIL DESAI:
Okay. Okay, all right. And lastly, sir, given now that there is hopefully tariff advantage for India in general, what are the chances that demand kind of grows exponentially for you or for India make compressors? And if that happens, then are you ready in the sense that? Whatever the initiatives you're doing, are they sufficient? Something else that you need to do to get into that.

MANAGEMENT:
So, in a B2B kind of business, Salil, especially capital goods, it doesn't behave to price elasticity. You know, we lower the price, it doesn't mean you will double your revenue, right? So, the idea is when you are talking about capital goods in a B2 B space, it is about getting in front of the customer through various means, whether it is through direct means or through channel or whether it is digital platforms. So those are the things that we have to get in.
Now, when we get in front of the customers, our win rates are very good. Yeah. So, the challenge for ELGI is to get in front of the customer more often. Now, this pricing or the cost advantage that we have now got by virtue of whatever we have done internally is going to give us some degree of

freedom in terms of running schemes wherever there is a dual multi brand distributor who's carrying our brand as well as other brands. Maybe through this we will get a better share of the wallet, but I don't see the cost behaving in a very elastic manner, sales behaving in an elastic manner.

SALIL DESAI:
Right So, it's more of market share gains possible rather than understood. Thank you very much, sir, and all the very best.

MANAGEMENT:
Absolutely, yeah.
Thank you.

MODERATOR:
Sir, I take one question from the chat now. Is Sir, there is a question, is ELGI venturing into defence OEM?

MANAGEMENT:
No, we are not getting into our defence business. We have a joint venture, which is ELGI Saue

r,
that has a large defence component. These are high pressure compressors that are supplied for battleships, submarines, aircraft carriers. So that's a segment of business, but that's sitting in our joint venture where our holding is about 26%. So other than that, we are really not looking at getting into specifically defence, but wherever there are compressor opportunities in the area of defence, we are certainly exploring that, but that's not something that's being done.

MODERATOR:
Sir, next question, I will take it from the line of Mr. Vinod, Vinod Shastri. Vinod, you may unmute yourself and go ahead with your question.

VINOD SHASTRI:
Good morning, Sir. Congratulations on achieving 1000 crore of revenue for the first time, Sir. I will have 2 questions, Sir. For the last 3 to 4 quarters, in your opening remarks, you have said that the EBITDA should have been. Say much higher and it is primarily because of 2-3 reason it has come down and one reason that keeps popping up is the employee cost. So how long this is going to continue, whether it will consolidate in the near term or is this an ongoing process which will go on for some time?

MANAGEMENT:
OK. So, it is a good question, Vinod. I am glad that you brought it up because that was an area that I wanted to address as part of my overall opening remark. You know, a year and a half ago, I talked about investing in initiatives to bring better processes in finance, control on financial processes across the world, bring certain standardization. We talked about investing into the IT and digital infrastructure that was required to make the organization not only efficient but also effective in terms of executing its strategies, so this cuts across all functions. Now that there are 2 types of costs that are involved in these initiatives. One is the new type of talent that we need to bring in to implement and execute these initiatives and the second is the kind of advisory and software costs that are going to come in now. What we anticipate is for the next at least a couple of years, we will have this 2% of investment going into these but I expect that in about a year and a half to 2 years, you will start seeing 50% of these going away, right? And what is that 50%? Obviously, it is not going to be people cost. We will not be adding to the people cost, but the other costs like the advisory cost and the one-time software development cost those will go away. So, I expect in a steady state basis we will be able to absorb this through our growth, but for the next couple of years you will see the effect of this.

VINOD SHASTRI:
Okay, sir, and a follow up question from the last participant, there has been an inventory of 6 months that is being told, and that was due to the optimistic view of your sales team. And now we are sitting at an 18% and on a hindsight thinking that this 18% is going to Continue going forward, since we have a inventory for 6 months of time already, will there be any dent in the revenue where we will not be able to realise the entire reduction from the 50 to 18?

MANAGEMENT:
I couldn't understand your question. Is your suggestion we will be run out of inventory to fund our sales? Is that your question?

VINODSASTRI:
No, Okay. No sir, there is an inventory for the next 6 months and there the tariff has already come down to 18. And assuming that we sit at this 18% percentage going forward for the next 2 quarters, that is Q4 and Q1 of the next year, will there be a dent in the revenue because of these all these inventories?

MANAGEMENT:
Right. Yeah. Yeah.
No, why would there be a dent in revenue at all? I don't understand.

VINODSASTRI:
Because the cost should have been higher, so the that is we have planned for.

MANAGEMENT:
No, but. Sorry, go ahead.

VINODSASTRI:
We have planned for a 50% of this tariff and we have done according to that and next 2 quarters, assuming that

we don't have such a high kind of thing. So that is why this question has come up, Sir.

MANAGEMENT:
So that the inventory that is sitting is based on a 50% tariff it is costed at that level, right? And our selling prices have been fixed. We fixed, we increased our selling prices in the second quarter in response to this tariff and the selling prices have not been reduced now in response to the reduction in the tariff, right? So, we will not have any dislocation to the business just because we have more expensive inventory that is sitting there. We will bleed out that inventory, then we will look at either retaining some of the margin fully or passing it on to build our share of the market. Those are all the specific tactical moves that we need to look at.

VINODSASTRI:
Thank you, sir. One final question would be, will you be okay to share the market share of ELGI at the domestic end, sir?

MANAGEMENT:
I don't like to talk about it because this is something extremely sensitive to competitive thing, but we are number 2 in the country, right? That much I can tell you with confidence, but I wouldn't like to go into percentages. I hope you understand.

VINODSASTRI:
Thank you. Thank you very much, sir, and all the best, sir.

MANAGEMENT:
Thank you.

MODERATOR:
Thank you, Vinod, Sir. Next question, we'll take it from the line of Mr. Amit Anwani. Amit, you may unmute yourself and go ahead with your question.

Amit Anwani:
Am I audible?

MANAGEMENT:
Yeah, you are.

MODERATOR:
Yes.

Amit Anwani:
Thankyou morning. So, my first question is on domestic business. So, there has been some announcement also in the budget about biopharma and the sense tariff reduced. There should be some respite for the textile sector also. Wanted to understand your view and overall domestic market post also there's the GST reduction there's been talks that there would be some revival

with the industries, wanted to understand your sense in terms of domestic market, steady state growth and which are the sectors which might have seen good growth for you and sectors where still growth is very less. Yeah.

MANAGEMENT:
So, the let me first give you a sense for what are the sectors that have grown. I think the sectors contributing to infrastructure like cement and steel and have definitely had challenges but textile, obviously for the reason of tariff, had some challenges. But otherwise, the sectoral growth has been across all industrial sectors. Now, in respect to the new budget where they have given concessions to, I mean, or strategic initiatives on bio biopharma kind of a thing, we are present in that segment. We have some extremely compelling products for that segment, and we will continue to do that. But do I see it exploding in terms of revenue? No, I don't see that happening. Did I answer all your questions, Amit?

Amit Anwani:
Yeah, Sir. So, what's the kind of overall steady state growth we should be make for domestic now since?

MANAGEMENT:
So, I think India will be low double digit is something that we are reasonably confident on, right? But I don't want to put a stake in the ground because there are so many uncertainties that are there that could affect India's performance. India by itself, if it is if the rest of the world doesn't mess around with these kinds of tariff issues and wars and conflicts. If those things don't exist, I think India will do for us low double digit. But if those things come in, they disrupt, so it is little difficult to predict.

Amit Anwani:
Sure Sir. So secondly on Europe, so I think last time also you did highlight resize the European business and there was a break even target and you did also highlight getting exported to US from Europe. So now that situation is slightly better what is.

MANAGEMENT:
No. Yeah.

Amit Anwani:
So, what is your thought now on European break even and is it still kind of challenging f

or you to
achieve what you are thinking on Europe for maybe one or 2 years? yeah?

MANAGEMENT:
So when I explained the P&L, one of the costs in employee cost increase is the reorganization costs in Europe. You will see the impact of that hitting our P&L. It has hit Q3. It will also some of it will hit in Q4, but it will not carry over into the next year. Next year, our cost structures in Europe will be a lot lower than what they have been this year. So, our goal is not break even. Our goal is to get to profitability, right? We have crossed the milestone of break even. Now we are saying that for a current strategy, for the current level of market, the cost structure that we should have is lot lower than what we have today, which was built for a far higher level of revenue. That revenue is not materialising for whatever reason. It is not because our products are bad, it is not because our presence are bad. It is just that the economic conditions and the problems in Europe are such that we are not able to move the needle to the level that is required for the cost that we have. So, we are now moderating our cost and once we moderate our cost to the level of revenue that we are confident that we will make a profit so that we are confident of next year.

Amit Anwani:
Sure, sir. Thank you. Thank you so much.

MANAGEMENT:
Yeah.

MODERATOR:
Thank you, Amit Sir. Next question we will take is from the line of Mr. Prabhakar. Prabhakar, you may unmute yourself and go ahead with your question. Prabhakar, are you there? Sir, I think we are facing some problem with his line. Probably I will take a couple of questions from the chat and then I will move back to Ravi. Sir, the first question is what is the average price difference between our proposed low-cost range versus our normal range of compressors?

MANAGEMENT:
Yeah. Yeah. That's a tough one to be very specific about, but I will give you a range. So, if our current compressor is selling at 100, these machines are sold at probably around 60 or 70, right? So, I would say somewhere between 30 to 40% low, right? So that's really the gap.

MODERATOR:
Sir, the next question in the chat. Sir, is there any further investment in motor manufacturing?

MANAGEMENT:
Absolutely. I mean, if you look at one of the largest contributors to our ability to withstand the tariff impact has been insourcing our own motors, right, which was a project that we started 4 years ago. We didn't do it in response to the tariff, but timing wise, it became very opportunistic for us. I mean very favourable for us. Now we are looking at pushing the motor technology to the next level. We are looking at various types of technologies. One is reducing the dependence on China or reducing the dependence on permanent magnet. So, we have come up with the design of motors which don't use permanent magnets but will be at the same level of efficiency of permanent. See, we make permanent magnet motors today in our factory, and when China put the restriction on export of permanent magnets. It was a huge eye opener for us that we are sitting on a risky situation, and we did lose about 2 weeks of production because we had to scramble to do a redesign of the motors to be able to use different kinds of magnets which were not part of the restricted list of common magnets. So restricted list, list of riders. So that was a stressful period that we went through, and the learning from that has been we can't have a dependency on permanent magnet. So, we have now designed a motor which will which doesn't use permanent magnet, but gives us the same efficiency. Now we are going to invest in expanding the production of that, right. So similarly, I don't want to talk too much about it. We have come up with a completely new motor technology which is going to give us a huge cost benefit. So that's something that we will also, once we have done the proof of concept and va

lidation, which we
hope in the next 6 to 8 months we will complete it, that would be another area that we will be. So, motor technology is a strategic pillar for us. And therefore, we will invest.

MODERATOR:
Thank you, sir. I'll take the next question from the line of Ravi. Ravi, you may unmute yourself and go ahead with your question.

RAVI SWAMINATHAN:
Hi Sir, one follow-up question this is regarding the raw material price increase that has happened recently, especially copper. How much amount of price increase we might have taken in the past few months related to the raw material price increase? How much more we need to take, and I mean, given the fact that demand is quite robust, especially in India, I mean, is there any reluctance or hesitance in terms of passing on prices or we are going to do it quite soon in the next 12 months?

MANAGEMENT:
So we have already started this process, Ravi. I mean, raw material, whether it is copper or aluminium or hot and cold rolled steel, it is affecting all companies, not just in compressors, but anybody doing mechanical machines, capital goods, if they use these materials.

RAVI SWAMINATHAN:
Correct.

MANAGEMENT:
This work is an ongoing thing, so I am not seeing the kind of inflection in prices that happened post COVID where every week there was an increase of 5 to 10% in metal commodity prices. We are not seeing that. So, we are taking it, we are not escalating it to a crisis level. It is increasing prices; costs have gone up. We are responding to that, right. Wherever it is possible, we are increasing. Wherever it is not possible, we are looking at reducing costs. So, it is not a percentage that is out of the stratosphere that we can't handle at as an operational response, yeah.

RAVI SWAMINATHAN:
Got it, sir. Yeah, thanks a lot.

MODERATOR:
So there is one question in the chat. Sir, do you do you see any use case emerging in the space you are operating which can become a mega opportunity for ELGI like green hydrogen, nuclear power, data center, HVAC, EV, complex power grids, electrolysers, etc?

MANAGEMENT:
So we are not, we don't have, we are not getting into compression of hydrogen. Do we have the knowledge? Of course we do. Do we want to get into it? No, not yet, because we are not sure about the hydrogen efficacy of the hydrogen economy. We would like to understand a little bit more in terms of how the efficacy is and then we will take the call. But are we going to get into the business of electrolysers or no, we're not getting directly into it, but wherever compressed air is required, for there are opportunities in electrolysers in the process of producing hydrogen, if pressures are increased in the interchange, there are some efficiencies. So those kinds of things we will explore, but directly not. So this is from Rahul, I am understanding, correct?

MODERATOR:
Yeah, yes.

MANAGEMENT:
So Rahul, thank you for your compliment on using our compressors in your family business since 90s. Thank you very much. Good to hear that, yeah.

MODERATOR:
Yes, sir. So that is what I see, sir. I will hand over the mic to Kamlesh Ji for his questions.

MODERATOR:
Yeah. Yeah, so Sir, I have just 2 last points. If you want to touch upon the stabilizer technology or the vacuum products launched.

MANAGEMENT:
Yes, yeah, correct. Thanks. Thanks, Kamlesh, for bringing it up. This stabiliser, as you know, it's called Demand=Match. That's our brand for stabiliser. We don't call it stabiliser anymore. We launched it in the market in last October. We have close to 150 machines in the field. The response from customers has been just outstanding, right? So, the efficiency, energy efficiency has been anywhere from 6 to 17%, that's been the gain besides the gain in the efficiency, the reliability of the product that the customers are so happy about because the machine doesn't cycle between cutting in and

cutting out pressures. So, it has been a huge thing, but still early
days because the message still hasn't gone. Our competitors know about it, but they are sitting and watching what's going on. We are taking the message to our customers today. In India, all our machines have standard fitment of Demand=Match. We are talking to them, so it is very positive for 5 months, Kamlesh, and we are very optimistic about it and we are able to realise better prices. So that's another positive thing with the Demand=Match. So that's on Demand=Match. Vacuum is ahead of our budget, so I don't want to give numbers in terms of we are growing more than what we plan to grow. We are in the middle of reconstructing our plans for the next 9 to 10 years on vacuum. What? Where do we want to play? How are we going to play? And what is it that we need to do to win in this segment? So overall, I think we are on the right track.

MODERATOR:
Sir, just you can elaborate which segments and markets you find more application of vacuum products. Any specific sectors you want to highlight?

MANAGEMENT:
There are multiple; medical hospital sectors is one area where there is a vacuum requirement, Furniture manufacturing is another area, Chemical process is another area. So, the overlap between compressor and vacuum. Vacuum is probably around 30 to 40%, right? There is an overlap, but it is not 100, but there is a distinct difference between vacuum and compressor. Vacuums that we are involved in are relatively low value compared to a compressor, right? So, if you take a customer using, let us say, a 22-kilowatt compressor at vacuum, they may use maybe 3 kilowatts, right? So, it is scale wise much smaller, right? But in terms of dependency as a utility, it is still very right, so yeah.

MODERATOR:
These semiconductors as an area of opportunity for us, Sir, for those products.

MANAGEMENT:
Yes, but semiconductors use a lot of vacuums, but they are different technology of vacuum that we are not currently involved in. Those are very ultra-high vacuum that is used. We are not in the area, we are more in the rough and medium vacuum, not in the ultra-high vacuum.

MODERATOR:
Okay, alright, great. Participant. Just to mention the company is also hosting their annual analyst meet this time in Mumbai next week on February 26th. You may get in touch with AMSEC team or the IR team at ELGI for further details on that. Yeah, so with that we conclude the webinar. Sir, any closing remarks you want to make?

MANAGEMENT:
No, nothing Kamlesh, thank you as always for your support and AMSEC support for hosting this and it has been a good conversation with everyone. Thank you for your patience and your involvement. Thank you, everyone.

MODERATOR:
Thanks, sir. Bye. Thank you, participants. With that, we conclude the call. Have a good day. Thank you.

MODERATOR:
Thank you. Thank you so much.

MANAGEMENT:
Thank you.
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# Call: Mar 2026

March 4, 2026

Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051

NSE Symbol: ELGIEQUIP BSE Limited (BSE)
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

BSE Scrip Code: 522074

Dear Sir/Madam,

Subject: Transcript of Annual Analyst/ Investor Mee ■ng 2026 held on February 26, 2026

Pursuant to Regula ■on 30 read with Para A of Part A of Schedule III of the SEBI (Lis ■ng Obliga■ons and Disclosure Requirements) Regula ■ons, 2015 (“Lis ■ng Regula ■ons”), please ■nd enclosed herewith the transcript of the Annual Analysts/ Investor Meet held on Thursday, February 26, 2026.

The aforesaid informa ■on is also being made available on the Company’s website at h■ps://www.elgi.com/in/analyst-conferences/ .

The above is for your informa ■on and record.

Thanking you,

Yours faithfully
FOR ELGI EQUIPMENTS LIMITED

ROHIT GUPTE
COMPANY SECRETARY & COMPLIANCE OFFICER
MEMBERSHIP NO.: A12422

Encl: As above

Annual Analyst/ Investor Meeting- 2026
Jairam Varadaraj:
Good afternoon, ladies and gentlemen. Thank you very much for taking the time out to be with us. As promised, we have brought the show to Mumbai and I hope I can see that it's very popular because generally when we do it in Coimbatore, we have one-fourth the number, so it's great to have all of you. As per your request, we are going to speak less in our presentation and give more time for the Q&A. So having said that, I want to move quickly towards what I want to say. You've seen this multiple times. I don't want to say too much it is just a status of where we are in terms of the size of the organization. Only highlight is this is last year's number. We'll talk about estimate for this year in the subsequent presentations. Our purpose is critical for us. This is what drives us. Our purpose is conscience in action and these seven values drive our behaviour across all our stakeholders. Now, earlier what was in the left-hand side was our values. We have now converted some of them into verbs, verb form and we have also removed some and added a few and this is really what guides us.
Our presence globally, not much of change. We still continue to do business in 120 plus countries, 28 countries where we are directly present and manufacturing in three locations. On the left-hand side are the subsidiaries that we acquired and continue to run. On the right-hand side are our joint ventures that we have both in the U.S. and in India and we have a license agreement with DVP for vacuum. Our leadership team on the left-hand side is our corporate team and on the right-hand side is our team driving many of our regions. A little bit of history. 1960 we built. The transformation really happened in 1992. We started changing the direction of the company. 1992 to around 2013 is when we built the foundations for the company. 20 years in terms of technology, in terms of experiments with various strategies, manufacturing systems and in 2013 we said OKAY now we're ready to go and conquer the world and that's where we started and that's been the journey since then. Various events during that time and now we are in 2026, and we continue to remain strong, continue to go down the path that we set out for ourselves in

the early 90s. Manufacturing is one of our prides of ownership. We make some of the best compressors in the world. Quality is the best in the world, no doubt about it. Performance is the best in the world, there is no doubt about it. This is something that just didn't happen over time. I mean suddenly; it took us almost 25 years and we still continue to invest in that. We do strategic, selective, backward integration and this is a reflection of all that we have done. Foundry, motor production, our own pressure vessel and some of the machining that we do and the machines that we build for ourselves. Deming was a great milestone for us, but Deming is just a milestone, it's not the end and for us, we are not happy with where we are. I think there is a lot to be done, lot more to be done and we are continuing to drive that in the organization in the fundamental principles of TQM.

Product offerings, I think my colleagues will be talking a lot more, but this is just a glimpse of what our application industries are. This is one of the virtues of being in the compressor business, we are not dependent on any one industry. We cut across all, so utility just like electricity, every factory needs it and that's the advantage that we have in our business.

Various types of compressors for various segments of customers, different both industrial and portable and construction and mining, small compressors, large compressors, accessories and all kinds of downstream filtration systems. Great products for the railways, the one on the left here is the one that we finally won the tender from Siemens, the supplies have started, is doing exceedingly well. Our accessories, so this is really what I wanted to present, and we'll come back and take your questions. I'll then request my colleague next to come and present.

Moderator:
Thank you so much Dr. Jay for perspective on ELGI's purpose, progress and global direction and now I would request Mr. Anvar Jay Vardaraj, Executive Director to take us through the region-wide sale performance. Over to you sir.

Anvar Jay Varadaraj:
Thank you everyone, it's a pleasure to be here, I appreciate you having us. So, I have the honour of taking you through some strong performance for the year and get to represent some of our regional leaders here to share the performance. So, starting with ISAAME, so ISSAME includes India, South Asia, Africa and Middle East. We've done very well this year, we expect to close with a strong set of numbers and when I look at our core segments which is the industrial business, construction and mining and railways, we've grown very well and I think the common thread across these segments is that our teams especially in sales have done a fantastic job of identifying new opportunities and converting them at high levels of quality. So just to give you an example, we've run a go-to-market project in our industrial business and the core of the project was to go out and identify new opportunities and new customers and why that's so important for our business is that the nature of customer behaviour in compressed air is that there is a general tendency to stick with what you have. It is not a productive asset in your factory and as a result, unless the existing manufacturer has done very badly, the tendency is to rinse and repeat. So, the ability for us to identify where these opportunities are and build relationships in advance of a replacement ends up being critical to us converting that customer to ELGI in the future. So, knowledge of that customer and visibility ends up being the first challenge. The second challenge is when you do get to the table, what is it that you bring in order to make a compelling value proposition? First one is obviously how we communicate our value across reliability, energy efficiency and service but the second is bringing actual meaningful tec hnology to the forefront and this is where tools such as Demand=M atch where we're able to provide energy efficiency and reliability without any compromise on either cost or total cost of ownership ends up being an important tool for conversion. So, these are just two examples of how we've been able to win in the market and especially as we continue to look to grow the brand, we continue to invest in not just go-to-market initiatives but also continuous technology improvements as well. So, I talked a little bit about our initiatives in India.

So going into the Middle East, I wanted to talk a little bit about that because we hear that there's a lot of bullishness about setting up manufacturing, general investment and production and this is a market that we've been investing in for a long time. In fact, we went through two phases in these markets. So taking UAE as an example, we first started off with a channel -only model and once we realized that the channel-only model could get us to x percentage of growth, we have now pivoted to direct sales and this is a very important market for us because we've taken a lot of the learnings that we've had from our India go-to-market strategy both from a talent perspective, people who have helped us succeed in India and also from a process perspective to adopt in this market. So, we are very well set up for the opportunities that will come up especially in the UAE and Saudi. Southeast Asia for us has been a refreshed market for this year and primarily we focused on bringing on board new leadership that can help us co-create a new strategy for these key regions. The market is very attractive, upwards of 700 million dollars annually and we now have the product portfolio both in terms of

the high end of the segment where customers value
e■iciency and also in the lo w end of the segment where it's more price driven. So, I'm actually quite excited to see what this market will bring forth for us in the next few years. What didn't really work so well for us, partially not in our control; Some of the US tari ■s as my father showed the di■erent segments, they had varying impacts on the di ■erent segments. So , at a point at which the tari■s were upwards of 50 percent, customers in segments like textiles weren't necessarily keen on upgrading or investing in new capacity. Now with a little bit more stability expected, we expect to see some investments coming up. But I think this is also another example of how some of the bearishness in industries such as textiles have been o ■set by other industries that have grown well for us including semiconductors.
So, moving on to North America, our second largest market. So just as a brief overview of our North American business, our North American business is comprised of four divisions. First ELGI Industrial, this is the business that supplies air compressors to independent distributors throughout the country. Second ELGI Distribution Operations, this business houses the two acquisitions that we've made in distribution, Patton's and Michigan Air. ELGI Portable Compressors, this is the business that sources portable air compressors from Rotair to supply for infrastructure and rental applications in the US. And ■nally, Patton's Medical, the medical air and gas business. Now we've had a very good year in North America, record revenue driven by the ELGI Industrial business and Patton's Medical. In the ELGI Industrial business, we've doubled our sales capacity, basically the number of people who are calling on distributors and this has e■ectively helped convert a lot of distributors from competition to our fold. And we continue to have a good momentum at the pace at which we're converting distributors. Patton's Medical has been a success story as well . We've been expanding in regions such as California and the Northeast, in New York, where we've had relatively lower presence. The Portables business has been a challenge, and this is primarily due to the tari ■s from Italy. Now the Portables business is structurally not as pro■table business because it doesn't have a large aftermarket component, and the overall pro■tability of that business is lower. So, when we had 17 percent tari ■s, that e■ectively hurt a lot of the pro■ts at North America. Now unlike our industrial business, we had fewer levers to address that during the year, but we have kicked o ■ a couple of projects to be able to undertake some transformational measures to improve the pro■tability in the business. But I think one thing that I'm extremely proud of and a big credit to some of our cross-functional leaders here is that we have signi■cantly improved the operational hygiene of ELGI North America, which means we've been able to bring in a lot of rigor to areas such as inventory management and AR and cash and also we've been able to move a lot of the cost for non-revenue activities to India. I expect that we will continue to do so, which means that we will have a lot more investment that we can unlock in revenue-facing positions and activities. Just the last thing that I want to say is that the distribution businesses, this is a bit of a mixed bag. So, the distribution business has two components. One is the direct sales of equipment and then the service of equipment. The direct sales of equipment was below target and there's a number of reasons for this. One is our brand being less well known requires a lot more investment at the top of the funnel, marketing enablers, brand pull and such. And so those investments will take time. We started doing this last year, so I expect to see signi■cant growth at the last quarter of this year and also going into the new year. That'

s point number one. Point number two, the bright spot is our service business. This is the service of not just ELGI equipment that we've sold but also multi-brand air compressors. This business has been on target both in terms of revenue and pro■tability and we've signi■cantly reduced the cost of running that business. So, in the next couple of years, I expect to see transformation across both of these businesses. The success of this business is very important for ELGI North America because ultimately as we move, as we saturate the distribution channel more and more, we need to be able to e ■ectively run a direct sales organization.

So, moving on to Europe, as an overview Europe comprises of two areas for us. First is the Rotair business which is our manufacturing facility for portable air compressors based in Italy. One of the largest customers is ELGI North America amongst other large customers in Europe and the Middle East. and second is the ELGI Europe which is the equivalent of the industrial business in North America. Europe has been a challenge for us. So, our core markets include Spain, UK, France and Italy. Across these markets we've grown share but all of these markets have very low rates of growth. In fact, some have been de-growing. So, which means that only the replacement market is really accessible to us. So, as a result our growth numbers have not really been in line with what our overall expectations were. But we've pivoted quickly, we've restructured that business, we've moved a lot of operational cost out and we've instead reinvested in more of a direct sales force in some of those key markets. I expect that some of those investments will start to bear fruit in the next couple of quarters. But generally, we've signi■cantly reduced the cost base of the business and as my dad said in the next couple of years I expect to see strong pro■tability. Rotair, the tari ■s have been a challenge. The largest market has become less pro■table for them and like I said we're working with the Rotair team now to bring about a few transformational initiatives to reduce cost.

Next, Australia. Australia is a very stable and pro■table market for us. Australia is probably structurally the most pro■table market which means we have the best pricing and margins on the equipment and also on service. Given that it's a remote location that tends to be the case for most categories in Australia. So, Australia is made up again of two businesses. One is ELGI Australia which supplies air compressors to channel partners across the country and here we've done a fantastic job of being able to onboard new distributors which is a fantastic e ■ort given that you have a fairly limited set of distributors that have been quite loyal. So, the strength and performance of our machines and unbeatable pricing are two levers that have really driven that. The second business is our Pulford business which is the equivalent to Patton's in North America. It's the direct sales and service organization. We've actually restructured the sales organization and in places like Sydney they've done a fantastic job of gaining market share and whereas we still have a long way to go in places like Victoria, Melbourne where we're starting with a low base and there's a lot of opportunity. The service business does need some improvement and similar to Patton's we've brought about some technology tools that will automate the service process which will allow us to spend much more time with customers. Overall, we're pretty con■dent that we have a good foundation in Australia for us to continue to grow and the market will continue to stay stable.
So, I won't spend too much time on this, but this echoes what my father was saying. This pie chart shows the breakup of our business for the industrial screw air compressor range in India and I think the key message here is really the diversity of industry that make up our customer bas

e and
in fact even the largest segment which is 30 percent general engineering is probably made up of ■ve to ten industries that are actually quite distinct such as fabrication and woodworking. So, with our channel and direct approach we have e ■ective access across these di ■erent segments and we have very key strategies that are quite distinct to be able to tackle customer needs across these di■erent segments. Moving on, this is the same pie chart for the oil free segment which tends to be less diverse and oil free air for example with pharma is absolutely critical. It's almost a statutory requirement that for their processes they need oil free air and also when you look at our second biggest segment such as with power plants you need it for instrumentation and for applications such as power that also have high volume of air required. Oil free air tends to be more energy e ■icient than lubricated compressors. Most of our oil free portfolio or rather all of our oil free portfolio goes through our direct channel which means our sales people and our service people cater to these customers because there's generally a higher level of sophistication and this segment has also been included in our go-to- market e■orts where we go out and actively try to ■nd new customers and ■nally construction and mining where we have the least customer diversity. So, the biggest segment is construction so if you ever see a construction site hopefully you see an ELGI machine that's attached to a jackhammer that's used for road construction. On the mining application blue metal quarry is one example where our machines run and ■nally for water well applications especially popular down south where our machines work for rig operators that are putting in bore wells. Lead time availability and reliability is extremely key for this business and I think the one thing that we've done a fantastic job of credit to the product management and R&D team is that we've been much better and faster about bringing on product upgrades and new products to ensure that the changing needs of the customers are being addressed. So, thank you very much for your time and attention. So, I will hand it o ■ back to you to introduce the next person.
Moderator:
Yes thank you so much Mr. Anvar. Next up ladies and gentlemen I would like to invite on stage Mr. Indranil Sen, Chief Financial O ■icer to take us through the business performance.
Indranil Sen:
Thank you, Anvar, for taking us through the business segments in detail. Ladies and gentlemen hope you're having a good time. I have few slides. I'll let the numbers do the talking but give you some context of how we have performed this year in spite of various challenges that came during this year. So I think as a start point we all were faced with tari ■ as a subject this year and we kind of successfully navigated that challenge through quick actions in terms of our ability to pass on some price increases to the market. We were also quite sharp in terms of our ability to accelerate our cost reduction programs both on the development side and also on the indirect overhead spend side and that's how we kind of navigated that challenge.
So, the combination of all the segments will result in about 11% growth for us in this ■scal. I think the parts are clearly articulated. ISAAME still continues to be our main revenue bearer but what is more important and pleasing to see is North America. I think North America if you would have seen in Anvar's slide, we are now gone back to our FY23 levels. FY24 we had a hiccup due to our ERP implementation. It took us a year to kind of consolidate back and I'm happy to report we are back to the levels that we were in FY23 which also has given us and also has been backed by some of the processes that Anvar talked about. There have been the processes that have been more stable now, so hence we are able to get some solid results. Industrials, medicals and

portable all three segments kind of ■red this year. Distribution operations remains an area of focus but we are quite con■dent that we have a roadmap in place for us to turn that around in next year. Europe as a market I think was constrained by the macroeconomic condition also by virtue of tari ■. Indirectly a lot of Europe exports to US in our Rotair business got impacted because of tari■ and hence the growth that you see is qui te minimum. It's more break-even performance. Australia also I think the industrial business grew well. The distribution business is where we still have some work to do and Australia also had some good one-time opportunities in the last ■scal so currently those are not there. ATS similar to ISAAME has been registering strong double-digit growth every year. So combined as a group we've got a 11% growth. There is an impact of exchange, but about couple of basis points of exchange gain also helped us boost this result. So, it's adjusting for exchange our growth would have been about 9%.

This is a slide which talks about the mix of performance of India and the foreign subsidiaries. Broadly in the last three years the mix has remained same which essentially is a good sign, which means in spite of the fact that India is growing the foreign subsidiaries continue to hold fort and the fact that this year North America had a major turnaround coupled with their sales numbers has helped us continue to retain this mix. As a result of this, the fact that we've generated more cash in our overseas subsidiaries, helped us pare down some of our loans and with the help of better working capital management, we also kind of reduced our working capital levels.

Pro■tability wise, I think this is a question that we keep getting all the time and we keep getting asked questions on how's our cost structure, what are we investing and there's a lot of questions around our employee cost and other ■xed cost. I think overall landscape this year we had tari ■. There was an impact of tari ■ which we were able to navigate. We were also bene■ted by obviously some opening inventory sitting in our subsidiaries. So, net of that there was an impact. Then we also had a scenario in the third and fourth quarter where we were seeing the cost of base material cost going up. There is a signi■cant amount of cost increase. That's something which is coming on and we are trying to pass on some of those price increases. We've also talked about in the past that we will be investing about 1 to 1.5 percent of our top line into initiatives. Initiatives which are go-to market in nature, initiatives which will boost our support function capability or IT infrastructure. So, that is something which is also big thing. So, in spite of all of that I'm happy to report that we've been maintaining a constant pro■t trajectory for the last three years and I think directionally it should continue like this for another year or two and post which I think we will start seeing a margin expansion on the bottom line. Another interesting thing if you see at the bottom of the pyramid, is Europe. I think we have been talking about Europe as a separate component. We have been reporting Europe as breakeven for the last couple of years now, which means the combination of cost restructuring that we have done has actually helped us make Europe breakeven. North America is actually pro■table if you take out the impact of tari ■ North America has registered pro■ts this year, which is a very pleasing information for us because that gives us a lot more opportunity to reinvest that pro■t back into go-to-market initiatives in the US. My last slide is on cash. Again, the last couple of years very strong focus on working capital. Our EBITDA to cash conversion is post 90% before tax. Net working capital, we have not added working capital in spite of growing our top line by 11%. We have been maintaining our working capital at similar levels. Testi

mony of the fact that we've managed to do good work in AR. Still, some work to do in inventory, but we are hopeful that we will continue this trajectory. Interestingly, we have also seen that in spite of CAPEX, our CAPEX cycle has now started to come into play. MK2, part phase 1 of MK2 is almost close to getting done and phase 2 is now kicking o ■ and we will also start seeing a similar trajectory of CAPEX in the subsequent years. So that's my last slide. Thank you.

Moderator:

Thank you so much, sir. Next up, ladies and gentlemen, I would like to request Mr. Premendra, Chief Strategy O ■icer, to take us through the strategic business plan including new products and features. Over to you, sir.

Premendra:

Thank you, Indranil. First of all, thanks to all of you for joining us today. We'll start with where ELGI is with reference to the global air compressor industry and then we'll talk about how we have delivered with respect to our strategic business plan. So, what you see here on the left-hand side is the overall global air compressor industry. In FY26, it's expected to be around 23 billion dollar and market is growing at 3.5% CAGR. For the same years, ELGI, its operating revenue has been growing at 6% CAGR. We closed last year at USD 415 mn and expected to close somewhere close to USD 440 mn this year. Now these numbers that you see, USD 415 mn and USD 440 mn, are actually adjusted for exchange rates. So, they are not at constant exchange rates. So, what does this growth mean for us? This is the slide where you see the top 10 players in the industrial air compressor industry. Atlas Copco is the leading player and together with Ingersoll Rand, they occupy nearly half of the market, slightly more than half of the market. We are at number 6. Though we have been growing at one of the fastest growth rates in the industry at nearly 5.8 to 6% CAGR over a long-term horizon from FY13 to FY25. So, this is really the long-term growth rate that we are seeing ourselves. ELGI is currently positioned as number 6 as per FY25 results. So just to

recap, what was the strategic business plan we set for ourselves ■ve years back? That is in FY21 for FY26. So, we'll just go through what we had set for ourselves and next slide we will see with respect to what we have set for ourselves where we are today. So, in terms of revenue, in FY21 we set a target for ourselves at USD 450 mn and we had considered a growth rate of 10% CAGR. This also means that we had considered a pro■tability, so EBITDA margin of 16% and return on capital of 30%. So, this is what ■ve years back we set as a goal. Now versus this goal where we are today, so we see against the USD 450 mn, at a constant exchange rate, we would be around USD 487 mn. So, we have surpassed the target, but at a ■oating exchange rate, we are close to USD 440 mn in FY26. In terms of EBITDA margin, against a target of 16%, we'll close at 15% and in terms of return on capital employed, against a target of 30%, we'll close at 35%. So, then it's also time for us to set the targets for the next ■ve years. So, what do we actually do from here on till FY31? We believe where we are today and the strong foundation we have and the last several years we have been growing at 11% CAGR. For us to grow at 11.3% CAGR is quite realistic and therefore USD 750 mn is a target that we are setting for FY31. This USD 750 mn would be at 18% of EBITDA margin and around 35% of return on capital employed.
So next what I will talk about is on the product. So last year we had a phenomenal year in terms of new innovations coming out from ELGI as well as the new product and features that we actually rolled out and launched. My colleague Venu will talk about the innovation. I will talk about the new products that were launched in the last year and this is just a snapshot, not the whole complete set of the products that we worked on. So, last year I would have talked about our Flagship EG serie

s super premium product, and we introduced 90 KW and 110 KW last year. We have in this year completed the whole range from 75 KW to 250 KW. These are two-stage air vents, the best on energy e■iciency and they are also having best -in-class controllers as well as they're embedded with IoT controllers. On the smaller kilowatt we have extended our PMSM range, so permanent magnet motor range. Earlier we had it from 11 KW to 45 KW, we have now extended to 55 KW and plan to extend further going forward. So, what we have also done is on the smaller NCAP series, which are our encapsulated air vents, you know products. Usually, what customers would do, and this is a very popular product for US, Europe and so on. Usually, what customers will do is they would buy tank, they would buy compressor and they would buy a dryer and they would assemble that in the region. So, in order to maximize the value both for our channel partners as well as for the end customers, we started to assemble all of this in India itself, and we found great value that we created and a great pull for this product in the region. So, this is where actually we went back, did further integration, started assembling this what we call CTD packages, compressor tank and dryer packages and sent to regions. Parallelly, we have also worked on various market expansion initiatives because for instance, we are not there in Germany today. We need to comply with certain regulations.
So, we are working on that. We need to comply with certain regulations for the Canadian market. We have it for the certain range of products, but not the full, so we are working on that. So, this continues as business as usual for us. In the oil free series, we launched our air-cooled 200-to-250-kilowatt model. Again, extremely good on overall energy e ■iciency as well as having a very reduced footprint. All of these products with advanced neuron controllers and embedded IOT devices. In the accessories, last time I talked about refrigerated dryers that we are planning to do in-house, and we had launched a few products by then. Now, we have completed the whole range of dryers from 20 CFM to 500 CFM, which is where most of the volume for ELGI sits in today. In markets like India, Europe and Australia, this product is already launched. In the US, we will be launching in April this year. In addition to dryers, we have also launched our own piping. So ELGI branded aluminium piping solutions for our channel partners because several of our channel partners anyway are actually into the piping business and we see there is a huge opportunity for this business in India and even overseas at some point in time. Jay talked about the Siemens project where we are actually working on the compressor. This is the compressor that we are working for VAC10. So this product is already developed, tested, already being supplied to the client and already in usage. So great work done again by our overall product and our R&D team on getting this product into the market. So, this was the last from my side. I would invite Venu to come over and talk about product development.
Moderator:
Thank you so much, sir. Next up, ladies and gentlemen, I request Dr. Venu Madhav, Executive President, Product Excellence and Innovation to take us through ELGI's latest technologies and innovation. Over to you, sir.
Venu Madhav:
Good afternoon, everyone. Thank you, Prem and thank you all for being with us today. My name is Venu Madhav, and I will be taking you through the new technologies what is happening at ELGI. So last year, I've talked about stabilizer and this was talked more about what is and that gives the value and providing stable operation and also e ■iciency. Later, we brand ed that with a brand name Demand=Match in line with what exactly it does in the application. So, it's generally the background for this just to recap. Every compressor produces constant air■ow, whereas the

demand is fluctuating. The demand match system automatically adjusts itself to the demand and produces what is required. So, this product was launched into the market across all the kilowatt ranges and it was well received and we also applied for an international patent which is published now and we'll be having the rights for developing on that. So, this is the new one and going forward will be launching from coming March across all the globe in Europe and American product ranges. So, we believe this will take us to the good market share and also provide value to the customers on this.

The second one, the energy ESG and also on the net zero emissions. They are not talking anymore. They are becoming mandatory. They need very important for this. So, we have developed all our products. So, heat recovery systems always used to be there. They used to be part of either external or adaptable systems, but now we have developed all our products with internal heat recovery systems as a standard. So, these products we can recover heat up to 90% of the energy what is available in the shaft power because a lot of energy that we will get will be in the form of heat. It compressed only 10 to 15 percent in there. The remaining air is required as heat with these units. And the super-premium series, Prem talked about it. We have the range now from 75 kilowatt to 250 kilowatt. The advantage, the innovation, what it is, it is with two-stage air in, but what is special here is generally if anybody uses a two-stage air in, the unload power, when the compressor goes to unload, it used to be significantly high. We have a unique technology here. The unload power will be almost same as a single stage unit, whereas when it is operating full, it will be as high as 12 to 14 percent efficient compared to the existing machine. So, this product makes us undisputed number one position both in terms of life cycle cost and also energy efficiency. And the last one, again, Prem talked on this. These are the refrigerant dryers what we have developed for the global market. We launched this product first in India and then in Europe and now they have been launched for US region also. And this range from 20 to 500 CFM, covers more than 90 percent of the volume what it is required in the compressor market. So, these are the new technologies what we have developed. A lot of innovations are happening. We'll come back to you at the right time to talk about this. That's all from my side. Thank you.

Moderator:

Thank you so much, sir. Alright ladies and gentlemen, now I request Mr. Nitesh Jain, Chief Human Resource Officer, to take us through ELGI's continued focus on building talent across functions and regions and creating a supportive work environment. Over to you, sir.

Nitesh Jain:

Hi, good afternoon, everyone. So, I'll be talking what do we do for our people. And to start with, how are we really building capabilities for the firm to take care of future talent needs. So, we continue to invest in looking at capabilities and hiring talent across functions across the globe. But not only we believe in hiring laterals, it's also equally important to induct talent from colleges, B-schools, engineering colleges, as somebody to get in whom we can nurture and develop in the organization. So, we are running a very robust talent program, campus program. As well as it's also equally important to really focus on the development of our people, our existing employees. So, running a very strong talent framework to really work with people, ensuring that all the critical roles are identified, there is a well-chartered succession plan for key roles identified. And really working with the people who are identified as potential successors for those key roles. So, these are the various ways in which we are really focusing on capability building and building talent to support the future aspirations and growth of the organization. Now, it's really equally important that, you know, once we have hired and keeping the people, how are we really taking care of people? How we are really giving a very engaging environment so that they can flourish and continue to, you know, invest in the organization's success journey. So, we are really focusing on the well-being of our employees. That's really, really very important for us. Now, just to give an example, what does that mean? So as an organization in India, we give a block closure to our employees. So twice in a year, the company is shut. And every employee can take a leave, spend time with their families, with the kids go out, travel, explore. Now, why it is important? It's important for us to take care of the well-being of our employees. So, there are various such sort of initiatives we are driving, which probably, you know, are unique things in our context as an industry. This year also, we have really focused on our performance management system, the way we are looking at what does performance mean for us as an organization. Now, with a very clear focus that performance system should not be treated just like, you know, a clear linkage with a reward, and that's it. So, what beyond that? So, we are focusing performance management as a tool, as an enabler for continuous development. More than a linkage to reward, I think there is an opportunity given to an employee, during the year, any point in time, engage with their managers any number of times, and really talk about their performance, about the concern, about their career. So that's essentially the fulcrum on which we have sort of reimagined the performance system for our employees. Now, while all doing all these things is really, really important, that how are we leveraging tech? So, obviously, working and, you know, a global HRS system to make the overall o ■ering to our employees, which is more e ■icient, and also helping our employees to become more productive, and the ease with which they can work in the organization. Now, you know, one of the things which Jay also talked about was about our purpose and values. Now, most of the companies have values. Almost all of the companies we know of have value system. Now, it was really important for us to really not only have a set of values, but how do we ensure that people live this value on a day-to-day? It should become a way of life. Now, in an organization setup, what happens is the behaviour of an employee is governed by the, you know, guidelines, the policies, what we make in our organization. Now, how do we ensure that our values are, you know, really embedded in the policy itself, so that all of us as an employee, you know, naturally follow that in our day-to-day work life. Just to give an example, one of our values is, you know, trust our stakeholders. Now, employees are one of our stakeholders. Now, saying that we trust our employees is one thing. How do we ensure that we really do that? So, for example, if somebody has to do a business travel, you know, the employee can just go ahead and travel. There is no approval needed. If an employee has to go on leave, just go ahead and apply for leave. There is no approval needed. It just goes as a FYI to the manager. I mean, these are small ways of really saying to our employees that, you know what, we trust you. We trust your judgment. So, this is the way where we are really looking at all the policies, processes in our organization and seeing that how do they ■t in with our set of values to really make it as a way of life for everyone. Now, while we are doing all these things, you know, how we are envisaging the future is we are really looking to have a sort of a one ELGI experience for our employees across the globe, wherever they are joining, wherever they are present, so that, you know, they experience the organization in a seamless manner, similar manner and, you know, that's what we are visualizing for future and I hope the things which we are do

ing will, you know, take us there very soon. Yeah,
thank you and hand it over to you.
Moderator:
Thank you so much, Mr. Nitesh. Ladies and gentlemen, next up, I'd like to invite Mr. Gaurav Gupta, Chief Information and Digital O ■icer, to present ELGI's Global IT and Digital Transformation Roadmap.
Gaurav Gupta:
Good afternoon, everyone. Very happy to be in front of you. I'm going to be walking you through the information technology and digital agenda that ELGI is embarking upon. Pretty excited to present that and pretty exciting agenda in itself as well. So, just so bringing the context back, we talked about a number of leaders moving their functions forward in terms of standardization, transformation, in terms of innovation and underpinning that over a period of time, we've invested into our technologies, our digital agenda, talent, which basically ensures that we are able to drive the throughput of the organization, deliver that value to the business which is required. So, if we can look at the overall digital and IT agenda, it's basically a three-step process that we've sort of unveiled our strategy on. You know, Dr. Jay talked about and Indranil talked about the challenges we had in our ERP system a couple of years back. So, it was only sort of natural for us to ensure that our ■rst step in the overall digital journey, where we've started investing pretty extensively since last year, is to ensure that our core is integrated, globalized and secured and I'll talk more about the core as such, but basically we're looking at embedding our standardized global processes and leveraging the tools to sort of ensure that we bring that level of transformation rapidly across all the regions and drive that behaviour and process adherence towards it. The second part of it is more towards, once we've started digitizing, most of our functions will start collecting the digital footprint, which will be in terms of the data. And that's when the enterprise becomes an intelligent enterprise, as soon as we start looking at that data in an intelligent way and that's where in the stage two, we start building our data platforms, building the AI engines, looking at analytics, which is more predictive than diagnostic and so on and so forth. And obviously, once the enterprise is standardized, integrated, it's intelligent, that's when we look at our digital business models as well. So, that's the sort of three-step journey that we've sort of laid out for ourselves.
We've sort of completed a large part of the stage one in this year, where we've laid out our sales platform. As we speak, it's getting rolled out in North America. We've done India. We've done a part of it in Australia. We've got our global employee platform, Nitesh talked about as well. We've got warehouse automation going on. Our product and innovation platform is getting completely revamped. Finance transformation, a large part of the progress that we've had in terms of driving our controls and rigor. We've been overlaying that on our ■nancial tools and controls automation that we are progressing upon. So, a fair bit of work happening in terms of really standardizing our core processes and rapidly sort of driving them global. Obviously, underpinning all of that is our cyber strategy. As we create more digital footprint, we need to be more aware and we need to invest in our cyber capabilities as well and the IT operating model we wanted to be absolutely sure is something which is global, which is agile, which is able to support multiple regions with a very sort of dependable partner ecosystem that we've envisaged ourselves. And the partner ecosystem is also built on the guardrails of strategic partnership with a global footprint so that we

are able to leverage the capabilities across the globe. That's pretty much what the stage one progress has been this year. It's helped us to sort of, as I said, rapidly transform across the globe at a scale

and a speed that we would want to face the dynamics in the business environment today. That's pretty much what is the update from the IT and digital side. I'll hand it back to you now. Thank you.
Moderator:
Thank you so much, Mr. Gaurav. Ladies and gentlemen, next up, I'll request Mr. Ramesh Punnuswami, Executive President, Operations and EBS to take us through development across.
Ramesh Ponnuswami:
Good afternoon, ladies and gentlemen. Pleasure to present to you about our manufacturing operations, progress that we made with our ESG goals and also some of the social impact initiatives that we have been doing in our company. Around 2019, we started making motors in-house. There are various reasons and drivers behind that. But at that point in time, we were importing about 75 to 80 percent of our motors. So, when we last updated this forum in 2024, we were still importing around 33 percent of our motors. Today, I'm happy to share with you that that has now dropped down signi■cantly to 5 percent. And this 5 percent is largely stranger items. And these too, we are looking to bring in-house in the near future. So basically our range has also been increasing, we started out making induction motors, now the product range and the kilowatt range has expanded from about 2.2 kilowatts to about 160 kilowatts , di■erent e■iciency standards, di ■erent countries we are able to serve, di ■erent frequencies and now we are very heavily into permanent magnet motors also and all these have been developed by our own in-house R&D team and the e ■iciency levels are the best in the world. We have also bene■ted from signi■cant reduction in lead times, so we can now, we were used to getting three to six months lead times from various sources overseas, now we could turn a motor order around in three days, that's how fast we can do it, so you can imagine what it has done to our inventory levels, our responsiveness, apart from the quality and the reliability aspects of our designs. We have recently commissioned our vacuum lines as well, we started o ■ by importing fully built products, now we have our line ready, it was launched last month. We spoke to you last time about taking a three-phased approach to bringing in the entire range, we now, I am happy to share with you, we now have completed the three phases and we have the full range of rotary vane pumps, we have now started o ■ our program to bring in cloud pumps as well, and the ■rst stage we expec t to cover 20% of the market opportunity. Our global service centre, part of the MK2 project that Indranil spoke about, this is the ■rst phase, our global service centre which essentially is the part support for the entire world, we have a brand new facility coming up, it's state of the art, highly automated and it is something that we look forward to being as one of our proudest achievements in terms of CAPEX and how we have built facilities and created them, so this is on track, we expect to go live in the second half of April.
Moving on to ESG initiatives, we have taken several initiatives across di ■erent dimensions, primarily around people, product and processes, we have about 15 goals that we have taken and I am happy to share that as of December we are on track or ahead of target on 13 of them and we are behind plan in two of them and we hope to catch up on those as well very soon. Moving on to social impact initiatives, last year I spoke to you about Project Stellar which we have been running in ELGI school, it was actually launched last year, we have had a fantastic learning experience and also been able to successfully bring in 22 students from very economically challenged backgrounds but who are brilliant students who would have otherwise not had opportunities to really showcase their full potential, so we started o ■ with an extensive outreach programme, we managed to get more than a thousand expressions of interest which converted to about more

than close to 500 applications. This is for students who are going into the sixth standard and we can only test for intelligence meaningfully once they ■nish the ■fth standard, so we have had an entrance test and along with the entrance test we ran a battery of other evaluations in our school, once they have gone through that we made a short list of about 76 students and we did some further evaluations and went and veri■ed whether they are really deserving, are they really economically underprivileged etc. Finally 24 of them met the cut and while our goal was getting 25 in the ■rst year, so we o ■ered 24 and two of them dropped out, so we have 22 students studying now, 9 of them girls and 13 of them boys and typically the average family income, mother, father all put together is about 2 to 3 lakhs a year, so that is the status. Now our next plan is to build a residential facility, so the intent is to have the entire school converted to only supporting students from this background, we expect in steady state let's say 8 to 10 years from now about 900 students will be provided education fully free of cost, it will be fully residential, the residential facility; now the designs are being ■nalized and we expect that will be up and ready in two years' time. Along with that there are several other things; our goal is to make every student the best student and be able to get o ■ers from the top colleges in India, that is our only measure of success, to be able to do that we need to enable entire ecosystem right from teaching, the facilities, all of that, so it is a fairly extensive program we are working on, I am pleased to share that this has been the progress and we have started the outreach for this year and we are expecting 50 students for this academic year to join us.

Moving on to the sporting arena that ELGI supports, we spoke about the Olympic Gold Quest, the movement that was started by Geet Sethi and Prakash Padukone to support promising athletes to provide them high end training, exposure, nutrition, all of that and the only goal is to win as many gold medals for India as possible, so I am pleased to share that our partnership continues with OGQ and at the moment we have an MOU taking us through to the 2028 LA Olympics and as of now you can see on the screen the number of medals that have been won by athletes, almost 85% of the medals in the Olympics, the athletes who won the medals are all from OGQ. Maya is a youngster from Coimbatore, our hometown, she has been a rising star in the world of tennis, she is ranked number 1 in India under 18 in the juniors and she also reached an all-time high ranking of 34 worldwide in the ATF. She is right now training in the Rafael Nadal Academy in Spain and her goal is of course to win a medal for us in the Olympics coming up in 2028. The Coimbatore Marathon is something that is close to our hearts, we have been very closely associated with this event since the launch in 2013, last year 1725 plus ELGI employees and family members participated in the event across different categories. This event is to support the Coimbatore Cancer Foundation, all proceeds go to the foundation for their activities and ELGI continues its association with this event. So, thank you.

Jairam Varadaraj:

So thank you again my colleagues for presenting, now we are open for questions.

Amit Anwani:

Yes sir. Hello, thank you sir for the elaborate presentation. Amit Anwani from PL Capital. So first question is on the next five year plan which you elaborated from USD 440 million will be targeting USD 750 million. We can see a good amount of shift towards the Indian markets, I think there was 13% CAGR which we are targeting versus 10% in the previous five year block and so just wanted to understand and also the 200 bps margin expansion which we are building in for next five years. Wanted to understand whether this will be the base growth in India or the new product launches or the service contribution, what is the shift which is leading us for kind of 13 plus percent growth in India?

Jairam Varadaraj:

So, I will let Prem kind of add to whatever I have said, whatever I am going to say. It's a combination of share of growth, share of market share growth, share of new products, share of new segments in existing products as well as new geographies. So, it's a combination of all of these. So, I don't want to get into each, what is the contribution of each, we have built it up, we have a detailed build-up of which is going to contribute to what. What we need to understand is in the dynamic of this business, any growth comes from a combination of both equipment and aftermarket. Now every time you sell equipment, you have at least a 10-year aftermarket sales number and there is a geometric growth. So as you add and install base, that's where the growth really comes from. So quite a bit of future growth, a larger percentage, I am not saying they contribute a big number, but a larger percentage of the future revenue will come from aftermarket. It's natural. Now once that happens, it answers your second question of where the margins are going to come from. We have been a little conservative because even now, without the various strategic initiatives that we have implemented, which has taken away close to 1.5%, so even now we would have been at 16.5%. Now these initiatives are not going to contribute and continue into the future. So our starting point is not 15, the starting point is actually 16.5. So, 16.5 to 18, which I think is a reasonable thing if you are able to hit that top line. As far as ROCE is concerned, we are not too worried. We are quite healthy.

Amit Anwani:

Lastly on the US business, what are we building in terms of growth for the next five years in our strategies for the US? Earlier we used to also highlight that the go-to-market strategy was something which is very critical and there were a few states which were slowing down for us. So as a long-term strategy, what are the expectations in the US for you?

Jairam Varadaraj:

US, like I said, it's a large market, as is Europe. Now in both these continents, we have established a very strong presence. So ELGI as a brand is known to the entire distributor fraternity, in both these regions. Now the biggest challenge for us is to get into the distributors, because this is a distribution-led business. So, far our strategy has been getting more distributors, they own the relationship with the end customers and therefore we will gain share of the market. Now what has happened is that strategy is beginning to plateau for a couple of reasons. One, out of the universe of distributors that are available, a certain percentage of distributors are exclusive to the large brands. Those distributors are not going to switch. They won't switch because 70-80% of the distributors' profit comes from aftermarket. They don't want to risk giving up a brand and that aftermarket. So, you're really playing in the balance who are multi-brand distributors, and we are trying to get access into that segment of distributors and then gain a higher share of their wallet.

That's been the strategy. Now I'm saying that strategy is plateauing out. What I mean is it will continue to have this 10-11% growth. But if you really want to shift the number to a much higher level of growth, we need to come up with a di ■erent strategy. In addition to pursuing what we are, which is what we are really working on right now. It's too premature to talk about speci■cally what they are. But what got us here is not going to take us there. It will take us to some point of that. But we need something more.

Amit Anwani:

Thank you, sir.

Parag Thakkar:

Hi, Parag Thakkar from Ford Capital. Thank you, sir.

Moderator:

I just request you to please stand up. We'll be able to capture a nicer access from here. Thank you.

Parag Thakkar:

Sir, this is Parag Thakka

r from Ford Capital. First of all, I would like to congratulate your entire team. Fantastic presentation and I would say that do more such events in Mumbai. That will be great for us to have easy access to you. So just to take on from the last question only, what we saw in the presentation is that India contributes 47% of the revenue and 82% of the EBITDA. So now, how it will happen that the global business will also start contributing more to EBITDA? And if I understand correctly, 28% of standalone sales is coming from aftermarket right now, while consolidated number is far lesser. So, is it the needle mover that aftermarket sales in outside India will also increase meaningfully here, which will provide a lever to margins?

Jairam Varadaraj:

It’s a fair question. The future pro■tability has got multiple levers. Now, the regions that we are operating in besides India are very expensive regions to operate in. People there and the overheads there are signi■cantly higher than the equivalent costs in India. Which means then for those regions to start contributing pro■tably to the same level as India, the top line required is far higher. So, as we grow our top line there, we are not going to have a proportionate increase in our overhead. So that will be one lever of contribution. The second is what you just said. Our aftermarket is a signi■cant contributor. The reason why we are in this business is because of the aftermarket. Selling of equipment is almost close to charity. So, it's the aftermarket that gives us the pro■t. So, there will be growth in the aftermarket because the installed base is pretty large in India. We get a very healthy percentage of aftermarket to our revenue. As we start building our installed base in Europe, you will start seeing that coming in. So, these are the two levers that are going to grow. But please let's not forget that in the standalone there is a pro■t that belongs to the global because of the transfer price. So that's also sitting there. So, it's not like what you see as pro■tability of the non-India is what it is. It's much more than that.

Parag Thakkar:

Last question from my side. Once this tari ■ drama is settled, hopefully closer to 18% from 50%, do you expect the installed base in the US to improve substantially so that after 2-3 years, it will start giving us aftermarket pro■ts also?

Jairam Varadaraj:

So, this business is not a price elastic business where you say I drop 20% and my sales grows 20%. It doesn't work that way. So yes, in our current situation, if the tari ■ stabilizes at 18, we have a signi■cant margin in our favour because we have already managed that 50%. So, do we retain this 32%? Do we give some away to gain the share? These are all tactical moves. We can't say for sure that A plus B is going to be equal to C. It's not possible. But it's a good problem to have that you have some margin to work with, to gain your market share.

Parag Thakkar:

Thank You!! I just wanted to understand your Demand=Match that product strategy. When we look at Atlas Copco has VSD, Kaeser has SFC. So is it because they had that kind of a di■erentiated product that we were forced to come out with a solution or is that the other way around?

Jairam Varadaraj:

No. So if you look at this VSD and all these are just brand names. They're not unique. We also have a compressor called, it starts with V, which is variable speed drive. That's available with all manufacturers. Now, across the world, it varies, but across the world, on average, 30% of the customers buy machines with variable speed drive. 70% buy ■xed speed machines. Now, the di■erence between the two is one, the variable frequency drive costs 30% more. Capital cost upfront is 30% more. But it has the potential to save on energy, but there is no guarantee how much it's going to save. It depends on your operating cycle. Each factory will have a di ■erent operating cycle. That's the reality. Whether

it is an Atlas Copco's variable speed drive or an ELGI's variable speed drive, that VSD that you're talking about. Demand=Match is for the ■xed speed.

The ■xed speed machines today have, like what Venu said, ■xed ■ow, always variable. So, what happens is there is a huge amount of ine■iciency, and the customer wants to save it, they have to spend 30% more by a variable frequency drive. What this technology does is varies the ■ow to the customer without a VSD. So, this is an electromechanical system, not an electronic system, which delivers that value. Now, what it does, so far, we introduced this machine in October. All our machines in India supplied from October onwards are Demand=Match systems. It's now standard on our machines. It's not an option. We didn't expect that the customer will pay for it. We thought maybe they won't pay. Because typically what we ■nd is Indian customers don't pay a premium for Indian products. They will pay a premium for foreign products. So, we said, okay, we'll go. We will make this system work. So, all our machines have gone in. We have actually improved our price realization. Just Indian customer is actually paying a premium for an Indian product. December results that you saw, we've got higher sales, higher pro■tability. Part of it is from demand. So, of all the supplies that have been made, 100 machines have been installed, that means commissioned. We've sold much more, but typically it takes two to three months for commissioning to happen. The customer savings has been anywhere between 6% to 17%. This is the kind of savings that the customer has. So, we are on a very strong wicket to keep growing that share of the market. The ■xed speed, that 70% that I talked about. Machines have already gone to Europe, they've gone to Australia, they've gone to the US. So, validation will get completed. And by the middle of next ■nancial year, all supplies to those markets will also be Demand=Match as standard. So, we'll have to wait and see how much of the market share needle we are going to move with this technology.
Analyst:
And Sir, Kaeser's SFC, they also have Air-end pro■ling. Kaeser; they have this SFC where they do Air-end pro■ling, which is more or less similar to what we..
Jairam Varadaraj:
SFC? Are you aware of SFC? What? SFC? We've never heard of SFC.
Analyst:
They have Air-end pro■ling. Air-end pro■ling? That's similar to what we do, right? Similar to? Like, you can control the ■ow.
Jairam Varadaraj:
No, but that's a variable frequency drive. Not the system Demand=Match, nobody has in the world. We're the only ones that have it, we have a patent on it. What? We'll check what that is, but Kaeser does not have anything that controls the air ■ow on a ■xed speed machine.

Analyst:
And Sir, coming broadly, when we see the macro, large growth drivers in the electronic space is going to be data canters, semiconductors. So even in your breakup, there was no mention. So, what will be the percentage that currently you are supplying to these markets?
Jairam Varadaraj:
Anvar had presented that, we had presented six percent of our business semiconductor, but we should be very careful about this. You know, these are fashionable trends, right? Today there is semiconductor, tomorrow there is steel, day after it will be cement. The idea is not to say that we will put everything there, right? Our ability is to play across all industry, right? That's the key, yeah? Now, what happens is we have di ■erent challenges. If it is an Indian company investing in their own technology, in their own process, the chances of them buying us is very high, yeah? But if there is a multinational company that comes in, in a lot of instances they are prescribed by their parent factory, right? So, it becomes a bit more of a challenge, right? So, it's that that we need to focus on, not industry focus. Each year there will be a di ■erence. So, right now steel is investing, yeah?

Cement is not, yeah?
Analyst:
Thank you, sir.
Moderator:
Before we move on to the next question.
Venu Madhav:
Yeah, sorry. Actually, it is like a VSD of Atlas Copco where they use a variable frequency motor, yet they will do KZ sigma frequency. It is not similar to the Demand=Match what we are having. It's a variable speed transmission. Yeah.
Moderator:
Thank you so much, sir, for adding that. Before we move on to the next question, just two announcements. Please say your name and your organization name before you ask the question And also requesting everyone to please scan the QR code and give your feedback. We have still not received many feedbacks. In the meantime, the question & answer session is happening, you all can do that. Requesting everyone to kindly do it. Thank you.
Harshit Patel:

Hi, sir. This is Harshit Patel from Aquarius Securities. So, ■rstly on centrifugal compressors, I believe we were doing some ■eld trials for our own machines and not in the GV with the Korean player. So, what is the update on that? And I think one of our large competitors, they have a lion's share of this high-end market. Any plans we'll be able to take them on in next few years in this space?
Jairam Varadaraj:
So, centrifugal is one product category, just like vacuum, blowers, accessories. It's all part of our journey to play in the full suite of products. Now, having said that, do we have the technology to build centrifugals? Absolutely. Right. We've already built two frames and they're running in the ■eld. Now, the question in our mind is you can't boil the ocean. Right. You got to pick your priorities, work on that priorities. Centrifugal market out of that 20 billion is about 2 billion. Yeah. Vacuum is much bigger. Yeah. Accessories is even bigger. Right. So, as we go through the journey, it's about not worrying about what others do, really focusing on what you have to do in terms of the choices that you make. Right. So, in this journey from USD 450 mn or USD 440 mn to USD 750 mn, de■nitely centrifugal is there. Right. But I don't want to say how much is there. Right. But it's there. Yeah. Sure.
Harshit Patel:
So, secondly, on our own motors production, you showed some statistics as to how much we are using in terms of our own motors. However, those statistics were shown as a percentage of our screw compressors. Why is that? Is the salience not that great when it comes to reciprocal compressors?
Jairam Varadaraj:
No, it's not. That is not the case. We have two types of reciprocating compressors, the belt driven compressors and direct drive compressors. 100 percent of our direct drive compressors are motors made by us. Right. As we move, the focus is on high value ■rst and then go to the lower value. Right. So, we will complete all of this and we will work on the full range. Not only compressor motors, but also our fan motors. Right. Not ceiling fans, but the compressor cooling fans.
Harshit Patel:
Yeah. Understood. Lastly, on our backward integration, we already do our pressure vessels, now motors, we do air ends. Is there anything left for us to capture that we can do on our own or would it require maybe substantially much more volumes and maybe we should refrain from doing that?
Jairam Varadaraj:
If there is a backward integration by which we can sell more compressors, we will take that also. Right. But unfortunately, we don't. But, you know, the idea of this, each of these as a there is a strategic reason. Right. This is not about trying to take away a supplier's pro■t. That's not the intent. Yeah. If that was the intent, there is a lot more that we buy from suppliers that we can take over. Right. Now, if you look at pressure vessel, this is a safety critical equipment piece. If we supply this and if a tank fails, bursts, there could be catastrophic incidents. Right. We can't a ■ord that. You know, you can't if an air end fails, it's one level of failure. If a

tank fails, it's a completely
di■erent. So, we can't a ■ord to have that. So, we control that as a safety critical equipment, I mean, piece. Castings are quality critical. Right. We cannot a ■ord to have castings that leak or fail because we buy castings. We put it into very expensive machines for machining. Right. And after machining, we discover that it has failed. It's a huge loss. Right. That's the reason why we got into foundry motors. We were buying motors from China. Yeah, Last 15, 20 years, as do our competitors. Right. Now, if you take the Chinese motor and you strip it, there is no rocket science in a motor. There is copper, there is steel, there is casting and there is bearing, nothing else. These are all metal commodities with international prices. Now, when we looked at it, the pricing from China had no relevance to that cost. It was even lower than metal commodity prices. Now, we can ignore it and say as long as they give it to us cheap, we are happy, we continue to buy. But this is like a drug. You get addicted to that low cost and at some point, the supplier will pull the rug. Now, when that happens, a multinational company has the ability to pass that price on. We will not. So that risk is what we managed with making our own motors. Today, our motors perform far better than the best at a lower cost. And this is not because we are employing cheap Indians. It is because we picked the right technology to make it. Yeah. So that's I can't think of anything more that we need to integrate backwards, but we need to keep our options open.

Harshit Patel:
Yeah. Thank you, sir. All the best.
Jairam Varadaraj:
Thank you. There's a person at the back here.
Sudarshan Srinivasan:
Hi, sir. Good afternoon. So, I'm Sudarshan Srinivasan from Prime Investor PMS. So, my question is on your installed base. So currently, we are having the overseas installed basis, one ■fth of the domestic base, if my memory serves right. So, in the next ■ve years, how do you see this mix

improving, whether it is going to be two fifth of the domestic base or three fifth of the domestic base? How do you see this mix improving?
Jairam Varadaraj:
I don't know where you got your memory. I never would talk about that. Right. So, you know, this is very critical information, because we don't want anyone to know what is that actual number of machines. Right. Now, having said that, the percentage with which we are increasing the installed base in Europe and U.S. is far higher than the percentage at which we are increasing in India. Right. Now, when the percentage of increase is more, the percentage of contribution of aftermarket will also be right. So, I would like to leave it at that broad definition. As we continue to sell more machines outside the country, that percentage is going to go up and that aftermarket percentage will go up. Yeah. That's it. Yeah. There's somebody here.
Manohar Desai:
Yeah. Yeah, hi. Me, Manohar Desai from Trust Mutual Fund. Sir, three new products we talked about. Sorry? Three new products, three new technologies we talked about. So largely, I mean, how does it increase our addressable area or application areas?
Jairam Varadaraj:
Which are the three products that you're referring to?
Manohar Desai:
Yeah, so it was the, I mean, the drives which were there plus on the refrigeration side. I mean, the inverted duty part of the piece. So, the three new techs that we talked about just a moment. Yeah, the stabilizer, heat recovery systems and the indigenized dryer part. One was the dryer. Yeah, one was the dryer. Yes. Second was on the heat recovery side and third was on the stabilizer side. Stabilizer. Yeah, so how does it increase our application areas and what role does it play in our 2030 target? Broadly to understand that.
Jairam Varadaraj:
Dryers is, we are already selling dryers. We were buying it from others. So it only improves our margin and the quality of the product and our

ability to sell our dryers all over the world. So for
instance, the dryers that we sell in India, earlier we were buying from a local company. The dryers we are selling in Europe and America, we are buying from a European company. Now we will have, and the dryers that we were selling in Australia, we are buying from an Italian company. Now all the dryers will be made by us here in India and supplied everywhere. So yes, there will be a synergistic increase in revenue because we have a much more competitive, far better performance product. It's difficult to say how much will my market share go up. Definitely my margin will go up for the same level of sales. Demand=Match, I just explained to you. We are increasing our number. We are increasing our prices. Our price realization is going up. Still early days, but I'm very confident that it's going to help us grow our share of the market by virtue of the value that we give to the customer. What was that third point? HR, heat recovery. Heat recovery is very specialized. It's not across all applications. It's only customers who need process heat in their operations. Then it makes sense to use this to recover the heat and use it in their process. So, it's a very specialized application.
Manohar Desai:
Sure. Just one question on the refrigeration and compression side. Industry talks indicate that that particular segment is doing well. So, your take on this segment, would you like to explore this refrigeration compression here?
Jairam Varadaraj:
No, no, no. We don't do refrigeration compression at all. We do only air compression. This is refrigeration dryers that dries compressed air. So, we don't go into refrigeration compression. Air conditioning and refrigeration, we don't do.
Divyan Kapadia:
Yeah, sorry. I'm Divyan Kapadia, one of the individual shareholders. I've been an investor in your company since 2001.
Jairam Varadaraj:
Thank you.
Divyan Kapadia:
And I think more than two zeros have been added to my investment, which I made. So, I'm very happy with your company. But at the moment, if I look at when you're saying you'll grow another next five years only at 11%, in a huge market which is available to you. I think your market share internationally has been less than 5%. So, what you are growing is not even taking the growth of the market. So, when you are not even taking the growth of the market, you are taking a small fraction of the growth of the market. Then I think aiming for 11% to me looks less. That is my request to you.
Second thing is that now there is going to be in the next five years there is going to be an India-EU FTA. So today I don't know what is the duty you pay when you sell to Europe. So, is that duty going to change or is it giving you more competitive advantage? I think in Australia already the duty is zero. I don't know whether it applies to our product or not. Does it help you? Because in Australia

our growth is only 3%. Maybe there are some further reasons for that. But I thought those growth also you can perhaps review again and see if you can jumpstart.

Jairam Varadaraj:

Now we certainly don't want to grow less. If there is an opportunity we will do it. Now to come to your point India market for compressors is growing at around 4%. We will be growing at 11% which means that we are gaining share. The European market is actually flat, and we are planning to grow 10% which means we are gaining share. The American market is expected to grow at 1.5% and we are growing at around 12%. So again, we will expect to grow share. Australian market has actually gone down. The numbers have gone down because we have the actual number of compressors that are sold, and we are growing there which means share of the market is growing. Now can we grow more? Can we gain share faster? We are working on different strategies. Like I said our current strategy has taken us with a certain velocity to where we are today. Now we continue down that path we will get a certain trajectory. But to flip it even more sharper up we need a different strategy. We are working on it , we are exploring what we can do. What we do know is when we are in front of the customer we win disproportionately. We need to get in front of the customer more often. This is our challenge. You look at a multinational customer wants to buy a compressor. The default choice is either go to Atlas Copco, default choice. They get a certain pull in the market. Our business we have to push. It's easier to suck liquid through a straw than to blow bubbles into the water. It's the same thing. Atlas Copco and Ingersol Rand, they are able to suck customers in. We need to push in. That's our reality. We can't cry about it but we need a different strategy. That's what we are working on.

Divyan Kapadia:

My suggestion would be that all the markets which you are today working like USA, Australia, Europe, they are either not growing or growing at bare minimum 1%, 2%, 3%. In that you are trying to do 10%, 11% which is a very good job. I'm not criticizing that. But overall when you gave us the chart, the overall compressor market is growing at something like 3%, 3.5% worldwide. That means there are enough markets like India which are growing at maybe 10%, 15%, 20%. They may not be as big as USA or Europe but maybe there is Brazil there. Maybe there is Japan there. Maybe there is some African countries which are doing very well because Nigeria, that one fellow is putting a lot of big refineries and all that. Very good. I'm happy. There will be certain places in the world where there are markets which are growing at maybe 10%, 15%, 20%. Maybe a small base but maybe again may not be that competitive also because some of these markets like Africa and all that or some of the Latin American markets, all multinationals may not be wanting to go. Maybe CIS is a market. Maybe Russia is a market. I don't know. You need to check all that. Thank you.

Analyst:

Hi. Two questions. So, one was on the aftermarket thing that you mentioned. When we look at broad markets where obviously we work through distributors and all of that more, the dynamics of aftermarket, is it very different say versus India in terms of the aftermarket revenue pe r compressor or something like that and even in terms of profitability? And the second... Yeah, yeah. Go ahead.

My second question is in terms of growth. If we look at some of the leading players that you had shown, they are growing at around 2.5%, 3% at that base outside India. Whereas if we look at our three years from say 23% to 26%, I think we are not at that 3% if we exclude India. If we exclude just ISAAME, Europe, North America, we would be lower than 3% at a significantly lower base than the industry leaders. So, then we are basically at a lower base, not losing market share to leaders. How do we see that and what is changing going forward?

Jairam Varadaraj:

So, to answer your first question, the aftermarket loyalty outside of India is higher. In India, there is a tendency to, not all, a bigger percentage of customers tend to go for spurious parts. Whereas in Europe and America, the loyalty to stay with genuine parts is little bit higher. So to that extent, the stability of, or the surety of the aftermarket business is more. So that's one. Profitability, I would say roughly the same. Aftermarket profitability. Coming to your question about the growth of the leading players, their growth is coming from aftermarket because their installed base is huge. And from that installed base, every year they keep growing. We don't have that base installed to have that repetitive growth. So, our growth is coming from, bulk of it is coming from increasing the installed base. So, if you look at our growth even outside the country, considering the growth of the markets there and our growth in those markets adjusted for the currency, we are still higher than them. Yeah. The question really is how much more can we do? I mean how much faster can we do? That's the challenge.

Analyst:

Just one follow up, when we go through distributors, do they have a share, do they take away some share of profit from the aftermarket? Because you said for them also aftermarket is a very big source of profits.

Jairam Varadaraj:

They do service. In Europe and America, the service, the labour cost, labour charge on the customer is the highest source of profit, not sale of spare parts.

Analyst:

And is our model of aftermarket going to be different versus some of the top leaders outside India?

Jairam Varadaraj:

So, the top leaders are increasingly going direct on service. They are bypassing distributors. They want to get that labour part of service to themselves. That's not our model. Our model is we partner with distributors, we sell them spare parts, earn our profit, they sell spare parts to the customer and render the labour service to them. And they earn their profit.

Analyst:

What would be, if I can ask, a split between labour and spare parts in aftermarket?

Jairam Varadaraj:

I have no idea, Prem. About 50-50 maybe. We are guessing here. Because we don't run a distribution business. So, we don't do service. Sorry.

Dhiral:

Dhiral from Phillip Capital. So, to achieve the $750 million mark of revenue by FY31, so what will be the incremental capex required to achieve that mark? And secondly, on the aftermarket side, so currently what is the percentage of revenue that we are achieving from the aftermarket and going ahead as we are banking more on the aftermarket segment to drive the incremental growth? What could be the contribution in the coming next four to five years?

Jairam Varadaraj:

So, our capex, there are two types. One is the incremental capex that we need for the growth, the capacity. And the second is the breakthrough capex that will be required once you run out of space in your campus. Right? Now we have already announced that we are going to be spending between INR 500 to 600 crores for moving our current campus to our new campus. That's really that breakthrough kind of investment that we need to do. Otherwise, we don't have space. I mean building, we don't like buildings, but we don't have a choice. We need buildings. Every year our capex required for incremental growth will be well within our depreciation. We don't see it exceeding our depreciation for our incremental capacity. Yeah? And we always invest one year in advance. Right? So, it's not going to be a big cash that is going to be demanded.

Dhiral:

And sir, aftermarket revenue?

Jairam Varadaraj:

Aftermarket revenue frame, do you know what is the aftermarket revenue in 750? Today it's 28 in India and maybe about 12 or 13 outside. Yeah. About 20 percent combined. Sorry? Yeah. Yeah. But 20 percent is our revenue. 20 percent of our revenue. Yeah, currently it's about 12 to 15 percent outside depending on which country. It will probably go to 20 percent. We haven't got the real numbers. General direction. Sorry.

Ishwar:

Hi sir. This is Ishwar from My Thought PMS. So, regarding Europe, we have done a lot of lateral hires from the president, Mr. Chris, to a lot of area sales people as well. And Europe is like a very diversified market with each market having a different customer preference, different price points. So, how are we addressing that concerns of the customer since we would have a smaller portfolio compared to our global competitors? So, how are we getting in front of the customer and winning the orders with them?

Jairam Varadaraj:

There is nothing short of our portfolio. Zero. Right? If you take rotary screw compressors and piston compressors, we have as much if not more than the leading competitors. So, there is no portfolio deficiency. We don't have centrifugal, we don't play in that market. As far as Europe is concerned, even though there are different countries, the demand pattern or the requirements of the market are pretty homogenous. Right? Except for localized certification that is required, which is not a performance issue, it is more a process certification, like pressure vessels, for instance. Otherwise, there is no issue.

Ishwar:

So, of the 3.3 billion Euro market, Euro compressor market, how much can we envisage to capture in the next, let's say,

Jairam Varadaraj:

It's not EUR 3.3 billion. It is about close to 2.4 billion dollars. Euros. Okay. Our share, I don't know what we've got. 2%. Yeah. So, you want to use the mic?

Premendra:

So, our share in Europe would be 2%, but in markets where we play, it would be between 4% and 6%. We don't play in all the markets, too.

Manohar Desai:

Sir, and our cost structures in the European market, it was built on higher revenues. So, how can we expect the cost structure to move in the next 2 or 3 years?
Jairam Varadaraj:
That's why we've cut our cost structure down. So that we are trimming the cost down to the level of revenue that we are hitting. Now we need to build a new strategy. The current strategy is not going to give us the revenue that we had earlier planned, right? So, for the new strategy, this is the structure, I mean, for the current strategy, this cost structure is good enough. That's what we are trimming it down to, right? The next round of growth is going to come from a new strategy which has to be ■rst tested, proven, and then rolled out.

Manohar Desai:
Thank you, sir.
Kamalesh:
Hi, sir. Sir, the vacuum business is a new piece in our own business. Just wanted to check about their margin pro■le and ROI pro■le. Does it match our existing business, or what is the three- or ■ve-years roadmap for that?
Jairam Varadaraj:
So, the vacuum that we are playing in, by and large, except a very specialized vacuum that goes into semiconductors, which we are not playing in. Generally, vacuum, the equipment value is signi■cantly lower than a compressor, right? But the aftermarket percentages of revenue is very similar to compressors, right? So, both these businesses derive their pro■t from aftermarket. But vacuum also has, in addition, has a higher percentage of pro■t on equipment compared to compressors, but on a smaller base. That's the pattern of the two.
Kamalesh:
And in this growth, how much of the growth is embedded from this vertical end? Are we going global for this business?
Jairam Varadaraj:
Five-year phase, no. It's only India business? Only India and conservative number.
Kamalesh:
Are we having any growth plans for the future for global markets?
Jairam Varadaraj:
Absolutely.
Kamalesh:
How big would that be, sir, market-wise?
Jairam Varadaraj:
So, the total vacuum market, correct me, Prem, is about three billion. Yes, slightly more than that. Yeah, three billion globally. We don't have a percentage aspiration yet, right? What we are working on is the same as in compressors. We can't go with a me-too product and then say we are cheaper, so buy, right? What we are working on is a fundamentally new technology, even in vacuum, right? Now, once we are able to demonstrate that, right, that could be a signi■cant presence globally. But with the current thing, for this period, we are not looking at it. But these are opportunities that could come, yeah.
Kamalesh:
Thank you, sir.
Jairam Varadaraj:
Yeah, sorry.

Analyst:
Thank you. Sir, a couple of questions.
First, in this ■ve-year plan, have we envisaged any inorganic growth or this is purely organic growth? Very little inorganic. Very, very little inorganic. And that would be, again, largely on the front end like distribution or are we probably looking at?
Jairam Varadaraj:
Looking at two types of opportunities. One is product expansion, right, within the sphere of compressors. And the other is customer access, right? These are the only two. We don't want to put any big plan in it unless we have clear visibility that this i

s available, right? Unlike organic
growth, which you control, inorganic you don't fully control, right? So, we have not put a big number here.
Analyst:
Okay, okay. And coming back to Europe, sir, now probably you mentioned that Europe's market is generally ■at, but probably a lot of energy-intensive industries over there are probably curtailing and shutting down. So probably do you see a situation where probably it becomes challenging, overall market declining, and for us in that market to grow? And probably also do you see consolidation over some of the compressor players over there? How should we see your strategy going forward?

Jairam Varadaraj:
So, Europe consolidation has happened over many years. I don't know what the next would be for the number one and the number four to come together, which is never going to happen, right? So, I don't see any further consolidation in Europe happening. Your thesis is valid for Atlas Copco, right? But not for us. We are nothing. I mean, when you take a 4-billion-euro market, how much ever they shut down their factories, there's still an opportunity, right? We just need to ■nd a way to get in front of the customer because the minute we get in front of the customer, two out of three times we win. So, and that's a ratio that we see everywhere in the world, yeah? How do you get in front of the customer more often? That's really the challenge, yeah?
Analyst:
Sir, but on the other side, now we are probably curtailing our manpower. So, for us to then have more face-to-face with customers, how do you...
Jairam Varadaraj:
We are reducing back-end overheads, Manish. We are not removing the customer-facing, revenue-generating roles. We are only taking out overheads at the back, yeah. Sure, okay.
Analyst:
And on our new Capex plan for shifting facility from our city campus to the new campus, so how do you see that happening? What will be our annual Capex? So, 500 to 600 crores, what you intend to spend? How do we spend this in every year? Over the next four to ■ve years. Four to ■ve years. And we'll completely shift entire operations to.
Jairam Varadaraj:
Bulk of it. you will still need... Suddenly there will be centrifugal will come, right? Something else will come. These new products, we can't a ■ord to put buildings, right? They're too small to put that kind of investment, right? So, this factory in the city may be part of it, not all of it. Could be a staging area to get the business up to a certain size and then move it to the main campus, yeah.
Analyst:
Sure. And in this process where we are probably going to incur both capital investment and our operation cost also probably go up, so our aspiration of 18% margin is factoring this incremental cost?
Jairam Varadaraj:
What operating cost?
Analyst:
So basically, if you probably move to a larger operation.
Jairam Varadaraj:
You will... Essentially cut cost down. Because today we operate out of four factories and there's logistics going back and forth, right? All those e ■iciencies will actually bring a cost down. Security will come down. Housekeeping will come down. Canteen will come down. Logistics will come down. So, we'll become actually more e ■icient.
Analyst:
And, sir, on margins outlook going forward, like there are a couple of things which you had highlighted in the con call in terms of one is that you start getting bene■t of US tari ■ cuts from quarter two FY27. That was number one. Number two in terms of your more e ■icient motors which will be used, which in turn will again drive your cost down. So this 1.5% what we are spending for go-to-market strategy, do you think that it probably quarter two, quarter three, gets nulli■ed with these bene■ts what we get going forward? Again, also with growth in the revenues.
Jairam Varadaraj:
So, this 1.5% is not go-to-market. It is go-to-market, digital transformation, ■nance transformation, setting up shared services in the country to

bring cost down outside. It's a
combination of multiple things, right? Now the cost reduction that we have been able to achieve signi■cantly which is helping us now and it's showing up in current P&L is only on the US. Sorry? Only on the US sale. Okay. The India sale, Europe sale and Australia sale, the cost has already been baked in because motors for these markets have already been included in our P&L. Right? So that 1.5% on global sale is not going to come from motor cost reduction only in the sale to the US. It's not possible. Right?
Analyst:
No, I was thinking from combination like you probably have increased prices and you have cut your cost especially for US sales. Yeah. So one is that. So, it was a combination of two or three things.
Jairam Varadaraj:
So, 1.5% on consolidated sale is close to $4 million. Right? Now the sale that we make from India to the US, right, will fetch that whatever that will not give us $4 million bene■t because of that 50%. Right? Got it. That 30%. Sorry, the di ■erence of 50% and 80%. Okay.

Analyst:
Thank you so much.

Jairam Varadaraj:
Sorry. Yeah.
Salim Desai:
Salim Desai from Mars Investments Managers. So, on R&D and innovation, right, what are your priorities in these next five years or if you can tell us big principles on why or what products do you like to work on, plug gaps. And second related to that is, you know, is being in Coimbatore a challenge to scaling R&D innovation? Being in Coimbatore? Yeah. I mean, is there a kind of constraint? And if so, then what do you do to mitigate that?
Jairam Varadaraj:
Okay. See, there is product development and then there is technology development. Two different things. Right? On product development, it's about taking the technologies that we develop and incorporating it into our products in terms of revisions that happen. So, in a sense, they are more operational rollout of our calendar-based product upgrades. Right? So that's really what we do.
In terms of technology development, our focus is what can we do to disrupt the value that we can give to the customer compared to competition. So, if you look at Demand=Match, it came from that thinking. Now, how do you disrupt? Right? Now, similar to that, we have some ideas in the pipeline. Yeah? Obviously, I don't want to say what they are. Right? Not all of them will succeed, but we need to make that investment. We have to try it out. We have to fail. Right? But the whole intent is when you're sitting in front of the customer, you're an unknown brand with a made-in-India label. You need something that will be disruptively different, which will make the customer stand up and listen. Right? What brand of cell phone do you have? Apple. So, I'm a Bangladeshi company that is making a pitch to you to buy a cell phone. And I have all the features of Apple. I have all the things. It looks very similar. It does everything and it's about 20% cheaper. Will you buy it? That's the challenge we face. But if I'm able to come to you and say, you don't need a phone, man. You can just speak and everything, a button, everything will just speak. You don't need a phone. That's very disruptive, right? So, in a sense, that's what we are looking at, right? So, from BlackBerry with buttons to a cell phone with touch screen was disruptive, right? What's that disruption for us in compressors, right? And how can we deliver that, you know? And in Coimbatore, how do you- Coimbatore is not a problem. Not for R&D, no.
Salim Desai:
Second question is you mentioned that Deming is a milestone that you crossed, right? So, what more milestones do you look forward to maybe next five years?
Jairam Varadaraj:
Deming somebody blessed us, correct? Saying, oh, you're good fellows, you've done well. But if you stop there, then you regress, correct? So that's why I meant it's a milestone. You need to go continue to push in with that philosophy, that how do you keep improving the organization on a continuous basis, right?
Salim Desai:
What I meant was, is there room for you to kind of keep optimizing manufacturing operations?

Jairam Varadaraj:
Oh, absolutely. Oh, tons of it. Yeah, tons of it. Thank you.
Deep Master:
Hi, I'm Deep Master from 1UP Financial. I just wanted to touch again on the GTM strategy. As you said, just getting in front of the customer. So, if you can maybe elaborate a little bit more on how you plan to do that. Sorry if it's a bit of a repetition but just trying to understand that a bit better.
Jairam Varadaraj:
A crazy idea would be if somebody came and gave us a million dollars, we will sponsor IPL. Right? And then we say we make the best compressors in the world. And India should buy the best of the world, right? Which is in India, right? Now if we can get that message across, right? And get customers to get excited about that thing, then yes. Like I said, but we have to push. We're not pulled, yeah? So obviously we don't have 100 million and we're not going to get it unless we go and do a startup compressor company somewhere, maybe we'll get it. Yeah? But so what's the alternate for us, right? How do we imagine a strategy by which we are able to create that pull, and we are in front of the customer more often, right? It's a journey of discovery, yeah?
Deep Master:
Super. Are you satisfied with all the product gaps?
Jairam Varadaraj:
Where are you in that journey? Am I sleeping well on product range? Yes. I'm not losing sleep there. But the idea is the biggest challenge is get in front of the customer.
Deep Master:
In the past, I think we bought distribution in the US and that did not go well. So that's why I'm just trying to think through it.
Jairam Varadaraj:
So, the distribution acquisition strategically is the right thing. But what was wrong is we are a

manufacturing company. We are not a distribution company. A manufacturing company cannot run a distribution company because it doesn't know. Even in India, we don't run a distribution business, right? So, it's a matter of learning that, right? And putting the process very different from manufacturing, yeah? So, once we get that, we should be fine, yeah? Yeah, please.
Yash:
Hello, hi. Sir, Yash here from White Oak Capital. Sir, the first question is if we look at our SBP 26, what we have just announced and compare it to SBP 22, which was announced earlier, the outside India growth expectation here is 10%, but earlier it was 13%. So, what explains the difference considering all the investments what we have made over the last four years? Why the expectation of growth outside India should be lower than what we had last four years? and second is you said India market is growing at 4% but we are growing at 12%. If you can just help us understand who are we taking market shares from and also if you can give some more detail why this India market is just growing at 4%. Why not higher than this 4%?

Jairam Varadaraj:
To answer your first question, why have we scaled down our growth percentage outside India for the next five years? The reason something in the last five years, right? And like I said, our current strategy five years ago gave us a certain set of results, which were suboptimal compared to our aspiration, right? It would not be prudent to ignore it and continue to say we will do this 13%, yeah? What we have discovered is the inertia of getting in front of the customer is very high, yeah? The strategy that we followed to aspire for 13-14% growth outside the country was only good enough for around 10%. So, we are saying continue down that path. This is not the end of the world. It doesn't mean we go to sleep here. We need to, like I said, we need to discover a different strategy which will help us put us in front of the customer more often across the world. We don't know what that strategy is. We are discovering it. Now, we won't take five years to discover it, but

that's not embedded in this plan. That's point number one. Point number two is we are saying 4% growth India, 12% growth ELGI. Like I explained to you, growth of a company comes from aftermarket. And when your installed base is very large in a country, your growth is not linked to the growth in sale. It looks like I have to swallow this. Next, yeah. So we have a very large installed base, right? That's going to give us a growth. So even though the market for equipment grows at 4%, we have higher because of our installed base, right?
Yash:
So, can you give us an idea of our equipment growth versus the industry equipment growth? Like, are we gaining market share as far as the equipment is concerned?
Jairam Varadaraj:
We're gaining market share, but it's not 4% and 12%. Okay. I don't want to say what it is, right? But it's not 4% and 12%, right? The 12% is also driven by aftermarket growth, yeah?
Yash:
And can you just give us an understanding, sir, why 4% growth for this?
Jairam Varadaraj:
So that, you know, you know, India, India should actually be, if you look at the Chinese market growth in the last 20 years, the growth in compressors was high double digit, right? Because that's the kind of investment that China put into the economy. Now, I don't know why we don't do it. That's not my, I can't answer that question.
Yash:
Yeah. Understood. And so if you can just give us a clarity on your aftermarket margins. Let us say you said product margins are lower, aftermarket margins are higher, if not the exact numbers, but just the difference between the product margins and the aftermarket margins.
Jairam Varadaraj:
If I'm venturing, I'm guessing here. If we make 10% in equipment, we'll probably make 60% in aftermarket. Okay. Right? That doesn't mean I'm saying we make 10% in equipment. We don't. But if we do, then the ratio is one is to six.
Yash:
And on the aftermarket side, what percentage of the compressors sold in India? We have penetration as far as the aftermarket is concerned. Do we have strong penetration or there is still…
Jairam Varadaraj:
In India?
Yash:
In India.
Jairam Varadaraj:
Oh, there is still room. Like I said, in India, the loyalty to genuine parts is lower. So there is definitely opportunity for us to improve it, right? But it doesn't come that easily. It's a very large market, yeah?

Yash:
Sure. Thank you so much for answering all of my questions.
Jairam Varadaraj:
Okay. You done? ELGI? L and G are my grandfather's initials. E and I is to make it look little stylish.
Analyst:
I have one question. On the product side, if you could highlight in terms of oil-free, oil-■lled, portable, recip, what composition of growth you're looking in terms of products for next four to ■ve years?
Jairam Varadaraj:
Is that somebody here?
Analyst:
Yeah. Yeah, so in terms of products for next ■ve years growth strategy, the change in composition, any high-growth products and low-growth products you will be looking at?
Jairam Varadaraj:
Prem, you want to take that question? Is there a disproportionate growth coming from a speci■c product. The only thing I can think of is lubricated screw.
Premendra:
Yeah, you can, yeah, it works. Yeah, in addition to that also accessories as a product line for us, like dryers we talked about. So, a higher penetration of that in our installed base.
Jairam Varadaraj:
So lubricated screw is a focused product. So that contributes a big part of the growth. Accessories, like what Prem said, and aftermarket, because that's a natural extension of installed base. The rest of it, portable compressors, water well, railway, they're all business as usual, nothing signi■cant, no and oil ■lled and portable? I don't want to give that information. I'll be too competitive.
Analyst:
Thank you, sir.

Jairam Varadaraj:
Yeah, thank you.
Analyst:
Sir, what is the breakup between oil free and oil compressors? Oil free, which goes into pharma an

d other segments. Yeah. And with oil compressors, what is the breakup of that in our…
Jairam Varadaraj:
No, I don't want to give those numbers.
Analyst:
Sir, just following up. Just following up with the previous point that you made, if you can just give some insight that if China, if you're saying double-digit growth versus 4% in India, is it some organized versus unorganized thing? Are there some sectors or segments where it's not used in India? According to you, what can lead to that growth, say, in India, what happened in China?
Jairam Varadaraj:
Massive economic growth. India pales in comparison to what China did over the last decade.
Analyst:
This is lower than even like GDP growth. 4% growth is like lower than...
Jairam Varadaraj:
GDP is a bit of a misnomer because you can have consumption-led GDP or investment-led GDP, correct? So, you go and reduce GST rates, suddenly your consumption goes up and that improves your GST. Factories are being set up, right? So, I think you need to look at the index of industrial production. That's a little better than GDP, yeah? And that, if you look at what China had and what India had, it's a day and night di ■erence, yeah?
Analyst:
Sir, regarding the Demand=Match, the stabilizer product, it's good that we are getting very good feedback from our customer. And commercially speaking, how much percentage terms can it increase our realization per product? And would we be looking to export that product to the US, EU market? And we've also introduced lot of compressors in the higher kilowatt segment this year. So, would it be helpful to us in gaining market share?
Jairam Varadaraj:
So, Demand=Match, like I said, has increased our price realization. I don't want to say how much percentage. That's too sensitive an information. That's point number one. Point number two is large kilowatt machines we've always had. What we have introduced is a new upgrade on the large kilowatt machines. It's not new in that sense, right? It's a two-stage machine instead of a single-stage machine. So, it's an upgrade of an existing machine. Yes, all these introductions, the idea is to increase the value proposition to the customer and therefore increase our market share, right?
Analyst:

Yeah, sure. And could we retro■t that Demand=Match product into our existing…

Jairam Varadaraj:
Yes, we can. We can, but it's not… it is quite expensive. We'll do it later, not now. The retro■tting process is expensive. Because the whole air-end has to be changed.
Analyst:
Thank you, sir.
Jairam Varadaraj:
I'll use this. This is ■ne.
Analyst:
Hi, You were talking about the compressor that you were making to compete with the cheap Chinese machines and that I think was at least 20-25% of the current Indian market that is being catered to by that machine. So where are we in launching that product and if that product actually you do say matches the Chinese machines. Could we introduce this into more geographies and are we planning that in our FY-30 estimates like other markets besides India?
Jairam Varadaraj:
The product is going through validation even as we speak. The launch plan in India is end of second quarter of this year. So that's really the plan. Now, can we sell this all over the world? Absolutely. Have we taken it in the plan? Very small. Very small in relation to the possibility. Thank you. So, thank you very much for fascinating questions, very interesting. And thank you for that interaction. Appreciate it. Thank you very much.
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# Call: Jun 2026

June 03, 2026

Na■onal Stock Exchange of India Limited (NSE)
Exchange Plaza,
C-1, Block G Bandra Kurla Complex
Bandra (E), Mumbai - 400 051

NSE Scrip Code: ELGIEQUIP BSE Limited (BSE)
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

BSE Scrip Code: 522074

Dear Sir/Madam,

Subject: Transcript of Q4 - 2025-26 Analyst/ Investor Con-call held on May 29, 2026

Pursuant to Regula ■on 30 of the SEBI (Lis ■ng Obliga ■ons and Disclosure Requirements) Regula■ons, 2015, please ■nd enclosed the transcript of Q4-2025-26 Analysts/Investor Con-call held on Friday, May 29, 2026.

The aforesaid informa ■on is also being made available on the Company's website at h■ps://www.elgi.com/in/investors/analyst-conferences/ .

The above is for your informa ■on and record.

Thanking you,

Yours faithfully
FOR ELGI EQUIPMENTS LIMITED

ROHIT GUPTE
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO.: A12422

Encl.: as above

Q4 2025-26 – INVESTOR MEET

MANAGEMENT: MR. JAIRAM VARADARAJ – MANAGING DIRECTOR
MODERATOR: ASIAN MARKETS SECURITIES LIMITED

Moderator:
Good morning, everyone. On behalf of Asian Markets, we welcome you all to the Q4 and FY 25-26 earnings webinar of Elgi Equipments Limited. We have with us today Mr. Jairam Varadaraj, Managing Director, representing the company. I request Mr. Jairam to take us through the Fourth quarter and yearly numbers presentation, followed by a Q&A session. Over to you, sir. Thank you.

Management:
Thank you very much, Kamlesh. Thank you, Asian Markets, as always, for organizing this investor analyst call. And ladies and gentlemen, thank you very much for your time, for joining us this morning. As always, I will start with an EBITDA reconciliation, comparing the last year to the current year. So, if you look at it, there has been an increase in EBITDA, but the story is not complete. Our sales grew by about 12%, contribution got impacted due to product mix and a little bit by tariffs. At the moment, tariff is completely normal. I mean, it's neutralized for us. But during the year, because of the variation in tariffs starting from 10% to 50% inventory at various levels, we had this marginal impact. So, EBITDA should have been about 2,100 odd million. And so, the main difference has been employee cost. In the employee cost, there's been a 16% increase, primarily because both in the US and in Europe, we have been reorganizing to bring some of the processes back to India like we are creating a shared service organization, we are investing into it. So, part of the cost has been the settlement cost one time and the increase in the headcount in India to compensate for that. So, overall, this is a good investment for the future. Other expenses have grown by about 8% because of our investments in various IT initiatives. So overall, I think the story is pretty good, there's nothing to be concerned about.

Moving forward from a sales point of view, all our regions except Australia and Southeast Asia grew. And it's been a good story as far as the revenue is concerned. I will talk about specific challenges after I complete this presentation. So these are the financial highlights. Like I said, our revenue grew by 12% and our PBT grew by 17%. It could have been higher, but there are some initiatives that we are doing, structural corrections that we are doing that absorb some costs. From a sales mix point of view, it's pretty much stable between compressors and automotive equipment and in the compressor business between India and the rest of the world, pretty much 50-50, 90-10 is a rough kind of a distribution. So, if you look at the consolidated financials, you will see for the year we have done close to 4000 crores. And the main thing has been there has been a wage code impact that has been affecting all companies. We made that provision in the third quarter and that is getting reflected here. And the big depreciation increase has been primarily the leases, which are now, we sold property in the US and took on property on lease and leases are now accounted a little differently. And that's why there is this impact. Moving on to our net cash position, it continues to be pretty solid. We continue to generate 100% of the EBITDA as cash, even normalizing for extraordinary cash inflow like sale of property. Despite that, we've been able to do it.

So, we are in a good position, and we continue to be in a good position as far as cash is concerned. So, this is the last slide I have. I'll tell a little bit about what we expect for this year. The first quarter will continue to be strong for us. We will perform from a top line point of view very similarly as what we have done in terms of growth in the last year, maybe a little better. Bottom line will roughly be the same in terms of percentages. So, it is still a good story for the first quarter. We are not sure about ho

w long the metal commodity prices are going to continue. So, this is something that we are watching very carefully. We are comfortable until June, and we are taking stock of what could be the scenarios going forward. Currently, it feels very similar to the year after COVID, where there was a weekly, monthly marching of commodity prices. And that seems to be happening even now. The last time we were kind of blindsided, we didn't watch this carefully and we took a hit on our profitability. We're going to learn from that. We're not going to let that happen. We will correct prices when there is a demand to do so. The impact of those price increases is a little difficult to predict in terms of the market demands, whether they will sustain at new prices. We are not worried about the competitive reality because these commodity prices are affecting pretty much everyone. So that's really the situation. As far as the overall business outlook, India continues to be strong for us across all the business verticals. America is doing very well for us.

We did some reorganization, reorientation, and almost all the verticals are beginning to fire now. We are not resting on that. We are making some more changes in our organization and focus and our go-to-market to sustain it and even take it to the next level. Europe has been a consolidation story, a cost realignment story, which we have completed. So, it is in a good shape, the size of the organization and the cost of the organization currently is in line with the size of the business that is there in Europe. So, Europe will be profitable. And we are looking to build because Europe is still a strategic market, it's a large market, a little bit more complex than other parts of the world. But definitely we are well entrenched there and we are in a good position to grow it. So, if the West Asia war and the global geopolitical situations stabilize, I think we are in a very solid position. So, this is really what I wanted to share and if there are specific questions, I'll be happy to answer them. Thank you.

Moderator:
Thank you, sir, for your opening remarks. We'll just wait for a couple of minutes for the question queue to assemble before we take in the first question.

Management:
Sure.

Moderator:
Sir, first question, I'll take it from the line of Mr. Harshit. Harshit, you may unmute yourself and go ahead with your question.

Harshit Patel:
Thank you very much for the opportunity, sir, and congratulations on a very good quarter, sir.

Management:
Thank you, Harshit. How are you?

Harshit Patel:
Good, good, good, sir. Sir, firstly, on the realizations, what was the blended realization growth for us in FY26, combining both price increases that we would have taken and any improvement in the product mix? I believe that default inbuilt stabilizer would have helped overall pricing especially in the

second half of the year.

Management:
So, no, good question, Harshit. Now, the... Overall increase, I would say the volume growth across multiple verticals on average was around 3 to 4 percent, right. Pricing was hardly much because we did launch the Demand=Match in the month of September. We have got very good traction in terms of market share and better price realization. But in terms of the contribution of Demand=Match embedded products to the overall sales, it's a very small thing. So, I would attribute a very small percentage at the moment for Demand=Match contributing to the growth. Exchange has been a significant contributor for us. As you know, we are a significant net earner of foreign exchange. And because of that, we have had a positive situation. So that's how I would summarize it.

Harshit Patel:
Understood. So just a follow up on that. If we were to maintain the gross margins at the current FY26 levels, what kind of price hikes are required for FY27? Believing that the commodities will stay where they are right now. O

bviously, some part of the backward integration that we are doing those initiatives would help, but what kind of realization growth will have to happen?

Management:
So, when we did this exercise in February, March, in terms of projecting into the future, what kind of cost increases that will come, which will necessitate for us to do some price corrections without taking into account any positive foreign exchange movement. We looked at between 2 1/2 to 3% price correction, which has already been introduced in the market. Now, what has happened in the meantime from April, May, and probably in June, a large part of this increase, which normally would have happened progressively, the material cost increase that we project normally would have happened progressively throughout the year. But what has happened is that increase has already happened, big part of the increase, close to 80% of our projected increase, has already happened in the first quarter. So, what we need to do now is take stock of what will be the future and correct prices, which is what we will do in the month of June.

Harshit Patel:
Understood. Lastly, a book-keeping one. Was there any one-off in the other expenses in this quarter? I am asking this because other expenses at the standalone level increased sharply while the growth was not that sharp at the consolidated level. You mentioned about bringing back those shared services to India, was it attributable to that?

Management:
So part of it is our investment in our go to market that we had in India, which was sharpened there and some investments in IT, primarily our PLM investment. So those were the things that kind of skewed us in the other expenses.

Harshit Patel:
Understood, sir. Perfect. Thank you very much for answering my questions. I'll come back into it.

Management:
Yeah. Thank you.

Moderator:
Thank you, Harshit. Next, next question, we'll take it from the line of Mr. Ravi Swaminathan. Ravi, you may unmute yourself and go ahead with your question.

Ravi Swaminathan :
Yeah, hi, sir. Good morning. Congrats on a very good set of numbers.

Management:
Got it. Thank you, Ravi. How are you?

Ravi Swaminathan :
I'm doing great, sir. My first question is with respect to the demand scenario in India, with respect to the traditional sectors of CapEx, like steel, cement, textile, etc. The general commentary has been that there is a recovery that is there in the CapEx, and you have also been highlighting it over the past few quarters.

Management:
Yeah.

Ravi Swaminathan: Do you see that accelerating, maintaining at the same place, or even decelerating? What's your sense on it?

Management:
At the moment, our inquiry levels continue to be strong. Conversion timing is getting a little elongated, which for us is a bit of a caution in the market. I don't think the markets are too concerned about the price increases or the cost increases. I think there is a bigger concern of when the West Asia situation is going to get resolved. Because every day there is a yo-yo, you know, morning there is a problem, evening there seems to be a resolution. So that uncertainty is causing a little bit of an issue. Just to give you a sense, I mean, once we found transport solutions to get our products into the Middle East, we're continuing to grow our sales then, right. So even in those markets, there is a desire to keep doing as though, you know, okay, there is a war. Let's park it on one side. Let us continue to do business as though it is normal. But the uncertainty is what is making people a little cautious in terms of, you know, hitting the enter button on the order. Yeah.

Ravi Swaminathan:
Understood, sir. And with respect to some of the emerging sectors like data centres, etc, how is our role panning out there? That's a market which is seeing significant amount of growth and many of the capital goods producers or some way or the oth

er trying to get some business out of it. How are we thinking about it?

Management:
So we don't have a direct business in terms of a data centre. There is no need for a compressed air solution in any significant way. There are minor kind of plant level requirements. But, you know, the ancillary stuff that feeds into these data centres require compressed air in their production areas, and that is something that we are fully engaged with. Yeah. The other emerging things like solar and all that, we are quite solidly entrenched in it.

Ravi Swaminathan:
Understood, sir, and my final question is with respect to the US business, post the tariffs getting brought down, is the overall market seeing a recovery and how is our market share journey there panning out?

Management:
So, the tariff story, Ravi, is not complete. It's not been brought down. It is at various levels because it has moved to another section of the US regulations. The earlier section has been withdrawn. Yeah. So still, both the export from our factory from Italy and the factory in India, they have tariffs, right. And it is at, I think right now, it is close to 25 percent, right. Now, earlier it was 50 percent. You know, there was a lot of confusion in terms of what exactly it was. Now it seems to have settled down at 25 percent. Right. And there is also the talk about refund of past tariffs. We are engaged with the right agencies regarding that, but it's too early to talk about that.

Ravi Swaminathan:
Understood, sir. Got it, yeah. Thanks, a lot.

Moderator:
Thank you, Ravi. Sir, the next question we will take it from the line of Gokul Maheshwari. Gokul, you may unmute yourself and go ahead with your question.

Gokul Maheshwari:
Thank you for the opportunity. Sir, could you just comment on the industry structure? Are you seeing any changes in competition, whether from at the lower end with respect to some of the Chinese players or also with respect to MNCs or other Indian companies who have increased capacities? and whether that is leading to a different industry structure in the compressor market.

Management:
The overall industry structure is pretty much stable, not only in India, but in the rest of the world. The only segment where there is a bit of a churn is in the bottom segment where the Chinese players are making really low-cost machines and selling to just about anybody in the world who's interested in getting into the compressible stuff. So, we see this in India, but we're also seeing this in Europe. We are seeing it in the US and pretty much in every market that they are there. Now, we recognized this a few years ago and we started building our strategy out. Our products are now ready, validated. Now we'll be launching that in response to it in India first in September and then the rest of the world next year.

Gokul Maheshwari:
Okay, great. Thank you. And just second, just a follow up on the question by the previous participant on demand. If you could just sort of double click with respect to which areas where you are expecting demand to be strong in India, which sectors or subsegments of the compressor market?

Management:
So, compressors are pretty much used by all industrial sectors. Some industry verticals requirement of compressors is large and infrequent. So, if you look at a steel mill, the requirement will be very large, but it won't be very frequent. I mean, they set up a steel mill and the next 10 years, they're probably nothing. So, the characteristic keeps changing year on year. So, there is no stability in terms of saying, this is the industry that contributes the most. Across the board, we have a demand. So, if you look at some of the verticals like food processing, general engineering, foundry, forging, these kind of remain stable throughout the year, right. The rest of the large guys come and go.

Gokul Maheshwari:
Great, thank you so much, and all t

he best for the coming year.

Management:
Thank you.

Moderator:
Thank you, Gokul. Sir, the next question we'll take is from the line of Mr. Bala Subramanian. Bala, you may unmute yourself and go ahead with your question.

Bala Subramanian:
Good morning, sir. Thank you so much for the opportunity. Sir, my first question, we are working on a new technology in vacuum. So, the market size is around $3 billion, which is larger than compressors in some segments. So, I'm trying to understand what specific applications are customer pain point, in your new vacuum technologies targeting where the competitors ignored.

Management:
So vacuum as a business is not larger than compressors. So that is point number one. Point #2 is we are a very late entrant into the vacuum business. But as part of the $25 billion opportunity globally, that we are aspiring to play in, Vacuum is almost 12 to 15% of that size. And therefore, it's a segment that we need to be playing in. So what we have done through a license agreement with DVP is an entry strategy into that business and this entry strategy is for us to learn about the business at a very low cost learning platform, understand the business, understand the technology, parallelly start incubating technology vectors that will give us a competitive advantage in the future. So, this is a very, it's a long, it's a 10-to-12-year program. This is not something that we can go tomorrow and start looking at huge growth. Yeah.

Bala Subramanian:
Okay, sir. So, in my second question, the Europe breakeven is expected after a cost restructuring, but the core market, how it is growing like Spain, UK, France, and Italy, and how you are planning to deploy more capital in those regions? Or we just want to maintain the market share or minimizing losses.

Management:
So the market is still there. The growth in the market is a little muted for obvious reasons. They have multiple problems. They have the Ukraine war and then they have the energy crisis on their hands. And they have also the inflations that are there in different parts of the country, unemployment in different countries. So, they have multiplicity of problems. So therefore, the growth has been a little muted, but the market continues to be large. Now, for us, the growth vector is to gain market share organically. We are not looking at any inorganic play in Germany at this point in time, or in Europe at this point in time. Germany is 1 country that we have never done business in that's something that we are exploring to see how we can enter and gain a reasonable position in the market. So that's a growth opportunity for us. We are not interested in investing more capital in Europe at this point in time.

Bala Subramanian:
Yes, sir. Sir, my last question, I think more than 95 percentage of our motors are in-house, where the lead time is nearly three days compared to three to six months from China importing. So, I'm trying to understand whether our in-house motors have some specific design advantage, like integrating motor cooling with compressor cooling that cannot be replicated by our competitors. Apart from this lead time, what are the advantages we have, sir?

Management:
So one is the design of our motors are fundamentally giving us a cost advantage which is not reliant on Indians being cheap, right. So, we are not using a factor cost advantage as a means to keep our motor costs low. So, it's a design principle that is giving us a cost advantage, that's point no.1, Point no.2 is given the capability that we have built in motor design and manufacturing, we have now a wide degree of freedom to innovate on motors, and you will see that in the next year, year and a half, our launch of a completely new range of motors that are going to add a significant value to the compressor, right. So that is in terms of cooling and whether it's oil cooled, whether it's air cooled, these

are all the technical choices that are made that doesn't, it's not something that somebody can do or cannot do. We can do it. Can a competitor, do it? They probably are already doing it, and the others can do it too. So those are not the things. It's the fundamental design of the motor. Yeah.

Bala Subramanian:
Thank you so much for the detailed explanation, sir. All the best.

Management:
Thank you.

Moderator:
Thank you, Bala. Sir, while we wait for a few questions to come on call, I'll take a few questions from the chat, sir.

Management:
Sure.

Moderator:
One minute, sir. So, there's a question from Mike. What are the key underlying drivers of demand for compressors in India and America, example by industry?

Management:
The demand for compressors is, you know, it's not driven by, it is primarily driven by industrial growth, and industrial growth converts into capacity increases and to support those capacities, the compressor demand goes up. See, compressed air is a utility, just like electricity. So, when your capacity goes up in a factory, you're increasing your capacity, you need more compressed air to support that additional capacity. So those are the drivers. Now, if you look at the US, there has been an inverting of manufacturing as an overall national strategy, besides that, there is the economy for you know, unexplained reasons, there is a growth in the economy. So, you combine these two and then there is a demand for more capacity and therefore there is a demand for compressed air. The same situation in India.

Moderator:
Thank you, sir. The next question is from Sentil Kumar in the chat. For the past year, starting from Trump tariff, Russia war, then came the Labour code and now with Iran-US war, so much uncertainty over the period. So, now can we say that we have weathered out all and are going to, Going forward, all can be good years coming, sir.

Management:
Well, I wish I could predict the economic, political economy of this world. If we can, then I'll be in a different profession. But what is important to recognize is, you know, these challenges are going to come. The ability to, the real thing is how to architect the organization to recognize these challenges early on and respond swiftly to it. And I think the team has done a great job and demonstrated it. When the tariffs came in, we responded very swiftly. We made sure that despite a 50% increase in tariffs, we maintained our profitability, we grew our business. Now the West Asia war and the attendant increase in fossil fuel prices and downstream petrochemical products. The team has again done a great job, continues to do a great job. I think that's the true indication of the maturity and the agility of the organisation. I think that's what we need to keep investing into to make sure that we retain and grow that strength. Yeah.

Moderator:
So, the next question in chat is from Mr. Vipul Kumar: So, what is the progress on introducing low-cost compressors in response to Chinese compressors?

Management:
Yeah, so this question was asked a little earlier. Right now, we have finalized the design and validation

of the products, and the range has been completed. Our marketing strategy is in the final stages of being designed and executed. We hope to launch in September.

Moderator:
Sir, can you quantify Forex gains for this quarter and the year, please?

Management:
I don't have the number immediately in front of me, but we could, if you can reach out to our finance organization through our Investor Connect email address, we'll certainly be able to share that.

Moderator:
Sure, so can you give the EBITDA performance for Europe for the quarter and the year?

Management:
So the EBITDA performance for Europe in the year has been a loss. I don't have the exact loss number in front of me. For the quarter, it was a breakeven.

Moderator:
So now I take

the question from the line of Mr. Salil Desai. Salil, you may unmute yourself and go ahead with your question.

Salil Desai:
Thanks, Kamlesh. Good morning, Dr. Jairam.

Management:
Good, good morning, Salil.

Salil Desai:
So, my question is, I think last quarter you mentioned that there was a kind of organization-wide inventory optimization drive, better demand forecasting tool that you were implementing. You know, if you can just update on what the status there is and when can you see the benefits coming through.

Management:
So, um, I'm glad you asked that question. There has been significant progress. So, if you look at our current cash position, part of it has been contributed by the inventory rationalization that we did. What we have done so far is just the low hanging fruit, primarily in the regions where we are, which are selling Elgi products, both units and spare parts, those where we were able to quickly bring a significant reduction. We were able to do that also in Rotair in response to a muted growth. So those two are in the bag. What we are working on is our distribution businesses in Australia and the US, where we service also other brands of compressors and there are inventory pertaining to other brands of compressors. We are now looking at building processes and tools to be able to manage that. So, we still have an opportunity. Having said that, even in India, in the plant, we also see some opportunities. So, we will see continued improvement in our inventory levels into the next year in FY27. We have completed the project on better forecasting. The results are good, but we still have some way to go. We need to, we are at an accuracy level of maybe 60, 70 percent. We need to move it to around 90, then we'll be a lot more comfortable in terms of sustaining this in the future.

Salil Desai:
Great. The second question is, you know, these investments that you've been making, I think on GTM strategies, there's some software development in-house it was going on. And all of this has been going around for about, I guess, a year or so. You know, how much more is left and when again do you see an ROI on these investments?

Management:
So GTM is strategy, GTM investment was primarily in India. That went on for almost a 2 1/2-year period. We don't see any further investment requirement in India. Now we are basically looking at execution rigor. That's on the GTM in India, we will look at certain GTM opportunities in the US. US is now beginning to do well. There are opportunities for us to move it to the next level of orbit. We will do a very measured intervention in very specific areas to be able to do that. A little early to say when that will come and what will be the value of it. But in principle, we are looking at those kinds of opportunities to give us organic growth. In terms of IT, this is going to be another three-to-four-year journey, right. As we globalize, we need to make sure that our processes, as part of our risk

management, compliance, control systems, our processes have to be very strong, right. That is 1 intervention that we are looking at. Intervene on some sort of an assignment to build out our processes that are aligned to our aspiration and convert those processes on a digital platform. So, these things will be ongoing for the next three to four years at least, right. Now, we are looking at standards and benchmarks of what we need to do and we are very, very careful in terms of saying when we should invest in what. So, to summarize, GTM could probably happen In the US, this whole transformation, improvement of process and digital investments will continue for the next three to four years.

Salil Desai:
Understood. So just to make sure I understand this right, the investments overall, all of these put together, which will give a future return, it is fair to expect that they'll continue through FY27 at least, if not longer.

Management:
Yes, yes, yes, yeah, yeah.

Salil Desai:
Okay. All right. Thank you very much, sir. Thank you.

Management:
Thank you.

Moderator:
Thank you, Salil. Sir, I'll open the line of Kamlesh ji for his questions.

Management:
Ok.

Moderator:
Kamlesh Ji .

Management:
Yeah Kamlesh.

Kamlesh Kotak:
Just wanted to check, sir. Can we see this year if European markets we see some turnaround in terms of the operational profitability point profit?

Management:
Absolutely, absolutely. We, at the worst case, we expected to break even, but more realistic case is a marginal profitability, yeah.

Kamlesh Kotak: OK. Right, OK, and how is the North American market with respect to both industrial and Pattons?

Management: North American, right? So, like I said, Pattons Medical has done well, it's grown. Portable, despite the market conditions where, you know, portable goes through a cycle, you know, whenever there is an infrastructure development, then there is a investment by rental companies and that causes a peak, then rental companies are busy with their assets. That is a trough. So, in spite of that, we have done well in portables. Industrial has done exceedingly well for us. The distribution business, the opportunity is large compared to last year, especially in the last two quarters we have done well. And we are, that's where we talked about the GTM to have a specific intervention to bring some process orientation, which will give us that, you know, additional growth in these models. So, quite optimistic about North America.

Kamlesh Kotak:
Okay. And domestically, Jai, would you want to call out any of the segments in terms of construction, mining or water well or textile or pharma chemical where you see good traction of demand?

Management:
It is not in any one sector, Kamlesh. There is an across-the-board positive inquiry level, right. But there is caution and the caution is primarily not so much India capability. It's more the West Asia problem as to how it is going to land on India's head. You know, in terms of energy security, in terms of metal

commodity prices, yeah, so I'm hoping if the powers in the world will settle these issues quickly so that the world moves on, yeah.

Kamlesh Kotak:
Yeah. And anything specific regarding the two government focused businesses, maybe how big we are in defence and also railways, which is of course a good market for us.

Management:
So railways is an India-centric business. We are present in the inter-city railway business. We are not present in the metros, right. Metros have been primarily global tenders, and these are global electrical multiple unit manufacturers that supply to them, and they are homologated with their own vendors, whether it is in Korea or Japan or in Europe. So, we are trying to get into them, but it's a very long process, right. So, our focus is primarily intercity, and that's been a forte for us, but I would not say it's a big business; it is a business that we have been present in for a while, yeah, so that is there. Defence, we are not directly making any defence related products, right and in principle, defence is a very cyclical business. You know, you will get a large order lumped together and after that you do work, right. Companies that are global in the defence business can do defence today for India, tomorrow for Korea, third day for the Middle East, 4th day for Brazil, 5th day for Israel. So, they have a steady pipeline of business. If you build a defence business only for India, then it's not something, first of all, we want to be in compressors and we don't want to do beyond that. Right. Are there opportunities in the defence for compressors? Yes. In our joint venture business, we are supplying high pressure compressors for the Navy, right? The aircraft carrier Vikrant has our compressor, right? There are certain frigates and destroyers tha

t have our compressors in it. So that's our limited presence. We are not really building any defence related truck.

Kamlesh Kotak:
Sure. Right. And lastly, how much CapEx we have planned for this year? Last year, I guess we overall invested 1.5 billion. So, what's budget in this year?

Management:
Yeah. So, we have our, you know, the larger project of progressively shifting our factory from the city to the new plant that will absorb about 120, 130 crores this year, right? Besides that, we will probably have a normal you know, balancing CapEx of around 70 crores. So totally about 200 crores. But Kamlesh, most of the time, the desire to spend is much higher than the capability to spend. So, this is something that we keep saying.

Kamlesh Kotak:
Sure. Right, great. OK. So, since there are no more questions, then we'll conclude the call. Any closing remarks you would want to make so.

Management:
Thank you very much. No, nothing. Thank you very much, Kamlesh, for your support and Asian markets for continuing to support us on these calls and I look forward to engaging with everyone for the first quarter as well. Thank you.

Moderator:
Thank you so much, sir. Participants, you may disconnect your line. Thank you.

Kamlesh Kotak:
Thank you, everyone. Thank you.

Management:
Thank you.